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Call: May 2023

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Sub: Transcript of the earnings conference call conducted on May 19, 2023

Dear Sir/ Madam,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed transcript of the earnings conference call conducted on May 19, 2023.

The same is also hosted on the website of the Company at <https://www.zomato.com/investor-relations/financials>.

For Zomato Limited

Sandhya Sethia
Company Secretary & Compliance Officer
Date: May 26, 2023

To
Department of Corporate Services,
BSE Limited
Phiroze Jeejeebhoy Towers, Dalal Street,
Mumbai – 400 001 To
Listing Department,
National Stock Exchange of India Limited
C-1, G-Block, Bandra - Kurla Complex
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Zomato Limited Q4FY23 Earnings Conference Call
Transcript
May 19, 2023

Management Representatives:

1. Akshant Goyal-Chief Financial Officer, Zomato Limited
2. Al binder Singh Dhindsa -Founder & Chief Executive Officer, Blinkit
3. Kunal Swarup -Head, Corporate Development, Zomato Limited

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Moderator:

Ankur Rudra:

Akshant Goyal:

Ankur Rudra: Ladies and gentlemen , a very good evening and welcome to Zomato Limited's earnings conference call. From Zomato's management team, we have with us today, Mr. Akshant Goyal, Chief Financial Officer; Mr. Albinder Singh Dhindsa, Founder & CEO ofBlinkit and Mr. Kuna! Swamp, Head of Corporate Development.

Before we begin a few quick announcements for the attendees -Anything said on this call which reflects outlook for the future, or which could be construed as a forward-looking statement may involve risks and uncertainties. Such statements or comments are not guarantees of future performance and actual results may differ from those statements.

Additionally , please note that this earnings call is scheduled for a duration of 45 minutes, and we will be starting directly with the Q&A section of the call. If you wish to ask a question, please use the raise hand feature available on your Zoom dashboard. We will announce your name on the call and unmute your line, post which you can proceed with your question. We will wait for

a minute while the question queue assembles.

The first question is from the line of Mr. Ankur Rudra from JP Morgan. Please go ahead.

Congratulations on the great execution and hitting the profit milestone for the ex-Blinkit business. The first question I had was on what drove the profitability this time. Clearly, on a quarterly basis, it appears that it's come from a lot more cost management in both, in the food business, in the Blinkit business on utilization and also rationalization of staff and A&P (advertising and promotion) costs. The question I think we have to an extent is when do we see sustainable growth? And what is sustainable growth for this business after seemingly 3 quarters of very limited volume growth? Is Zomato beginning to hit any penetration challenge due to reversal of consumer behavior?

Hi Ankur, Thanks for your question. Akshant this side. So, we've given a breakup of key contributors to margin improvement in the food delivery business. I would say it's a combination of both growth in revenue as well as reduction in cost per order. And as you can see in that chart on Page 5 of the letter, it's all across the board. So, as we've been saying over the last few quarters that we've been trying to look at all levers of efficiency in the business. The team has been executing well across the board and we just started to see a little bit of bounce back which is going to lead to a modest

high single-digit growth in the current quarter sequentially, which is what we have indicated in our letter. What we'll have to wait and watch is whether this momentum sustains beyond Q1, and that's something we'll have to wait and watch. At this point, we've shared whatever we could on what we're seeing on the growth front in our letter.

No, I appreciate that, and I appreciate the forward-looking things you mentioned in the letter about the first quarter. My question was a bit more taking a step back about penetration. And where we are from an India perspective. Is there any concern that there could be an issue from the penetration side and any kind of reversal in consumer behavior, which might impact sustainable growth on a multiyear basis, not for next quarter or next year?

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Akshant Goyal:

Ankur Rudra:

Akshant Goyal:

Ankur Rudra: No, Ankur. We've been saying that in the past that from a long-term perspective, we are pretty bullish on the fact that we are still underpenetrated in this market in India. And that view hasn't changed if that was your question.

Okay. The second question is on MTUs. You have given a clarification in the letter, but you also highlighted that Zomato Gold drove a frequency increase of 60% in that cohort of customers.

Now I understand in 4Q, you'll probably have an impact of the number of working days, but you had that last year as well. Just couldn't entirely understand why MIU should drop, if your Zomato Gold drove up frequency so sharply?

Year-on-year, the MTUs have grown. So, the drop in MIU is in comparison to the previous quarter. And we've addressed that in the letter that it's a function of a few things, including lesser number of days. Also because of Zomato Gold, the MTUs have come down and not gone up because we do see an impact of clubbing of some orders in the same households, which might have just a single membership.

So Zomato Gold, in fact, has led to reduction in MTUs and not an increase, while the frequency goes up, but number of people ordering typically, we have seen in the past, goes down. And we also shut down 225 cities in the last quarter, which we reported last time. So that also had an impact, a one-time impact of MTUs reducing on our platform.

Okay. Understood. I mean, the reason for the question was I thought MTUs normally reflects frequency also of your annual users, which is why the question. But I understand what you're saying. On Blinkit, could you talk about how the business is evolving on an SKU mix footprint and network design at a city level over the last four quarters, given we've seen significant improvement?

Albinder Singh Dhindsa: Ankur, this is Albinder. I'll take this one. In terms of SKU mix, we are still very much tied to our philosophy of keeping 'high moving low involvement' purchases on the platform.

Essentially, these are SKUs where consumers have a lot of brand trust, and they need those things frequently as well, so we are squarely focused on making sure that, that is a need that we serve to our customers within 10 minutes. And a lot of the gains that you are looking at, what we've pointed out also, is a mix of both more customers adopting the quick commerce platform as their go-to buying channel, and as our range of products is also increasing. We are basically cautiously increasing it (assortment) to still stay within the principles that we set for ourselves for the assortment.

Ankur Rudra: Understood. And any change in the footprint network design as you're thinking about scaling this stuff going forward, Albinder?

Albinder Singh Dhindsa: We are still very much focused on going deeper in our existing cities. Even our largest city, which is Delhi NCR, we are still nowhere close to being able to cover it even 70%. So, our primary focus will be scaling up our existing cities in the near future, and then we will look at

footprint expansion.

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Ankur Rudra: Sure. And I think whe

n I just look at the CM (contribution margin) level performance , at the level you're reducing the CM losses, you should be profitable on a CM basis next quarter.

Albinder Singh Dhindsa: I really hope so.

Ankur Rudra: Okay. Just last question, maybe for Deepinder. We've obviously seen a lot of departures Deepinder in the last year. Your business performance , at least on a profit basis has not been impacted. I wondered if I can ask you to address any kind of comments about how it's impacted the three or four axes for the business, restaurant partners, delive1y partners, customers and tech?

Akshant Goyal:

Ankur Rudra:

Moderator:

Vivek Maheshwari:

Akshant Goyal:

Vivek Maheshwari:

Akshant Goyal: Ankur, Deepinder is not on this call. But to answer your question, the team is doing well, and it's also visible in the results. Things are looking good from a business as well as employee 's perspective.

Okay, appreciate it. Thank you and best of luck.

Next question is from the line of Mr. Vivek Maheshwari from Jefferies. Please go ahead.

Hi, good evening team. A couple of questions. First, Akshant, if I look at your release, it says that about 30% of your users have opted for Gold, right? And their frequency has gone up by about 60% and on top of that, there is an MIU reduction on a sequential basis, right, slightly. So, if I just do a rough math, it looks like that I would have thought that the customers who would have dropped off would be the low-value customer from that standpoint. But if I do the math of Gold, the residual customer base, it looks like the frequency has gone down by about between 10% and 15% sequentially. Why would that be the case if let's say, 0.8 million customers have dropped off from the MIU base?

Vivek, the 30% is the share of orders, it's not actually the number of customers. So number of customers will be lower than 30%. And if you do the math that way, you will perhaps not get to the same answer.

So I did run up some permutations , even if 30% is the GOV number, I have made some assumptions on AOV, but that number still is declining reasonably , Akshant. With 0.8 million customer users or MTUs in the base lower this time around, why should that frequency go down? Shouldn't frequency go up if you don't have those 0.8 million customers?

This 30% again is for the month of March, not for the quarter. If you will do the same math, like to like, across quarter, we know for a fact that the frequency hasn't reduced. It's, in fact, stayed flat and there's also an impact of: as I mentioned , clubbing of some orders. So, if I'm a non-Gold member and a Gold member in the same household , we do see some negative impact of the non Gold member doing lesser orders. Net of that, the frequency for the non-Gold members have stayed flat in the last quarter.

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Vivek Maheshwari:

Akshant Goyal:

Vivek Maheshwari: I see. Okay. Secondly , on food delivery itself, you have articulated , and you have been mentioning these things for the last couple of quarters in terms of the profitability ambition and all of that, with growth being elusive recently, how much of that is to be blamed to macro environment slowdown? And how much of this is because of your own focus on profitability ?

And in that context, how do you see this panning out over the next, let's say, 1 or 2 years, Akshant?

So, Vivek, if you look at really what drives or which are the levers we control as a business which drives growth on the platform, they are largely, either customer delivery charges or to some extent indirectly also delivery cost. Because if we increase the delive1y radius, you will see customers will have more choice and we typically see them ordering more. And similarly, if the delivery charges are lower, that stimulates demand.

So, if you look at the chart on Page 5, again, and we've mentioned that both these, whether it's customer delive1y charges or delive1y cost, they have not changed much over

the last year.

And the point we're trying to make here is that the improvement in profitability is not, therefore , coming at the cost of growth. That's what we believe. And the efficiency and the improvement in margins has been on account of levers, which do not necessarily impact customer growth. So at least our view is that our improvement in profitability has a very, very little to no impact on what the growth would have been had we not had these changes.

Got it. And a couple of questions on Blinkit as well. First, with the media articles talking about

some of the disruptions to Blinkit business a few weeks back. How much of its impact could we see in the IQ FY24.

Albinder Singh Dhindsa: Vivek, this is Albinder. So, we also said this in our filings, we expect the impact to be fairly minimal. We had some store shutdowns for very few days. In fact, in most of the places, it was less than 2 days. And the primary reason that we made this change was because we had old constructs that were put in place in 2020, when we started the dark store business, which allowed some partners to be able to earn a lot more without putting in the same effort that all the other partners are putting in. We wanted to remove that, and that led to some unrest on the ground. But we expect that not to be a factor in our overall financial performance for the quarter.

Vivek Maheshwari: Got it. And are you back to 100% level before this disruption? Are you back to full normalcy?

Albinder Singh Dhindsa: I think right now, in terms of rider logins, we are still not 100% there, but that is not just because of disruption, it's also summertime, and during this time, we typically see at the onset of summer, the rider logins are lower as people are adjusting to higher temperatures in northern India. But we do expect that overall, in terms of our ability to supply to customers, we are back to 100%.

Vivek Maheshwari: Okay. Got it. And one question Albinder, if I look at the entire retail journey in India over the last 20 years, there was a phase where retail was growing very well in, let's say, early part of middle of 2000s. And we are seeing very strong growth in quick commerce business in general

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for the industry. Now I know that you have third-party who manages inventory and it's on their books. But how do you ensure that the system doesn't choke? I know these are again fast-moving products, but I'm sure there will still be a fair amount of balance sheet risk that your partners and therefore, you carry directly or indirectly, how do you ensure that the inventories are the ABC criteria or FIFO. How are those things managed given that the intensity of action at each of the dark stores will be very, very high?

Albinder Singh Dhindsa: See, Vivek when you are comparing the Blinkit business to the offline retail business, fundamentally, the difference is Blinkit is primarily a tech-focused business that has built the entire system of not just managing inventory for our sellers, but also the entire supply chain end-to-end. All of that was built in-house. When it came to the retail businesses, there are obviously a lot more factors, including on-ground operations and there was a lack of technology maybe back in 18 years ago or 20 years ago, that was not helping in having a great visibility into what was happening across the entire supply chain. So, one of the fundamental reasons, Blinkit is the most efficient quick commerce business in the country is because we have spent a lot of years building the technology and the backbone that actually powers all of that for us, provides us visibility at every step of the supply chain. We take a lot of pride in being very heavily tech focused supply chain company that runs an efficient organization.

Moderator:

Vijit Jain:

Akshant Goyal:

Vijit Jain:

Akshant Goyal: Next question is come in from Mr. Vijit Jain from Citigroup. Please go ahead.

Hi Akshant, just a question

on on Gold program. Since you have started charging for the program, do you continue to see sign-ups at a similar kind of pace? And how do you think in general about the pricing plus frequency mix in the sense that, at what kind of band, does it become accretive versus your current contribution margins?

We've been always charging, Vijit. It was never for free. And we'll will keep optimizing the pricing basis the customer behavior, we see. So, the specific answer to your question will be very difficult for us to share. It's also competitively sensitive.

Sure. My second question is on the dine-out business. Now I can see in your other revenues, if I strip out the one-off from, I think, Talabat that there is some improvement Q-o-Q and you did start some initiatives on the dine-out side this quarter. So can you talk a little bit about that and how to think about that in FY24. And I can add a follow-up question on just the services side. Is there any natural fit in some segments in local services? Were you thinking you guys are well suited to add that as an extension?

So, to answer the second question first. At this point, no. We are just focused on restaurants as far as the off-line business is concerned. And on the dining-out side, we continue to make progress both in terms of the number of restaurants we cover and our value proposition both for customers and restaurants. But at this point, it is still very, very small compared to our overall business.

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Vijit Jain:

Akshant Goyal:

Kunal Swarup:

Moderator:

Sachin Salgaonkar:

Akshant Goyal:

Sachin Salgaonkar:

Akshant Goyal:

Sachin Salgaonkar: And we don't expect that to change much even in FY24. It will take perhaps a few more quarters before that business becomes meaningful. And at that point, we'll, of course, share more details about how that business is shaping up.

Got it. And Akshant, one last question. It looks to me at least like some of the ordering frequency has maybe improved a little bit Q-o-Q, your MTUs obviously declined and likely the ordering frequency did not decline. Is that fully attributable to the Gold program, do you think?

Yes, part of it is, in terms of both the MTUs coming down and frequency going up, Gold has definitely impacted both of these things.

And like we've said, part of it has also come from the shutdown of those 225 cities and churn in the bottom percentile of customers.

Next question is from the line of Mr. Sachin Salgaonkar from BofA. Please go ahead.

Congrats with a great set of numbers, fantastic execution. First question, Akshant, just wanted to go to the Page 5 chart. And we look to extrapolate this chart from, let's say, FY23 to FY24, what as per you guys could be the top 3 levers which could lead to further improvement in the margins out here? Could it be some of the areas which we have not yet seen much improvement like a decrease in delivery cost? Or would it be the same stuff like an improvement in, let's say, commissions and so on and so forth?

Hi, Sachin. So yes, we expect improvement to contribution from all of these things as we move from INR 18.5 per order contribution to whatever we get to by the end of next year. We've also mentioned in the letter that delivery cost has not changed much despite a lot of what we have done in the past because of various reasons. But going forward, we do expect that to change. So, we are hoping that reduction in delivery costs will be more than what we've seen in the last year. And likewise, revenue should continue to increase, and we also expect our other variable costs to continue to come down as the efficiency in the business goes up in general and also because of a little bit of operating leverage that we have in some of these things.

Got it. Second question, we did see an impact of Zomato Gold on contribution margin, and you did point out to the fact about the frequency increasing and MIU decreasing. Is a large part of that impact

largely behind? Or could we continue to see that similar kind of an impact going ahead as well?

As the program scales that impact will continue to be there. Now, whether that leads to a decline in MTUs further or not, it's a function of: again, multiple other things, including the number of new users that we add going forward as well as how we are able to increase the frequency of the existing customer base. So we don't expect MTUs to go down further on a net basis, and we're hoping that they will go up from here.

And incrementally, the impact on cost could be a bit more negative before the inflation point reaches and starts improving?

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Akshant Goyal:

Sachin Salgaonkar: Yes, one could say that.

Got it. And maybe a couple of questions on Blinkit. Again, if you look at the chart on Page 7.

One sees a huge improvement coming from decrease in dark store and replenishment expenses.

Al binder, it would be great if you could give a bit more color what happened in this entire INR 48.9/order and how much room is there to further improve this?

Albinder Singh Dhindsa: Hi, Sachin. So, look, Sachin, we are primarily a supply creation business. All of this improvement can be attributed to increasing number of orders on the platform. On the same fixed cost basis, we are just able to do more throughput for every store, and that's what leads to this improvement. So instead of looking at it as a cost reduction, this is just same cost, and we are just able to push through a lot more throughput through these stores. Like we've also mentioned, our stores have an average GOV of about INR 15,000 per square foot for the entire quarter, but we have stores which are already doing INR 30,000 of GOV per square foot. So that shows you kind of the operating leverage even within our existing network that is still there.

And what you're seeing here is basically the journey that we probably did from INR 7,500 to INR 15,000.

Sachin Salgaonkar:

Akshant Goyal:

Moderator:

Swapnil Potdukhe:

Kunal Swarup: Got it. And last question. Of course, last year, Akshant, food inflation was high, perhaps one of the reasons why, let's say, AOV moved up. As we go into this year, should we see that normalizing and hence, perhaps an impact being seen on the business?

So far, we've not seen that much. Inflation has been pretty range bound last few months, but AOV is still strong, and if at all trending upwards. So, at this point, if you look forward next 1 year, we don't expect the AOVs to fall, maybe they'll remain flat.

Next question is from the line of Mr. Gaurav Rateria from Morgan Stanley. Please go ahead.
Mr. Rateria are you on the line? We can circle back to Mr. Rateria later. Our next question is from the line of Mr. Swapnil Potdukhe from JM Financial. Please go ahead.

Good set of numbers, so congratulations on that. So just wanted to start with the first question which I had asked last time also, where are we accounting the Gold revenue that you are getting right now, exactly which line items are we showing that?

Hi, Swapnil. This is Kunal here. We are accounting for this revenue in the food delivery business essentially.

Albinder Singh Dhindsa: Sony, we were experiencing some trouble with our conferencing system. Swapnil, you have to tell us till what point did you hear Kunal's answer, and we'll pick it up from there.

Swapnil Potdukhe: I think you mentioned that it was accounted in the food delivery vertical, but beyond that, I think we lost it.

Kunal Swarup: Yes, that's correct. Essentially, it's been accounted for in the food delivery business.

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Akshant Goyal:

Kunal Swarup:

Swapnil Potdukhe:

Kunal Swarup:

Akshant Goyal:

Swapnil Potdukhe:

Kunal Swarup:

Swapnil Potdukhe: But the revenue is recognized net of the discounts as per accounting standard 115. So eventually, very little of that is left as revenue. Most of it gets knocked down from the cost.

Almost 50% is knocked off due to

discounts.

Right. Right. That's very helpful. The second question is on your employee expenses. Now they seem to have come down sequentially quite a bit, and I assume that is because of ESOP expenses going down. Is that related to some of the senior management moving out in the last quarter? Or like there is some other reason? And is that sustainable?

You're right to the extent that it is on account of reduction in the ESOP charge, but it is not necessarily related to the exits that we saw.

This will go up and down, Swapnil. So, there are various assumptions there when you come to this number from an accounting standpoint. And don't expect this to be linear. And that's why we have, in our letter indicated what we think could be a potential accounting charge on account of ESOPs in FY24.

Right. And with respect to your working capital now, I see that there was a change of INR 140 crores, negative INR 140 crores in this quarter, whereas in the previous quarter, it was a positive impact of INR 114 crores. Now my presumption is that the only Hyperpure business has inventory, right? So why are we seeing such drastic changes on a quarter-on-quarter basis in your working capital?

So, Swapnil, essentially, the increase in working capital that you see in Q4 is related to a reduction in the current liabilities in the business or rather most of it is on account of reduction in current liabilities, and I'll explain why. For example, in the food delivery business, there's a weekly settlement cycle with our restaurants. Now if you look at the last quarter, Q3, that ended on a Saturday, whereas Q4 ended on a Friday. So effectively, in Q3, we carried 1 extra day of payables on our balance sheet as of the end of 31st December, and that reduced in Q4, and that essentially reduced the current liability number. And that caused the increase in working capital largely. So, in our business, therefore, you will see these variations depending on the day of the week on which the quarter ends. And therefore, we put out that note saying that it is a little unpredictable as to how working capital changes going forward.

Right. And just one last question, if I can squeeze in. With respect to store additions, the guidance that we had given last quarter. Now if I were to calculate your numbers on the basis of what is available, I think there has been not much of an addition in this quarter. So given that background, would it be fair to say that your improvement in margins is mainly because of improvement in throughput. But as and when you add those stores that you have guided for, the improvement in Blinkit margins would slow down significantly?

Albinder Singh Dhindsa: No, Swapnil, even through this quarter, we did add stores pretty much at the run rate at which we had guided for the year in terms of the total number of stores that we will add. So that effect

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is already existent in the numbers that we have presented. So, it is unlikely that there is deviation from this trend over the next couple of quarters at least that I see. We did add stores in this quarter as well at the pace that we had guided on.

Swapnil Potdukhe: But the average number seems to be flattish, that's my question.

Albinder Singh Dhindsa: So, there are some stores that we also end up closing occasionally, but we are on track to open the number of stores that we had guided at the beginning of the year.

Swapnil Potdukhe: Got it Albinder, thanks for the opportunity.

Moderator: Next question is from the line of Ms. Sneha Satyamoorthy from Axis Capital. Please go ahead.

Sneha Satyamoorthy: So, in your last letter, you had shared a chart on power customers. Just wanted to get a sense on how does the AOV on orders from these customers compare with those of the remaining MTUs on the platform? That's my first question.

Kuna! Swarup:

Sneha Satyamoorthy:

Kuna! Swarup:

Moderator:

Aditya Suresh: We don't share that data, Sneha. But ju

st to give you some broad color, they tend to be slightly higher as compared to the other customers.

Okay. Sure. And my second one is that could you also give some additional context around some of the recent key EV partnership announcements that have been made. What do they entail? And what's the likely impact on driver payouts or delivery cost over the next few years as we scale the number of EV-based deliveries.

That entire ecosystem is very early, Sneha. What we are trying to do is essentially further the adoption of EVs by helping some of these third-party EV providers connect with our riders and offer a solution to our riders that works for them from an economic standpoint.

At this point, we are not looking at this as a way of reducing our delivery cost, but it is more from a perspective of actually impacting the carbon footprint that we have. Eventually, when the adoption reaches high levels, and the ecosystem matures from an EV infrastructure standpoint, we may see some improvement in costs. But at this point, we don't see any of that fructifying.

Next question is from the line of Mr. Aditya Suresh from Macquarie. Please go ahead.

I just had one topic to ask. So, your restaurant take rates have clearly improved fairly nicely over the past couple of years and is up about 200 basis points. We're now close to about 18%, right? So, few subtopics within this. So, if you look at the number of restaurants, who are there as partners on your platform. That's been steady over the past several quarters. I guess it's an element of the better paying restaurants on your platform. Do you see scope for further gains here as that mix improves, Akshant?

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Akshant Goyal:

Aditya Suresh:

Akshant Goyal:

Aditya Suresh:

Akshant Goyal:

Aditya Suresh: Broadly, with our take rates, the mission is to be competitive, and we are lower than what the competition is charging. So, as we continue to add more value to restaurant businesses, we expect some improvement in commission revenue going forward.

And then I guess in terms of the industry structure, just a bit more short term. We've seen kind of headlines about, say, someone like Coke take a stake in Thrive, etc. I fully appreciate there are significant scale differences. But at the margin, are you seeing any increase in competitive pressures at all? Or do you still see this as a duopoly?

It's a fairly competitive market, and there's a lot of innovation happening around us across the board. We continue to watch it and learn from it and see how we can run our business better to make sure that we continue to grow.

And I guess related to that was, again, just a similar question, which I was, like platforms like Waayu and ONDC etc., now. The headline view which they take is to try to bring restaurant take rates meaningfully lower, I guess, there's a trade-off here between delivery costs versus take rates. But how do you think about this impacting your own ability to charge 18%, not for this quarter, but if you take a medium-term view, how do you see this as a kind of risk?

You see, direct ordering anyways exists and we do believe a lot of our restaurant partners get a large number of orders directly placed with them either through phone or to their own website or apps. And take rate on those orders is technically zero. As I said, we welcome any change or any innovation that helps the restaurants industry grow and there are a lot of innovations happening out there. And we'll continue watching it and learning from it. At this point, we don't feel anything is going to come at the cost of our growth as the overall penetration is low. And therefore, there is room for everyone to grow in this market right now.

If I can, I have a question for Albi. So Albi, in your recent kind of one of the LinkedIn post, you spoke about ChatGPT and how you're seeing kind of positive use cases being built for Blinkit. Can you just elaborate on that a little bit?

t?

Albinder Singh Dhindsa: Aditya, so we primarily used the generative AI, both from ChatGPT and from Midjourney and Stable Diffusion to create a recipe discovery platform on Blinkit. That is an additional use case that we think customers really think is adjacent for them. And using AI, we've been able to build that. We already use a significant amount of AI within both our supply chain systems as well as

within our customers' personalization and recommendation systems. We're fairly excited about what generative AI is doing. Right now, our best bet was actually launching it for recipe generation. We are also looking at other parts of the business where some of this might be useful. As of now, we really want to focus on one thing and get it right first before we start scaling it to other parts of the supply chain or the customer service ecosystems.

Moderator: Next question is from the line of Mr. Chirag Shah from CLSA. Please go ahead. Mr. Chirag are you on the line?

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Chirag Shah:

Moderator:

Chirag Shah:

Akshant Goyal:

Chirag Shah:

Akshant Goyal:

Chirag Shah:

Akshant Goyal:

Chirag Shah:

Kuna! Swarup:

Chirag Shah:

Kuna! Swarup: Hello, can you hear me?

Yes, please go ahead.

Congrats to the team on generating first quarter of cash surplus. Bulk of my questions have been answered. But just on Hyperpure, Akshant, this business has now achieved reasonable scale. So, what are the growth and profitability plans for this business going forward?

We expect the growth momentum to continue in this business. It's still reasonably small in size compared to the opportunity here. And as we continue to scale, given that it is fairly high operating leverage business, we also expect the losses to continue coming down. So yes, both from a top-line and bottom-line perspective, we are excited about this business.

In terms of just this number of cities presence, how do we expand this to the number of cities that we are present right now?

At this point, we're not necessarily thinking of expanding into more cities. Within the 9-10 cities that we are present in, the focus is just going to continue to grow in those cities and get to profitability first before we think of expanding outside these 10 odd cities. The business model may need to be a bit different in the smaller cities for this to work. While we might experiment in 1 or 2 small cities, in the next few months, but largely, the focus is on the top 10 cities right now.

Got it. And when I look at the deliver1y partners number, there's a good 7% reduction that we have seen since Q2. Is there much to read into this? Or AI binder did make a statement that there is some seasonality also involved in this in terms of riders being on the platform.

Look, eventually, the number of deliver1y partners is not the only metric which one should look at as these deliver1y partners are gig workers in nature and different partners spend a different amount of time on the platform. So, the number of active partners may go up or down depending on how many hours they're spending with us. The nature of fleet might change from quarter-to-quarter depending on seasonality and various other factors, and in some quarters, you might have a much larger part time fleet as compared to others, and therefore, the number might go up. But if you were to look at the number of log-in hours, and we don't disclose that data, but that trend is sort of linear and we are seeing the number of log-in hours grow every quarter.

Got it. Last question Akshant, and just a bookkeeping one. The treasury income for this quarter has been quite high. So, what's leading to that?

Sony, you're talking about the cash received in terms of the cash flow?

That's right. That's right. So, I'm looking at Page 11, the change in cash number.

Like we explained, there are differences in this number because the nature of investments impacts the cash flows that we get on a quarterly basis. To take the

example of G-Secs, you have

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Moderator:

Garima Mishra:

Kuna! Swarup:

Garima Mishra:

Akshant Goyal:

Garima Mishra:

Akshant Goyal:

Garima Mishra:

Akshant Goyal:

Garima Mishra:

Akshant Goyal:

Garima Mishra: six-month coupons. You may have a quarter where you receive more cash on account of the coupon for that G-Sec, but the next quarter, you may not have that coupon payment and then the quarter thereafter, you may have it. So, it's things like these that impact cash flows. We may also premature some of our fixed deposits. So that may also cause these fluctuations in the cash amount. But the accrued income that we book in the P&L will be stable.

Next question is from the line of Garima Mishra from Kotak.

Now if I see your 4Q FY22 results release, you very clearly told us that 60% of your GOV for that quarter for the food delivery business was contributed by top 8 cities. So, could you give us an update of how much is that contribution? I mean, now or for 4Q FY23?

That number hasn't changed too much, Garima. We don't report it, but it's not changed much. Essentially, the growth has been pretty secular across our top 8 cities and the cities beyond them as well. So, it's no meaningful change there.

Okay. And with the advent of Gold, this proportion has not changed at all, Kuna!. I mean I would have expected that the uptake of Gold, and you also selectively give out these invites, I would have thought that the sort of run rate of orders from the top 8 cities just increases a little bit higher. So, is there any impact on that at all visible in the, let's say, first quarter?

Garima, Gold is already live in almost 50 cities now. So that contributes to almost around 75%-80% of our business. So that alone will not be a factor in the bigger cities gaining share in our overall business.

Okay. But the bigger cities have not gained share? I mean that's what you are trying to say on an overall basis?

They are not very meaningful.

Okay. The second question is on AOV. And of course, we've seen that increase pretty decently through FY23. So safe to assume that your 4Q AOV was decently ahead of what you had in the first quarter, that there was an increase through the year?

Yes, that's right.

Okay. Understood. And that trend, again, has not changed for you meaningfully in the first quarter.

Right.

Okay. Understood. Those were my questions. The last part is really for Albinder. Do you see AOVs of the Blinkit business go up and down a little bit. And anecdotally, at least, I can tell you that the more the user uses the platform, the lower the AOV actually goes. How do you really solve this problem in the medium term when most of your stores actually start maturing?

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Albinder Singh Dhindsa: Garima. So actually, when we look at our data the conjecture that you made that as users use the platform more, their AOV goes down is not entirely true. In fact, our new user AOV is low, and that is what contributes to a lower AOV for the platform. And as our users mature, their AOV and the number of categories that they buy from us, it keeps increasing, contributing to the increasing AOV of the platform. It's actually an inverted curve that a new user will have a much lower AOV and as they become used to the platform, their purchases on the platform also keep going up. The AOV fluctuations that we have seen over the last couple of quarters on the platform, a lot of these are seasonal factors.

Moderator:

Ashwin Mehta: And even towards the end of the fourth quarter, we started seeing the AOVs improve because of the seasonality factors, especially in fruits and vegetables, were going away. And then you will see some seasonal factors as we are also a fairly large platform for festivities. So, all at-home festivals that people celebrate with their families, that's something that Blinkit is a part of now. And those also add a lot of meaningful variance in our quarterly AOVs. For

Valentine's Day

might only have a college kid ordering a couple of chocolates. But something like a Mother's Day or Rakhi or bigger festivals, you might see a lot of gifting and more higher AOVs ending in the kitty. Right now, the business is still fairly early, I would say, where we can confidently point out how each of these factors is going to play in to our AOV. But over the next couple of years, as the business gets larger and we have a lot more data, we'll be able to predict it better.

Ladies and gentlemen, in the interest of time, we will now be taking the last question. The last question is from the line of Mr. Ashwin Mehta from Ambit. Please go ahead.

So, one question for Albinder. If I look at your cost of dark store and replenishment, that over the last 3, 4 quarters has been stable on a per dark store basis at somewhere closer to INR 50 lakhs. So is it more like a fixed expense. How do we kind of get that down?

Albinder Singh Dhindsa: Sure, the overall dollar number for that is primarily because we will build capacity to a certain level for the dark store and replenishment network, and there is a base level of cost that you run for it. We are still at the stage where we have not reached a meaningful enough utilization of some of these assets where we will start seeing this number go down as a percentage of the throughput that we put through, but this is sort of the base network that we need to build in order to be able to service 400 stores and to be able to serve 4 million customers, so far. And I think we still haven't meaningfully hit it. So, this number overall will not change significantly, but our

throughput will increase. So, on a per order basis, this number will keep going down.

Ashwin Mehta: Okay. Fair enough. My second question was in terms of Hyperpure integration with Blinkit and possibly Hyperpure supplying you fresh. So, on that, where are we?

Albinder Singh Dhindsa: See primarily, what we are developing with Hyperpure is a farm to table supply chain for fruits and vegetables. Because Hyperpure is a pretty significant business when it comes to restaurant supplies and supplying fresh fruits and vegetables there. And obviously, Blinkit also has some of that business. So, a lot of our integration is primarily on the capabilities. So if we are putting in joint infrastructure at the farm gate, that is something that we're investing in with Hyperpure.

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Ashwin Mehta: And that is something that is still ongoing, and these are long-term projects because we have to do the hard work of actually reaching out to rural areas, setting up collection centers, connecting forward linkages. And that is our shared load that both teams differently do depending on where we have strengths and where Hyperpure needs, and where Hyperpure has a strength.

Okay. Okay. And the last one was in terms of did I get that correct? We talked about a 30% to 40% increase in dark store count in the next fiscal. Do we still stand by that?

Albinder Singh Dhindsa: So, the earlier question was also about the net store additions. We added maybe about 15 stores in the in the fourth quarter. And we are still trending on the similar numbers that we will keep doing store additions. So, we're not really providing a different guidance for that. The number might go up or down based on whether we find the right places and whether locations and a lot of these factors, but that is what the team is still aiming for.

Ashwin Mehta:

Akshant Goyal:

Ashwin Mehta:

Akshant Goyal:

Moderator: Okay. And if I can please just squeeze one for Akshant. Akshant, you were talking about reworking our advertising business. So where are we in terms of that?

Ashwin, are you referring to the dining out business?

Yes, the dining out business, yes.

I had mentioned that in response to a previous question, Ashwin. So that business is shaping up nicely, but it is still very small from an overall size and impact on the

P&L perspective. While

we are very excited about how that business is turning out to be and how it can grow, but at this point, it's still very small.

Ladies and gentlemen, we will now conclude this conference call. Thank you for joining us, and you may now disconnect your lines.

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Call: Aug 2023

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Mumbai – 400 001 To
Listing Department,
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Sub: Transcript of the earnings conference call conducted on August 3 , 2023

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed transcript of the earnings conference call conducted on August 3, 2023.

The same is also host ed on the website of the Company at [https://www.zomato.com/investor - relations/financials](https://www.zomato.com/investor-relations/financials) .

For Zomato Limited

Sandhya Sethia
(Company Secretary & Compliance Officer)

Date: August 10, 2023
Place: Gurugram

Page 1 of 15

Zomato Limited Q1FY24 Earnings Conference Call
Transcript

August 3 , 2023

Management Representatives :

1. Deepinder Goyal – Founder & Chief Executive Officer, Zomato Limited
2. Akshant Goyal – Chief Financial Officer, Zomato Limited
3. Albinder Singh Dhindsa – Founder & Chief Executive Officer, Blinkit
4. Kunal Swarup – Head , Corporate Development, Zomato Limited

Page 2 of 15 Moderator: Ladies and gentlemen, a very good evening and welcome to Zomato Limited's Q1FY 24 earnings conference call. From Zomato's management team, we have with us today Mr. Deepinder Goyal, Founder and Chief Executive Officer; Mr. Akshant Goyal, Chief Financial Officer; Albinder Dhindsa, Founder and CEO of Blinkit; and Mr. Kunal Swarup, Head of Corporate Development .

Before we begin, a few quick announcements for the attendees. Anything said on this call, which reflects outlook for the future, or which could be construed as a forward -looking statement may involve risks and uncertainties. Such statements or comments are not guarantees of future performance, and actual results may differ from those statements. Additionally, please note that this earnings call is scheduled for a duration of 45 minutes, and we will be starting directly with the Q&A section of the call. If you wish to ask a question, please use the raise hand feature available on your Zoom dashboard. We will announce your name on the call and unmute your line post which you can proceed with your question. We will wait for a minute while the question queue assembles.

The first question is from the line of Mr. Sachin Salgaonkar from Bank of America. Please go ahead.

Sachin Salgaonkar : Hi, thank you for the opportunity. Congratulations for a great set of numbers. I have 3 questions. First question is regarding the 11% Q oQ GOV growth. Clearly, the 4 reasons that you guys have given are clear, but I just wanted to check how much was the IPL impact , and any way you guys could quantify that?

Akshant Goyal: Hi Sachin, thank you for your question. Akshant this side. Over the years, we've seen that IPL doesn't have too much of an impact on our business, except for a few matches towards the fag end. I think seasonality has more to do with the weather, school holidays and stuff like that. And this was pretty clear to us in the year before last, when the IPL actually got shifted to October quarter , and it was during that year that we saw that our bus iness in the summer was still higher despite there being no IPL. So, I think it's fairly clear to us now that IPL has a very limited impact on our business.

Sachin Salgaonkar : And just an extension of this question. Is the answer similar to the World Cup, which comes once every 4 years .

Akshant Goyal: So, 4 years ago, we don't know as our business was very different. We don't have enough data points to respond to that. But in general, any cricket match where the viewership is very high, is where we see some impact on upside. We are hoping that World Cup will be different, given it happens once in 4 years, and it's happening in India this time so we are expecting some upside, but we'll have to see how it plays out.

Sachin Salgaonkar : Okay. Great. My second q uestion is regard ing AOV of Blinkit. Now clearly, your AOV is much higher than most of your competitors. And for last few quarters, we had seen a sort of

Page 3 of 15 declining trend. But this quarter, it did improve. So just wanted to understand your thoughts per se, how sustainabl e should we look at it going ahead?

Albinder Singh Dhindsa : Hi Sachin, this is Albinder. Like we have mentioned a couple of times before also, our business , because it deals with such a wide variety of products , the AOV movement does tend to move with seasons as well. This quarter's AOV movement that you're seeing , part of it was also a result of the fact that we were a little bit supply constrained, but that drove about 25% of the overall AOV improvement. The rest of it is mostly seasonal changes, consumption patterns, especially in the core FMCG and grocery space. And that's what usually drives up the AOV during some parts of the month. So, you will see more variability in AOV, not consistently going up or down, but we take that into our b usiness projections and how we think about the busine

ss.

Sachin Salgaonkar: Got it, thank you, and last question, just wanted to understand medium -term sustainable margins in food, which is Adjusted EBITDA as a percentage of GOV . So, you guys said 4% to 5% is what you guys are looking at in the next few quarters. I just wanted to understand from a medium -term perspective where it could settle a t?

Akshant Goyal : Next few quarters are medium term only no , Sachin.

Sachin Salgaonkar : Okay, so let me turn it from a long-term perspective, where do you guys want to see that certainly.

Akshant Goyal: Hard to say, I think, first, we want to get to this kind of a margin profile and then we'll see how the business evolves after that.

Sachin Salgaonkar : Got it. Okay. All the best for your future.

Moderator : Thank you. Next question is from the line of Mr. Vijit Jain from Citigroup. Please go ahead.

Vijit Jain : Hi, thank you, congratulations for a great set of numbers. My question is, just a Q-o-Q drop in employee expenses. Just wondering if there's anything to that. I'm talking about expenses, excluding the ESOP charges. That's question one.

Akshant Goyal: Hi Vijit. So yes, I think our employee expenses have come down in the last 2 quarters. And I think this is largely a function of the rightsizing that we did in the December quarter. I think all of that is fully flowing into our P&L now, given that there were some severance payouts in the previous quarter. So, I think that's why you see that decline.

Vijit Jain : Got it. Akshant, fair to say this would include any annual pay hike or is that in a different cycle for you guys?

Akshant Goyal : Our cycle is actually July to July. So, you will see that impact in the next quarter.

Page 4 of 15 Vijit Jain : Okay. Got it. My next question is on just a couple of things on the delivery rider fees in general. So, there was this news recently of Rajasthan government exploring some kind of a rule on compensation to gig-economy workers. So just wondering if there's any clarity on how that impacts your business? And related to that, is there any adjustment to how you compensate delivery riders post the events such as Blinkit disruption in Gurgaon. So just a broad question on delivery rider side there.

Akshant Goyal: Yes, Vijit. I think on that one, we don't have full clarity yet. I think we're still waiting more clarity there. And I think basis that we'll be able to ascertain the steps that we need to take to manage that. But at this point, I think it's a very broad-based bill, and there are no specific details. So, we're just waiting and watching right now.

Vijit Jain : Got it. And how about any changes that you have implemented on the Blinkit side? I'm just wondering on the Blinkit side, has your delivery cost per order changed this quarter or most of the improvement is just led by the higher AOV in terms of contribution margins?

Albinder Singh Dhindsa : Hi Vijit, this is Albinder. The changes that we made in April was to bring all our delivery partners onto the same kind of payout structure so that it was more even across the board, and we have not made any changes beyond that. The overall cost of delivery for us did not decrease significantly during the quarter. And because that was not the intent of the changes that we were making as well. So, the delivery payouts per order to our delivery partners have remained broadly the same. Most of the improvement that you're seeing on the contribution side is coming more from operating leverage of our fixed assets as well as improving margin profile and improving average ticket size.

Vijit Jain : Got it. Yes, those were my questions. I'll just jump back into the queue.

Moderator : Thank you. Next question is from the line of Mr. Swapnil Potdukhe from JM Financial. Please go ahead.

Swapnil Potdukhe : Hi everyone, thanks for the opportunity, great set of numbers. I have a couple of questions on the delivery

side and a couple of them on the quick commerce side. First, there has been a mention of some risky bets that seem to have paid off for you. Would you be able to call them out? And in the same breath, can you also mention any more initiatives that you are working on, that can be termed risky?

Akshant Goyal: No, I think the reference there was largely to the changes that we did on the people side and some calls we took on driving growth like on Zomato Gold, where at that time, we felt that there was a perception that, it will impact the business in a negative way. So I think largely, that was what we meant with this. We're not talking about any business calls here, which investors are not aware of.

Page 5 of 15 Swapnil Potdukhe : Got it. And secondly, there has been a 100-basis point Q-o-Q improvement in the take rates. Now would you be able to call out how much of that is because of ad income, pure-play restaurant commissions and maybe Gold separately?

Akshant Goyal : No Swapnil, I'm sorry, we will not be able to share those details.

Swapnil Potdukhe : Okay. And on the Blinkit side, would it be possible to share the GMV mix over there. Now what I understand, your non-grocery mix appears to be improving and it would be great if you guys can call that out in some form or the other.

Albinder Singh Dhindsa: Swapnil, we don't give out the breakout for individual product categories that we sell. The mindset with which we operate is that we are always looking to bring more convenience with more product categories for our customers. So, we've been increasing the size of portfolio available in 10 minutes to our customers consistently over the last one year, and that is what is

leading to improvement in the overall both the ticket size as well as the margins for us. And I think we'll continue to do that into the future as well.

Swapnil Potdukhe : And because of the disruption we saw in 1Q in Delhi NCR, did Blinkit delivery costs jump up in this particular quarter. And I presume, that would be a one-off, but was that the case? And would that help you improve your contribution margins going ahead?

Albinder Singh Dhindsa : So, I think the delivery cost changes, like we mentioned, were not significant in this quarter. And we don't expect that number to change dramatically going forward as well. The intent of the changes for us was to make sure that our entire delivery fleet was on a more fair and equitable payout structure. So I don't think, that is something that we are targeting. The disruptions where they affected us was because there was more misunderstanding on the ground, some of our stores were shut for a few days. And even after they recovered, the number of partners coming back and working, took some time to recover, and that's why we had a weaker April and May, and we only started recovering towards the end of May and early June, but post that, we've recovered.

Swapnil Potdukhe : Got it. And just a last question if I can squeeze in. How much of that \$ 320 million that you were expecting to burn in Blinkit has already been factored in? And how much is the balance? I know that you won't be spending the entire amount, you mentioned that, but just to get a sense of that?

Akshant Goyal : Swapnil, we will share that number once we get to breakeven profitability, I think so far, we're still sort of trying to calibrate on how much we spend incrementally from here on to get to breakeven.

Swapnil Potdukhe : Okay. No worries. So, thanks a lot guys for this opportunity and great set of numbers again, all the best.

Moderator : Thank you. Next question is from the line of Mr. Manish Adukia from Goldman Sachs. Please go ahead.

Page 6 of 15 Manish Adukia : Hi, good evening, thank you so much for taking my questions and thank you for all the disclosure around numbers and guidance as you think about the business for the next few years. Ju

st a few clarifications on some of the numbers you've given in the shareholder s' letter.

So, you've called out a growth rate in Blinkit of 60% plus on GOV for the foreseeable future and overall Adjusted Revenue growth of 40% plus. So back of the envelope calculation, would suggest maybe 25% plus or 30% thereabout kind of food delivery growth in the next few years. Firstly, do you agree with that number? Food delivery growth of 25% to 30% for the next couple of years is what you're targeting?

Akshant Goyal: We haven't stated any growth targets or guidance for food delivery, Manish. So, I can't comment on this.

Manish Adukia : Right, and does that comment from your previous quarters where incrementally, most of the growth in food delivery will come from user growth, that comment would still stand, right? So, if, let's say, 25%, 30% you were to grow, and that large part should come from user growth? Would that be a fair assumption?

Akshant Goyal : Yes Manish, and even in this quarter, you have seen the MTU grow. So, we expect that to continue.

Manish Adukia : Understood. My second question, maybe to Albinder. So Albinder, in the question, in the shareholder s' letter, you've said that you're determined to deliver on growth and profitability over the next few months. So again, I mean, are we to read that you're guiding for Adjusted EBITDA breakeven over the next few months? Or did you mean something else?

Albinder Singh Dhindsa : I think we meant what we wrote. We've mentioned 4 quarters anyways, so that's 12 months. So, I don't know. I'm not sure if we got your question, Manish.

Manish Adukia : Sure. Okay. Fair enough, thank you for clarifying. And third, again, in the shareholder s' letter, you've talked about uses of capital or capital allocation. Thank you for the color there. But since you started generating cash now and obviously, you have a large balance sheet as well. So, from a capital allocation standpoint, if you are, let's say, not focusing on any near-term M&A or acquisition, would you be considering any form of shareholder return or that is not in the foreseeable future?

Akshant Goyal : So not at this point, Manish, we have thought about that. But at this point, we want to maintain the cash that we have. But down the line, we continue to reconsider that position as our business scales and as competitive dynamics change around us.

Manish Adukia : Got it, thank you so much for taking the question.

Akshant Goyal : Thank you Manish.

Moderator : Thank you. Next question is from the line of Mr. Gaurav Rateria from Morgan Stanley, please go ahead.

Page 7 of 15 Gaurav Rateria : Hi, congratulations on a great set of numbers. A few questions. The first is on contribution

margins in food business, which is now at 6.4%, for you to hit your target of 4% to 5% Adjusted EBITDA margins, where should this number settle down? And what will be the key drivers for that?

Akshant Goyal: Gaurav, largely, I think there is some bit of operating leverage which will continue as we scale in this business. So, if the EBITDA margin goes up by 2 percentage points, we can get there even with a slightly lower contribution margin growth, right? So ballpark, even in the past, we have spoken about 8% contribution to GOV this business. I think that is what we are aiming for, and we believe that should get us to the 4% to 5% EBITDA margin in this business.

Gaurav Rateria: Got it. Second question is how much of Hyperpure growth came from your synergies between Hyperpure and Blinkit? And is there a case to believe that quick commerce can leverage the food delivery footprint and get some synergies there as well?

Akshant Goyal: Sorry, can you elaborate on the second part of the question?

Gaurav Rateria: How much of Hyperpure growth really came because of the synergies between the Blinkit and Hyperpure business, which you mentioned in your shareholder

email letter? And is there a case to believe that quick commerce can also get some synergies from leveraging the delivery footprint of the food delivery business?

Akshant Goyal: Yes. I think as far as your first part of the question is concerned, Hyperpure business is growing on both sides now. I think the core restaurant supplies business is growing really well at more than 100% year-on-year. And equally, as we mentioned in the last couple of shareholders' letters, we're also now supplying to sellers on Blinkit, that business is scaling as well. So, I think both the segments are growing well. And to your second question, like synergies between quick commerce and food delivery. I just want to confirm Gaurav, if the question was on quick commerce and food delivery synergies or was it something else?

Gaurav Rateria: Yes, synergies between the 2 business, especially with respect to delivery cost?

Albinder Singh Dhindsa: Yes. I'll take that, Gaurav. I think we've explored this quite a bit. And so far, we are taking it slowly to make sure that both the businesses, especially in the overlapping cities, they are fairly sizable. So, we have taken some initiatives, mostly on the technology and the platform side to be able to get better synergies out of both of them. And over time, I think we will continue to make processes and our way of operating better to be able to get more synergies out of the fairly large footprint of riders that we have across both the platforms. But as of now, that is not something which is in an active focus area, as both the platforms are growing fairly quickly, and we need to make sure that we have rider supply for both of them across the board.

Gaurav Rateria: Got it. Last question from me. Any data point on the new customer addition during the quarter on a gross basis? Thank you.

Page 8 of 15 Akshant Goyal: Gaurav, I think it remains healthy. It's in line with the numbers we have shared in the past. So, I think that as far as new user addition is concerned, it continues to remain robust.

Moderator: Thank you. Next question is from the line of Mr. Sudheer Guntupalli. Please go ahead.

Sudheer Guntupalli: Hello, thanks for taking my question and congratulations on great set of numbers. So just on your guidance of 40% plus year-on-year Adjusted Revenue growth for at least the next couple of years. So Akshant, what is giving you that confidence, especially in an economy where the nominal GDP growth is averaging just around 10%, you're talking about 4x GDP growth multiplier. That is number one. And number two, until last quarter, we are talking about consumption slowdown, discretionary slowdown, so on and so forth. And now we are talking about confidence of 40% plus year-on-year growth at least for the next couple of years. This looks like almost a 180-degree turn in terms of our guidance aspiration. What has driven that change? Is it entirely led by the strong performance that we had seen in this quarter?

Akshant Goyal: Sudheer, Hi, Akshant this side. I'm wondering if your understanding of this 40% is only for food delivery because this is a guidance at the overall revenue level, which even in the last 4, 5 quarters, has been north of 50% year-on-year, right? I think given we have a portfolio of businesses and while food delivery growth has been relatively muted last few quarters, which is what you're also saying, but at the same time, Hyperpure, Dining Out and Blinkit have grown really well. And I think the message here that we want to give is that as a portfolio we will continue to grow at that pace while some business may grow faster than others.

Sudheer Guntupalli: Yes. Sure Akshant. I get your point. And to one of the previous questions, you have sort of not called out the growth. But 40% overall portfolio level growth does imply, let's say, food delivery growth of at least a 25% to 30% CAGR over the next couple of

years, which seems to

be a very, very big ask. I'm essentially asking what is driving that confidence, both in the food delivery business compared to where we were 3-4 months back.

Akshant Goyal: If you look at this last one quarter, we've grown 11% on GOV terms sequentially and around 15% on a revenue basis for the food delivery business, right? So, if we are doing that in 1 quarter, I think we can easily aim for a 25%, 30% growth on revenue on food, this year and the

next. I think the assumption here is that the worst is behind us in terms of the demand slowdown that we saw. And from here on, incrementally, we should see that recover. And hence, we feel confident about being able to deliver this topline growth.

Sudheer Guntupalli : Sure, thanks for that color, and just one clarification. So, this does not, in any way, include any of the future acquisitions that you may have in mind or anything of that sort, right? This is the pure organic number that we are talking about?

Akshant Goyal: Just like -to-like.

Sudheer Guntupalli : Okay Akshant, thank you so much and congratulations once again for brilliant set of numbers.

Akshant Goyal: Thank you Sudheer.

Page 9 of 15 Moderator : Thank you, next question is from the line of Mr. Mukul Garg from Motilal Oswal Financial Services. Please go ahead.

Mukul Garg : Hello.

Akshant Goyal: Hi Mukul.

Mukul Garg: Hey, great quarter, guys, congratulations. Just a couple of questions. First, on the take rate during this quarter, I know this came up earlier also, but can you just help understand what steps were really undertaken this quarter as you have in the past mentioned that incrementally taking up that take rate would be a lot more gradual. But (inaudible).

Moderator : Hi Mukul are you on the line? It seems like we have some sort of a technical glitch, we can circle back to Mr. Garg later. In the interim, next question is from the line of Mr. Vivek Maheshwari from Jefferies. Please go ahead.

Vivek Maheshwari : Hi, am I audible?

Moderator : Yes, please go ahead .

Vivek Maheshwari : A couple of things. First, on the food delivery, Akshant, that's what the previous participant asked. When we talk to QSR companies on the delivery side, their outlook is not as buoyant as or positive as, you are. Is there a difference between, let's say, independents versus, let's say, chain restaurant? Is there any such trend which is under way, which is why, let's say, your outlook is far positive as compared to the QSR folks?

Akshant Goyal: Yes, so I think as we mentioned in the past, QSR contributes single -digit percentage point of our business overall. So, most of our business on our platform happens through smaller restaurants and a few outlet chains. So yes, at least as far as our business is concerned and the data that we are seeing, we feel there's no reason to believe that we should not be able to grow well from here on, right, at least on a year -on-year basis.

Vivek Maheshwari : Okay and given the presence you have , I'm sure you would be interacting with those restaurants given where the food inflation is, honestly, I don't know beyond QSR as much. But shouldn't there be a bit of a stress that restaurant should be facing right now given the input prices have actually hardened quite a bit .

Akshant Goyal: This is actually quite contrary to that. A lot of small restaurants, given the lack of growth in their business in the last six to nine months, we are seeing are spending aggressively on ad sales on our platform to grow right now. And that trend is what has also led to a part of the take rate increase that a couple of you have asked us on this call in the past. So yes, I think the prices are going up, there's inflation, but we've seen the small restaurants take up menu prices and along with that spend on ads to get growth, and it seems like it's working for them.

Page 10 of 15 Vivek Maheshwari : Okay.

Got it. The second point on food delivery margins again , Akshant, are at 2.5%, and there has been obviously a dramatic improvement. I don't think most were believing when you first highlighted those things. But from here to, let's say, a journey to 5%, should that be more moderate? And through the course of the year, will we see more moderate gains as we go forward?

Akshant Goyal: So hard to predict the exact path, Vivek. I think we'll play it by the year. It's a highly competitive market. There are multiple variables at play here, including the demand seasonality and competition. So, I think we feel confident of getting there in a few quarters, but exactly from here on, whether it's going to be linear or not, it's hard to say right now.

Vivek Maheshwari : Okay. Got it. And on the quick commerce , Blinkit side, you have mentioned about 100 net store additions this year. What does that signal, are these 100 stores essentially - you going into newer towns and cities ? Is that what it is? Or this will be primarily in the existing locations ? And the fact that you have been pruning down the stores and now for FY24, you're guiding for 100 stores. So, what has driven this change, I was expecting at some point, but FY24, 100 additions seems that you are far more confident over here .

Albinder Singh Dhindsa : Hi Vivek, Albinder here, so most of the new store additions which we are guiding for are going to be in our existing geographies. A lot of this is being driven by the fact that we have polygons, which we are serving with existing stores that are reaching fairly high order numbers and reaching maturity, and we still see a lot of headroom for growth in those localities. So, a

lot of this growth is going to come from store expansion of our network within our existing geographies itself. We are obviously cautiously expanding into new geographies as well, adding some more flavor and variety into the kind of neighborhoods that we serve in the cities that we serve, including some Tier 2 cities. But majority of the 100-store expansion that you'll see will come from high confidence polygons where we already have significant volumes.

Vivek Maheshwari : Interesting. And last question, more philosophically , your letter talks about dining out or going out as a separate app and you have again mentioned about the brand. But in this quarter also, 7% of GOV, let's say, comes from dining out, do you really need a separate app? And is it worth it given that you already have a brilliant franchise with Zomato app, why put it separately? Have you done any study on this, which says that it would be better if you put it in a different app? I can understand Blinkit because the traffic was always there in Grofers and that's why you probably wanted it to continue. But putting it separately, does that really help?

Akshant Goyal : So, Vivek, right now, just to clarify, by the way, we are not saying that this business will not be on the Zomato app even if we have a separate app, right? I think it's an idea we are experimenting with right now. And even if we do that, dining out will continue to remain on Zomato app, right? And we'll then see what we learn from that and whether the separate new app says or not. So, I think that's all up for experimentation at this point. We don't have a very firm point of view on that.

Vivek Maheshwari : Okay interesting , thank you and wishing all the best.

Page 11 of 15 Moderator : Thank you, next question is from the line of Mr. Ashwin Mehta from Ambit , please go ahead.

Ashwin Mehta : Hi, can you hear me?

Akshant Goyal: Hi Ashwin.

Ashwin Mehta : Hi, Akshant, thanks for the question, congrats on a good set of numbers. The first question is in terms of take rates. We've seen almost a 200-bps increase over the last year. How much more scope do you see in terms of increases there? And then the second one is in terms of Blinkit wherein

if you can give some color in terms of advertising pickup in Blinkit and how should that affect the take rates in Blinkit?

Akshant Goyal: Yes. So large part of the take rate increase on the food side that you're talking about Ashwin is because of the growth in ad sales that we have seen. And as I mentioned in response to the previous question, we are seeing more and more restaurants wanting to spend on our platform to market their business and grow and that trend seems to sustain and continue for now. So, we don't know till what level can this ad sales revenue grow for us.

And likewise, on the Blinkit business, we've seen ads as a decent driver of or a meaningful driver of revenue expansion, top line expansion for Blinkit. And the journey there is much less mature than it is on food, and we believe that there are meaningful gains to be made on ad sales in the Blinkit business, which would drive a large part of our progress to profitability from here on.

Ashwin Mehta : Okay. And just one more. Have you seen any impacts until now of the floods and some of the disruptions that have happened, especially in North India, Haryana, for that matter? Any impacts that you see as you get into the next quarter?

Akshant Goyal: Yes Ashwin, so I think all these events do have a hyper local impact on our business. Even , for example, in Gurgaon, we've had some local issues last few days, and that has impacted our ability to service some of our customers in a few neighborhoods. So, I think that impact, as you all mentioned also, was there in the last couple of months because of untimely heavy rains. So, we've sort of navigated all of that and that did have an impact on the growth of the business over the last couple of months.

Ashwin Mehta : Okay. Thank you and all the best.

Moderator: Thank you, next question is from the line of Mr. Nikhil Choudhary from Nuvama Equities. Please go ahead.

Nikhil Choudhary : Hi, thanks for the opportunity and congrats on such a good set of numbers. First is on the 100-store increase for Blinkit and what Albinder clarified that it's primarily in the existing geography. Is it safe to assume the GOV, which is about 620,000, 625,000 per store, that would be a steady-state number given you are increasing the store count in existing

Page 12 of 15 geography? And why I'm asking this , as one of your large competitor mentioned that GOV for them is still higher. So, any clarity there?

Albinder Singh Dhinda : Hi Nikhil, I think the GOV per store that we display , I think it depends more on whether we open a lot of new locations and where we are opening those new locations, and the kind of geography in the high order density locations where we expect the demand to increase a lot faster. It's hard to put a track on whether it will go up, go down a little bit and then come back up. I think that depends a lot on a number of factors, which includes pace of store opening and also the quality of the polygons in which we are opening those stores.

Nikhil Choudhary : Sure, second question is regarding the employee cost as a percentage of revenue. We have seen it decline by more than 1,000 basis points in the last one year. And obviously, some of it is because of the synergy between the two platform s, Blinkit and Zomato, which you mentioned and also due to overall decline in supply side challenges. What would be the steady state as a percentage of revenue employee cost would be, anything you are targeting?

Akshant Goyal: I think we feel, at this point, the organization is rightsized for the businesses that we have. And as I mentioned, September quarter is when the impact of annual appraisals will also impact that cost and it should go up from here. So here on, I think it should grow at some multiple of inflation. We don't expect it to change meaningfully either way .

Nikhil Choudhary : Last question on what you mentioned about 30% of your GOV is coming from Zomato Gold.

So, any data point you can provide on that , in the last quarter, you commented that AOV of Gold members was lesser, because people are ordering using the same account within the family, any color on the behavior of gold member versus the non -gold?

Kunal Swarup : Nikhil, Kunal here, I don't think we mentioned that the AOVs were lesser , what we mentioned was that the MTUs got impacted to some extent as multiple individual users in the same family were ordering from the same account . We don't see any major shift in the position that we saw even earlier. So AOVs are slightly higher than normal AOVs and the frequency of ordering, of course, is significantly higher. Part of that could be because of the clubbing of orders, but part of it is also genuinely because there are free delivery benefits and other benefits.

Nikhil Choudhary : Sure. That's it from my side. Thanks for the opportunity and good luck for the next period. Thank you.

Moderator : Ladies and gentlemen, in the interest of time, we will now take the last one to two questions. The next question is from the line of Mr. Dipesh Mehta from Emkay, please go ahead.

Dipesh Mehta : Thanks for the opportunity, two questions. First of all, just want to get sense about how inflation impact s our business across segment. So, if you can give some sense about how one should look at revenue impact and margin impact , food inflation as well as overall inflation. Second question is about Hyperpure business. If you can provide some sense about how many restaurant partners, let's say, we have now to which you are supplying the ingredient. And in

Page 13 of 15 terms of percentage of supply sourced by them, how it has moved, let's say, year-on-year, if you can provide some color, thanks .

Kunal Swarup : Hi Dipesh, Kunal here. I think I'll take the first question first. So like Akshant mentioned this now as well, yes, food inflation is impacting restaurants, but because their sales are getting impacted, they are also ending up spending more on advertising and trying to grow the business. So, I think overall, yes, there is some stress, but I think they're also taking the right initiatives to ensure that growth continues on the platform. I think this inflation being up and down will be a characteristic that all businesses have to deal with, and they are also dealing with.

So that's on the inflation front. Your second question was around Hyperpure, and so over there, like we pointed out in the shareholder s' letter, one of the initiatives that we took up over there was to increase our minimum order value for restaurants to order on the platform. And that resulted in some churning out of the small unprofitable restaurants who were not meeting that minimum order criteria. And to that extent, yes, there was some churn, but I think overall, it resulted in an increase in revenue because restaurants that were on the fence were able to increase their average order value s and that also had a positive impact on the profitability of the business.

Dipesh Mehta : The question is about the sourcing changes in terms of percentage of sourcing. What used to happen versus now the same restaurant partner if you can give some color?

Kunal Swarup: Yes, for the same restaurant s, there is going to be gradual increase in wallet share also , so that we will continue to see, new restaurants start with a few commodities and then eventually, as they build trust, they continue to expand the basket that they order from Hyperpure. So that's a gradual process and that you're seeing in our current numbers as well.

Moderator: Next question is from the line of Mr. Manish Poddar from Motilal Oswal AMC. Please go ahead.

Manish Poddar : Great set of results. Thanks for giving me the opportunity. I have 3 questions. One is, if you could call out what is the sort of investment which is done on Gold in your view , and in m

y estimate it's somewhere in the high single -digit number. What is the sort of investment up here? And where do you think this will normalize ? So, would this number be INR 3 or 4. I'm just trying to understand, on a per order basis, whenever it is, FY25, FY26, I'm just trying to understand where does this number stack up at a steady state?

Akshant Goyal : Manish, hard to say that at this point. I think in our business, there are pockets where we have to invest at different periods of time and then sort of adapt depending on how the market is

changing, how the consumer habits are changing and how the competition is behaving. So, at this point, I won't be able to comment on a specific guidance on how much are we investing here and where that is likely to move going forward.

Page 14 of 15 Manish Poddar : Okay and any thoughts on this platform fee, which is being levered by the peer set, do we want

to roll out, have we tried in certain micro markets, just your thoughts around that?

Akshant Goyal : Yes. It's a business call Manish. We are aware about that, and I think we'll take a call if we think it's the right thing for the business. At this point, we haven't done that. I mean, there is no platform fee on our platform.

Manish Poddar : Okay. And then third bit is, if you look at the restaurant count, even the last 2 quarters, despite cutting down on the cities or the tail in the food delivery, the restaurant count has increased.

So, have we added any new categories or are there new restaurants coming out? Can you just help me understand what is happening up there?

Akshant Goyal : Yes. Manish, these are largely the new restaurants that we continue to onboard every month, every quarter. The number you see in our disclosure is the net number of restaurants. But every quarter, there are a number of restaurants which shut down and a lot more open up, new restaurants come up, right? There are also pockets in the country where we are not adequately penetrated in terms of having existing restaurants on our platform. So that also adds to the number of restaurants. So, I think it's a combination of all of this, which is right now leading to the moderate uptick in the number of restaurants that you see.

Manish Poddar : So, there's no material new categories, let's say, which has got added as such?

Akshant Goyal : No, no. There is not.

Manish Poddar : Okay. And just one last one, if I can. In terms of fleet, I think the delivery riders are getting cross-utilized I think in some micro markets across different segments, let's say, in terms of utilizing it with either your holding company or with other entities. Just any sense if you can give me qualitatively or quantitatively, how does this benefit in terms of, let's say, delivery cost or any sort of sense? Can't there be 20% savings on that over 3 years? Just any sort of understanding on that will be helpful.

Kunal Swarup : Hi Manish, this is Kunal here. This is not a specific strategy that we are deploying. We don't intend to necessarily use our fleet or delivery partner network and open it up to other sort of use cases or other entities. So, at this point, it's not part of our strategy.

Manish Poddar : Okay. Thank you so much and again good set of numbers, thanks.

Moderator : Thank you, next question is from the line of Mr. Niket Shah, please go ahead.

Niket Shah : Yes, thanks for the opportunity, congrats once again to the entire team. I just had 2 questions. One is in the presser that you did highlight about Blinkit Adjusted EBITDA breakeven in the next 4 quarters. Would it be possible for you to share the broad levers? Or how are you really looking at it, which other broad levers can really move towards profitability?

Page 15 of 15 And also, in the past, you did highlight when food delivery used to be a loss-making business about how you think about food delivery business from an Adjusted

EBITDA standpoint to

reach to about 3% to 5% Adjusted EBITDA margin over the medium term. It now looks really achievable, but would it be possible for you to share the similar kind of a thought process for Blinkit over the medium to longer term? And the second one, you did allude that on the ad side, you've seen significant growth, which has obviously moved your take rates higher. Would it be possible for you to quantify? Is it volume-led, pricing-led? Or have you taken pricing increase on the ad side?

Albinder Singh Dhindsa: Hi Niket, so I will take the first question. Looking at our Blinkit business, I think our aim is to get to Adjusted EBITDA positive over the next 4 quarters. And I think the levers for doing that, what we've been talking about through the calls earlier as well, that we do see a lot of operating leverage in this business.

We do see a lot of expansion of the wallet share of customers because they're now starting to buy a lot more things than just the core grocery categories from us. And I think that leads to both order growth, revenue growth and obviously, we're able to harness the operating leverage that exists in a high fixed cost model like ours. I think there's nothing out of the ordinary in terms of how we think we will get to Adjusted EBITDA positive. And of course, there will be innovations along the way that we hope that we continue to make to get to that juncture.

Akshant Goyal : On the ad sales bit, to answer your question, I think it's largely been volume-led. We haven't taken really much of a price increase during this time.

Niket Shah : Got it. So that lever does remain with you at some point of time. And just one more final question, if I may squeeze in. Is it possible for you to call out a range of what has been the drag because of Zomato Gold in this quarter?

Akshant Goyal: No Niket, I would not want to share that information as it's sensitive from a competitive

standpoint.

Niket Shah: No worries, best of luck and congrats once again, thank you.

Moderator : Thank you, ladies, and gentlemen, we will now conclude this conference call. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2023

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To

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Sub: Transcript of the earnings conference call conducted on November 3, 2023

Dear Sir/ Ma'am,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed transcript of the earnings conference call conducted on November 3, 2023.

The same is also hosted on the website of the Company at <https://www.zomato.com/investor-relations/financials>.

For Zomato Limited

Sandhya Sethia

Company Secretary & Compliance Officer

Date: November 10, 2023

Place: Gurugram

Page 1 of 14

Zomato Limited Q2FY24 Earnings Conference Call
Transcript

November 3, 2023

Management Representatives :

1. Akshant Goyal – Chief Financial Officer, Zomato Limited
2. Albinder Singh Dhindsa – Founder & Chief Executive Officer, Blinkit
3. Kunal Swarup – Head , Corporate Development, Zomato Limited

Page 2 of 14 Moderator: Ladies and gentlemen, a very good evening and welcome to Zomato Limited's Q 2FY24 earnings conference call. From Zomato's management team, we have with us today, Akshant Goyal, Chief Financial Officer; Albinder Dhindsa, Founder and CEO of Blinkit; and Mr. Kunal Swarup, Head of Investor Relations.

Before we begin, a few quick announcements for the attendees. Anything said on this call, which reflects outlook for the future, or which could be construed as a forward-looking statement may involve risks and uncertainties. Such statements or comments are not guarantees of future performance, and actual results may differ from those statements. Additionally, please note that this earnings call is scheduled for a duration of 45 minutes, and we will be starting directly with the Q&A section of the call.

If you wish to ask a question, please use the raise hand feature available on your Zoom dashboard. We will announce your name on the call and unmute your line post which you can proceed with your question. We will wait for a minute while the question queue assembles. The first question is from the line of Mr. Sachin Salgaonkar from Bank of America. Please go ahead.

Sachin Salgaonkar : Congrats for a great set of numbers. I have a few questions. First question, just wanted to understand the increase in food take rate, obviously, we've seen a sharp increase. I presume part of it is on the back of platform fees and part of it is on the back of organic take rate increases, that you guys are doing. Possible to help that breakout and a bit of an idea in terms of how should one expect that to move ahead?

Kunal Swarup : Yes, there is some increase and we can't share the split of the various components of that increase for competitive reasons, as you know, Sachin. But largely, introduction of the platform fee helped and slightly better performance on ad monetization also helped.

Sachin Salgaonkar: Got it. And Kunal, while you guys were experimenting on the platform fee, is it now fair to assume to say that this is now here to stay, and this will continue?

Kunal Swarup : Look, we keep experimenting. But, yes, it (platform fee) is here to stay as of now . The quantum (of the fee) we'll keep experimenting and fine-tuning as we go along.

Sachin Salgaonkar : Got it. Second question is regarding the loyalty program, and thanks for sharing the unit economics on Zomato Gold. Given that it is so effective for you guys, I was wondering if you are thinking of a similar loyalty program on the Blinkit side?

Albinder Singh Dhindsa : Nothing as of now, Sachin.

Sachin Salgaonkar: Okay. And again, in the past, you guys were thinking about launching one more app which is dining out. Any incremental updates on that?

Page 3 of 14 Akshant Goyal : No Sachin, nothing at this point. We are still debating that internally.

Sachin Salgaonkar : Got it, and Blinkit AOV clearly had a sharp increase. I presume a part of it is on the back of some of the iPhones , which you guys sold, as well as electronics. Again, possible to understand how to look at this going ahead? Obviously, you guys said that it will be fluctuating going ahead. But directionally, given the mix of electronics, should we expect that to increase a bit going ahead?

Albinder Singh Dhindsa : Sachin, the AOV that we reported excludes the GOV that we get from iPhone sales. We only include it in the revenue that we make from the sales of iPhones. We don't include the GOV because that will skew the AOV unnecessarily. And the overall AOV movement, like we said, is dependent on a lot of factors. Product mix is the biggest one, obviously. I don't think there's a significant swing based on any of the new categories that we've added. I think it is just business as usual.

Sachin Salgaonkar : And apart from iPhone, anything else you guys strip from this entire GOV, that you guys report?

Albinder

Singh Dhindsa : No.

Sachin Salgaonkar : Got it. And last question is on book-keeping. I just wanted to understand depreciation and amortization reduced this quarter and ESOPs increased on a QoQ basis. Anything to read out there?

Kunal Swarup : Yes. On depreciation, a large component of that is due to the intangible assets as part of the

acquisition that we made of Blinkit. Now part of that intangible asset had a 1-year depreciation cycle. So that piece is out and therefore, the depreciation that you saw is slightly lower. And on your question on the ESOP piece, yes, there has been a little bit of an increase, but we broadly expect to end at the guidance of INR 450 crores that we gave for the year of FY24.

Sachin Salgaonkar: Thank you and all the best.

Moderator: Next question is from the line of Mr. Ankur Rudra from JPMorgan.

Ankur Rudra: Hi, thank you and again, congratulations for the quarter in terms of the profitability and the growth.

Starting with questions on the food side, clearly, nice to see the monetization from platform fees, which seems to have helped your take rate to an extent. How do you think about user behavior as a combination of both the user delivery charges and platform fees? Do you think there is a limitation in terms of how much you can optimize this? Do users start thinking of the two together? Because obviously, the delivery charges have been falling because of your Gold program. But do you think this is one limiting point which you can't optimize beyond a point.

Page 4 of 14 Akshant Goyal: Hi Ankur. So, there are two things here. One, the platform charge right now is fairly nominal, so I don't think that it really shows up in any demand elasticity from a consumer standpoint.

Also because the competition and other aggregators are also charging it, so we were a follower here. Even from a comparison standpoint, it is something that customers were already paying on the other platform, - one of our largest competitor. Hence, in this quarter, as we rolled out the platform fee, we have not seen a meaningful impact on demand elasticity.

Ankur Rudra: Understood. On the Blinkit side, again, good to see store breakeven, given that your addition rate suggests 8% or so net adds for the next two quarters and you've already achieved breakeven. What prevents you from achieving profit breakeven much faster than your stated target?

Albinder Singh Dhindsa: We are seeing a trend of increasing margins in the business and order volume is also increasing, which basically helps us with contribution profit. I think this is more of an equation of when these two lines meet that we will be able to just break even. We are looking at it as what will help us build a long-term sustainable business rather than what helps us get there (profit breakeven) faster because you want to take the kind of calls, which also helps your business to grow into the future, one-year / two-year / three-year down the line.

Akshant Goyal: So, there is a fair bit of new store addition, Ankur, which is yet to happen. And we've alluded to that in one of the questions. So, that will be a short-term drag on the margins. And hence, on balance, the guidance that we've given on breakeven is first quarter of next financial year. But theoretically, if we were to not open any new store from now on, then of course, yes, we can get to breakeven much sooner.

Ankur Rudra: No, I understand. I was just saying that your addition rate is effectively around 8%. I mean the 69 stores you're planning to add for the next 2 quarters. And if you grow with the rate you're growing, the incremental hit to contribution margins from the new stores will be compensated by the profitability you will get from the existing stores. It just looked like, maybe you get there faster, but fair enough. Last question on your free cash flow, which has been positive now for the first half and probably

for 2Q and 1Q as well. Given where you are, any change in thoughts on capital allocation on newer areas of spending going forward, including potentially return of cash or large acquisitions again?

Akshant Goyal: Nothing Ankur. No update at this point. We haven't really thought of anything yet.

Ankur Rudra: Okay, thank you and best of luck.

Moderator: Next question is from the line of Mr. Vijit Jain from Citi.

Vijit Jain: Congratulations. Great set of numbers again. My question is on the loyalty program pricing.

Can you talk a little bit about how are you thinking about the pricing here, one can see that the pricing for renewals and new sign-ups keep changing. So, is it fair to say that competitive activity is currently focused mostly on the loyalty program side and how you think about

Page 5 of 14 gaining market share, meeting profitability, etc.? And also, obviously, your competitor has a slightly different loyalty program versus you. Is that aiding you in any way or in any form?

Akshant Goyal: Zomato Gold pricing is a business call, and it depends on various factors, including competition. Also, it is a fairly new program, so we are still discovering what is the right way of pricing it and learning with every passing month and quarter. So, we will keep doing that and as we mentioned in our letter, the idea is to make sure that we keep our service affordable for our customers and at the same time, create incentive for them to be loyal to our platform. And so far, that is shaping up well.

Vijit Jain: Thanks, Akshant, just related to that, thanks for that disclosure, which says share of the Gold GOV went from 33% to 40% QoQ. If I do that math, it seems to suggest that non-Gold would have even declined. Are you mainly converting existing users into Gold? Or is there a fair

degree of brand -new customers getting on to Zomato and signing up for Gold right away?

Akshant Goyal : New customers is a very small portion of our business. The new user addition is fairly constant and consistent with the past trends. So therefore, majority of the incremental Gold members are our existing customers.

Vijit Jain: Got it. So, my last question here is, the overall marketing spend this quarter, it went up about 13%, 14% for the first time in a while. So, if you could give a broad sense of where that was spent? And also on the salary side, it went up 20%. I understand this is a wage hike thing, but anything else to call out on that. Or is September -23, the trend run rate for both?

Akshant Goyal : Yeah, I would say September -23 is a trend run rate for both. On the marketing side, largely in the last quarter, we underspent on Blinkit (quick commerce business), because of the disruption we had and for a large part of the last quarter, our marketing efforts were muted, and hence, you see an increase right now. And likewise, on the employee cost bit, it is largely to do with the annual increments in our business, which happens in September quarter. And hence, the number that you see is more representative of what it is going to be going forward.

Moderator : Next question is from the line of Mr. Manish Adukia from Goldman Sachs. Please go ahead.

Manish Adukia : Hi, thanks for taking my questions. Most of my questions are around growth across food delivery in Blinkit. Now firstly, Akshant, just wanted to get a clarification. I think, in the shareholder letter, you've mentioned that you're expecting 25% to 30% YoY growth next quarter in the food delivery business. But you also said that it will be high single digit, and you called it moderate. So, I just want to understand, I mean, high single digit or 25%, 30% seems like a pretty good number. You're calling it moderate because you're not happy with that number and you think there's further upside to that growth number? I just wanted to get a clarification.

Page 6 of 14 Akshant Goyal : No, I think we're calli

ng it moderate because I heard a lot of people from sell side expecting a 15%, 20% growth in that quarter. So, we felt our business plan here is relatively moderate compared to what the sell side was expecting. So, we just wanted to call that out.

Manish Adukia: Helpful. The second one, just again, maybe if you can give additional color, Albinder or Akshant on the Blinkit number, very strong growth this quarter, and you've mentioned that next quarter, you expect growth to remain high. So again, should we think about that in terms of the quarterly run rate that you've been doing in terms of growth, that kind of growth can be maintained? Is that what you're alluding to when you say growth rate to be high?

Albinder Singh Dhindsa : Yes, somewhere in the same range . We are expecting that , it is the BAU sort of growth that we've been witnessing in the business so far.

Manish Adukia : Got it. Helpful. And staying on Blinkit. I think you've also mentioned about new cities expansion, which has so far not been a focus area, and now you'll selectively be looking at that as well, from a growth driver perspective. So, over the next 1 to 2 years, would you be able to give any sense as to how many new cities you could potentially expand into?

Akshant Goyal: Manish, even in the past, we've been doing this selectively. So, it is not like we'll start doing this going forward. So, we have opened like a store or two each in some cities just to test the depth of the market in the country in general and overall, I would say that we've been pleasantly surprised with the demand for this service across cities, which are much smaller than the cities that we have a meaningful business in. With that, in the same spirit, the idea is to continue testing few more markets, but I don't think that's going to be a meaningful portion of the overall size of the business in the short term. But this is more to sort of build growth channels for much longer term.

Manish Adukia : Got it. Helpful. And then last question again on Blinkit. You've mentioned in some cities, Blinkit's GOV is already more than that of Zomato. Would you be able to give us any sense maybe at a particular city level or, let's say, the catchment area level, what's the maximum ratio of Blinkit GOV to Zomato GOV. Just trying to get a sense that, let's say, from a 5–10-year perspective, like you called out, it is going to be much larger. What kind of scale or ratio are we potentially looking at?

Akshant Goyal : At this point, there are cities where the ratio is in the 1 x to 2x range. So, it is not order of magnitude higher than Zomato . But the trend line would suggest that it could change in the future.

Manish Adukia : Helpful, thank you so much for taking my questions.

Moderator : Next question is from the line of Mr. Gaurav Rateria from Morgan Stanley. Please go ahead.

Gaurav Rateria : Just a couple of questions. The first, where did the contribution margin improvement come from in the food business? Because it appears that the take rate improvement got more than offset by the increase in delivery cost?

Page 7 of 14 Kunal Swarup : Gaurav, like we mentioned earlier in one of the questions, which was asked earlier as well. The incremental margin came in from things like platform fee and advertisement. And that more

than made up for the decrease in the delivery charges that you saw.

Gaurav Rateria: My question was, wouldn't it already be part of your take rate. ? My question was that the take rate increase after taking into consideration all of these revenues, have got more than offset by the increase in delivery cost. So, what are the elements that really drove the increase in contribution margin?

Akshant Goyal : So, the contribution margin has increased by, I think, like 10 basis points, right.

Kunal Swarup: 20 basis points. So, 6.4% to 6.6%. So, 20 basis points.

Akshant Goyal : Sorry, your question was

is not clear. I think what we're trying to say is that the contribution margin increased as a result of more revenue per order. And some part of that increase in revenue per order got offset with increase in cost, given of course the fact that this is a quarter where there are rains and hence, we know, and we plan for increase in delivery costs. So that happened. But net -net, as a result of the two, the contribution margin still increased by about 20 basis points.

Gaurav Rateria : Got it. Second, Gold members are already at 20% of the total MTCs. Is there any theoretical limit where it starts peaking out?

Akshant Goyal: No, I don't think so, because it is not like there is a trade-off here in any way between Gold and non-Gold members in terms of the benefit. Having said that, we do expect the pace of Gold membership increase to slow down from here on because these are usually the more frequent customers who want to become members. So, from here on, the pace might definitely slow down.

Gaurav Rateria : Okay. Third question on quick commerce, how long typically a new store takes to come to breakeven at the contribution margin level? Or to put the same question in another way, if you look at last quarter, what could have been the drag from the new store additions on your contribution margins?

Albinder Singh Dhindsa: Gaurav, this is still a very nascent market with very deep penetration. So, depending on whether we are opening stores in localities where we already had a store and we are opening new ones, the breakeven might be really quick. If we are going into a new locality altogether in a city where we exist, it will be a different number. If we are going to an entirely new city altogether, it will be an entirely different number. So, there is no one number we can point to and say that this is how long it takes for a store to breakeven. And then when we look at the breakeven of the store, we are looking at all the costs, including what we have to do to supply the store as well. So, I don't think that is something that we even talk about or disclose that, this is sort of the average time that it takes for us to open a store. In terms of your second question, I think the number of stores that we opened this quarter, I don't think it was a

Page 8 of 14 meaningful drag on the margins, because when we start the stores, some of them lie in the first bucket where we are opening in existing localities, but we don't think that the drag was meaningful. It was offset by the increase in the overall margin of our existing stores.

Gaurav Rateria : Got it. The last question is what's the synergy we have achieved already from Hyperpure and Blinkit businesses? And what's the potential?

Akshant Goyal : The synergy is largely on the infrastructure side because the warehouses and the sourcing relationships we have for Hyperpure, sort of like becomes one, and this is especially true on the fruits and vegetables, fresh produce side, where we're going back to the farmers or farmer producer organizations to source these products from them. So, I think, at least on that part, I would say that the two businesses are fairly joined at the hips, and that has helped us actually offer much higher quality F&V at great prices to our customers, which is very important, not just from a margin standpoint, but also because fresh is usually a entry point for a lot of our new customers. So having given them a good experience on this category really helps us with high retention down the line. So I would say that sort of integration and synergies are fairly well realized by now, at this point.

Moderator : Next question is from the line of Mr. Swapnil Potdukhe from JM Financial.

Swapnil Potdukhe : Thanks for the opportunity. So, my first question is with respect to the Gold orders. I would like to understand like on a per order basis, has there been any increase in investments that you

do in Gold. Because my sense is that we saw some fluctuation in the Gold prices during the quarter, and there has been also some free membership rollouts through various tie-ups. So basically, on a per order basis, Gold order, does it have a higher dilutive impact on an absolute basis compared to the previous quarter, is the question?

Akshant Goyal : Swapnil we would not want to disclose that because I think it is part of the strategy of how we invest in growing the business. I would not want to share specific details to your question. But in general, I think what you've pointed out is that one, the overall Gold membership base is increasing for us. And two, the fact that Gold orders today are lower contribution margin than non-Gold, that is a fact as well. And third, I would say is that, going forward, I think, a part of

our incremental margins from here on in the business will perhaps come from reducing the negative impact Zomato Gold order has on the overall P&L. I think that's all that we can share at this point.

Swapnil Potdukhe : Sure. The second question is with respect to the contribution of ad income to your take rates. Now we have been calling out and saying that the ad income has been one of the drivers of your take rates for some time now. Now one way to look at it is like the macros are challenging for restaurants and they are spending more. What happens once the macros ease, would we see a reversal in the contribution of ad income to your take rates?

Akshant Goyal : That's possible, Swapnil. We don't know that yet, but that's possible.

Page 9 of 14 Swapnil Potdukhe : Okay. And another question on ad income is with respect to quick commerce. So now we have

the World Cup going on. Have you seen any sharp increase in ad spends by brands on Blinkit platform per se. And if yes, can you talk about the sustainability of that trend?

Albinder Singh Dhindsa : I think, Swapnil, they are not obviously visible in the JAS quarter because, the World Cup started after that. So, I would not say that there was a meaningful impact in the September (quarter). And usually, we have regular ad spends from brands for different events, activities, which keep happening throughout the year. So, there is nothing abnormal in terms of ad spends that brands spend at that time on the platform. I think it is fairly in line with what the usual spends are. It is just that some brands might be up during some months and the others might not be.

Swapnil Potdukhe : Okay. And just a last one on the ESOP side. There was a sharp QoQ increase in ESOP cost. Now I understand that also may be a factor because of the increase in the share price. But we have given a guidance of around INR 4.5 billion spend towards ESOP for the full year. Any change in your guidance or how should we look at the cost from a next year perspective as well? If you can answer that, that would be great?

Kunal Swarup : On your first question, FY24, we should ballpark end at the number similar to the one that we've given in our guidance. So, I don't think we'll be very off from the INR 4.5 billion number. On FY25, we are not giving any guidance yet.

Moderator : Next question is from the line of Mr. Abhishek Banerjee from ICICI Securities.

Abhishek Banerjee : So again, congratulations on the numbers, really excellent performance. So, in terms of your platform fees, what would be the attachment rate as in what proportion of orders are you charging platform fees right now?

Akshant Goyal: All the orders now, almost 100% of the orders have a platform fee now.

Abhishek Banerjee : Perfect. In terms of the ad revenue monetization that you spoke about, how is that increasing? Is it on the basis of more restaurants advertising? Or is it that the existing restaurants are advertising more, or have you actually increased the realization, from per ad or per click. If you could help us understand that.

Akshant G

oyal : Yes. In the last year or so, I would say a majority of the ad income increase has come as a result of more advertisers or more restaurants spending money on ads and a little bit of that is also because of the increase in pricing from our side. But I would say majority is driven by the volume increase.

Abhishek Banerjee : And does that holds true for this quarter as well ?

Akshant Goyal : Yes, that's right.

Page 10 of 14 Abhishek Banerjee : Perfect. Now you have hinted about user behavior change post becoming Gold members in the

shareholder letter. Now from some basic analysis, I can see Gold members ordering 7 to 8 times per month vis-a-vis maybe 2.5 to 3 times for people who are regular users but don't have Gold membership. Now do you actually see these people who are becoming Gold members moving to that 7 to 8 kind of an average number. And if so, what is your time frame in which this plays out, from your understanding?

Akshant Goyal: So, Abhishek, I think, part of this frequency jump that you are alluding to is also a result of multiple users starting to order from just one account. So, you see this trend where orders consolidate into one account just because one person has bought the membership. So therefore, this delta in frequency, I would not fully attribute to just the user becoming a member. There is a decent bit of an uptick, organic and sustainable uptick in frequency, but the order of magnitude will be much smaller than what you mentioned.

Abhishek Banerjee : Understood. And in terms of the MTU increases, that is basically coming from the large number of annual transacting users who would probably be ordering once a year or once a quarter earlier and now they are moving into the MTU base. Is that understanding, correct?

Akshant Goyal: Yes, that's right.

Kunal Swarup: And also, we are acquiring new customers every month. So, part of that is also driving the

increase.

Abhishek Banerjee: On the working capital front, there was a reduction again this quarter and pretty sizeable. So, could you just give us some understanding on how that came through given the sharp growth rates that you have shown?

Kunal Swarup : Like we have mentioned in the past also, Abhishek, essentially working capital swings happen because of the day on which the quarter ends. So, the last quarter, June 30, ended on a Friday, this quarter, 30th September ended on a Saturday, which meant that we carried one more day of payables on our books, which increased the current liabilities, and which reduced the net working capital, because we have a weekly settlement cycle around the mid of the week. So, depending on which day the quarter ends, therefore, could have a massive impact on the net working capital.

Abhishek Banerjee : Got it. But if I look at the various businesses, right, Blinkit also operates on a seller model. So, is there any meaningful difference in the working capital intensity in Blinkit and food delivery and as Blinkit grows faster, do you see the working capital requirements reduce further or is it just the other way around?

Kunal Swarup : There's not much of a difference. On the other side, advertising income can increase the working capital due to some receivables. But as such, we don't see much of a difference on the food delivery and Blinkit side. What will cause a little bit of difference is Hyperpure because their inventory and receivables will increase slightly due to scale. But on order of magnitude, I

Page 11 of 14 think food delivery and Blinkit are the large businesses, and they will continue to drive this trend for the foreseeable future.

Abhishek Banerjee : Got it. So just to understand one point that you mentioned. So, advertising business, basically, you do not collect the money upfront. Is it not a budget allocated by the restaurant?

Akshant Goyal : Part of it is advanced payments, but I think a larger part is postpaid

and once you sort of reconcile accounts, as against the agreed targets. And so therefore, I think a majority of the ad income is postpaid and hence adds to the working capital.

Abhishek Banerjee : Now coming to Blinkit in terms of the customer charges, would you be able to give us some clarity on how that has moved.

Albinder Singh Dhindsa : I don't think we are providing that information, but they have not moved significantly over the last period.

Akshant Goyal: Very consistent, yes.

Abhishek Banerjee: Understood. And just one last question on the AOV range for Blinkit. I know you mentioned that it fluctuates. But is there now any sense of a broad range, which you think is a best-case and a worst-case kind of guide rail for us?

Albinder Singh Dhindsa : I don't think that we want to commit to a number right away. I think ours is still a fast-growing business. And I think we're still in a fairly early stage of figuring these things out. So I think we will let it play out and see where it goes.

Abhishek Banerjee: Thanks so much for the time and best of luck for the next quarter, hope that's even better.

Moderator: Next question is from the line of Mr. Ashwin Mehta from Ambit.

Ashwin Mehta: So, two questions. One, in terms of Blinkit, what portion of our dark stores are own versus franchisees? And how do you manage inventory in a scenario where non-grocery SKUs are increasing, where the frequency of sales will be lower. Is it the third-party sellers that are taking the inventory risk for us? And do we have more dedicated sellers, or these are sellers, which will be selling on other platforms as well?

Albinder Singh Dhindsa : So, Ashwin, on the first part, I think the breakup ratio of our own versus partner is roughly the same as it has been historically. So, we operate roughly half of our stores and our partners operate the other half of the stores. As we are increasing more and more categories, I think part of our job is to also find the sellers and also convince the sellers to be able to take the risk to sell higher margin, but long tail products, which have a lower frequency. So that is something that we negotiate with the sellers that are on the platform, what kind of risks are they taking, what kind of data we can actually provide them to give them the comfort to actually invest behind these long-tail categories. So far, we have not seen a meaningful change in risk profile for our sellers either, even when they are expanding into lower-margin categories, partly

Page 12 of 14 because we also help figure out with the brands, what should be the terms of trade that make the entire business viable for them even if the mix of non-grocery products is increasing.

Ashwin Mehta: Okay. Thanks, Albinder. Just one more in terms of, ad monetization as a percentage of GOV on Blinkit, any approximate sense on where we are and given that transaction models are gaining traction from an advertising perspective, where do you see a potential possibility of this going?

Albinder Singh Dhindsa : So, I don't think we are providing any guidance on sort of what percentage of our revenue is coming from ads. However, like we mentioned in a letter a couple of quarters ago that we do

have a programmatic ad bidding platform on Blinkit, which is used by most of the brands that are operating on the platform, and it is a self-serve model. And I think that is a performance marketing-driven model, which we think in the long run aligns with the fact that brand spends are also going to move to bottom of the funnel and more transaction led.

Moderator : Next question is from the line of Ms. Garima Mishra from Kotak.

Garima Mishra : Thanks for the opportunity. I had a question on the transacting user base. Now you cited the 5% to 6% QoQ increase in transacting users, and it seems to have been aided by Gold. Now logically, pace of attachments to Zomato Gold over time should

slow down. So do you think

even in that scenario, this 5% to 6% QoQ growth in MTUs should be maintained?

Akshant Goyal : It is a very specific question, Garima, like overall, if you take a longer-term view on this, I mean, QoQ is hard to say, but I think the longer-term view on growth, as we mentioned in the letter and in response to one of the questions also, is that majority of the growth should be driven by growth in MTU or MTC as we're calling it, monthly transacting customers. Given the fact that our current monthly user base is much smaller than the annual transacting user base.

Now I don't think the pace of that change is going to be linear. There will be periods of time when either because of demographic change or incomes going up or macro changes, this frequency will increase, and there could be a period of consolidation where MTCs might just flatline a little bit. So, I think that is very hard to predict. And then there is no floor there in terms of a minimum number there. But I think overall, our view long term is that MTC should compound from here on and that should drive majority of the order volume growth from here.

Garima Mishra : Okay. Understood. Second question basis your intelligence and understanding where are you in terms of market share in the food delivery business?

Akshant Goyal : We have no point of view on that. I think it is a highly competitive market, so very hard to measure market share.

Garima Mishra : Understood. Okay. Third question, and I'm quoting this from the shareholders' letter. So eventually, we cared more about growth in absolute contribution profit rather than contribution

Page 13 of 14 margin. So, are you somewhere indicating that at 6.5%, 6.6%, these margins are good, and basically, you'll let this margin be and focus on growth?

Akshant Goyal : No, I don't think we are saying that.

Garima Mishra : So then how should we interpret this statement?

Akshant Goyal : I mean, it is a theoretical statement, right? I mean we are not saying what you are saying. I think that's a deduction. On margins, in the past, we have guided that, we want to get to 4% to 5% EBITDA margins in this business, which translates to more than what we have in terms of contribution margin right now. So, we would look to expand the margins. But I think like basic corporate finance says that, eventually, at some point, the ROI on every dollar that you spend on increasing the size of your profit pool should make sense. So, in which case, the margins may or may not go down, that's the only point we are saying.

Garima Mishra : Got it, that's helpful. Thank you so much.

Moderator : The next question is from the line of Mr. Aditya Soman from CLSA.

Aditya Soman : So just one question from me. If you think of quick commerce versus food delivery, I think, we all understand that the overall addressable market in quick commerce is much larger. But on the competitive dynamic, would you also say that's a lot easier given that in a lot of pin codes, basically, you could be the only player. And even, would that be a fair statement to say that the competitive dynamic is much easier and likely to stay easier or that is incorrect?

Albinder Singh Dhindsa : We don't think so, Aditya, because we also will have neighborhoods where there will be 4 or 5 quick commerce players operating. And not only that, but there are also the larger players like Amazon that we have to deal with. I think that's subjective, whether we would say that the competitive dynamic is easier in the quick commerce business. I don't think that is true and we would also not want to operate as if that is true.

Aditya Soman : Fair enough, that's interesting. And in terms of benchmarking, in food delivery, it is fairly obvious who you could benchmark to or not. But would you say in quick commerce, as you mentioned, you could benchmark to everybody from direct quick commerce competitors

to

Amazon to Reliance or whoever?

Akshant Goyal : So, I don't think we benchmark to anybody because you could take a different point of view and start moving your business to that side. I think we are the category creators in this business. We are the largest quick commerce player, and I think it is our job to actually create this market. So, I don't think benchmarking to existing heuristic makes sense because that will make us skew our business towards that heuristic. We would rather be the inventors in the category rather than benchmarking ourselves to somebody else.

Moderator : Next question is from the line of Mr. Samarth Patel from Equirus Securities.

Page 14 of 14 Samarth Patel : My first question is regarding Blinkit. So, there is 35% quarter -on-quarter increase in fixed cost. Could you give some idea between brand marketing and costs associated with employee addition and wage increment? And how this relates to our dark store network expansion strategy in medium term?

Albinder Singh Dhindsa : I think this is mostly the base effect of disruptions in the previous quarter. So there were some fixed costs that we didn't have to bear because we were not operating for a week or so, and there were disruptions in the business for a longer period of time. So that's why you're seeing that increase, but the levels that we are at right now, these are the actual fixed cost levels that we generally operate at.

Samarth Patel : Okay. And would we be adding more employees for the dark store expansion in the Blinkit side of things?

Albinder Singh Dhindsa : I think we kind of have to, but that's above the contribution.

Samarth Patel: Okay. Got it. And the second question is related to the question that a previous participant asked. So, we have been implementing aggressive pricing strategy for Zomato Gold membership in this quarter in response to the competitive pricing. So, can you just elaborate on the strategy behind this? And we expect our funding gap to narrow down at the contribution level. So those are two contrasting things, right? On one side, we have been aggressive in terms of pricing, and on second, we expect our funding gap to narrow down at a contribution level from Zomato Gold. So, your thoughts.

Akshant Goyal: One is past, and one is future, I think that's the difference. So, what we are saying is that from here on, we expect that the delta between Gold and a non -Gold order in terms of margin should reduce, right. Past could be different. And I think this is like a five-six-month -old program, so more than the competition, I think there's also a process of figuring out what is the right way to price the service that depends on the value that the customer sees in this product. So, I think we believe that we have a fair handle on that now. And hence, we could be sharper in terms of pricing more effectively going forward.

Moderator : Thank you. Ladies and gentlemen, we will now conclude this conference call. Thank you for joining us, and you may now disconnect your lines.

Call: Jan 2024

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Sub: Transcript of the earnings conference call conducted on January 20, 2025

Dear Sir/ Ma'am,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed transcript of the earnings conference call conducted on January 20, 2025.

The same is also hosted on the website of the Company at <https://b.zmtcdn.com/investor-relations/Earnings-Call-Transcript-Q3FY25.pdf>.

For Zomato Limited

Sandhya Sethia

Company Secretary & Compliance Officer

Place: Gurugram

Date: January 27, 2025

Encl.: As above

Page 1 of 15

Zomato Limited Q3FY25 Earnings Conference Call
Transcript

January 20, 2025

Management Representatives :

1. Deepinder Goyal – Founder & Chief Executive Officer, Zomato Limited
2. Akshant Goyal – Chief Financial Officer, Zomato Limited
3. Albinder Singh Dhindsa – Founder & Chief Executive Officer, Blinkit
4. Kunal Swarup – Head , Investor Relations , Zomato Limited

Page 2 of 15 Moderator: Ladies and gentlemen, a very good evening and welcome to Zomato Limited's Q 3FY25 earnings conference call. From Zomato's management team, we have with us today, Deepinder Goyal, Founder and CEO; Akshant Goyal, Chief Financial Officer; Albinder Singh Dhindsa, Founder and CEO of Blinkit; and Kunal Swarup, Head of Investor Relations .

Before we begin, a few quick announcements for the attendees. Anything said on this call, which reflects outlook for the future, or which could be construed as a forward -looking statement, may involve risks and uncertainties. Such statements or comments are not guarantees of future performance, and actual results may differ from those statements. Additionally, please note that this earnings call is scheduled for a duration of 45 minutes, and we will be starting directly with the Q&A section of the call. If you wish to ask a question, please use the raise hand feature available on your Zoom dashboard. We will announce your name on the call and unmute your line, post which you can proceed with your question. We will wait for a minute while the question queue assembles.

Moderator: The first question is from the line of Aditya Soman from CLSA . Please go ahead.

Aditya Soman : Hi, good evening. I have two questions. Firstly, can you elaborate a little more on the take rate in quick commerce coming off? While you've explained why we've seen profitability worsen because you've brought forward the acceleration in stores and warehouses , can you talk about take rate? And the second question, a related question, why do you feel so confident about profitability improving in quick commerce? I understand store maturity. Can you give us a sense of what proportion of stores will be mature, let's say, in FY26? Thank you.

Albinder Singh Dhindsa : I'll take the take rate question. Aditya, the take difference that you see every quarter -on-quarter is usually just a mix of the product mix itself . QND is typically a quarter where we also see more sales of electronics products, general merchandise and some of the other categories, where percentage wise take rates are lower, but overall revenue profile is healthier. So that's usually the delta that you see. There is no significant trend for the take rate in the quarter that we've observed for the core or for the non -core categories.

Aditya Soman : I understand. Thanks , very clear.

Akshant Goyal : Aditya, on your second question, what we have given in the letter , it essentially breaks down our business into the top quartile cohorts of stores and the bottom quartile to showcase that investments into newer stores, which have lower utilization compared to others, are leading to reduced profitability at an aggregate level . This trend , as we have stated , is likely to continue as we accelerate the pace of new store additions .

However, as you can see from that chart in question two, the stores which have matured are still generating a healthy amount of contribution margin. That gives us the confidence to continue the expansion that we're doing right now.

Page 3 of 15 Aditya Soman : Understood. And has this also been a function of faster new city additions? Because I'm assuming that with new cities, you'll need additional logistics such as warehouses and obviously the AOV or frequency could be lower to start with .

Akshant Goyal : Yes, that's directionally right, Aditya. But new cities are still a very small fraction of our overall expansion. So , it is one of the factors, but not the only one.

Aditya Soman : Understand. And so majority of these new stores then would be just densification in the existing cities?

Akshant Goyal : That's right.

Aditya Soman : Very clear. Thanks.

Moderator: The next question is from the line of Ankur Rudra from JP Morgan . Please go ahead.

Ankur Rudra : Thank you. The first question is about the reason for the accelerated add

itions and bringing the

growth forward . Is this because you see a bigger opportunity in the market versus before , or are you matching competition in the space ?

And secondly, to stick with the city side, our data says you've gone very long in terms of covering over 80 cities probably . Can you talk about the opportunity you see beyond the top 10 or 20 cities, which we previously understood was a core value proposition and how the unit economics, the average bill values and the time to breakeven changes here?

Akshant Goyal : Hi Ankur , Akshant this side. I don't think we took a very conscious call on accelerating the store expansion. It's more of an outcome of the work that we've been doing in the past many months. It just happens that we were able to add a lot more new stores than what we envisaged maybe a year ago when we gave the guidance of getting to 1,000 stores by March -25.

Over the last one year, we've built organization bandwidth to be able to expand faster , and the

increasing confidence in business is therefore allowing us to continue at that pace. The pace of expansion going up has nothing to do with any decision that we have taken in this quarter. It's simply a natural outcome of the work that we've been doing in the past.

Regarding your second question on smaller cities, 80% of our business is still in the top 8 cities. However, we are seeing fairly healthy traction in the smaller cities wherever we have entered, opened stores and launched the service.

From an economic standpoint, the smaller cities, on a payback basis i.e. ROI / ROCE basis look attractive to us. Therefore, we continue to open more stores in these cities. Looking forward over the next one year, a larger portion of our new stores will be in these smaller cities compared to what we saw last year.

Page 4 of 15 Once we have built some fair bit of density in these smaller cities, we will publicly share more data about how these cities are any different, if at all, from the larger cities.

Ankur Rudra : Thank you. Just a follow up question on the fall in take rate as well. Overall, the unit economics seem to have suffered a bit on Quick Commerce. Could you talk a bit about whether it was entirely due to the upfront costs of the network and warehousing? Or were there factors related to marketing costs or subsidies, perhaps given out to match with the competitive activity in the space?

Akshant Goyal : Our marketing cost went up, as we have also mentioned in the letter. But when we say marketing, we mean the digital marketing cost which is below Contribution but above Adjusted EBITDA. Discounts are nearly zero in our business since we are a marketplace business, there are hardly any discounts funded by us on our platform.

The other component of take rate is the delivery charges that we charge from customers. We have seen a slight decline there because of the market and the competition being where they are on the delivery fee. While the decline is not significant, but yes, it has partly contributed to the decline in take rate that you see.

Ankur Rudra : Thank you. Just one last question on food delivery, if I may. Can you share a bit of color on the food delivery growth momentum you're seeing? Was it a lot worse in December? And was there any impact from the increased competitive activity in short-duration food delivery? One of your peers launched that.

There's also a lot of cloud kitchens being launched by you and by competition on the 10-minute side. Any impact of that on the food consumption based on what you've seen?

Akshant Goyal : I don't think any of this has had a material impact on Zomato restaurant aggregation food delivery business so far. All these initiatives (any form of 10-minute delivery in India today), are still at a very early stage and are not likely to move the needle at all, even if you aggregate and put them together. For example,

at Bistro, we are live in only a handful of locations. Other forms of quick deliveries also are largely not cannibalizing the existing business, merely improving the experience.

So, I don't think what you're saying in terms of focus on quick deliveries has anything to do with the slightly lower growth that we have seen in the business last quarter.

Ankur Rudra : Appreciate it. Thank you.

Moderator: The next question is from the line of Vivek Maheshwari from Jefferies. Please go ahead.

Vivek Maheshwari : Hi, good evening team. I have a couple of questions. First is on the food delivery side. The news letter mentions about broad-based slowdown, and this is a comment from other consumption-oriented companies as well. Do you think for you as a company, or for this as a category, it will moderate further before it starts picking up? Your letter mentions again that

Page 5 of 15 things are expected to pick up. What do you think? Because a lot of consumer companies are talking about urban seeing more moderation in the foreseeable future before it gets better?

What is your take?

Akshant Goyal : Look, I don't want to crystal ball gaze here; these things are very hard to predict. They are a function of a lot of variables, most of which are not in our control. At this point, I don't want to comment on how this recovery will pan out. But yes, what we know is what we have reported, and then we see how it unfolds from here.

Vivek Maheshwari : Okay. And through the course of the latter half of the quarter, from November to December, was it broadly stable, or was there any change during those few weeks?

Akshant Goyal : It's a very short time period, and it's also influenced by a lot of seasonality, such as festivals, winters coming in and so on. Therefore, I would not read too much into how those six or seven weeks panned out. Let's wait and watch. This quarter will tell us on how the recovery is and what we are seeing.

Vivek Maheshwari : Okay. Got it. And the second bit is on the AOVs for the Blinkit business. Last quarter, you mentioned the seasonality. The AOV was INR 660, now it is comfortably over INR 700. Do you think this is the new norm that we should look at from, let's say, at least next few quarters?

perspective?

Albinder Singh Dhindsa : No, Vivek. In OND, we see the festival impact on the AOVs, which with every passing year, is becoming a larger portion of the business whenever they come around, especially the Diwali season. A lot of this increase is an impact of that. Some of it also because of the impact of higher ASP categories like electronics actually becoming larger for us. But this is not a secular trend across quarter -on-quarter. This would probably be a trend to more look forward on a year-on-year basis.

Vivek Maheshwari : Got it. Last question, Albinder, on the Blinkit business again . The retention rates you mentioned in the newsletter are very good. But in the context of competition and we have also seen horizontals getting into quick commerce, do we need to incentivize more to reach the next milestones of 10 million additional customers each time?

For example, I, as a user, like Blinkit and that's why I'm so used to the platform, visiting regularly. But the incremental customers might be less affluent and more heavily targeted by many platforms, including newcomers. How do you see this unfolding over the next couple of years, especially regarding acquiring these incremental users?

Albinder Singh Dhindsa : To borrow Akshant's phrase , I don't want to crystal ball gaze over here. The fundamental truth in our business is that we have to present ourselves to the customers for them to consider us and use us as a platform. And once they do that, then it is the consistency and quality of the service, which retains the customer . And that has many dimensions apart from just pricing. We

Page 6 of 15 are confident

that when we talk about those dimensions and our retention rates because of everything that we do on that end, we should see similar trends going forward as well. We will see the impact of increased competition on the cost of presenting ourselves to the customer, which is primarily our digital marketing cost today . And because there will be more competition over there, we expect this number will go up. But that doesn't impact how we look at our business or what we prioritize, which is essentially the things which drive the retention for us.

Vivek Maheshwari : Got it. Thank you and wish you all the best team.

Moderator: The next question is from the line of Swapnil Potdukhe from JM Financial . Please go ahead.

Swapnil Potdukhe : Hi, thanks for the opportunity. My first question is on Blinkit. Earlier, we used to provide a data point stating that it took approximately two months for a store to reach 1,000 orders per day. I would just like to know the time it now takes for the newer stores, which have been opened in recent months, to reach this number, as this is the point where we typically become contribution positive. Additionally, does the densification of our store network in some cities directly impact the throughput of existing stores due to cannibalization?

Akshant Goyal : Hi, Swapnil, on your first question, there is broadly no material change in terms of the breakeven point compared to what we had shared earlier. If there is, we will certainly inform all the investors and update them. But as of now, we're still operating within the same ballpark , seeing store breakeven in around two to three months. This answer also relates to your next question.

Some of this also depends on what that new store represents. Is it in a new area, a new city, or an additional store in an existing neighborhood? However, for the overall aggregate group of new store additions, that timeline has n't changed at this point.

And yes, you're right. If you open a store in an existing area, it doesn't necessarily cannibalize the existing sales of an existing store, but it does lead to a slowdown in the ramp -up of that store. Hence, it reduces the utilization of the network , and thereby slightly drags down the margin in the short term. However, it builds more capacity for future expansion and assortment expansion.

Swapnil Potdukhe : Okay. By any chance, do you have any SSG (same -store sales growth) numbers that you can share for some of the more mature stores and how they are tracking ?

Akshant Goyal: See, again, as I said, SSG will not make sense here because we are still adding stores in the same neighborhood. So , if I open a new store in the same neighborhood, the first store's SSG will actually not make sense. Therefore, maybe the right metric to look at is the SSG of a polygon or a neighborhood .

Page 7 of 15 We do track that data internally, but it is not publicly shared at this point. However, what I can share with you is that the SSG is quite healthy because most of the network is still underutilized from a capacity standpoint.

Additionally, from a demand standpoint, our penetration in the market is still low. Hence, as we add more categories and as we extend our marketing reach to more customers , we are seeing a fairly healthy SSG at the polygon level.

Swapnil Potdukhe : Got it. And the second question is with respect to your category addition, as you mentioned some categories like electronics, high value electronics, maybe laptops, I saw somewhere.

How do you account for the high MRPs in AOV. Do you consider the MRP as AOV when it comes to this kind of electronics?

Or do you take the commission income, which was, I think, in the case of mobile phones, you used to take the commission income in the AOVs? And does that have a correlation to your AOV increase for this particular quarter?

Akshant Goyal: Swapnil, it's a good question. So, outside of the F&V

category, where we account for the

selling price as the AOV, outside of that, for all other categories, the MRP is counted in the definition of AOV, and that definition is there in our letter, and it is disclosed.

However, as we are seeing the share of products where the delta between MRP and what the brand and seller are selling at is increasing in our business, we are considering disclosing more data from next quarter onwards, which can help shareholders and investors understand the actual customer -paid AOV as well as the gross AOV that we are currently reporting.

Swapnil Potdukhe : Got it. And then later, you mentioned that your growth investments will continue on Blinkit.

Now, should we see your absolute losses increasing hence forth? Or should we expect the percentage number to come down a bit? Any trajectory -wise guidance would be helpful here.

Akshant Goyal: At this point, again, we don't want to give more guidance than what we've already given,

Swapnil. I hope you'll appreciate that, given the market is dynamic and competitive, so, we'll see. But directionally as we have mentioned in the letter, we do expect the investments in Blinkit to go up. And as a result, the losses on an absolute basis are expected to go up in the next one or two quarters.

Swapnil Potdukhe : Got it. And just one last question on food delivery as well. We have been hearing that some of the restaurants are renegotiating their take rates, the commission rates, with you guys. I think your take rates have not meaningfully increased this quarter despite the significant increase in platform fees. That benefit has not reflected in your reported take rate. Is this because you are renegotiating those commissions?

Akshant Goyal: Not at all. Commission renegotiation is a part of our business; it happens every day, every quarter. So, there's nothing special that we are aware of in this quarter.

Page 8 of 15 Swapnil Potdukhe : Got it. Okay. Thanks a lot, guys. All the best for future.

Moderator: The next question is from the line of Yogesh Aggarwal from HSBC. Please go ahead.

Yogesh Aggarwal: Hi guys. I have a couple of questions. Firstly, on the top 50 stores, which are obviously mature stores and have a very high throughput and a contribution margin of 6.4%. Is this the peak we can expect, or is there potential for the contribution margin to increase even for these stores? If so, what factors would lead to further expansion, if any?

Akshant Goyal: I don't think this is the peak. Even for the more mature stores, there is a fair bit of cost that we are paying due to operating in a competitive market, which impacts the delivery fee that we charge consumers and the last mile cost that also applies to these stores. So, all of that in long term will change. As the business scales, our gross margins or sourcing margins should improve, and so should our ad income.

The contribution margin, the way we define it, also includes a lot of fixed costs, which are fixed in nature, including back-end warehousing costs, employee costs, and so on. There's a fair bit of room for the contribution margins to go up from where you see the top 5% stores are today to where they could be, let's say, 2 to 3 years down the line.

Yogesh Aggarwal : Okay, good. The second question is on densification. As you said, the bulk of the new stores are more like network stores in similar cities. Have you seen this result in lower delivery costs?

Because I'm hoping that the delivery radius has come down across larger cities. Has there been an impact on delivery costs, or is that something we should expect in the future?

Albinder Singh Dhindsa: Hi, Yogesh. As densification happens, we do see delivery costs come down, which are primarily a function of the polygons of the stores becoming smaller. However, on an aggregate level, that delta, the rundown is a lot slower because we are also expanding. Like you mentioned

that, with more than 30% of the network being new, when we open a new store, the polygons tend to be slightly bigger, especially if we are opening them in non-serviceable areas of the same city or in nearby cities. It's a combination of these factors. But to answer your core question, as we densify, the last mile cost does come down for us.

Yogesh Aggarwal : Got it. Related to that at the store level, we've seen, at least anecdotally, that the rentals and picker salaries have gone up quite a bit. Is this something that will moderate or normalize? Or is that something you expected in the business model and therefore, it doesn't bother you?

Albinder Singh Dhindsa: That has always been the cost of doing business. It was fairly built into how we think about the business. We also believe that in some areas, there has been an unusual run-up, which we expect to normalize in the near term.

Yogesh Aggarwal : Great, very well. Thank you so much.

Albinder Singh Dhindsa: Thanks Yogesh.

Page 9 of 15 Moderator: The next question is from the line of Gaurav Malhotra from Axis . Please go ahead.

Gaurav Malhotra : Thanks, everyone. I just have one question. So, you mentioned heightened marketing spending in the third quarter. Would you say that this was evenly spread throughout the quarter, or did the heightened activity occur from mid-November onwards, particularly in December? Or was it more uniform throughout the quarter?

Albinder Singh Dhindsa: Gaurav, it was not uniform. It was definitely more backloaded for us because the first half of the quarter was primarily the festival season, where we were already fairly close to our capacities, so we didn't really need to spend as much on marketing.

Also, if you look at the trend over the last two quarters, as we keep adding more stores, the need to spend on marketing goes up.

We opened 150 stores in the previous quarter, so those stores were also ramping up.

Additionally, we were adding stores at a steady clip in October and November as well. This is what led to the increase in marketing spending in the latter half.

Gaurav Malhotra : Just a quick question on dark stores. You mentioned that you have advanced your guidance of reaching 2,000 stores by the end of December. However, in terms of the impact on losses, you have indicated it will affect the next one or two quarters. Should we then assume that the next 1,000 stores will mostly come in the next two quarters and will not be as back ended ?

Albinder Singh Dhindsa: Gaurav, it will be a little more dynamic because we've added, I would say, almost 300 stores over the last four or five months. Some of these stores, towards the second half of the year, will also start maturing and moving into a different category, while we'll still be adding more stores . It basically depends on how this plays out because it's not a consistent trend throughout the year. There are a lot of seasonal factors that affect things like store openings, our ability to hire people for the stores, and how our back-end network scales up.

So, what we are hoping for is that as the percentage of non-mature stores decreases towards the end of the year, we will start seeing better profitability .

Gaurav Malhotra : All right, thank you.

Moderator: The next question is from the line of Gaurav Rateria from Morgan Stanley . Please go ahead.

Gaurav Rateria : Hi, congrats on reaching the milestone of 1,000 stores ahead of your schedule. My first question is about the key drivers for food delivery margins. You did mention the platform fee, but did the delivery cost also come down in that business? Additionally, what drives your confidence in margins reaching 5% in the next few quarters? What would be the key drivers?

Akshant Goyal : Hi Gaurav. I don't want to be too specific here, given that it's competitively sensitive. But in general, as we have mentioned in the past, the business economics here are a fu

nction of

multiple levers, and it's the small optimizations that add up and result in margin expansion.

Page 10 of 15 So, we continue to drive confidence from the progress we are seeing across various parts of the business, including delivery costs, the consumer fee increasing, AOV going up, and so on .

Unfortunately, we can't be more specific than that, but that's where we are.

Gaurav Rateria : Okay. I'm just trying to understand —this optimization is obviously not coming at the cost of market share, right? The focus on maintaining market share will be the primary goal, and then, with that in mind, you will be optimizing margins.

Akshant Goyal : That's right.

Gaurav Rateria : Got it. Second question on quick commerce. I just want to understand what percentage of the total expansion is happening in our top 1 and top 2 cities. Also, what scope do you think we have to keep expanding in these cities? Where do you see the majority of store expansion slowing down for the top cities?

Albinder Singh Dhindsa: Gaurav, I would say that more than half of the stores we are expanding are in the top 8 cities, out of all the expansion that you've seen. About 20% of the expansion has come from new cities, and the rest is essentially in non-serviceable areas in or around the top cities, or in other cities that are already open for us.

Gaurav Rateria : Got it. Thirdly, regarding the bottom 250 stores, you provided some data on their contribution to GMV and contribution margins. Is it fair to say that this will be largely attributable to the latest quarter only, since those are the newest stores and, therefore, the most inferior in terms of their contribution margin and contribution to overall GMV

Albinder Singh Dhindsa: Largely. That's true.

Gaurav Rateria : Got it. And lastly, you did mention that by the end of the year, a lot of the stores will kind of come to maturity. Would that timeline also align with an improvement in the unit economics of the quick commerce business?

Albinder Singh Dhindsa: Gaurav, it's hard to say because, as you mentioned, we will know better once we are closer to 1,600–1,700 stores and understand what the pipeline looks like after reaching 2,000 stores . If we are still adding 30–35% of the network every quarter, then it is hard to predict whether the economics will improve, and profitability will be easy to achieve.

However, if we reach a point where we are adding only 10 –12% of the network every quarter, then we can confidently say that profitability will be there. A lot will depend on where we are positioned in the second half of the year.

Gaurav Rateria : Got it. Thank you so much for answering all the questions and all the very best.

Moderator: The next question is from the line of Sachin Salgaonkar from Bank of America . Please go ahead.

Page 11 of 15 Sachin Salgaonkar : Hi. Thank you for the opportunity. I have a few questions. My first question is that we clearly

saw some slowdown in food delivery, but for quick commerce, are you seeing a slowdown in mature stores and among mature users? If not, should we expect some kind of slowdown in sync with the macro economy?

Albinder Singh Dhindsa: Nothing so far, Sachin.

Sachin Salgaonkar : Got it. From a competitive perspective, how should one think about this? Is it affecting all operators across the board, or just select one or two platforms? The reason I'm asking is that I'm trying to gauge how long this could continue .

Albinder Singh Dhindsa: Sachin, your guess is as good as ours. We don't have a definitive point of view on this , we see all competition as just competition. Our focus is to do our job better and do what is right for our business. So, I don't think we are focused on, or even able to, differentiate between one competitor and another.

Sachin Salgaonkar : Got it. As of now, one gets the sense that you guys are maintaining your market share on the qui

ck commerce side. So, the question here is —if the competition sustains for a long time, is there a thought process at some point to, for example, introduce some kind of loyalty program, or perhaps add a bit of platform discounts, and so on and so forth? Any general thoughts on that?

Albinder Singh Dhindsa: Sachin, even if we were planning to do something like that, we would not disclose it on a conference call. Right now, our focus has been and always will remain on making sure that our service levels improve, and that we continue to do what we do well for our customers. Despite the increasing level of competition over the last six quarters, we have maintained or even increased our market share. So, that is a strategy that is working for us, and we will stick to it.

Sachin Salgaonkar : Got it. One question on food delivery. We saw that the approach, let's say, between you and your top competitor is slightly different, where the focus of Bistro is more on the cloud kitchen perspective, while your competitor is largely working with restaur ants to sort of reduce to a select set of menu items that can be delivered in 10 minutes. I was wondering if that is something you guys are also open to exploring, or will you continue, for now, to stick to the Bistro model?

Akshant Goyal: Sachin, we've mentioned in question 10 that we've also launched the same feature that our competitor has introduced - less than 15 -minute delivery with a curated menu and a dedicated fleet. This is something that we launched in the December quarter itself . It's currently available in select locations, but we plan to scale it as we move forward.

We're trying to address the need for quick delivery through various formats, and Bistro by Blinkit is one of them. We will also continue to make efforts to improve the existing model of delivery from restaurants through Zomato to make it quicker as we prog ress.

Page 12 of 15 Sachin Salgaonkar : Got it. And last question, Akshant last quarter, you did mention that there is no need to move

to an inventory led model and you're happy largely with the marketplace model on quick commerce. I presume nothing changes out here .

Akshant Goyal: That's right.

Sachin Salgaonkar : Okay, thank you.

Moderator: The next question is from the line of Vijit Jain from Citigroup.

Vijit Jain : Thank you. My first question is on food delivery. Just taking off from what Sachin asked earlier, your response in that question seems to acknowledge Zomato Instant, which you had experimented with earlier. Overall, it seems like you're being a bit cautious about the whole 15-minute food delivery offering from restaurants, relatively speaking. Is that interpretation, correct?

And secondly, if so, is it because you think it's harder to achieve the desired metrics, NPS, or other performance indicators? Is that why you seem a bit more cautious about it?

Akshant Goyal: Vijit, that's not the case. The less -than-15-minute delivery offering on Zomato is something that we're very excited about. However, all these initiatives, whether it is Zomato's 15 -minute delivery or Bistro, are still very, very nascent . It's not significantly moving the needle today.

What we know for sure is that quick deliveries lead to more demand , that is a fact. But finding the right approach to achieve that demand is still in the early stages. It's too soon to determine

which models will work, which will be sustainable and profitable, and which will be scalable enough to significantly move the needle in the overall context.

What I would say is that we are not rushing too far ahead yet. There's still a lot of work to be done, and we'll see what works and what doesn't.

Vijit Jain: Got it. My second question is on quick commerce. First, were the customer delivery charges broadly lower across both new and old customers? Would you say they had an impact on the take rate?

I noticed in one of your answers,

you mentioned the customer delivery charges for the customers acquired in October, November, and December, highlighting that specifically.

I'm wondering outside of those older customers, did the delivery charges also go down across the board for customers acquired in the last two years?

Kunal Swarup: Vijit, this is Kunal here. It's largely indexed to new customers and driven by the increasing velocity of new store additions where in the initial period, we offer sort of lower or no delivery charges.

Page 13 of 15 Vijit Jain: Got it. And then just one last question —the customer retention statistics that you've shared for the December 2022 cohort. If I understand correctly, it has broadly remained at 40% for many quarters since December 2022.

How are the newer cohorts tracking compared to that 40% figure for the September to December period?

Akshant Goyal: All cohorts have been tracking broadly in line with our expectations, in fact, better than what we had anticipated a couple of years ago. So, there's nothing specific I want to highlight unless you have a specific question.

Vijit Jain: No. I was just wondering because you chose that specific cohort.

Akshant Goyal: We chose that cohort because we wanted to show the retention of our core customers. The way we've defined a core customer is someone who has been with us for at least two years in this case.

For newer customers, it's still early days, and the retention numbers could therefore be different. However, the customer base shown in this table contributes to about one-third of our GOV, representing a meaningful chunk of customers who have been with us for more than two years now.

Their retention has actually increased by 1 percentage point through the quarter, despite this quarter perhaps being the most competitive we've seen in the last 2–3 years. These customers are also paying a healthy delivery fee of INR 20 per order.

That's the point we wanted to make as Albinder mentioned, our focus on maintaining and continuously improving our service levels is helping us become the platform of choice for our core customers, which is what matters the most to us.

Vijit Jain: Got it. Great, thanks.

Moderator: Ladies and gentlemen, in the interest of time we will now take last one or two questions. The next question is from the line of Rishi Jhunjhunwala from IIFL.

Rishi Jhunjhunwala: Thanks for the opportunity. I have a slightly different way of asking customer-related questions. Can you provide some insight into your customer acquisition costs in areas where you are expanding but where a competitor is already present? Also, what are your customer retention costs in areas where you are already established, but a peer is entering and being very aggressive?

One of the reasons I ask this is because, while there is a cost associated with expansion as you scale from 1,000 to 2,000 stores, I'm trying to understand if there is any pressure on profitability for your top 50 to 150 store cohorts, given that you might be undertaking customer retention initiatives.

Page 14 of 15 Albinder Singh Dhindsa: Rishi, we are not doing any specific customer retention initiatives, by which I assume you

mean offering subsidies to customers to retain them. We don't do any of that. We invest in our service to maintain customers.

To be specific, that is not something we are doing, and we have largely been able to maintain or grow our market share in our top markets because we continue to innovate on behalf of our customers. That is just to address your specific point.

Regarding your question on marketing, if we enter a market after a competitor has already established a presence, we do have to spend more on marketing to drive trials, but it is not usually a significantly higher number.

However, what we observe is that whenever we enter a market, our retention rates for the customers we acquire in those

cities are higher than those of our competitors. This allows us to gain market share, which we have demonstrated in many markets in the South and East, where we entered after the competition.

Rishi Jhunjhunwala : So, just to conclude on that, is it fair to assume that, sequentially, in your top 300 dark stores, your profitability has actually not declined quarter -on-quarter?

Akshant Goyal: That's right. Broadly, Rishi, what has changed, as we've also mentioned in our response to question five, is that for the slightly older business, as you're saying, the margin expansion has paused. However, our margins are broadly still intact, they haven't fallen.

Rishi Jhunjhunwala : Understood. Thank you so much.

Moderator: The next question is from the line of Manish Poddar from Invesco.

Manish Poddar : Hi, and thanks for doing the call. I'm just trying to think about the losses and understand them in two areas, one in terms of competition and the other in terms of infrastructure setup. Would you say that, for this quarter or based on what you're witnessing now in January, the larger variable for loss increase going forward will primarily be the setup of infrastructure, particularly as you scale from 1,000 stores to 2,000 stores? Is that the right way to think about it?

What I'm broadly trying to understand is whether, with all the interventions you plan to implement, is there a theoretical loss cap that you have in place to maintain a particular market share. I'm just trying to gauge that.

Akshant Goyal: We're not thinking that way, Manish. We are not operating with a mindset of capping losses, because our mental model or framework here is that if the underlying core business is strong and if we have the bandwidth, capacity, or capability to expand at a faster pace than we are today, then we will do so.

Page 15 of 15 Losses will just be an outcome of that. We're not operating with a fixed budget for expansion at this point, given that the market is very large, and we clearly see a first-mover advantage in reaching consumers first. Therefore, we'll scale as fast as we can.

Manish Poddar : And would you say that the larger part of the losses or investments this quarter would be due to stores not reaching maturity, or would it be due to competition? If you had to estimate, would it be a 70 -30 or 50 -50 split? Any sense of that?

Akshant Goyal: Almost 100% of the losses will be due to expansion, and expansion is not just about the stores we will open this quarter, but also includes the stores we opened in the December and September quarter.

If you look at the overall store network and the capacity utilization, that metric has been declining every quarter because we are adding significantly more new stores than in the previous quarter.

100% or most of our losses, if they increase from here, will be on account of that, unless something meaningfully changes with competition that we are unaware of today.

Manish Poddar : Okay. Just one last question. I'm sure you gather a lot of data. In terms of order market share for both food delivery and quick commerce, let's say for quick commerce, how does that number stack up in your core market, such as Delhi NCR, compared to other regions? I'm trying to understand your market share in both segments.

And specifically for quick commerce, largely in Delhi, how do you think it is stacking up?

With the current run rate, are you able to maintain market share, or are you still losing it? I'm just trying to gauge that.

Akshant Goyal: First of all, Manish, we don't track order market share. We don't think it's a relevant metric because it can be manipulated, especially if you're offering free delivery, which can lead to order splitting and, therefore, does not present the right picture. However, we do track GOV market share.

So far, we don't believe our GOV market share has changed meaningfully despite the competition, and that's an important metric for us. We aim to continue being the market leader as we further build our infrastructure. As long as it makes sense, we would want to maintain that position.

Manish Poddar : Okay. Thank you. Thank you and all the best.

Akshant Goyal: Thank you.

Moderator: Thank you, ladies and gentlemen. We will now include this conference call. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2024

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Sub: Transcript of the earnings conference call conducted on February 8, 2024

Dear Sir/ Ma'am,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed transcript of the earnings conference call conducted on February 8, 2024.

The same is also hosted on the website of the Company at [https://www.zomato.com/investor - relations/financials](https://www.zomato.com/investor-relations/financials) .

For Zomato Limited

Sandhya Sethia

Company Secretary & Compliance Officer

Place: Gurugram

Date: February 15, 2024

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Zomato Limited Q3FY24 Earnings Conference Call
Transcript

February 8, 2024

Management Representatives :

1. Akshant Goyal – Chief Financial Officer, Zomato Limited
2. Albinder Singh Dhindsa – Founder & Chief Executive Officer, Blinkit
3. Kunal Swarup – Head , Corporate Development, Zomato Limited

Page 2 of 14 Moderator: Ladies and gentlemen, a very good evening and welcome to Zomato Limited's Q 3FY24 earnings conference call. From Zomato's management team, we have with us today, Akshant Goyal, Chief Financial Officer; Albinder Singh Dhindsa, Founder and CEO of Blinkit; and Kunal Swarup, Head of Corporate Development .

Before we begin, a few quick announcements for the attendees. Anything said on this call, which reflects outlook for the future, or which could be construed as a forward -looking statement may involve risks and uncertainties. Such statements or comments are not guarantees of future performance, and actual results may differ from those statements. Additionally, please note that this earnings call is scheduled for a duration of 45 minutes, and we will be starting directly with the Q&A section of the call.

If you wish to ask a question, please use the raise hand feature available on your Zoom dashboard. We will announce your name on the call and unmute your line post which you can proceed with your question. We will wait for a minute while the question queue assembles. The first question is from the line of Sachin Salgaonkar from Bank of America. Please go ahead.

Sachin Salgaonkar : Congrats once again on a strong set of numbers , I have a few questions. First question, I wanted a bit of clarification on the top line growth guidance of 50%. Is this for FY25 or for the next few quarters? And how should we look at the mix between the different businesses in terms of growth? Should it be very similar to what we saw in this quarter where 29% to 30% growth could come from food and 100%+ fr om other businesses?

Akshant Goyal : Hi Sachin, this is Akshant this side . We don't want to give guidance on individual businesses at a quarterly level because there are multiple factors there. There's seasonality, there's competition and so on. Our base case guidance continues to remain that our Adjusted Revenue should grow at 40%+ year-on-year (YoY) for the foreseeable future. And it's possible that at least over the next few quarters, that remains north of 50%, that is what we wanted to say. But individually, for each busines s, it might change. We are nowhere saying that the growth profile for all businesses will remain consistent to what we have seen in the last quarter.

Sachin Salgaonkar: Thank you Akshant, v ery clear on this one. Second question, I wanted a bit more clarity on the take rate s. So, if we calculate take rates on Adjusted Revenue, clearly, they are down and presume , this is on the back of I nd AS 115. So, is there any color that you could provide on the QoQ change of take rate vis -a-vis the commentary on how much is driven, let's say, by platform fee, restaurants take rate s and advertisements?

Akshant Goyal : So directionally, as we mentioned in response to question 6 also (in the shareholders' letter) , platform fee has gone up. Our income from advertisements has gone up and the commission revenue has also slightly gone up. If you, therefore, looked at a gross level, the take rate is

Page 3 of 14 slightly flattish to slightly higher than the last quarter. But as a result of the adjustments that we have laid out in question 7 of our letter, we see a slight decline on a net basis.

Sachin Salgaonkar : Okay. And any thoughts if it's mainly platform fee compared to any other factors?

Akshant Goyal : Sorry, Sachin, not clear on the question here.

Sachin Salgaonkar: Sorry, Akshant, what I meant was, if the change in take rate is predominantly driven by the platform fee?

Akshant Goyal : No, not just that. Our ad income has also grown meaningfully.

Sachin Salgaonkar : Okay. Got it. My third question is on MTU growth. This quarter, we saw 8% Y oY growth versus, your food delivery growth (GOV) which is close to 29%. Is this a trend we could look going ahead or there are certain drivers, which could accelerate the growth further f

or food

MTUs?

Kunal Swarup : Sachin, this is Kunal here. Like we've articulated in the past, we do expect monthly transacting customer (MTC) growth to be a big driver of growth in the future and that is going to be a function of increasing annual ordering frequency of the annual trans acting customer (ATC) base on our platform because a large part of that ATC base currently transacts only, let's say, 3 / 4/ 5 times a year and as more of that (ATC) starts transacting more frequently, it will result in the MTC growing. Our e xpectation is that MTC will be a large part of our driver s of growth.

And of course, we will also continue to add new customers as we go along.

Sachin Salgaonkar : Thanks Kunal. And my last question is on Blinkit. Clearly, a fantastic performance out there.

The product market fit also is getting clearer and clearer. Any color on what's driving the AOV or the product mix? And any thoughts should AOV stabilize at these levels or continue to increase?

Albinder Singh Dhindsa : Hi Sachin, this is Albinder. So even in the previous calls, we've laid out that this is still a very fast-evolving business, also shown by the increase in top line and the use cases that we serve are also increasing fairly fast. There is no guidance that we can give on where the AOV heads. It is dependent on a lot of factors such as seasonality, festivals, which categories we are adding and growing, so we can't really provide any guidance. AOV is more of an outcome of the kind of assortment and selection we provide to the customers, so it will continue to evolve as the business evolves.

Sachin Salgaonkar : Thanks, Albinder. I completely understand there is a seasonal fluctuation. And clearly, you guys are in nascent stages in terms of growth. But if you look at the mix for the last three or four quarters, could you give any color in terms of what are some of the products which consumers are frequently buying?

Albinder Singh Dhindsa : I don't think it's driven by frequency only. A lot of it is what we do as well. If we increase our category share and add new categories like we've done in beauty and a few others, that will

Page 4 of 14 lead to a movement in the average order value. So those are bigger factors than looking at customer behavior and trying to predict whether some frequency of particular product type is driving the average order value.

Moderator : Thank you. Next question is from the line of Vivek Maheshwari from Jefferies. Please go ahead.

Vivek Maheshwari : A few questions. First, Akshant, in one of the comments in the letter you have mentioned that growth in food delivery is due to the fact that platform is still underserved from a supply-side perspective. So, between the demand side factor and supply side, you have pointed out to supply side. Do you think supply is a bigger thing, which will drive demand in your view?

Akshant Goyal: Vivek that point was more to draw out the difference in growth rates between our food delivery business and some of the other companies in the restaurant industry space. But at an absolute level, I would perhaps say that demand is a bigger factor going forward than supply at an overall long-term level.

Vivek Maheshwari : Understood. Okay. That makes sense. The other thing is on the sequential growth of quick commerce and the letter mentions about multiple festivals as well as occasions. I would imagine World Cup would also be probably sitting over there. Do you think from a sequential perspective, the base is higher and therefore, the fourth quarter should be somewhat a bit more moderate or sober than what we have seen in the third quarter because of these factors?

Akshant Goyal : Yes, I think that's a fair assumption to make.

Vivek Maheshwari : Got it. Okay. And on the quick commerce side, again, on the dark store. I know it's a bit of an apple to mango comparison, but if you look at it from a Domino's outlet

perspective, so the

moment, in a micro market, they add another store, the first store throughput comes down by 30% - 40%. You have called out the top 8 cities growth rates, etc., but do you think when you add a store in the micro market, it will have a cannibalization impact on your revenues as well as efficiency?

Albinder Singh Dhindsa : Vivek, let me address that. So typically, when we are adding a store in an existing micro market, the revenue doesn't see an impact because we end up adding a store only when we are fairly confident that we have a very strong product market fit in that hyper local neighborhood. And the second thing is, we start doing it when the existing store is starting to reach a baseline of 50%-60% of its utilization, so that we know that at some point in time, we would need to add more supply in the area. To that extent, we don't see that as cannibalization but more as an improvement of service levels for all customers in that micro market.

Vivek Maheshwari : Got it. And one more follow-up on the quick commerce business. So, you have mentioned 20% of stores operating at 5% contribution margin. In the medium term, as you ramp up stores, is there a timeline, like a month or quarter, when stores hit this magical mark of 5% contribution margin?

Page 5 of 14 Akshant Goyal : Very hard to say that, Vivek. With the data that we have provided in the letter this time, that is with respect to how long are we taking to hit contribution breakeven, which has now come down to two months for the stores that we opened in the month of October last year (2023). But from getting to breakeven to getting to 5%, there are multiple factors. That number will also be a function of the overall supply chain cost in that city/ neighborhood. And the business is very young for us to be able to confidently give you a view on the time that it will take to get to a 5% kind of margin.

Vivek Maheshwari : Okay. Got it. And last question, Akshant, on this Hyperpure comment that you have in the letter, the value-added food supplies where you're setting up a plant for sauces, spreads, etc.

What is this capex that you are thinking about? Why not go for a third -party model at this stage? Can you just elaborate on what does this entail?

Akshant Goyal : It's not very meaningful, Vivek, in the context of the overall size of the business. And at this point, we believe the payback on this capex is going to be very attractive. And hence, we want to at least try with one facility on our own and then we'll take a call from there if it makes sense to expand. But at this point, it's not a very meaningful capex that we are looking at.

Vivek Maheshwari : Possible to quantify, Akshant, on the capex number?

Akshant Goyal : We are not sharing that data.

Vivek Maheshwari : Okay. And is that in a way a precursor to your own labels in quick commerce?

Akshant Goyal : No, there is no plan of doing that at this point .

Vivek Maheshwari : Okay. So, this will stay and target only the B2B side of things, which is essentially the restaurants .

Akshant Goyal : That's right. Yes.

Moderator : Thank you. Next question is from the line of Ankur Rudra from JP Morgan. Please go ahead.

Ankur Rudra : First of all, can you give me a sense of the platform -level discounts across both food delivery and quick commerce , and has that meaningfully changed in the last few quarters?

Akshant Goyal : Subsidies to customers can be in multiple ways , which one are you referring to here?

Ankur Rudra : Yes, not through Gold , outside of Gold i.e., headline platform discounts on food, promotions on food, excluding Gold offers which is specific to the subscriptions .

Akshant Goyal : So outside of subscription, it hasn't changed meaningfully in the last quarter on the food delivery side. On quick commerce, subsidies are anyways negligible , they're very limited.

Even on food, the number is small, but

in case of quick commerce, it's close to zero. So, there's no change there as well.

Page 6 of 14 Ankur Rudra : Okay. And moving to the food delivery side, could you give me a sense how concentrated the business is in the top 8 to 10 cities now? Like you highlighted in Blinkit , top 8 is about 90%, where are we on food now? And are you seeing as you grow , that you need to diversify the base, or are all the top cities growing at the same pace as well ?

Kunal Swarup : Ankur, this is Kunal here. No meaningful change from the numbers that we've disclosed in the past. The top 8 continues to be around the 60% mark, give or take 1% here and there . So, at this point, even our top cities are growing at roughly the same pace.

Ankur Rudra : Got it. On Blinkit, you highlighted that the category mix has expanded. You've highlighted electronics, home décor, and beauty. Is there a way for us to know how meaningful these sections are , especially seasonal demand, which might vary QoQ as a proportion of the overall GOV or SKUs?

Albinder Singh Dhindsa : No, Ankur, we're not providing that breakup.

Ankur Rudra : Okay , then on Blinkit, you've so far highlighted that you will be going deeper in the existing cities. All the new store additions are where you already have presence. Given that the profitability is expanding at a very rapid rate as 70% are profitable , at what timeline do you think you'll start going wider and deeper in the cities where you're under indexed right now?

Albinder Singh Dhindsa : That is a part of the existing exercise only. At least in the top 8 cities, we still have a lot of ground to cover.

Akshant Goyal: And we're under -indexed in almost every city at this point, even in our largest city. The journey from where we are today to maybe the next 1,000 stores or maybe more will be more within the top 8 cities largely speaking.

Ankur Rudra : No, I meant beyond the top 3 or 4 .

Akshant Goyal : We're already doing that.

Albinder Singh Dhindsa : We are still forming a view for the next few years . We want to have a better understanding. The job right now is to keep our focus on expanding our footprint in the larger cities first.

Ankur Rudra : Okay. Just last question on working capital. I noticed that you've been enjoying an inflow in the last couple of quarters despite very strong growth. Is there something happening over here?

Are you like negative working capital per store basis now?

Kunal Swarup : So, on working capital, the broader business itself is a negative working capital business because we are a marketplace. We receive revenue upfront and pay out our sellers with a slight lag. The only receivable amount is on the advertising receivables that we have. So yes, that does counterbalance the negative piece. But on balance, there's no meaningful working capital in the Blinkit business.

Page 7 of 14 Moderator : Thank you. Next question is from the line of Gaurav Rateria from Morgan Stanley. Please go ahead.

Gaurav Rateria : Congrats on great execution. The first question is with respect to your comment on growth guidance of 50% mark, versus your last shareholder s' letter talking about medium -term growth of 40%. So, what really drove the change in expectations? Is it that Blinkit is surprising and

doing better than your expectations? Or you have seen a better uptake in food delivery growth rate here?

Akshant Goyal : Food delivery, as we mentioned, was slightly below our expectations last quarter. This confidence on growth being more than 40% is largely on back of what we are seeing in the quick commerce business.

Gaurav Rateria : Got it. Secondly, on quick commerce, is it possible to share some split of what percentage of our stores are franchise stores versus non-franchise? And has that got to do anything in unit economics for us?

Albinder Singh Dhindsa : I'll answer the second question first, Gaurav. There is a negligible

difference between unit

economics, whether it's a franchise-operated store or it's our own store. We are not disclosing the mix for the last few quarters. We figured out that it's a competitively sensitive information. Our plan is to add more and more trustworthy franchises to the operation, and that's our strategy going forward.

Gaurav Rateria : Got it. And also, I saw that you added two new cities this time. So, what's the broad level thought process? I thought the plan was to go deeper into the existing cities, a lot of ground to cover there. But are you kind of identifying new set of satellite cities that you think you would be targeting over the next one to two years? And the overall addressable market is not just limited to 15 cities, but more like 30-40 cities?

Albinder Singh Dhindsa : So Gaurav, we have to build out a lot of the supply chain capabilities with a more long-term view of the business. When we do that, we want to know whether we will be in 100 cities or 500 cities over the next, let's say, 2 to 5 years. So that's why we keep experimenting and we have mentioned in the letter also that we will strategically test out a few markets to see if there is acceptance of quick commerce in those markets. And we will eventually get to opening more lookalikes as we spot them. Then our network planning, our supply chain planning and infrastructure build-out will take that into account that we will be going to those markets in the future as well. So that's why we open and experiment with some of the new markets.

Gaurav Rateria : Got it. Last question from me. In light of the comment that you made that you're sticking with your breakeven plan for quick commerce, which means that your capital consumption there will dramatically come down. And in the question 15 answer you mentioned that there is no plan to buy back or give dividend. So what's next that we are planning from use of capital perspective? It will be helpful to get some context around that.

Page 8 of 14 Akshant Goyal : Gaurav, so at this point, there's nothing new on the radar. We'll just stick to focusing on what we have on the table and let the cash compound on the balance sheet for now, and then we'll take a call down the line on what to do with the cash. And at this point, there's nothing new that we're planning to do.

Moderator : Next question is from the line of Rahul Jain from Dolat Capital. Please go ahead.

Rahul Jain : Just one question on this. You said you're having a better ad monetization or ad revenue per order basically. So, is it just a reverse math kind of a number? [inaudible]

Kunal Swarup : Rahul, your question was not very clear, and your voice is a little muffled. Could you just repeat what you said?

Rahul Jain: Yes. Is it any better?

Kunal Swarup: Yes, much better. Thank you.

Rahul Jain : Yes. Sorry for that. So, what I was essentially trying to understand, Kunal, we mentioned that we have better ad monetization now, which is ad revenue per order. Is this just a reverse calculation mathematics or you're trying to pivot it in such a way that on a per order basis, there has to be certain ad revenue?

Akshant Goyal : No. This is not the latter. It's a way of representation and way of measuring how much we are monetizing through ad sales. We don't think of it that way, that every order has to give us some x rupees of ad. So, to answer your question, it's the former. It's a derived metric and representation more than anything else.

Rahul Jain : Right, and Akshant, we see that the expenses in the dining out business continues to expand. Is it that we account discount offered to our consumer as a cost or these are also netted off and these costs are just to enroll more restaurants?

Akshant Goyal: There are two pieces to Going-out business segment - dining out business and also the events and ticketing business (Zomato Live). We are in a build-out phase here.

Idea is both acquiring restaurants & creating supply of events and onboarding ticketing partners - all of that requires investment. We're also building a team here. So, there is also going to be an element of increase in employee cost over the next few months and quarters. So therefore, while the top line, which is measured by GOV here, we expect that to continue to grow. But both monetization in terms of revenue growth and eventually profitability growth, will take some time, and grow with the lag. That's the plan for now.

Rahul Jain : Yes. But just to understand, if I am getting a 30% discount on the app, while the restaurant

may be giving you in very rare example say 25%, so there is no such thing. If there's a 30% discount, the consumer is saying, then probably you are getting 40%. Is that the way it works?

Page 9 of 14 Akshant Goyal : Yes, the discount is entirely borne by the restaurant here. We are not bearing any discounts.

Rahul Jain : So, it's just a commission business that will be all.

Akshant Goyal: Yes. And what I meant by monetization will lag here is that the amount of commission we charge is not the focus area right now. The idea is to first create a large enough network here of restaurants. And similarly on the event side, a large enough supply of events. And to that extent, we'll focus less on monetization for now, and hence, we might see the cost growing maybe faster than the revenue here and idea is to keep it around breakeven and then continue investing in the business.

Rahul Jain : But these costs are all people and getting -the-business cost, it's not any element of discount or anything in that.

Akshant Goyal: That's right.

Moderator : Next question is from the line of Mr. Sudheer Guntupalli from Kotak AMC. Please go ahead.

Sudheer Guntupalli : Yes. Congratulations on a great quarter. Just a couple of questions from my side. First is an extension of what Gaurav asked earlier on the confidence of the 50% + growth number. We understand that quick commerce is driving this. But just at a macro level, the consumption trends don't seem to be that encouraging or buoyant. So , are you implying that quick commerce may not be as tightly coupled with broader macro? And accordingly, this 50% number need not be construed as very aggressive?

Akshant Goyal : Not really. For us, Sudheer, quick commerce is just a very small fraction of the overall retail consumption. And most of the growth that we are seeing in quick commerce is also on account of increasing coverage, opening more stores, and reaching out to more consumers in the area serviced by the stores today .

So, in some ways, therefore, I don't think the growth of quick commerce is in any way implying the underlying consumer demand . Also, we should note that food is more discretionary demand as compared to people buying on Blinkit, which we believe is more non - discretionary. There's also that element of different consumer behavior and demand patterns that we are seeing in the market over the last year or so. So that also plays a role. But I would say that given the low penetration of quick commerce today, that is the main driver of the high growth that we are seeing at this point.

Sudheer Guntupalli : Okay, Akshant. Second question is on the food delivery revenue growth , which on a reported basis grew around 10% sequentially. So, looks like the restaurant commission rates have improved almost 70 basis points here. So incrementally, what is the headroom for take rate increases just on the restaurant side, not including the delivery fee?

Kunal Swarup : Hi Sudheer, this is Kunal here. I'm not sure how you've been able to compute that. But yes, I think incrementally, the headroom for take rate increases will be on account of multiple

Page 10 of 14 factors, not just restaurant commissions, but on account of advertising monetization, which comes from restaurants, but it is a discretionary

spend. It will also be a function of platform fee and therefore at this point, we're not saying that it will be only driven by one of the three factors, it could be a combination of three .

Moderator : Next question is from the line of Swapnil Potdukhe from JM Financial. Please go ahead.

Swapnil Potdukhe : Good set of numbers, so congratulations. So, first question is on food delivery. And I just wanted to get some more sense on the supply side comment that you have made in the shareholder s' letter. So, what kind of restaurants are actually coming in on the platform? You mentioned that there was a 20% YoY growth. Are these more of cloud kitchens? And if that is the case, what would be the share of cloud kitchens to your revenue or GOV? And that's part A.

And part B is , how much more room is there for your restaurant base to improve from where you are today? So, if you could answer that first.

Akshant Goyal : The restaurants that we're adding on our platform are of two kinds. One is new restaurants, which are opening up in the country. And second bucket is restaurants , which have been around, but have not been on our platform so far . In the first part, I would say a large chunk of what we are seeing as new restaurants today are cloud kitchens, at least on our platform that we are onboarding.

But in the case of existing restaurants, it's a fairly equal mix of cloud kitchens and more physical format restaurants, dine -in restaurants, big chains and so on. So, it's a mix of all of that as far as the existing restaurants are concerned.

And at this point, the number of restaurants should continue to grow at the pace that we are seeing so far over the last few quarters. So that should continue , I do expect this to continue to grow at 20% or so YoY .

Swapnil Potdukhe: Got it. Good. And the second question is with respect to your contribution margins. Now a little bit of working over here. So, if you see your take rates have improved 70 basis points on reported basis, whereas your delivery cost or delivery fees collected from the consumers have come down meaningfully. And now that would suggest that your contribution margin expansion has to come either from delivery cost or discounts or other variable costs. And you just mentioned that discounts have not moved significantly.

So, is it possible that your delivery costs and other variable costs have come down meaningfully and that is what is helping your contribution margin?

Kunal Swarup : Swapnil, this is Kunal here. Look, it's a combination of factors. One, margins are also a function of average order value (AOV) and when average order values increase, that could also impact margins. So therefore, we don't want to get into the specific details of which revenue and cost items actually resulted in improvement in contribution margin. But broadly speaking,

Page 11 of 14 platform fee, ad revenue were contributors and on the cost side, there were elements of cost efficiency. But I would say the revenue side was a little bit stronger in terms of contribution margin increase.

Swapnil Potdukhe : Got it, Kunal. And there has been a slight bit of increase in the fixed cost of food delivery QoQ if you see. I remember last year, you had mentioned there were some IT-related costs, is that the same reason this quarter also or there are also some costs related to marketing and maybe employee cost?

Kunal Swarup : Largely two reasons, Swapnil. One is, yes, you're right, some part of it is due to marketing, and that was on account of the World Cup and some of the festive marketing that we did, which was seasonal, and we don't expect that to be elevated going forward. But the second element was increase in some of our server and tech infrastructure costs that we expect, will continue to stay.

Swapnil Potdukhe: Got it. And one question on Blinkit as well. So, if you see your take rates in Blinkit, if I were

to look it from over the last three, four quarters, there has not been a significant improvement in your Blinkit take rates. And whereas you have very clearly mentioned that your ad income seems to be improving. The other two factors over there would be your product mix margins and your handling fees or delivery fees, right. So, will it be fair to say that while your ad income continues to improve, the other two levers have not improved or there has been a slight decline in that as you're focusing more on expansion?

Kunal Swarup : Yes, that would be a fair assumption. At this point, ad monetization has been the bigger driver of that increase.

Albinder Singh Dhindsa : And Swapnil, because we are so multi-category as a platform, we don't internally look at take rate percentages as much as we look at the actual rupee value that we are able to get in a particular product category. You might have categories like electronics, where percentage-wise, your take rates will be much lower, but in terms of rupee value, they end up being significant. So, it all depends on the product mix and how it works.

Swapnil Potdukhe: Got it. If I can make a suggestion over here, it will be great if you guys can start sharing the product mix on a GMV basis for Blinkit at least. I mean I think that would give better color to most of us tracking the company. Just a suggestion, in case.

Albinder Singh Dhindsa: We will not be doing that. We are still in a competitive and evolving category. So, we don't intend to do that.

Swapnil Potdukhe : Okay, guys. And just last one, so there were quite a few news flows around use of cash. And you have very clearly mentioned that you don't intend to return the cash as dividends or buybacks in the near future. But can you give some clarity on will there be a possibility of any M&A activity, and do we have deployment towards that, is that the reason that you're not thinking about returning back the cash to the shareholders?

Page 12 of 14 Akshant Goyal : See, if that is indeed the reason, and we are not mentioning it in response to question 15, so it's

unlikely I'll say that to you right now, also. We've spoken about this also as a response to a previous question, that at this point there is no plan.

And it's still a competitive industry. We are the only listed company in our space. So, at this point, having a strong balance sheet is important for us. And the focus is just on building the businesses right now. And at some point where we feel comfortable, we will look at capital return to shareholders or whatever makes sense at that point.

Moderator : Next question is from the line of Ashwin Mehta from Ambit. Please go ahead.

Ashwin Mehta : Yes. So, one question on Blinkit to Albinder. Albinder, what is typically the peak orders per day per dark store that is possible to do? So, when you're talking about numbers like 50%, 60% utilization, when it happens, you start to open another dark store in the same location. So just want to get a sense in terms of what this number could be?

Albinder Singh Dhindsa : Ashwin, this can really differ depending on the configuration, the size of the facility and the kind of use cases we serve out of that facility. We used to have different benchmarks at different points of time, and they have evolved over time. If you had asked us two years ago, we used to think we could at max do 2,500 - 3,000 orders in a day in our stores. Now, we have stores that have done 4,500 orders in a day.

So, this is going to be an ever-evolving problem statement, defined more by how we are able to evolve our tech and processes to be able to process these numbers and also the configuration of the infrastructure that we have. So, there is no benchmark on this. And we continue to innovate and even within our existing ecosystem, we changed the benchmark that we had for what is the maximum number that we can do from a

particular store.

Ashwin Mehta : Yes. Fair enough. The second one on the fixed cost side. So, if I look at your fixed cost on a per dark store basis, that seems to be within a very tight band on the Blinkit side. So why are we not seeing the leverage per dark store basis in fixed cost as the growth has been pretty strong?

Kunal Swarup : Hi Ashwin, Kunal here. The right way to think about it is to compare it on a year-on-year basis with revenue growth. So, revenue has grown 100% year-on-year, whereas fixed cost base has grown 18% year-on-year. And that shows you the operating leverage clearly. The leverage per dark store exactly, I don't know how you're computing that, but that may or may not reflect the full operating leverage.

Ashwin Mehta: Okay. Secondly, in terms of food ordering, what proportion of our GOV or M TUs would have been driven by Zomato Gold this quarter?

Akshant Goyal : So, we're not talking about that, Ashwin anymore. Last quarter, we reported about 40%, currently it is higher than that.

Page 13 of 14 Ashwin Mehta : Okay. Okay. And thirdly, in terms of trying to recoup, say, the reduction in customer delivery charges because of Zomato Gold, do you think the platform fee increases should be able to compensate that? Because my calculation seems to suggest you would probably have fallen from, say, INR 27 per order to more like INR 16 over the last 5 quarters?

Akshant Goyal : So, it will not fully recover it. That's not how we look at the business. Idea is not to make every Gold order as profitable as every other order. The overall objective of the business is to maximize absolute profits. And if that means we have to invest in some areas of the business and make money in some other areas, we'll do that. So that's how we're looking at it.

Ashwin Mehta: Okay. Okay. And the last one from a Blinkit GOV perspective, any idea on the share of non-grocery that we would have now?

Albinder Singh Dhindsa : No, Ashwin, we're not providing that split.

Moderator : Ladies and gentlemen, in the interest of time, we will now take last one to two questions. The next question is from the line of Navin Killa from UBS. Please go ahead.

Navin Killa : I had a couple of questions. In fact, these are related to the previous questions. So, for the current quarter, particularly for the food delivery business, is there any sense we can get as to the trends in AOV because I think you did mention that there was a little bit of benefit that you got from higher AOVs as well?

And then secondly, as a percentage of your total, I don't know whether you look at it as total supply or total GMV, what would be cloud kitchens today for the food delivery business?

Kunal Swarup : So, I'll take your first question. Yes, like I said, AOV increases were largely seasonal. So, you would see some sort of reduction maybe on that number, but difficult to predict. And we're not giving any particular guidance, especially around that. As far as cloud kitchen share of GOV is concerned, again, that's not a metric that we report Navin, but directionally speaking, yes, in terms of the new supply that is getting added, a lot of that is on account of cloud kitchen. And overall, over the years, the share of cloud kitchens has increased in the overall mix that we have on the platform.

Navin Killa : Right. And would it be fair to assume that the commissions that you're able to charge the cloud kitchens would be more than the normal brick-and-mortar restaurants?

Kunal Swarup : We don't share that mix, and I don't think they would be very different. It's now broadly in a certain range, whether it is cloud kitchen or dine-in restaurants. So, I wouldn't say there's a big difference there.

Moderator : Next question is from the line of Samarth Patel from Equirus. Please go ahead.

Samarth Patel : I have two questions. First one on Blinkit, just to expand on the GOV growth point. So, given

that now we are nearing Adjusted EBITDA breakeven in the business, what would be our

Page 14 of 14 strategy regarding the expansion of new stores? Will it be focused primarily on GOV growth or on enhancing margin post breakeven? So, I just want to get a qualitative idea from a two

three years' timeline perspective.

Akshant Goyal : Yes, Samarth, we've prioritized growth here for sure and growth is more a function of how much we're able to execute and what opportunity we see in terms of number of new store additions. So, whatever that leads to in terms of margin is where we land. But if we see opportunity for good quality growth, then we'll not shy away from it and if we have the bandwidth and resources to expand, then we'll do that. And that's the sort of mindset we are working with here.

Samarth Patel: Understood. Clear. Second question on the food delivery side, like we reported 3% adjusted EBITDA margin for the food delivery and near -term guidance is around 4% to 5%. Given that there will always be inherent economies of scale in this business, we can sort of keep on expanding the margin. So, would we be focusing on margin expansion, or we will plow back the margins again after we achieve our near -term guidance and move the trend line of growth to, let's say, 25% GOV growth? So, what would be the strategy there in terms of GOV growth and margin expansion?

Akshant Goyal: See, if we have levers to be able to influence growth to that extent, then we'll definitely do that. But the point is that it's also dictated by market competition, et c. So, at this point, we're doing all we can. Again, like in my previous response, I would say that idea is on good quality growth and if that comes at cost of some margin compression, then it's okay with us, theoretically speaking, but that hasn't happened so far, and we've been able to deliver margin expansion along with growth. At some point in the future, that might change as margins mature. But for now, that trajectory will continue.

Moderator : Thank you. Ladies and gentlemen, we will now conclude this conference call. Thank you for joining us, and you may now disconnect your lines.

Call: May 2024

ZOMATO LIMITED

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To

Department of Corporate Services,

BSE Limited

Phiroze Jeejeebhoy Towers, Dalal Street,

Mumbai – 400 001 To

Listing Department,

National Stock Exchange of India Limited

C-1, G-Block, Bandra - Kurla Complex

Bandra (E), Mumbai – 400 051

Scrip Code: 543320, Scrip Symbol: ZOMATO

ISIN: INE758T01015

Subject: Transcript of the earnings conference call conducted on May 13, 2024

Dear Sir/ Ma'am,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed transcript of the earnings conference call conducted on May 13, 2024.

The same is also hosted on the website of the Company at [https://www.zomato.com/investor - relations/financials](https://www.zomato.com/investor-relations/financials) .

For Zomato Limited

Sandhya Sethia

Company Secretary & Compliance Officer

Place: Delhi

Date: May 17, 2024

Encl.: As above

Page 1 of 14

Zomato Limited Q4FY24 Earnings Conference Call
Transcript

May 13, 2024

Management Representatives :

1. Deepinder Goyal – Founder & Chief Executive Officer, Zomato Limited
2. Akshant Goyal – Chief Financial Officer, Zomato Limited
3. Albinder Singh Dhindsa – Founder & Chief Executive Officer, Blinkit
4. Kunal Swarup – Head , Corporate Development, Zomato Limited

Page 2 of 14 Moderator: Ladies and gentlemen, a very good evening and welcome to Zomato Limited's Q 4FY24 earnings conference call. From Zomato's management team, we have with us today, Deepinder Goyal, Founder and CEO; Akshant Goyal, Chief Financial Officer; Albinder Singh Dhindsa, Founder and CEO of Blinkit; and Kunal Swarup, Head of Corporate Development .

Before we begin, a few quick announcements for the attendees. Anything said on this call, which reflects outlook for the future, or which could be construed as a forward -looking statement may involve risks and uncertainties. Such statements or comments are not guarantees of future performance, and actual results may differ from those statements. Additionally, please note that this earnings call is scheduled for a duration of 45 minutes, and we will be starting directly with the Q&A section of the call.

If you wish to ask a question, please use the raise hand feature available on your Zoom dashboard. We will announce your name on the call and unmute your line post which you can proceed with your question. We will wait for a minute while the question queue assembles. The first question is from the line of Manish Adukia from Goldman Sachs . Please go ahead. Manish Adukia : Thanks for taking my question . Congratulations to the team on the quick commerce milestone. My first question is on the outlook for the segment. Now with your plans to double the store count in the next 12 months, what is your expectation of how much time could these new stores take to reach contribution breakeven? And is it likely to be meaningfully longer than the two months number that you had called out in the previous quarter . And a related question, you talk about the 4x increase in GOV due to expansion in some of the larger cities in terms of store count. Is there a timeframe you're targeting for this 4x increase or is it like more medium to long-term aspirational number . I have one more follow -up after this, but I'll just stop here for a minute.

Albinder Singh Dhindsa : Manish, this is Albinder. So, in terms of the store count increase, like you mentioned, a lot of our increase is now indexed to the cities which are growing, such as Bengaluru , Hyderabad, Mumbai and a few other cities. The time to breakeven usually varies depending on whether we are opening a store in an existing location or a new location. We expect that it will not increase meaningfully (time to breakeven) , but it will be higher than the two months that we have put in our last letter , and we are already accounting for that in our projections as well. But outside of that, what you will see us do more and more is just going into under -penetrated markets in the top four cities and opening more stores over there.

Manish Adukia : Sure. My other question was on the 4x increase in GOV.

Akshant Goyal : Broadly what we are saying is that the store count will double from here over the next 12 months and most of those stores will come in the top 7 -8 cities . We do believe that even in Delhi NCR, there is meaningful room to add more stores. Delhi NCR will continue to remain

Page 3 of 14 our largest market, while the other cities will also start catching up . That is how we look at it for the next 12 months.

Manish Adukia : Right. So Akshant just to confirm on this particular comment. You're saying at an overall Blinkit level, you could potentially see your GOV go up by 4x in the next one-to-two-year period. Is that what you're suggesting?

Akshant Goyal : No, it's a function. We're not trying to put any timeline to this. The comment was to essentially highlight the fact that for us today, outside of Delhi NCR , the other metro markets are significantly underpenetrated. And over time, as these markets get to the scale that we are at in Delhi NCR today, would mean that the business would have grown by 4x . So that has to be read in conjunction with t

he other statement that we have made, which is that we're planning to double our store count in the next 12 months. So while there's going to be some overlap here, it doesn't mean that all of this will happen in the next 12 months.

Manish Adukia : Right. Okay , thank you for clarifying. And the last question, now that the quick commerce segment has seen an acceleration in MTC's in the quarter again, while your food delivery trends have been somewhat volatile. What in your view explains this divergence? And could this continue? I mean, basis your comment on quick commerce , definitely looks like quick commerce could continue to be strong. But on food delivery, is there any expectation of

reversal or acceleration in MTC 's? Or could that be in the same ballpark for some time?

Akshant Goyal : Even if you look at the last 12 months, Manish, the MT C's have grown in line with the overall growth in volumes . They've grown around 20 -odd percent. We expect that as the business GOV continues to grow 20% + (which we have guided on), that will likely be a combination of some AOV increase and order volume increase and majority of the order volume increase would come from transacting custom ers growing. So, we expect that to continue.

Moderator: Next question is from the line of Ankur Rudra from JPMorgan.

Ankur Rudra : Congratulations on the profit milestone. On Blinkit, if I can start, we've seen a huge amount of experimentation that you've done on the ground, which seems to be yielding very good results.

When you take this to completion, let's say, over the next two or three years, do you see yourself get to a point where you start moving beyond just quick commerce to other forms of delivery timelines also?

Albinder Singh Dhindsa : Ankur, right now, we are focused more on operating our quick commerce supply chain more efficiently. We don't have any plans of experimenting with any other supply chain mode ls right now.

Ankur Rudra : And maybe just a quick follow -up on that one. In terms of the next two or three years, your rollout plan is quite aggressive like you suggeste d. The business has been negative cash flow so far, will this remain the case as you go into a more accelerated rollout while maintaining 0% margins?

Page 4 of 14 Albinder Singh Dhindsa : Our attempt is to keep reinvesting back into the business to grow as fast as possible while

maintain ing neutrality on the EBITDA side - that's our strategy . Based on how expansion goes in a particular quarter, the numbers might be up and down, but it will not significantly deviate from our stated objective of remaining at least EBITDA neutral, if not positive.

Moderator : Next question is from the line of Swapnil Potdukhe from JM Financial. Please go ahead.

Swapnil Potdukhe : So, a couple of questions from my end. First, on the ATC number that you used to share for food delivery. I presume that it used to be around 60 million odd number of users. Has that changed meaningfully since then? And question two, is there any sense on what will this number be for Blinkit, a similar like -to-like number?

Akshant Goyal : Swapnil, on the food delivery side, the ATC's have grown by about 10% YoY . We have share d that data with you in the data pack that we put up on the investor relations website. It's not there in the letter. And on the Blinkit business, I'll have to check. The business is only a couple of years old , so we haven't had a chance to look at the business on an annual lens yet, but I can check and come back to you.

Swapnil Potdukhe : Okay. Got it. And the second question was with respect to the improvement in profitability of Hyperpure. Is there any guidance that you have for us here? When can we expect the profitability trends to improve? That's point number one . And point number two is, for how long can we expect the growth to be so strong in the Hyperpure business on a Q oQ basis . The trends have

been very strong for the last so many years. But will there be a base effect at some point of tim e, and if yes, can you give some sense around that?

Akshant Goyal : Sure, Swapnil. I think base effect is already showing up. If you see the growth rates , they have come down from 146% YoY to 99% in Q4 (from Q4FY23 to Q4FY24) . As we scale, we do expect that it will trend downward slightly, but will remain healthy and reasonably high.

Similarly, on the margin front, if you look at the last five to seven quarters, directionally, the EBITDA margins have improved from negative 9% in Q4 last year to negative 2% now , and we expect that change to continue. Our focus here right now is not getting to breakeven but continuing to solve for growth in the business. We believe the business is still sub -scale as far as the opportunity is concerned. And hence, while the margin improvement will continue, we are really focused on driving more growth at this point.

Moderator : Next question is from the line of Aditya Soman from CLSA.

Aditya Soman : Quick question. So firstly, on Blinkit , the guidance of doubling the stores is fairly straightforward but would you also see the per store throughput to continue along similar lines? That would be question one.

Akshant Goyal : Aditya, throughput per store is a function of the weighted average . Directionally, it will not go down, but again, expansion can be lumpy. It's very hard to predict o ur pace of expansion, given there are so many external dependencies that are there when you open a store. So not

Page 5 of 14 accounting for one / two quarters here and there, but directionally, we expect the average throughput per store to continue to increase over time. But if the growth is lumpy, then there could, of course , be one-off quarters along the way.

Aditya Soman : Understoo d, that's very clear. And secondly on Zomato Everyday, can you throw a little more light? I think recently, there was some press that even Swiggy is restarting their daily service.

So, any more light on Zomato Everyday?

Akshant Goyal : Yes, that's a business or a use case we've been trying to develop for over a year and a half . And finally, we believe that we have good confidence on being able to scale that use case, keeping in mind customer experience and also economics , given that it's a low AOV use case. We want to continue expanding Everyday. Right now, it's largely in Gurgaon , but over the next few months, we'll see maybe Mumbai and Bengaluru being added as cities where we'll launch Everyday, and then we'll take it from there in terms of other cities that we want to expand in. So, it will be a slow gradual expansion over time.

Aditya Soman : Very clear. In Bengaluru , you've already launched in a few neighborhoods, right? So, you'll just expand it further?

Akshant Goyal : Yes, we'll scale that now.

Moderator: Next question is from the line of Abhishek Banerjee from ICICI Securities.

Abhishek Banerjee: Yes. So again, super set of numbers. Just to understand the growth trajectory that you are now guiding for in Blinkit, seems like you're trying to do a land grab with regards to at least intensifying the density in the urban locations or probably plugging the coverage gaps. Is that in relation to the competitive intensity in the space given most of your competitors at this point of time cannot really match the scale of growth . Because there was a business case for probably driving the EBITDA margin slightly higher before you go on this kind of an expansion plus retail expansion is often very challenging, trying to find the right real estate. So, if you could give us some clarity as to what kind of drove this decision making, that would be really helpful.

Akshant Goyal: Yes. Abhishek, so our plan was to expand slowly in the last 12 months and now expand aggressively . I don't think this has anything to do with competition or even margins .

It's more

dictated by the confidence we have in the business because the expansion can be really expensive if it doesn't work out. It's also dictated by the bandwidth that we have , to be able to open these new stores, which requires time to build capabilities, both in terms of team and infrastructure . So adjusted EBITDA breakeven is more an outcome of where we are today. We've not really thought of the business in the way where we said, okay, let's get to breakeven and now we should expand. It just happens to be the case now that we are at that milestone. And from here on, as we feel confident about the business fundamentals and believe that we have the capability to expand at a higher pace than what we have done in the past, we will

Page 6 of 14 continue doing that. And while doing that, we believe that we should remain adjusted EBITDA breakeven, but that's not the goal here. The goal is to now expand as much as we can , now that we clearly see signs of the business doing well.

Abhishek Banerjee: Understood. Just to add on to this question. Now you are talking about opening more stores in the top 8 cities . Now if you could give us some color on the kind of AOVs that you see in the top 8 cities, vis -a-vis, the Tier 2, Tier 3, that would give us some idea of how the AOVs should be expected to move because I would think that the AOVs in these bigger cities would be higher. So given you are expanding your reach within these cities, the AOV blended could actually move up. Any color on that?

Akshant Goyal: Broadly , what you're saying is true that AOVs are higher in the top 8 cities. But if you see the mix of top 8 versus the rest, I don't think that is likely to change meaningfully. Because while we are expanding in top 8 cities and within top 8 , focusing more on non -Delhi NCR cities, expansion beyond top 8 cities also continues . Even in the letter we have mentioned that only about 75% of the stores we opened were in the top 8 cities , 25% stores were still in the non -top 8 cities. So that mix of top 8 and non -top 8 cities is likely to remain the same. And hence, I don't think what you are saying regarding weighted average change in AOV is going to play out at this point.

Abhishek Banerjee: Understood. And on the food delivery business , last month and a half , you have really started priming the innovation engine. We've seen a lot of new initiatives being undertaken there. If you could give us some color on those, such as the group ordering one and all, that would be very helpful.

Akshant Goyal: Yes. Our idea is to constantly think of what can drive value for customers in our business. And the only way to win long term is to continue innovating. And not just last two months, we've been at it always. And sometimes, some of these things end up culminating , in terms of execution , at the same time, and we will continue to press the pedal on innovation, as we've always done.

Abhishek Banerjee: Got it. But specifically for the group ordering thing, how big can it really become over the next coming years?

Akshant Goyal: We don't know. We'll know in the next 6 months. We'll keep sharing data as and when things become meaningful in our business . We will make sure that we share that with our investors . But we'll have to first execute well . Announcement doesn't mean that we have solved the problem. There's a learning curve in everything that we do , we'll have to continue executing

and solve for it, and then hopefully share the results as and when they become meaningful.
Abhishek Banerjee: Got it. And with regards to the priority delivery or better monetization of the Gold program, as in differential pricing, are we any nearer to the implementation of that? Because that could really boost your profitability in the food delivery segment.

Page 7 of 14 Akshant Goyal: These are all tactics. We take real-time calls on these things such as

pricing, et c., depending on

the competitive environment and what we are seeing on the demand side. So nothing specific to comment here.

Moderator: Next question is from the line of Ashwin Mehta from Ambit.

Ashwin Mehta: Can you hear me?

Akshant Goyal: Yes, Ashwin. Please go ahead.

Ashwin Mehta: So one question in terms of expansion beyond Delhi NCR to Bengaluru and Mumbai. How do you see the dynamics differing? Because in Delhi NCR, you were the incumbents. In Bengaluru and Mumbai, there is more entrenched competition. So from a dynamics perspective, how would that expansion differ in your view?

Albinder Singh Dhindsa: Ashwin, so even in Bengaluru and Mumbai, we believe we are already the largest player in terms of GOV. The point that we were trying to make in the letter was that there is still a lot of opportunity for us to go to these markets and meaningfully expand because we think that the Delhi NCR market has been able to grow in quick commerce due to the product-market fit and the quality of service that we've been able to provide. And we feel that as we touch more customers in these cities with our quality of service, with our selection, the quick commerce market over here will also meaningfully expand to the size of the Delhi NCR market.

Ashwin Mehta: Okay. Fair enough. The second question was, you've mentioned in the letter that you are charging INR 20 per delivery in Blinkit but some of your competition is kind of discounting delivery. So how do you see that? Will you continue to be more prudent here or will there be a need to possibly react to that?

Albinder Singh Dhindsa: Ashwin, like we mentioned in the letter as well, our focus is to build a valuable service that customers actually are willing to pay more for rather than trying to provide an inferior service and leaning on discounting to grow. And that will be our strategy going forward as well.

Ashwin Mehta: And the last one, Delhi NCR growth was 7% sequential in this quarter. That appears to be a little soft, given that we've also indicated that we've added stores as well as users. So, is there something to read into the slower growth here because our overall growth seems to have been pretty healthy, but Delhi NCR seems to have slowed down?

Akshant Goyal: So Ashwin, there is seasonality also involved here. The overall business grew at 14%, and most of our new stores in this quarter were actually non-Delhi NCR. So, to that extent, 7% growth is not bad according to us. There's no saturation here in terms of demand or anything. As I said earlier, the growth will be lumpy not just one way, but in many ways. There could be quarters where we end up opening more stores in a particular city. So these things will keep going up and down.

Page 8 of 14 Ashwin Mehta: Okay. And if I can just squeeze the last one. For Blinkit, we saw AOV drop in this quarter, given that we've expanded into adjacencies. Is it that some of this is not going into GOV and possibly going into take rate or is it more a seasonal factor?

Akshant Goyal: Seasonal factor. Even last year, we saw that dip in Q4, if you recall, and this year, the dip has been significantly lower than what we had last year. Assortment expansion leading to AOV increase is still playing out if you look at year-on-year comparison.

Moderator: Next question is from the line of Gaurav Rateria from Morgan Stanley.

Gaurav Rateria: The first question is with respect to the store expansion acceleration that we saw during the quarter, and it happened with very sharp improvement in contribution margin. So just trying to understand when the new store additions happen, does that have an impact more on the overhead cost below contribution margin level or does it have an influence on contribution margin as well?

Akshant Goyal: It has an impact on contribution margin also because the way we define our contribution, a lot of fixed c

osts are sitting above that. For example, the entire store operating cost is above that (contribution). So the impact is on both sides, and the increase in contribution you see is a function of the negative impact of new stores and the positive impact of the older stores increasing in terms of profitability.

Gaurav Rateria: Got it. Second question is on the data that you guys shared on store count and GOV city-wise, which is quite useful for comparison. Curious that this store count expansion is possible without necessarily changing the dynamics on competition because you think these markets are underserved or do you think this is also likely to up the ante on the competition for Blinkit?

Albinder Singh Dhindsa: Gaurav, nothing that we are doing is a function of looking at competition. Our viewpoint has been that we are able to go into markets and actually gain meaningful share because of the quality of our service. The quality of our service is everything in our business - it is assortment, it is timely delivery, it is the quality of products as well. We still see an opportunity to be able to go and do that and expand the overall pie of quick commerce in all of these markets, and that's what we're going to focus on.

Gaurav Rateria: Got it. Last question on steady-state margins that you guys shared. I think from the time you broke -even in food delivery to getting to a steady state of 4% to 5%, it's been eight quarters, and now maybe in another four to five quarters, you will get to that level. The journey for quick commerce should be similar or might be a little bit longer than that of food delivery to get to steady state because it's a much faster growing market, food matured much earlier. And hence, this investment required is much higher than that of food for quick commerce.

Akshant Goyal: So Gaurav, very speculative at this point. Very hard for us to say. It depends on the potential size of the market here, how many stores we end up opening and so on. So at this point, we're not in a position to very specifically answer that question.

Page 9 of 14 Moderator: Next question is from the line of Sachin Salgaonkar from Bank of America.

Sachin Salgaonkar: Congrats on the quick commerce breakeven milestone. I have three questions. First question on take rate of Blinkit. Any color you could provide how much is ad? How much is core take rate? And how big could ad as a percentage of GOV be in, let's say, medium term?

Kunal Swarup: Sachin, we don't provide that breakup. The take rate has increased by one percentage point in this quarter. And it's a composite number, including product margin, ad income, and delivery charges. And at this point, we expect each of these to contribute towards the growth in take rate.

Sachin Salgaonkar: Got it, Kunal. Just a quick follow-up out here. We did see volatility in AOV from quarter-to-quarter. Should we expect a similar volatility in take rate or just because ad as a percentage of AOV continues to improve, we won't see that volatility?

Albinder Singh Dhindsa: I think some of it will be there as we also expand into different categories, but there is definitely an element of seasonality in our AOV. And there is also an element of seasonality in our product mix that we are able to sell on the platform. Therefore, you will see some amount of volatility across the average take rates. But overall, the trend for us has been that as a result of improvement on commissions on products and advertising and delivery fees, we've been seeing an upward tick in the take rate consistently, and we expect that to continue.

Sachin Salgaonkar: Any color on new use cases you guys are looking to add to the Blinkit platform? Anything on the services part out here?

Akshant Goyal: Please follow Albinder's Twitter (now X) handle for that.

Albinder Singh Dhindsa: We launched luggage today, if anybody wants to buy.

Sachin Sal

Salgaonkar: And sorry, just a quick follow-up out here. Clearly, you talked about an aggressive store expansion going into more places and broadening and widening the reach. Should we, at some point, expect the Blinkit MT C's to cross the Zomato MTC's?

Akshant Goyal: Absolutely. I think that seems like it will happen.

Sachin Salgaonkar: Got it. 12 to 18 months or difficult to give a timeline, Akshant?

Akshant Goyal: Difficult to give a timeline.

Sachin Salgaonkar: Got it. Last question. Any specific reason for increase in ESOP costs this quarter? Couldn't get that from your shareholder's letter.

Kunal Swarup: Like we have explained, part of it is towards the Blinkit leadership team and senior employees, and that is the reason for the increase in current quarter, as well as the increase that we've alluded going forward.

Page 10 of 14 Moderator: Next question is from the line of Vijit Jain from Citi.

Vijit Jain: Just two questions. One, regarding the Blinkit dark store acceleration, you will add 475 -odd stores this year. Would these mostly come with existing dark store partners in these cities, Bengaluru, Mumbai, Hyderabad, and Delhi? Or do you need to add new partners there? That's my first question. And the related question, if I got the math of it right, you have 32 stores each in 6 cities, 62 stores in Bengaluru, 178 in Delhi NCR. So essentially, in that 500 -odd stores you're going to add, it's about 100 each in each of these other non-Delhi NCR cities, that is Bengaluru, Mumbai, Hyderabad. Is that interpretation, right? What I'm trying to get at is if 180-200 is the right store count for larger cities for you to kind of do 10-minute deliveries to almost everyone you can target?

Akshant Goyal: Vijit, that way that number is much higher. I don't think we'll even get to 178 in each of the 3/4 other large cities within the next 12 months. That might take longer. And from a more long-term perspective, each of these 4/5 top metros can easily have, for example, 500 stores each. So that runway on store expansion will continue fairly meaningfully beyond the next 12

months.

Vijit Jain: Got it. And how about the dark store partners? Do you need them to ramp up also in a meaningfully different way? Or do you think that is not a constraint to your growth plans?

Albinder Singh Dhindsa : Vijit, we are always looking for good partners for our dark stores. We are also expanding the footprint of our best operating partners in the existing cities. But we 're also looking and talking to a lot more entrepreneurial folks that are looking to open these dark stores. And we 'll increase that number as well. But our methodology more or less will remain the same.

Vijit Jain: Got it. And my last question, just sticking to Blinkit , if you could discuss a little bit on the non - food share in the Blinkit GMV mix. And just a clarification, you have said before that food delivery should see 4% to 5% of GOV in few quarters. That's still very much the timeline, right, few quarters?

Akshant Goyal : I think so.

Vijit Jain: Okay. And how about the first question, sorry?

Albinder Singh Dhindsa: We don't give the breakup of the different category mix, Vijit.

Vijit Jain: Thanks, those were my questions and congratulations for Blinkit breakeven in this quarter .

Moderator: Next question is from the line of Abhishek Bhandari from Nomura.

Abhishek Bhandari: So Akshant, can you talk about the vesting schedule of the new ESOP policy? And longer term, what is the thinking of the management on the ESOP pool? The last pool, what we issued was large enough at 5%, when the market cap was much smaller. But even today, the 2% looks a large amount. So thinking around the new ESOP pools also will be helpful.

Page 11 of 14 Akshant Goyal: Yes. So Abhishek, on employee cost, we look at the summation of ESOP cost and the cash employee expense together. And as we've

mentioned in our letter, that expense as a percentage

of Adjusted Revenue has come down meaningfully from 29% in FY22 to 12% in FY24 . And we expect that to continue, which is the operating leverage in the business. And within that, then there is a balance between ESOPs and cash compensation. And we believe we have to maintain that balance . The last dilution that we did on the ESOP front was prior to our IPO and we still have a large part of, or at least some meaningful portion of that ESOP pool with us today to be granted to employees. But we just wanted to expand that a little bit by 2% right now and we believe then with that, we should be good for the next 5 years at least or more in terms of adequately incentivizing our leadership and generally employees at Zomato and Blinkit.

Abhishek Bhandari: Okay. Let me ask you in another way. This quarter, we roughly had INR 160 crores of ESOP cost. So let's say, on an annual run rate basis, INR 650 -odd crore annually. How should we think about next 2 to 3 years?

Akshant Goyal: So again, I will take you back to that point of looking at the total employee expense . We don't want to guide on specifically the ESOP costs at this point because we don't want to get ourselves into a box here. We want to have the flexibility on that front as long as the total employee cost is within a range.

Abhishek Bhandari: Yes, the reason for asking this, Akshant, and sorry for persisting here , is because we get measured on Adjusted EBITDA. So for us, it's an important metric to look at. So if you could give us some kind of indication, that will be helpful. Should we consider this INR 160 crores as the new run rate?

Akshant Goyal: Yes, it will increase from INR 161 crores for sure going forward.

Moderator: Next question is from the line of Vivek Maheshwari from Jefferies.

Vivek Maheshwari: A couple of questions. First, on the store additions. How easy or difficult is it for you to get this kind of real estate? Because as I understand these are not on high streets. But still, you need a larger plate . So where are you on that curve in terms of getting those 1,000 stores out there?

Albinder Singh Dhindsa: So right now, we have a fairly healthy pipeline. We are always looking for and scouting and building our database around real estate in the cities that we operate in. So far, we have not faced any material issues in being able to get the kind of real estate that we're looking for. In addition, we have also been innovating on that front to be able to work with different configurations of real estate. So as we open more stores, we learn how to do more things in better ways, and that's what we'll continue to do.

Page 12 of 14 Akshant Goyal: Having said that, Vivek, in all our guidance , there is some element of hope. So it's not like we have everything tied up for these 500 stores. But we are fairly hopeful that this is a realistic target to take for the next year.

Vivek Maheshwari : Got it. And the other bit , you have been somewhat calibrated in store additions so far and now you are accelerating it. In a typical retail business, we have seen that , there is a fair amount of retailers who choose wrong locations , which necessitates calibration as you go forward. In your case, you know a lot of business nuances already. When you think about moving or

accelerating it, do you think there is a risk of getting the wrong sites, or are you very fairly confident about it? That's one part. And second, how do you view the cannibalization, since a lot of these stores are going to be in existing cities. It's not a risk-risk, but from a short-term perspective, throughputs in the existing store go down because the next neighborhood store is coming up. Is that something that we have to bear in mind?

Albinder Singh Dhindsa : On the second one, Vivek, even if the throughput in neighboring stores go down, the customer experience improve

s meaningfully for us. In our view, it's the right thing to do, and it also gives us bandwidth for adding more products for the customers as well. So we are usually not shy about opening stores in existing locations just on the off chance that the throughput of a neighboring store might get affected. To your first question in terms of real estate and how to get the locations right. Look, we will get certain locations wrong, and we do. And as a business, our objective is to decrease that miss rate as we learn more. But we feel fairly confident that the numbers that we are putting out, we will be able to deliver on that with a good enough hit rate and while making sure that the business and the P&L is healthy. So the guidance that you're seeing is an outcome of that confidence.

Vivek Maheshwari : Got it. The other question is on the AOV number, which has been fairly strong. Do you think as you get into, let's say, more neighborhoods or the mix of Delhi NCR goes down, is there a risk that, that number settles down on an average to a lower level than where it is today?

Albinder Singh Dhindsa : Vivek, right now, there are way too many factors which affect AOV. Like we mentioned, there is seasonality, there's assortment addition, which is also another vector of growth in the business. And then there are different city habits, but we don't expect any material movement because of expansion in the AOV overall.

Vivek Maheshwari : Got it. But can it get diluted, Albinder?

Albinder Singh Dhindsa : No, we don't expect that it will be diluted. But like we said, AOV has many more components rather than just being affected by the cities that we are opening the stores.

Vivek Maheshwari: So just one thing, Albinder, on this. Keeping the seasonality bit and portfolio mix the same, the cities other than Delhi NCR, do they have somewhat similar AOVs or Delhi NCR is by far ahead of everything else?

Page 13 of 14 Albinder Singh Dhindsa : No, as our service in the city gets better and our assortment gets better, most cities tend to, or

at least the top cities are converging to a similar number. Again, I would reiterate that there are a lot of factors which affect AOVs. For example, MRPs for most products in Mumbai tend to be higher than in Delhi. So, there are more than one factor which affects the AOV number. The takeaway I would want you to have is that we don't expect that the city expansion is going to have a material impact on AOVs.

Vivek Maheshwari: Okay. Got it. And last one, if I may, Albinder, Akshant, because there is so much of excitement around quick commerce, you are accelerating the store additions. What are your top one or two worries that you have about quick commerce at this stage? The proof of concept, everything is done now. What is it that worries you from a next 12 to 18 months perspective?

Albinder Singh Dhindsa : Vivek, we have to innovate on behalf of our customers. And we have to be paranoid about not falling behind on that innovation ladder. Because we believe that our business is all about constantly making things better, constantly innovating, getting better products to the market. That is what at least keeps me up at night. And in order to innovate at that pace, what you need is your teams to be not just on their toes, but also to be smart and humble and realize that they need to also show up every day to make lives better for our customers. So on both these fronts, these would be my biggest worries, that we keep innovating and then we have the people who also have the right mindset to keep innovating.

Moderator: Ladies and gentlemen, in the interest of time, we will now take the last one to two questions.

The next question is from the line of Gaurav Malhotra from Axis Capital.

Gaurav, checking with you again. Can you hear us? Seems like he is facing some technical difficulties. So, we'll move on to our next participant, Samarth Patel from E

quirus Capital.

Samarth Patel: Can you hear me?

Moderator: Yes, please go ahead.

Samarth Patel: I have three questions. Just adding on to previous participant's point, typically, FMCG companies in India typically allocate 8% to 9% of revenue to A&P spends. Now considering that Blinkit could be getting around 3.5% to 4% of GOV according to my estimates, how should we think about advertisement income going forward, especially considering that there could be some categories with low or no advertisement income such as foods and vegetables or electronics. So just your thoughts on the same would be helpful.

Akshant Goyal: So yes, Samarth, broadly we expect the advertising revenue in Blinkit to increase from where

we are today. But at this point, we don't want to give a guidance on where it can go. But so far it's been a major driver of unit economics, and that is expected to continue.

Samarth Patel: Just next question on Blinkit as well. So you mentioned in the shareholder s' letter that a steady -state margin for the business could be around 4% to 5%. What could be fixed cost as a

Page 14 of 14 percentage of GOV in the steady state? Would that number be materially different than food delivery business? The point I'm trying to get is, what would be the contribution margin required to achieve that kind of adjusted EBITDA in the business.

Akshant Goyal: That will broadly be similar to food because below contribution, we just have like people cost and marketing cost, which we don't think is going to be meaningfully different between the two businesses.

Samarth Patel: Okay. Got it. That was really helpful. Now the third question on the food delivery side. Do you foresee further rise in take rate through advertisement income in food delivery business? Or do you anticipate that it would primarily be driven by, customer side initiatives such as increasing the platform fee or the new value -added services that we introduced, like quick deliveries for an incremental fee? Would it be on the restaurant side, or the customer side is what I'm trying to get here.

Akshant Goyal: Samarth, we don't think of the business that way. We think of it more in terms of optimizing absolute profits in the business while providing the best experience to customers. And to be able to do that, these answers on economics keep changing . So, there is also an element of competition here and what they are doing and so on. We don't have a target on each of these line items that, take rate can go up to here and ad sales can go up to here. We're just juggling multiple balls with an overall intent of taking the margins in the business to a certain point and driving growth in the business. So yes, I would not be able to therefore comment specifically on the potential on each of the line items in the unit economics.

Moderator: Thank you. Ladies and gentlemen, we will now conclude this conference call. Thank you for joining us today, and you may now disconnect your lines.

Call: Aug 2024

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To

Department of Corporate Services,

BSE Limited

Phiroze Jeejeebhoy Towers, Dalal Street,

Mumbai – 400 001 To

Listing Department,

National Stock Exchange of India Limited

C-1, G-Block, Bandra - Kurla Complex

Bandra (E), Mumbai – 400 051

Scrip Code: 543320, Scrip Symbol: ZOMATO

ISIN: INE758T01015

Sub: Transcript of the earnings conference call conducted on August 1, 2024

Dear Sir/ Ma'am,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed transcript of the earnings conference call conducted on August 1, 2024 .

The same is also hosted on the website of the Company at [https://www.zomato.com/investor - relations/financials](https://www.zomato.com/investor-relations/financials) .

For Zomato Limited

Sandhya Sethia

Company Secretary & Compliance Officer

Place: Gurugram

Date: August 8, 2024

Page 1 of 14

Zomato Limited Q1FY25 Earnings Conference Call
Transcript

August 1, 2024

Management Representatives :

1. Deepinder Goyal – Founder & Chief Executive Officer, Zomato Limited
2. Akshant Goyal – Chief Financial Officer, Zomato Limited

3. Albinder Singh Dhindsa – Founder & Chief Executive Officer, Blinkit
4. Kunal Swarup – Head , Corporate Development, Zomato Limited

Page 2 of 14 Moderator: Ladies and gentlemen, a very good evening and welcome to Zomato Limited's Q1FY25 earnings conference call. From Zomato's management team, we have with us today, Deepinder Goyal, Founder and CEO; Akshant Goyal, Chief Financial Officer; Albinder Singh Dhindsa, Founder and CEO of Blinkit; and Kunal Swarup, Head of Corporate Development.

Before we begin, a few quick announcements for the attendees. Anything said on this call, which reflects the outlook for the future, or which could be construed as a forward-looking statement, may involve risks and uncertainties. Such statements or comments are not guarantees of future performance, and actual results may differ from those statements. Additionally, please note that this earnings call is scheduled for a duration of 45 minutes, and we will be starting directly with the Q&A section of the call.

If you wish to ask a question, please use the raise hand feature available on your Zoom dashboard. We will announce your name on the call and unmute your line, after which you can proceed with your question. We will wait for a minute while the question queue assembles.

Moderator: The first question is from the line of Ankur Rudra from JP Morgan. Please go ahead.

Moderator: It seems like he is facing some technical difficulties. We'll circle back to Ankur. The next question is from the line of Vivek Maheshwari from Jefferies. Please go ahead.

Vivek Maheshwari: Hi. Can you hear me?

Akshant Goyal: Yes, hi Vivek. We can hear you .

Vivek Maheshwari: Good evening. A few questions. First, on the food delivery business , on a YoY / QoQ basis, the growth looks quite impressive, and it has come without any impact on margins by and large, which means that there may not be major promotional discounts in the quarter. When we talk to some of the discretionary companies, the view is that there may not be a slowdown but a moderation in growth for sure and a bit of caution from a near -term perspective. What are your thoughts on the near -term food delivery business in terms of growth? Any concerns on the horizon for you?

Akshant Goyal: Hi Vivek. We believe that GOV growth of 20% plus should be able to continue in the near term as well . Currently, we're trending at 27%- 28% YoY growth. So that might fall a little, but by and large, we don't see any specific concerns on the demand side at this point, at least in our business.

Vivek Maheshwari: So, Akshant, are you not picking up any caution from the restaurant partners?

Akshant Goyal: No, nothing specific at this point.

Page 3 of 14 Vivek Maheshwari: Interesting. And the other thing is on the margins bit in the food delivery business. So, the 4%

to 5% journey, by when do you target to get there? Is it going to be more moderate from here, or do you think by the exit of FY25 you should be there?

Akshant Goyal: It's hard to comment on the exact timeline there. The idea is to grow the right way and invest in areas that we need to while we continue to scale. So, we're not working with a particular timeline as a goal and then working backward from there. That's not how we are operating right now. But as you can see, the margin has been expanding over time while we continue to invest in growth and the long-term health of the platform. And there are so many variables as you're saying, there's demand, which over the last two years has been unpredictable, and there is competition and so on. We'll do the right things and hopefully continue on that journey on margin expansion from thereon. And in a few quarters from now on, we should get to that range we're talking about, we're not very far from that now.

Vivek Maheshwari: Got it. Regarding the QC bit, you have explained it quite well in the letter, but these 2,000 stores, I think you are saying latest by March 2026. Two parts to that: one is the store ramp-up period, and if you are adding, the competition will also f

ollow for sure. What would this imply

from a profitability standpoint? Again, I have gone through your letter in detail but would love to know more. If I think your guidance last time was flattish EBITDA on an absolute basis for the next few quarters, do you see that slipping into the red in both cases, of you adding stores and therefore inefficiency of the new store as well as competition following suit, which may increase competition in micro market?

Akshant Goyal: So, Vivek, again, it's very hard to say. At this point, we don't think that will happen, and that's why we have said that we believe the business will remain profitable. But of course, as you are saying, there are so many variables and factors at play here. So it's not like what you're saying cannot happen. It can, but it doesn't look likely right now. From a longer -term perspective, we have fair confidence that this business can be as profitable as food delivery in terms of margin, if not more. By when we get to that margin is a function of the pace of expansion and the competitiveness in the market, which is hard to predict in the short term. But from a long-term perspective, we feel fairly confident that we'll get there.

Vivek Maheshwari: Got it. And last question, anything more on the announcement on the District? Anything big picture you can share with us?

Akshant Goyal: Nothing, Vivek. I think we've mentioned how we think about the Going-out business in the letter. We will continue executing on that and share more updates as and when we have them.

So nothing specific beyond what we have shared in the letter.

Vivek Maheshwari: Got it. Looking forward to that and wish you all the very best.

Akshant Goyal: Thank you.

Moderator: Next question is from the line of Vijit Jain from Citigroup. Please go ahead.

Page 4 of 14 Vijit Jain: Yeah, thanks. So, Akshant, my first question is just a housekeeping one. There's a reduction in Google Maps APIs from this quarter onwards for India, right? Is that a material contributor to your bottom line?

Akshant Goyal: No, Vijit. That is not going to impact our profitability meaningfully from here. Because I mean, what we read in papers is more of a headline number, but at least what we've analyzed, it doesn't seem to impact our profitability meaningfully at this point.

Vijit Jain: Got it. Akshant, the second question is on the delivery-related charges. I'm just wondering if the increase is QoQ and likely on a per-unit basis as well, and is that across both food delivery and quick commerce?

Kunal Swarup: Hi, this is Kunal here, Vijit. There is some increase, but what you see in the P&L is a function of the amount net of customer delivery charges, right? Yes, customer delivery charges have been declining as our Gold proportion increases. But net of that, there is no meaningful change to the delivery cost number.

Vijit Jain: Got it, Kunal. And I have just one last question. In the quick commerce business, if I look at the fixed costs below the contribution line, it seems largely flattish QoQ. I know your wage increases are in the September quarter, if I remember correctly. Is that how one should look at it for the quick commerce business as well? Because one would have thought there might be some G&A increases related to all the new store additions, etc.

Kunal Swarup: Yeah. The total fixed costs that you would compute are a function of multiple factors. One is corporate costs, and then there's also marketing cost. Some of these costs balance each other out sometimes. There could be some increase in corporate costs due to the scale of the organization increasing but at the same time, there could be a quarter where we spend a little less on marketing. So that's what could happen, corporate costs would have grown, but you don't see it at the total level.

Vijit Jain: Got it. Will District be a separate app? I'm sorry if I missed that in the letter if y

ou specifically

mentioned it. Or is it going to be like the way Going-out shows up on the Zomato app right now?

Akshant Goyal: So yeah, we're planning to launch this as a separate app and brand. We want to take the advantage of the traffic that we have on the Zomato app. So it's going to be pretty much like how we built Blinkit, which is a separate brand and separate app, but still making sure that we keep our cost of customer acquisition lower using the traffic that we have on the Zomato app.

Vijit Jain: Great. Thank you so much, and congrats. Great set of numbers again.

Akshant Goyal: Thank you, Vijit.

Moderator: Next question is from the line of Sachin Salgaonkar from Bank of America. Please go ahead.

Page 5 of 14 Sachin Salgaonkar: Hi, thanks for the opportunity, and congrats on a good set of numbers. I have three questions.

First, I just wanted to understand, in terms of opening up stores and going all the way to 2,000, it's very clear that you will go into areas where you are not incumbent or have a first-mover advantage. With that in mind, how do you intend to differentiate versus competitors and get users to switch to your platform?

As you know, it's not easy for users to switch. You are clearly in a dominant position in an area like NCR, and competitors often struggle to get any consumers from you.

Albinder Singh Dhindsa: Hi Sachin, this is Albinder. Even if you look at the 113 stores we opened this quarter, a significant number of them were not in NCR. Our focus is to maintain a high quality of service. In the markets where we are expanding, we believe the service level, both in terms of the selection available to customers and the consistency of service, is not at the same level that we provide. So, when we are opening into these locations, we are finding success in getting customers to start adopting our service over time.

Sachin Salgaonkar: Got it, Albinder. Just a quick follow-up there. Any sense of the overlap between users of Zomato and other platforms or Blinkit and other platforms?

Albinder Singh Dhindsa: It's not something that we actively track.

Sachin Salgaonkar: Got it. The second question is on the Blinkit take rate. For this quarter, should we not read too much into the GMV mix, or was there something particular that didn't lead to an improvement in the take rate here?

Albinder Singh Dhindsa: I think the take rate is dependent on a lot of factors. We also had some amount of food inflation, which was about 2 rupees 40 paisa when it came to the AOVs for staples and other products. When there is more inflation, sellers usually tend to pass along some of the cost benefits to the customer to maintain competitiveness. Take rates are usually a function of many of these things. Since a large chunk of the business is still FMCG, food, and staples, those factors are also significant when we look at take rates. Overall, we are seeing our proportion of products outside the core category increasing, and those also have higher take rates. But I don't think you can read too much into the product mix based on the take rates.

Sachin Salgaonkar: Got it. And from a 3 to 4 year perspective, what should lead to an improvement in take rate? Is it mainly the mix or is it the ad (income) ?

Albinder Singh Dhindsa: I think both of them.

Akshant Goyal: Also, the delivery fee. That's also part of the take rate that you're computing. So it's the gross margins, the delivery fee, and ad income. We think we should see benefit accruing across all these three line items.

Sachin Salgaonkar: Thanks, very clear. My last question is on the size of the stores. Clearly, you are opening more stores, and as you mentioned in the shareholder letter, you are gaining share from e-commerce.

Page 6 of 14 Is there a thought process to have bigger stores than the existing ones to improve the assortment?

Albinder Singh Dhindsa: Yeah, I think our preference is always

to open larger stores, and our current inventory of the stores that we're looking to open are on average larger than the ones that we have. But a lot of it is dependent on the real estate available in the cities. So it usually tends to be a mix.

Sachin Salgaonkar: Got it. Thanks and all the best.

Albinder Singh Dhindsa: Thank you.

Moderator: Next question is from the line of Aditya Soman from CLSA. Please go ahead.

Aditya Soman: Hi, can you hear me?

Akshant Goyal: Hi Aditya, yes.

Aditya Soman: Excellent. So a few questions. Firstly, on Blinkit stores, any idea of how many of these would be sort of owned or managed by you versus outsourced?

Albinder Singh Dhindsa: Our attempt is to make sure that every new store that we open is eventually run by a local partner.

Aditya Soman: Understand. And how much of the growth in Blinkit was driven by new SKUs given that you're really expanding the number of SKUs?

Albinder Singh Dhindsa: So, I think overall, we don't actually demarcate it and provide that information. However, we've been consistently adding SKUs over the last four quarters. Some of our categories have become a significant percentage of the platform. As a result, they are now starting to contribute meaningfully to the overall growth number because the customer wallet share increases for us when that happens.

Aditya Soman: No, I understand. Very clear. Switching gears to the food business, do you have any sense of the order growth on the food side and how that's trended? Secondly, regarding Gold subscribers, can you provide any sense of the number of Gold subscribers and how that is affecting delivery fees?

Akshant Goyal: On the food delivery side, GOV growth is largely a function of order volume growth. There is a bit of AOV growth year on year, but mostly it is order volume growth. Regarding Gold membership, I think the program has matured in terms of size. It is increasing month on month, but there is no significant change from the data we shared a couple of quarters ago when we said that almost half of our GOV is from Gold members. So we are ballpark in the same 50-55% zone today on the Zomato Gold membership base.

Page 7 of 14 Aditya Soman: That's very clear. And maybe just one follow-up on Blinkit, on the new store order count. You mentioned a few calls ago that you were sort of hitting your thousand orders a day in two months and then it would widen. Where are we today in terms of the 113 stores that you have launched in the previous quarter?

Albinder Singh Dhindsa: It's pretty much the same right now, Aditya. We're still taking two to three months in terms of getting to that scale.

Aditya Soman: Fair enough. All right. That's it from me. Thank you.

Akshant Goyal: Thank you.

Moderator: Next question is from the line of Swapnil Potdukhe from JM Financial. Please go ahead.

Swapnil Potdukhe: Hi, guys. Congratulations on a good set of numbers. My first question is more of a clarification with respect to the comment that you mentioned that the industry growth expectation in food delivery is around 30%. Is that an indirect way of suggesting that you expect to grow at 30%

GOV for the next five years? And if that is the case, we have been growing at around 25 to 30% in the last three to four quarters. What gives you that confidence of growing at a faster rate?

Akshant Goyal: Just to be clear, that statement is for our own business. What we mean is that from FY20 to FY24, our food delivery GOV has grown at a 30% CAGR. So we're not talking about the industry there.

Swapnil Potdukhe: Yeah, but do you aspire to grow at that rate? And if that is the case, what would be the levers that will drive higher growth?

Akshant Goyal: We are already growing at 27 -28%, right? So we're very close to that. We do believe there is a chance we can continue growing at that pace. However, the overall expectation from a longer - term perspective is s

till that we should at least grow at 20%. As we have seen in the last few quarters, we're doing more than that. So we don't know whether we will be able to deliver 30%, but at least 20% should be possible.

Swapnil Potdukhe: Got it. Very clear. The second question is also a kind of clarification. Your take rates in food delivery have improved QoQ, but your contribution margins have come down. You mentioned that the higher share of Gold affected your delivery charges. Was there also an element of the elections or the heat waves affecting the supply and leading to some incremental spending?

Akshant Goyal: Yes, that's right. That did play a role in slightly lower contribution margins this quarter.

Swapnil Potdukhe: And we should expect that to reverse going ahead, some of it, if not all.

Akshant Goyal: That is right. But again, in this quarter, we have expected rains, which puts pressure on the delivery cost. Different quarters have different dynamics on various line items. However, the

Page 8 of 14 overall larger message is that directionally, the overall adjusted EBITDA margin should continue increasing from here.

Swapnil Potdukhe: Got it. And then one question on the macro front. We have been hearing a lot from the government about plans to implement social security benefits for delivery partners. If those changes do take place, how do you see the impact on your margins across the board, both for food delivery and quick commerce?

Akshant Goyal: There is no clarity on these topics at this point. Different states are taking different views on how these welfare benefits should be administered, and the exact impact on the P&L is not clear at this point. However, we don't expect it to be very meaningful. At this point, we don't expect it to impact our margins. We should be able to absorb this in our business or even pass it on to the customers.

Swapnil Potdukhe: Got it. And on Blinkit, there is a mention of a share shift from mid to premium range modern retail in large cities. Could you explain which retail formats we are talking about? Or could you use some examples to clarify what you mean by that point?

Albinder Singh Dhindsa: Hey Swapnil, when we talk about modern organized retail, we mean multi -store format organized retailers. These might not be at the scale of hypermarkets but are used by customers more often for during-the -week purchases. I would rather not name the other players, but I'm sure there are plenty of examples in every city of this kind of modern format, which is typically multi-store operated and caters to the premium end of the customers.

Swapnil Potdukhe: Got it. And just one last question. We have seen some increase in your capex this quarter QoQ. Is that entirely related to Blinkit? Especially given the fact that you mentioned partnering with local partners for new store expansion. How do we tie that up with the increase in capex?

Kunal Swarup: Hi Swapnil, Kunal here. It's a combination of the Blinkit store scale-up and partly, we're increasing some warehousing capacity on the Hyperpure side. So it is both of these things combined but a larger proportion is the Blinkit part.

Albinder Singh Dhindsa : And just to clarify, even when we open stores with partners, our policy now is that we actually take the upfront cost of the capex because we find that we are able to do a higher quality capex rather than expecting the partners to invest in the high- quality capex that we expect.

Swapnil Potdukhe: Understood. And there's also a working capital release of around INR 175 crores if I'm not wrong. Is that related to the calendar dates that you used to highlight earlier or something else?

Akshant Goyal: Yes, Swapnil. It's that, and also a bit of growth in line with the Hyperpure business. That's a business where we have positive working capital. So, as that business is growing, we've seen some working capital growth on account of that as we

II.

Swapnil Potdukhe: Got it. Thanks a lot guys for the opportunity and all the best and keep doing well.

Page 9 of 14 Akshant Goyal: Thank you.

Moderator: Next question is from the line of Gaurav Rateria from Morgan Stanley. Please go ahead.

Gaurav Rateria: Hi, thanks for taking my question and congratulations on a solid set of results. My first question is on food delivery. I want to understand how broad-based the growth was across the top eight and non-top eight cities. When we look at the top eight cities, what has been the driving factor for growth? Is it driven by user growth, frequency, or average order value? I'm just trying to understand the key factors driving the growth in the top eight cities as well.

Kunal Swarup: Hi Gaurav. The growth is fairly broad-based across the top eight and non-top eight cities. As we mentioned before, even in the top eight cities, from a supply standpoint, we still have enough work to do on supply sufficiency, both in terms of onboarding existing restaurants and increasing the choice for customers with new restaurants and cuisines. So, as we work on supply, that has had a bearing on growth as well. I wouldn't attribute too much of the growth to AOV, as Akshant mentioned earlier. So it's largely more supply sufficiency and more customers that have been the bigger drivers in the top eight cities.

Gaurav Rateria: Got it. Secondly, on quick commerce, any online model has three key tenets: selection, price, and convenience. How are we solving for selection? You did mention that some locations have gone to the extent of 22,000 SKUs, but there is always a push and pull between the size of stores required to store these SKUs and the time required to deliver them within the 10 to 20-minute bracket, right? I'm trying to understand how you are solving for that constraint from a business model perspective. What's been the experience in some of these locations where you have been able to take the SKUs to more than 20,000?

Albinder Singh Dhindsa: Gaurav, the experience for the customer is always more delightful when they have a larger selection, like you said. And how we do it, that's part of the magic and we would rather not talk about that.

Gaurav Rateria: Okay. And last question from a use of cash perspective, you've been generating cash. Any opportunities that you would be looking at from an inorganic perspective or any change in philosophy or thought process from returning of cash to shareholders?

Akshant Goyal: No, nothing beyond what we've already shared, Gaurav, in terms of investment opportunities. Even on distribution back to shareholders, as we have mentioned in the past, that's not something we're considering right now. We want to retain a strong balance sheet at this point.

Gaurav Rateria: Thank you. All the best.

Moderator: Next question is from the line of Samarth Patel from Equirus. Please go ahead.

Samarth Patel: Am I audible?

Akshant Goyal: Yes, you are.

Page 10 of 14 Samarth Patel: Thanks for providing this opportunity. My first question is for Akshant. We have implemented a platform fee, or you can call it a convenience fee, of Rs. 5 to 6 in food delivery, which was almost zero last year. Given that the only online category that has successfully implemented a convenience fee is the OTA sector, how much flexibility do we have to potentially increase this platform fee without adversely affecting our volume growth in food delivery?

Akshant Goyal: I think we will know that only with time. As you're saying, this is untested waters for a business like ours. So we're taking it step by step and will see how sensitive the demand is to the platform fee and take a business call accordingly.

Samarth Patel: Just a follow-up to that question. Is it going to be a dynamic fee? Let's say, in terms of higher volume on any particular day, are we planning to charge a different platform fee, or is it going to be m

ore or less static in nature?

Akshant Goyal: All these are options and, as I said, nothing is cast in stone. We keep experimenting with ideas and depending on what makes more sense, we'll take that call and move on. So at this point, there's no fixed formula that we have in mind that we want to stick to. We have to be open-minded and keep experimenting.

Samarth Patel: Okay, thank you. That was helpful. Now, the second question is for Albinder. Can you share some qualitative insights on the ramp-up of new stores? You mentioned that the order volume growth is similar to last year's store openings, but in terms of breaking even at a store level, can you share some insights, because the AOV could be different in the markets we are entering, which largely determines profitability.

Albinder Singh Dhindsa: Like I said in the last call, the path to profitability of a store depends on many factors, one of which is the geography in which we open and whether it's a store in a geography where we already operate, and the kind of area that store serves. There are a lot of qualitative factors involved. We don't like to look at averages when it comes to the time it takes for a store to become profitable. Instead, we internally track each store's journey and its own timeline, and whatever the outcome, we are confident in it. In general, we have seen that the time to profitability has been decreasing as our network has been expanding, our brand has been getting stronger, and our selection across the board has gotten better.

Samarth Patel: Understood. And the last question is, as a previous participant also asked, we have been expanding our SKUs. Currently, in some stores, as you mentioned in the shareholder letter, you are at 25,000 unique SKUs. There is always going to be a trade-off between speed, cost, and assortment width. Are we okay with sacrificing some speed and cost to increase our assortment width, or given the kind of tech-enabled model we have, we are confident that we will be able to maintain cost and speed within defined parameters while increasing the assortment width? Additionally, how far are we from the maximum number of SKUs that we can add to these stores?

Page 11 of 14 Albinder Singh Dhindsa: So Samarth, I think the answer is the second one. We want to stick to, and we continue to stick

to, delivering all of this assortment in ten minutes. That will always be our operating principle moving forward as well. In terms of the SKU count we can reach, as we expand more and add more SKUs, we will also keep innovating on that front. So I don't think there is a limit that we can define as the maximum number of SKUs we'll be able to serve in a neighborhood. Two years ago, we used to serve up to 5,000 SKUs in the same neighborhood; now we are at 25,000. So, I think that number can still go up meaningfully.

Samarth Patel: Understood. That was really helpful. Thank you and congrats on great set of numbers.

Moderator: Thank you. The next question is from the line of Manish Poddar. Please go ahead.

Manish Poddar: Hi, thanks for giving me the opportunity. I have three questions. First, can you help me understand how your market share in the food delivery business has been trending in south India?

Akshant Goyal: I think our market is fairly broad. It's hard to have a sense of the absolute market share, but what we can track is how we are growing directionally compared to the overall industry, including aggregators and restaurants that sell directly on their platforms. In some markets in the south, if you take a slightly longer view of the last two or three years, we think our penetration and share in those markets have grown meaningfully.

Manish Poddar: But let's say, if you compare your national market share to your market share in those regions, is there a gap within 10 percentage points, or is it still at 25%?

Akshant Goyal: We think so, and I believe we are very close

to our national average even in the cities in the south where, historically, three or four years ago, we were meaningfully lower.

Manish Poddar: Okay. That's interesting to hear. The second question is about the quick commerce business.

What would the broader mix of GMV be? How much would be the share of general merchandise and fresh, excluding dairy?

Albinder Singh Dhindsa: Hi Manish. So in the Blinkit business, we don't provide that breakup.

Manish Poddar: Okay. Let me put it another way, if you don't mind. In terms of scaling from the current store count to, let's say, 1,800 to 2,000 stores in the next two years, what do you see as the hindrance to doing that?

Albinder Singh Dhindsa: I think our ability to execute, nothing more.

Manish Poddar: Okay. And the last one, in terms of capital allocation, the deal mentioned in the media articles is probably not happening, and we've gone ahead and are doing this organically. Cash has also been accruing for the last few quarters. So what is the thought for the cash on the books? That's it. Thank you.

Page 12 of 14 Akshant Goyal : At this point, as I mentioned in response to a previous question and also in our past letter, I think there is significant value in having a strong balance sheet given that we are in multiple businesses and most of our competition consists of private companies with large balance sheets as well. So there is no plan for distributing the cash at this point; we'll just hold it on the balance sheet.

Moderator: Thank you. Ladies and gentlemen, in the interest of time, we will now move on to the last one to two questions. The next question is from the line of Rahul Jain. Please go ahead.

Rahul Jain: Congrats on the strong performance. Just curious to understand, is there any specific reason for highlighting the need to increase the store count from 1,000 to 2,000 right away? Is there any insight into why we need so many stores? Is it because the average MTC per store is not expanding significantly, and that's why we need to address a larger audience by significantly expanding the store base? Or do you see a gap in the number of ordering frequency per household in an area, which would mean that addressing a larger audience becomes critical to growth rather than expanding in the same space?

Akshant Goyal: There is no expansion in the same space here. What we have shared is our opportunity and outlook on how large this business can become for us, and we are sharing it now because we feel confident about achieving these outcomes. As we have done in the past, we ensure that we transparently communicate our view on growth opportunities in the business without being overly aggressive. In that spirit, we have shared this outlook of 2,000 stores.

Rahul Jain: This MTU (MTC) per store metric of achieving 11,000 -12,000, is this good given the kind of radius and density that you cater to for a particular store? Or is there a specific benchmark that is considered ideal?

Albinder Singh Dhindsa: We don't think of the business in this way, so I'm unable to comment on this.

Rahul Jain: That's it from my side. Thank you so much.

Moderator: Thank you. The next question is from the line of Kireet Atluri from Jetha Global. Please go ahead.

Kireet Atluri: Hi, I know you don't want to reveal the secret sauce, but I think it'd be helpful for everyone to understand how much software and effort you put into achieving high service levels with what is effectively a franchise model. We've seen many franchise models scale in different countries, but it requires high levels of operating rigor and various internal systems. So maybe

you can break it down at a high level: what are the two or three things you do to achieve this outcome that would be hard for a new or existing player to replicate? Essentially, I think this is like McDonald's, right? You're arguing that you can scale while maintaining service levels and

buy high numbers. So I'm sure it's not as easy as partnering with a local guy, setting up a box, and just putting SKUs in the store. There's got to be more complexity to this. If you could help people understand that, it would be helpful.

Page 13 of 14 Albinder Singh Dhindsa: Great. So I think a lot of this comes from the systems and tech we've built over the years that help us achieve this, along with the operating rigor we've put in place. Those are a given. We generally foster a culture of innovation to reach these outcomes because we believe they create real value for customers. When we think of selection, we don't think of constraints; we think of how to make it happen. That's the culture of the organization, and we solve for that. I believe that once you start solving for it and build the right systems over a long enough period, you will achieve these outcomes. So, to your question, I don't think it is easy to replicate. Of course, it's always possible, but it requires not just operating rigor but also a lot of systems, knowledge of how the entire ecosystem works, and of course, great partners.

Kireet Atluri: Thank you.

Moderator: Thank you. Your next question is from the line of Abhishek Banerjee from ICICI. Please go ahead.

Abhishek Banerjee: Hi, a couple of questions from my side. First, regarding the average order value (AOV), would it be correct to imagine that it is broadly in line with what we saw last quarter, or would 425ish be a better number?

Akshant Goyal: Hi Abhishek, we don't provide that metric so will not be able to comment on that.

Abhishek Banerjee: Fair enough. But the reason I was asking is that if I take the last quarterly numbers and the take rate improvement QoQ, which is about 50 bps, and remove the delivery fees, the assumption is that almost 30 bps is coming from platform fees. So, is the rest coming from advertising? That's what I'm trying to understand.

Akshant Goyal: Again, we won't be able to comment on specific levers of margin improvement due to competitive reasons, as you can appreciate. But yes, as mentioned in the past, ad revenue is growing for us, and so is the platform fee, which is fairly evident to everyone as consumers. So, those two have played a role even in this quarter.

Abhishek Banerjee: Yes. Now, moving on to the Hyperpure business. I know you don't talk too much about it, but it has scaled up even beyond what the most bullish guys were thinking, and it's now an INR 5,000 crore revenue business. Could you give us more details on it, like how many restaurants are being serviced and all?

Akshant Goyal: The business is growing well, but having said that, we still feel that there's a lot of work to be done in terms of unlocking a much larger TAM than what we can see right now for this business. Hence, as you would see, the focus is more on discovering that and solving new problems rather than on profitability at this point in time. So, we want to run this business close to breakeven and see if there are new markets or new customer segments within the restaurant industry that we can unlock and run a few experiments. We continue to do some experiments around that. As and when those scale, we'll be happy to share more details with everyone.

Page 14 of 14 Abhishek Banerjee: Got it. The angle I was asking from is that we've always heard about commissaries that these large QSR chains have. So would it be possible to give some idea of what your pricing differential with these commissaries would be?

Akshant Goyal: Today, we actually don't even cater to large QSR chains as our customers. Our customer segment is mid-level restaurants with a few outlets. The value proposition there is high quality supply delivered in a predictable fashion on demand, on the next day, and priced competitively. This value proposition is currently serving a large section of restaurants well. We need to think harder and create a value

proposition for the rest of the restaurant industry where we can add value to what they're doing today and, therefore, get more business from them. That's a work in progress for us.

Abhishek Banerjee: Finally, on the capex part that Kunal briefly mentioned regarding you doing the capex yourself for the stores, I'm sure you will not be doing that free of cost and would be taking some deposit money or something from your partners. So, where is that coming up? Is that appearing in the other items line?

Albinder Singh Dhindsa: We don't recognize that as revenue or we don't actually have that part of it. It's in the form of a bank

guarantee from the partners. So it doesn't actually come on our books.

Abhishek Banerjee: Okay. But then any specific reason why you would do that? I mean that would make your balance sheet even better.

Albinder Singh Dhindsa: Right. I think we want to be fair to our partners. Many of the partners we onboard are hard-working small business owners who want to have a larger business. Often, they don't have the means to invest large amounts, that they provide a bank guarantee against some of their assets.

To be fair to them, we don't want to be riding on their cash. We go through a rigorous process to select them and trust that they will operate our business the right way. At the same time, we also want to nurture the ecosystem so that hard-working folks actually get an opportunity to upgrade their life by working with us.

Abhishek Banerjee: Understood. But that also gives me the idea that probably one entrepreneur is being given multiple stores in that sense.

Albinder Singh Dhindsa: They have to prove themselves with the first one, but then we can give them more at our discretion.

Abhishek Banerjee: Understood, so that was very, very helpful. Thank you so much for the opportunity. And yes, again, excellent performance. And I think not much to add on that.

Albinder Singh Dhindsa: Thanks, Abhishek.

Moderator: Thank you. Ladies and gentlemen, we will now conclude this conference call and thank you for joining us, you may now disconnect your lines.

Call: Oct 2024

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Sub: Transcript of the earnings conference call conducted on October 22, 2024

Dear Sir/ Ma'am,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed transcript of the earnings conference call conducted on October 22, 2024 .

The same is also hosted on the website of the Company at <https://b.zmtcdn.com/investor-relations/Earnings-Call-Transcript-Q2FY25.pdf> .

For Zomato Limited

Sandhya Sethia

Company Secretary & Compliance Officer

Place: Gurugram

Date: October 29, 2024

Encl .: As above

Page 1 of 14

Zomato Limited Q2FY25 Earnings Conference Call
Transcript

October 22 , 2024

Management Representatives :

1. Deepinder Goyal – Founder & Chief Executive Officer, Zomato Limited
2. Akshant Goyal – Chief Financial Officer, Zomato Limited
3. Albinder Singh Dhindsa – Founder & Chief Executive Officer, Blinkit

4. Kunal Swarup – Head , Corporate Development, Zomato Limited

Page 2 of 14 Moderator: Ladies and gentlemen, a very good evening and welcome to Zomato Limited's Q 2FY25 earnings conference call. From Zomato's management team, we have with us today, Deepinder Goyal, Founder and CEO; Akshant Goyal, Chief Financial Officer; Albinder Singh Dhindsa, Founder and CEO of Blinkit; and Kunal Swarup, Head of Corporate Development.

Before we begin, a few quick announcements for the attendees. Anything said on this call, which reflects outlook for the future, or which could be construed as a forward-looking

statement, may involve risks and uncertainties. Such statements or comments are not guarantees of future performance, and actual results may differ from those statements.

Additionally, please note that this earnings call is scheduled for a duration of 45 minutes, and we will be starting directly with the Q&A section of the call. If you wish to ask a question, please use the raise hand feature available on your Zoom dashboard. We will announce your name on the call and unmute your line, post which you can proceed with your question. We will wait for a minute while the question queue assembles.

Moderator: The first question is from the line of Vivek Maheshwari from Jefferies. Please go ahead.

Vivek Maheshwari: Hi team, good evening. My first question is on the quick commerce competition. You have addressed some parts of this in the letter, but how do you think about the next few quarters, given that there is a capital raise, and your peers are also doing the same? On top of that, Flipkart Minutes has entered, and in general, delivery timelines are going down with delivery companies also talking about participating in this entire quick commerce space, one way or another. What is your outlook from the next two to four quarters perspective?

Akshant Goyal: Hi, Vivek. Akshant here. Thanks for your question. We're focused on our own business. While competition is increasing and the business is evolving, it's still nascent, and there are parts that are not fully built out yet where we need to problem-solve. We're also expanding categories and assortment, so there's a lot of work to be done at our end, and we're focused on that. Of course, we have to watch competition, take cognizance of it, and make decisions accordingly. But largely, I think there's no point in trying to predict what will happen from a competitive standpoint, because everything is still fairly new, and a lot is beyond our control. We prefer to stay focused on our own business at this point.

Vivek Maheshwari: Got it. And Akshant, a follow-up to that. What are the key things that you are monitoring? You mentioned in one of the places that service level is important. But to understand the funnel, if, let's say, 100 new customers are joining the QC platforms, how do you ensure you're getting a fair share of those customers?

Or, put another way, at what point would you say that if there's too much discounting or freebies, you might need to participate or retaliate in some way? What are those parameters that you're monitoring that give you the confidence to not go all-out today, but might change your approach if things go out of control?

Page 3 of 14 Akshant Goyal : We are less focused on market share at this point because our business is growing more than 120% to 130% year on year. That's the capacity we have in terms of how much business we can service sustainably, profitably, and at good service levels.

Beyond that, the number of incremental users coming to the category and the share of that we are capturing is somewhat of a moot point for us, because our business is operating at full capacity in terms of expansion and in terms of the customers that we can service. This is evident in the growth numbers you've seen even for the last quarter, despite the heightened competition.

Vivek Maheshwari : Got it. And Akshant, this is my second and last question, in terms of new store additions. Can

you highlight how many of those will be, let's say, non-Delhi NCR versus Delhi NCR?

Akshant Goyal: If you look at it sequentially, the share of Delhi NCR in our business continues to fall. We had given this data a couple of quarters ago when we had said that the share was around 47%; today, that number is less than 40%.

Suffice to say that as we're now focusing on building out markets beyond Delhi NCR, which was the focus for the first few quarters in our business, we are seeing growth in other cities (beyond Delhi NCR). Today, by GOV, we believe we are the largest player in all the major metros outside of Chennai and Hyderabad. That just shows that the focus is paying off in terms of the growth of the business, even in the non-Delhi NCR markets.

Vivek Maheshwari : Interesting, and just a follow-up to that, Akshant. The narrative has always been - it's a relatively new business, but for the last few quarters, the expectation was that as you enter non-Delhi NCR cities, such as Mumbai, your AOVs would actually start to shrink. But the reality is your AOVs are still moving up. Delhi NCR versus non-Delhi NCR - would it be fair to say that all the cities are in the same ballpark for AOVs, or is Delhi -Mumbai significantly ahead of the other towns and cities?

Akshant Goyal: If you look at the top seven-eight cities, the AOVs are similar, actually fairly similar. In fact,

there could be one or two markets outside of Delhi where the AOV is higher than Delhi. What you mentioned about AOV being lower in other markets - at least we don't see that in our business .

Vivek Maheshwari: Very, very interesting. Thank you, Akshant. And I wish you all the best.

Moderator: Next question is from the line of Aditya Soman from CLSA. Please go ahead.

Aditya Soman: Hi, good evening. I have two questions. First, adding on to the previous question about newer markets, can you give us a sense - obviously, we see that Blinkit is now available in over 40 markets. How many markets do you see yourself entering? And second, how much would the top, let's say, 5 or 10 cities contribute to your overall GOV in the near term, and what do you expect over the next year or so?

Page 4 of 14 My second question is on capex, which you indicated has been around INR 214 crore. Can you give us a sense of where this is being spent, as it has gone up ? This has also led to an increase in depreciation, so any color on that would be useful. Thanks.

Akshant Goyal: Hi, Aditya. In terms of our presence in new cities, we launched in a bunch of cities in the last quarter. With our expansion, we're trying to test two things: first, in how many cities or towns this product or business is viable; and second, within each city , how much depth it has. It's one thing to open one store in a market, which increases the city count, but the next question to address is how many stores a particular city or location can support to run the business profitably.

The city count may not be the right indicator of the depth of this market outside of the top eight cities. Opening just one store in a city may show we launched there, but we're still scratching the surface in terms of the addressable market in that city . This is our current hypothesis, and we need to test it.

Our focus remains on the top eight cities, but at the same time, we also want to ensure we are venturing into newer markets with different demographics to see if this model works or not. We are seeing success in most of the markets we've entered so far, but our immediate focus for building out infrastructure and business remains in the top eight cities, as we believe they are still underserved from a supply standpoint. This represents low er-hanging fruit in terms of opportunity before we build deeply into the smaller cities.

Regarding capex , the bulk was spent on the store expansion that we have laid out in the letter. In

addition to the 152 stores we opened, we also added seven new warehouses. A large part of the capex increase you see is on account of that expansion.

Aditya Soman: Thanks, Akshant. And maybe just quickly on that first point. For a new city, would you measure it again in the same way - orders per store or GOV per day per store? Can you give us a sense of whether, when you say most of those cities have been reasonable, they are hitting the same GOV or orders per store?

Akshant Goyal: That's also a function of the kind of assortment we're able to launch in a store within a city. We definitely look at the absolute scale, but equally important is the ramp -up on how the store performs in the first 7 days, 10 days, 20 days, given the kind of assortment we launch in a particular city. It's a combination of those factors, and yes, as I mentioned, in nearly every city or neighborhood we've entered, we've been positively surprised by the takeoff in the market.

Aditya Soman: Fair enough. And lastly, on the capex , the warehouse, and new stores - would the majority of these new stores be franchised?

Akshant Goyal: It's a combination of franchise and our own stores, like in the past. Our priority remains franchise stores, but when a franchise partner isn't available, we have to go ahead and open our own store.

Page 5 of 14 Aditya Soman: Understood. And will this cost come before c ontribution or below? Will warehouse costs also come before c ontribution or between contribution and EBITDA? So, it will come before contribution, right?

Akshant Goyal: That's right. It's above the contribution line, so everything is captured there. One of the reasons for the margin drag, as explained in the letter, is that when new stores are opened, we incur fixed costs, but it takes a while before the store becomes fully operational. Those fixed costs - whether for personnel, rentals, or other expenses - are all captured above c ontribution in our definition. This is why we haven't seen any contribution margin expansion in the last two or three quarters, largely because of the expansion we're doing.

Aditya Soman: That is very clear. Thanks, Akshant.

Moderator: Next question is from the line of Manish Adukia from Goldman Sachs. Please go ahead.

Manish Adukia: Yes. Hi, good evening, and thank you for taking my questions. I have two questions. Firstly, on the quick commerce business, your AOV has been going up, but the take rate has remained somewhat flat tish. Is this due to the non-grocery mix continuing to improve quarter on quarter, which likely has a high AOV but a lower take rate?

A related question to that, if you look at the e-commerce market in India, which is over \$50 billion with categories like smartphones, electronics, fashion, and possibly beauty being the largest, where do you see the most room for Blinkit to capture a sizeable market share, and where are you seeing the most traction? That's my first question; I'll come back with the second one.

Albinder Singh Dhindsa: Hi Manish, Albinder here. On the take rate, the majority of the impact you're seeing is because of the higher velocity of new store openings. When we open new stores, it typically takes time to ramp up, so the take rates increase over time. With the mix of new stores increasing, you see a slight decrease in the overall take rate.

And in terms of categories, the ones we launched over the past year such as beauty, electronics, and toys are still growing categories. We're still learning which use cases within these categories have further room for growth. This is becoming clearer as we continue to expand within them. For now, we're focused on building out infrastructure, backend, and customer experience across all of these categories.

Manish Adukia: Thanks, Albinder. As you offer more categories, I believe in the last shareholders' letter, you mentioned 20,000+ SKUs that you're potentially offerin

g in a particular area. Will you look to

open larger dark stores to serve the same vicinity, or will you have a network of dark stores, each storing different categories to serve the same consumer? How are you thinking about that?

Albinder Singh Dhindsa: So far, our strategy remains the same. We have always opened the largest dark stores possible since day one, and our strategy is still to continue in the same direction.

Page 6 of 14 Manish Adukia: And just a last question on this point. I think last quarter you mentioned that, despite all these store openings, you expect throughput per store to remain stable, which was the case in the September quarter. Is it also the expectation going forward that, despite continued store rollouts, you don't anticipate any negative impact on store throughput?

Albinder Singh Dhindsa: That expectation stays.

Manish Adukia: Perfect. A second set of questions on capital - where you've highlighted this in relation to the competition. They are raising capital, so you're also looking to raise capital. One question is, how did you decide on the \$1 billion number? Is there any math behind why \$1 billion? And a second question: over time, are you considering potentially owning the inventory in the dark stores? How would that impact either working capital or margins? That's it from my end.

Thank you.

Akshant Goyal: Yes, Manish. The board has passed an enabling resolution to raise up to \$1 billion, which is also subject to shareholder approval. The actual fundraise size will be dependent on demand and market conditions at that time. We'll assess what is right for the business based on those conditions, so we're still open on size.

On your second question, on owning inventory, there are pros and cons to different business models. We believe our current marketplace model works well for now as it benefits both our sellers and our customers. However, we will continue evaluating different options as they become available to us from time to time, especially since this industry and business are still new. As the business matures, things may change, and we'll keep revisiting our approach. At this point, though, there is no plan to move away from our current business model.

Manish Adukia: And just to confirm, in your current shareholding structure as of today, you cannot own inventory. Is that understanding, correct?

Akshant Goyal: Right.

Manish Adukia: Okay. Thank you for clarifying.

Moderator: Next question is from the line of Sudheer Guntupalli from Kotak AMC. Please go ahead.

Sudheer Guntupalli: Hey, team. Congrats on a good set of numbers. My first question is, so there's a lot of noise around economic and consumption slowdown. How do you see this impacting your food delivery, which is generally perceived as more discretionary compared to Blinkit?

Akshant Goyal: Hi, Sudheer. So far, we haven't seen any noticeable impact on our business, though we are watching it as we are aware that some other businesses are reporting it.

As you see in the last quarter, our business grew reasonably well despite adverse weather conditions, and growth could have been even much better without that. In the current quarter,

Page 7 of 14 we're also on track with our plan. There's no visible sign of a slowdown in our business at this point.

Sudheer Guntupalli: Got it, Akshant. My second question is, with this fundraise and the funds being raised by competitors, is it fair to assume that discounting aggression in the industry in general will increase? Or do you have any intentions to increase your own discounting aggression?

Akshant Goyal: I don't think those two things are linked. If we have to do that, we have enough cash in the bank to do that. We're not raising money to start discounting more.

We need do what is right for the business first, and we don't think that discounting is going to help our business at this point in time

. The fundraise is purely to strengthen the balance sheet, and for nothing else.

Sudheer Guntupalli: Okay. And if I understand your prior response correctly, you're saying this is just an enabling resolution, and the size and other specifics have not been decided yet. Is that a correct understanding?

Akshant Goyal: Yes, the cap on the size is an indication of the ballpark range where we want to be. But yes, shareholder approval is pending, and we'll have to have the sense of the market conditions at the time of the QIP launch. We'll take that into account and tweak the size, if needed.

Sudheer Guntupalli: Fair enough. Just one bookkeeping question. You have a tax liability or tax expense this quarter, and our understanding is that some amount of carry-forward losses will help offset it.

Is that completely exhausted, or have we now become a fully taxpaying company? How should we think of that ETR (effective tax rate) item?

Akshant Goyal: This tax is now on the treasury income, as we have run out of unabsorbed depreciation. So, we have to pay tax on the treasury income. As far as the profit from operations is concerned, those are still being offset by carry-forward losses, and that will continue for a while. We likely have a couple of years before we need to pay tax on operating income for the business. This tax expense you see is purely on the treasury income.

Sudheer Guntupalli: Fair enough. And thank you so much and all the best.

Akshant Goyal: Also, we have given a note in Annexure B to explain that, in case you'd want to refer to that .

Sudheer Guntupalli: Okay. Fair enough. Thank you so much. All the best.

Moderator: Next question is from the line of Abhishek Banerjee from ICICI Securities. Please go ahead.

Abhishek Banerjee: Hi again, and congratulations on a great set of numbers. Quickly on quick commerce - your AOV has gone up again to INR 660. Could you help us understand whether there is any seasonality to this increase and how one should think about it going forward?

Page 8 of 14 Albinder Singh Dhindsa: The seasonality in AOV is actually more related to rains. During rainy season, our capacities

get a bit crunched, leading to slightly higher average order values during that time, which helps increase our overall AOV. Another significant factor is that we've been steadily increasing our range. The number of use cases on the app has grown, especially in non-Delhi markets, where we've expanded our overall assortment. This also helps our AOV.

Abhishek Banerjee: Got it. And one more question on quick commerce. From what I understand, you used to have a pretty healthy proportion of customer charges. I remember you used to charge for delivery even for orders above 200 or 300. Of late , we're seeing more instances where you've lowered the threshold to INR 200. Could you explain the thought process behind that?

Albinder Singh Dhindsa: For a fairly long time, our threshold has been INR 200, above which delivery charges drop. Only in cases where we open up new stores in particular localities , during the early stages of the store , we offer free delivery above that amount or a nominal amount . That's likely what you're seeing.

Abhishek Banerjee: Understood. So, earlier, when a new user joined, you would offer this for a few months, and now you do the same for new stores, basically.

Albinder Singh Dhindsa: Yes, because when we open a new store, especially in a previously non-serviceable area, those customers tend to be new to the platform.

Abhishek Banerjee: Understood. That's very helpful. Thank you so much.

Moderator: Next question is from the line of Gaurav Rateria from Morgan Stanley. Please go ahead.

Gaurav Rateria: Hi, thanks for taking my question. My first question is on AOVs for Blinkit. How should we think about it structurally as you add more categories and assortment? Is it fair to believe that this AOV number could structurally

inch up quite a bit?

Albinder Singh Dhindsa: The way that quick commerce works is that customers are primarily using it for urgent use cases. Even in categories with slightly higher AOVs, we don't see that much of an upward increment in terms of AOVs for those use cases because customers are not making really high involvement purchases on the platform.

I think this will continue to be the majority. While there would be AOV growth because of the proliferation of new categories and more customers buying in these categories, we don't think it will materially or dramatically change from the current levels .

Gaurav Rateria: Got it. Second question is on SKUs, how should we think about the limiting factor on SKUs?

Could it go to 30,000 or 40,000 SKUs from a medium-term perspective, and what would be the limiting factor? Also, a related question , is selection no longer as important to consumers from a buying behavior perspective? Even with constrained selection, is delivery timeline becoming more important, hence the traction in quick commerce? What is your sense on that?

Page 9 of 14 Albinder Singh Dhindsa: Customer behaviour around selection is subject to the category of buying we are talking about .

For example, if we're talking about beauty, customers would want a larger selection to make a purchase, but that may not be true for some other categories.

The overall SKU count for us goes up when we decide to launch new categories. For categories where customer buying behaviour is reliant on a wider selection of SKUs, we'll add those SKUs accordingly.

To answer your first question, we expect the selection available to customers to keep increasing for the foreseeable future because we're adding categories that require a broad selection for customers to order within the use cases we're serving.

Gaurav Rateria: At this juncture, you don't see a limiting factor that caps out the model at a certain SKU count because it either compromises delivery timelines or something else?

Albinder Singh Dhindsa: We think of it as a problem to solve, not as a limiting factor.

Gaurav Rateria: Okay. And last question is on what kind of investment one should think about from a transition point of view in the going-out segment for your new app from the existing app.

Akshant Goyal : Gaurav, at this point, we don't know the answer because we are about to launch the new app in the next few weeks, and we'll have to respond to the situation based on how customers transition from the existing platforms to the new app.

We are not in a hurry to actually transition every customer from the existing Zomato and Paytm platforms to the District app. There is no pressing need, therefore, to do it in one shot or to spend inordinately more than what we need to. We'll be in a better position to talk about this next quarter once we have some data points with us.

Gaurav Rateria: Got it, thank you and all the best.

Moderator: Next question is from the line of Divya Jain . Please go ahead.

Moderator: Seems like we are not able to connect with Divya. We'll move on to our next speaker. Next question is from the line of Bhavik Mehta from JP Morgan. Please go ahead.

Ankur Rudra: Hey, hi, this is Ankur from JP Morgan. My first question is on the food delivery business. There has been some moderation in take rates , was there any seasonality involved, what really happened there? Secondly, sticking to food delivery, we've seen experiments on a 10-minute delivery model by one of your peers this quarter. I know you've been experimenting with a version of that too. What is the current thought process of the team? Is there adequate evidence for product -market fit in such a delivery model?

Akshant Goyal: Hi, Ankur, the take rate is just a fluctuation. And you're right, seasonality has a role to play here. It's also influenced by mix changes from quarter to quarter based on the types of

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restaurants people order from, as different kinds of restaurants can have different take rates.

So, I wouldn't read too much into it beyond seasonality.

On your second question - we've been focused on reducing delivery times, increasing restaurant availability, and making sure customers have enough choices closer to them, so delivery times reduce, and the food arrives fresher and hotter. We've seen that this drives more consumption on our platform. Directionally, we're focused on bringing down delivery times. But how do we get there involves various approaches, and it's too early to talk about one particular answer that shows a strong product -market fit. We'll continue to experiment and may be share more in the future once we have better answers.

Ankur Rudra: Okay. Thank you. Moving to quick commerce. You mentioned investments in the business, including new store and warehouse openings, but is there more to it? Are you also investing in changing your existing store profile?

Given that Albinder mentioned wanting to open the largest stores possible, when you aim to do that, and with your category mix and assortment now looking quite different compared to when many of these stores first opened, how much of this investment is going into refurbishing the existing store footprint? How much of the investment is going into beefing up the quality of the supply chain to make it more resilient to the changing nature of the category mix you have ?

Akshant Goyal: Ankur, even over the past two years, as the business has been around, all of this has happened.

In our case, the store design is not the same anymore compared to when we started the business . Everything has evolved. The size of stores has remained fairly constant because there's a real constraint in terms of available space within the cities we operate in.

But outside of that, things like how the store looks and feels, how it's stacked up with racks, the types of products and categories we're servicing and storing, and how replenishment happens - all of that has evolved meaningfully. And yes, all of this impacts the profitability of the business.

As we build, we need to invest in upgrading this entire infrastructure as we learn new things.

Over time, as that learning curve becomes less steep, we expect to see profitability improve as a result of that.

Ankur Rudra: Now, I was going to ask, in terms of quick commerce continuing as we potentially look at

adding more and more and going deeper into electronics and appliances. I know you've launched returns as well. If you play this out over the next two or three years and this becomes a bigger part of your GOV mix, how should we think about its impact on take rate and overall contribution margins?

Page 11 of 14 Akshant Goyal: It's very hard to say, it's like crystal ball gazing right now. But the guidance we've given on margins is that we believe this business can reach 4% to 5% (Adjusted EBITDA margin). With every passing quarter, that seems more realistic and achievable to us.

Ankur Rudra: Okay, last question on the capital raise. I know you've provided a detailed answer in the report, but beyond just keeping a level playing field, how might this potentially expand your strategic options? If, for example, you're able to raise significantly more capital, you're already the most profitable company in commerce in India, and your relative cash position would be among the strongest. From a strategic perspective, are there things you could do that your competitors in the space cannot?

Akshant Goyal: I don't think there's anything specific like that. What we've seen is that a strong balance sheet has helped us build the business in the right way, and the industry has responded well to that. We hope to build out the quick commerce business similarly over the next two to three years without losing this cash.

Ankur Rudra: Okay, sure, thank you.

Moderator: Next

question is from the line of Vijit Jain from Citigroup. Please go ahead.

Vijit Jain: Yeah, hi, thank you. My question is on quick commerce. Overall, in quick commerce, has the audience overlap with the food delivery business in Zomato increased over the last three to four quarters as quick commerce has expanded meaningfully? And a related question to that, do new categories and SKUs actually bring in a new kind of audience into quick commerce?

Akshant Goyal: The overlap is decreasing over time because we're seeing that quick commerce is appealing to a much wider demographic than food delivery. While in terms of absolute MTCs, quick commerce is still small, but that's mainly because the audience it reaches is smaller, given that the footprint is smaller. However, in like-for-like neighborhoods, we see that the overlap is reducing over time as quick commerce appeals to a broader demographic.

Vijit Jain: Correct. Yeah, sure. And would you say that new categories bring in new customers, but is the GMV mix is still skewed towards, say, the top 500 - 1,000 SKUs disproportionately? For example, just as cities are currently skewed more toward Delhi NCR, would you say the same applies to the top 500 - 1,000 SKUs?

Akshant Goyal: Vijit, there is always a Pareto in every business, and it applies here as well. I won't comment on the exact number of SKUs, but yes, there are leading categories. It's also a function of how mature a particular store is. When a store first opens, the assortment isn't as wide as you might see in a more mature store because the audience gradually buys more over time. There isn't a generic answer - it may vary from store to store, but generally speaking, yes, there's a Pareto in the business as well.

Vijit Jain: Got it. And my last question, I mean, you've covered the AOV increase in quite a bit of detail in previous questions, but when you look at your older cohorts of customers, do you see the

Page 12 of 14 quick commerce GOV per month still rising there? And related to that, in Delhi NCR, when you acquire new customers today, are they coming in at comparable AOVs to existing customers, even in Delhi NCR?

Akshant Goyal: The answer to both questions is yes.

Vijit Jain: Okay, got it. Great. Thank you so much. Those were my two questions.

Moderator: Next question is from the line of Sachin Salgaonkar from Bank of America. Please go ahead.

Sachin Salgaonkar: Hi, thanks for the opportunity. My first question is on District, your going -out business. I wanted to understand what use cases come under it, is it ticketing, experiences? And should we also consider travel, like a traditional OTA business?

Akshant Goyal: Sachin, at this point, the plan is to just transition the dining -out business, which we have been running for the last two years, and the new entertainment ticketing business we acquired, to the District app. For the foreseeable future, the focus will be to continue building in these categories, and over time, we'll see if it makes sense to add more categories.

Sachin Salgaonkar: Okay. Makes sense. Thank you. Second question, I just wanted to understand about the fundraise. Has anything changed for you compared to the last few quarters in terms of expansion strategy? Whenever you get this QIP approved, should we see a faster rollout of the 2,000 stores you indicated earlier, or could we see the opening of stores significantly higher than 2,000?

Akshant Goyal: No change in strategy or guidance we've given on these things. If there is, we'll communicate that. As I mentioned, the fundraise will not dictate or influence how we run the business at this point.

Sachin Salgaonkar: Got it. And last question, I just wanted to understand the TAM in quick commerce. Clearly,

when you started, the thought process was that it could cater to the high end of India. But over time, as you've scaled, you've gained bargaining power with FMC

G companies, and as a

process, the price points of SKUs have come down. On the back of this, do you see a meaningful expansion in TAM that could go well beyond, say, the top 30 odd million households?

Akshant Goyal: We don't know that yet. That's what we're trying to discover by expanding into newer cities. Theoretically, it does seem likely, and the data we've seen so far shows it's appealing to a wider demographic. So, at this point, we do feel that it's definitely a much broader TAM than just the top 7-8 cities. We'll know more as we get into smaller cities and build more conviction around this over time.

Sachin Salgaonkar: Got it. And my last question, both of your competitors in quick commerce have some kind of loyalty program. Any thoughts on introducing a loyalty program?

Page 13 of 14 Akshant Goyal: Not at this point.

Sachin Salgaonkar: Okay. Thank you and all the best.

Moderator: Ladies and gentlemen, in the interest of time, we will now take the last few questions. Next question is from the line of Swapnil Potdukhe from JM Financial. Please go ahead.

Swapnil Potdukhe: Hi, thanks for the opportunity. My first question is on fixed costs. I've noticed that your fixed costs in both the food delivery and quick commerce businesses have been rising quarter on quarter quite meaningfully. I understand that wage hikes this quarter could be one reason, and there also seems to be some A&P increase, but this trend has been noticeable for the last two or three quarters. Any view on this?

Akshant Goyal: Yes, the fixed cost below contribution has a few elements. There is marketing cost, server cost, people cost, and infrastructure cost. Also, quick commerce, going-out and Hyperpure are high-growth businesses right now, so some of that increase you see is because of that.

Swapnil Potdukhe: And on the food delivery side, I would have assumed that would be more stable, but there is still a noticeable increase.

Akshant Goyal: In food delivery, the marketing spend varies quarter to quarter, so it's not really a fixed cost. In terms of people, rental, and infrastructure, those costs are quite stable right now. But marketing costs can go up depending on the plan for that quarter, which is why you're seeing an increase in fixed costs.

Swapnil Potdukhe: Got it. And the second question, again on food delivery, is with respect to your ambition of 30% sustainable growth in the near term. Currently, we're at 21%, so there's quite a bit of distance from 30%. Are there any changes in the business model or new initiatives we want to try to move closer to that ambition?

Akshant Goyal: No. I'm not sure where this 30% is coming from. We've always spoken about 20%+ GOV growth as guidance on a CAGR basis over the next few years. I don't think we've ever indicated that the business is likely to grow at 30% in the near term. That's a misunderstanding.

Swapnil Potdukhe: Okay. And on the quick commerce side, I wanted to understand if our AOVs are sustainable. Would it be possible for you to share the SKUs per order? Typically, how many do we have, and how have they moved? Given that we've been adding categories, including some high-AOV categories, does that play a role? Just trying to get a sense of that data.

Akshant Goyal: Too much data, sorry, we will not be able to share this detail.

Swapnil Potdukhe: Okay. And just one last question. I know it's early to ask, but I'd still like to understand the stores in your lower-tier cities where you're currently expanding. How would the operating metrics differ in those stores versus your tier 1 cities, for example, on AOVs, SKUs per store,

Page 14 of 14 store size, rental differences, or delivery costs? Could you provide a broad understanding of how these factors vary in lower-tier cities?

Akshant Goyal: Again, Swapnil, we don't want to share this information. These are all competitively sensitive metrics,

and the business in tier 2 markets is still young, and we're still learning. At the right time, we'll discuss this in our shareholder's letter, but we don't want to give these details right now. Sorry about that.

Swapnil Potdukhe: Okay. Got it, sir. Thanks a lot. All the best.

Moderator: Next question is from the line of Nikhil Choudhary from Nuva ma Capital. Please go ahead.

Nikhil Choudhary: Hey, thanks for the opportunity. My first question is on dark store additions. We've seen quite a bit of ramp up in the last two quarters, and if we maintain the current quarter run rate of 150 dark store additions, we'll more or less overshoot our initial target of 1,000 dark stores by the end of FY25. We could even reach our medium-term target of 2,000 additions by December - 26. Is it fair to assume that we will keep the current pace, or is there an immediate plan to

increase it further?

Akshant Goyal: Hi, Nikhil. This expansion could be lumpy because we don't control the entire process of opening a store. There's a lot of dependency on external bodies, licenses, and so on. So please don't expect this to be linear. That said, broadly, yes, we are on track to achieve the 1,000 stores by March -25 and 2,000 stores by December -26, as per our guidance. But there could be ups and downs along the way, given how the process is, as far as opening a new store is concerned.

Nikhil Choudhary: Sure. My second question is on private labels. We don't have any private label on Blinkit, while some of our peers have launched. And with e-commerce players launching their quick commerce ventures, they are also bringing private labels into quick commerce. Is there any plan to increase the contribution or venture into private labels, which could also help in the contribution margin going forward?

Akshant Goyal: Not considering at this point Nikhil, but we'll continue to evaluate.

Nikhil Choudhary: Sure. That's it from my side. Thank you.

Akshant Goyal: Thank you.

Moderator: Thank you, ladies and gentlemen, we will now conclude this conference call. Thank you for joining us and you may now disconnect your lines.

Call: Jan 2025

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Sub: Transcript of the earnings conference call conducted on January 20, 2025

Dear Sir/ Ma'am,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed transcript of the earnings conference call conducted on January 20, 2025.

The same is also hosted on the website of the Company at <https://b.zmtcdn.com/investor-relations/Earnings-Call-Transcript-Q3FY25.pdf>.

For Zomato Limited

Sandhya Sethia
Company Secretary & Compliance Officer
Place: Gurugram
Date: January 27, 2025
Encl.: As above

Page 1 of 15

Zomato Limited Q3FY25 Earnings Conference Call
Transcript

January 20, 2025

Management Representatives :

1. Deepinder Goyal – Founder & Chief Executive Officer, Zomato Limited
2. Akshant Goyal – Chief Financial Officer, Zomato Limited
3. Albinder Singh Dhindsa – Founder & Chief Executive Officer, Blinkit
4. Kunal Swarup – Head , Investor Relations , Zomato Limited

Page 2 of 15 Moderator: Ladies and gentlemen, a very good evening and welcome to Zomato Limited's Q 3FY25 earnings conference call. From Zomato's management team, we have with us today, Deepinder Goyal, Founder and CEO; Akshant Goyal, Chief Financial Officer; Albinder Singh Dhindsa, Founder and CEO of Blinkit; and Kunal Swarup, Head of Investor Relations .

Before we begin, a few quick announcements for the attendees. Anything said on this call, which reflects outlook for the future, or which could be construed as a forward -looking statement, may involve risks and uncertainties. Such statements or comments are not guarantees of future performance, and actual results may differ from those statements. Additionally, please note that this earnings call is scheduled for a duration of 45 minutes, and we will be starting directly with the Q&A section of the call. If you wish to ask a question, please use the raise hand feature available on your Zoom dashboard. We will announce your name on the call and unmute your line, post which you can proceed with your question. We will wait for a minute while the question queue assembles.

Moderator: The first question is from the line of Aditya Soman from CLSA . Please go ahead.

Aditya Soman : Hi, good evening. I have two questions. Firstly, can you elaborate a little more on the take rate in quick commerce coming off? While you've explained why we've seen profitability worsen because you've brought forward the acceleration in stores and warehouses , can you talk about take rate? And the second question, a related question, why do you feel so confident about profitability improving in quick commerce? I understand store maturity. Can you give us a sense of what proportion of stores will be mature, let's say, in FY26? Thank you.

Albinder Singh Dhindsa : I'll take the take rate question. Aditya, the take difference that you see every quarter -on-quarter is usually just a mix of the product mix itself . QND is typically a quarter where we also see more sales of electronics products, general merchandise and some of the other categories, where percentage wise take rates are lower, but overall revenue profile is healthier. So that's usually the delta that you see. There is no significant trend for the take rate in the quarter that we've observed for the core or for the non -core categories.

Aditya Soman : I understand. Thanks , very clear.

Akshant Goyal : Aditya, on your second question, what we have given in the letter , it essentially breaks down our business into the top quartile cohorts of stores and the bottom quartile to showcase that investments into newer stores, which have lower utilization compared to others, are leading to reduced profitability at an aggregate level . This trend , as we have stated , is likely to continue as we accelerate the pace of new store additions .

However, as you can see from that chart in question two, the stores which have matured are still generating a healthy amount of contribution margin. That gives us the confidence to continue the expansion that we're doing right now.

Page 3 of 15 Aditya Soman : Understood. And has this also been a function of faster new city additions? Because I'm assuming that with new cities, you'll need additional logistics such as warehouses and obviously the AOV or frequency could be lower to start with .

Akshant Goyal : Yes, that's directionally right, Aditya. But new cities are still a very small fraction of our overall expansion. So , it is one of the factors, but not the only one.

Aditya Soman : Understand. And so majority of these new stores then would be just densification in the existing cities?

Akshant Goyal : That's right.

Aditya Soman : Very clear. Thanks.

Moderator: The next question is from the line of Ankur Rudra from JP Morgan . Please go ahead.

Ankur Rudra : Thank you. The first question is about the reason for the accelerated add

itions and bringing the

growth forward . Is this because you see a bigger opportunity in the market versus before , or are you matching competition in the space ?

And secondly, to stick with the city side, our data says you've gone very long in terms of covering over 80 cities probably . Can you talk about the opportunity you see beyond the top 10 or 20 cities, which we previously understood was a core value proposition and how the unit economics, the average bill values and the time to breakeven changes here?

Akshant Goyal : Hi Ankur , Akshant this side. I don't think we took a very conscious call on accelerating the store expansion. It's more of an outcome of the work that we've been doing in the past many months. It just happens that we were able to add a lot more new stores than what we envisaged maybe a year ago when we gave the guidance of getting to 1,000 stores by March -25.

Over the last one year, we've built organization bandwidth to be able to expand faster , and the

increasing confidence in business is therefore allowing us to continue at that pace. The pace of expansion going up has nothing to do with any decision that we have taken in this quarter. It's simply a natural outcome of the work that we've been doing in the past.

Regarding your second question on smaller cities, 80% of our business is still in the top 8 cities. However, we are seeing fairly healthy traction in the smaller cities wherever we have entered, opened stores and launched the service.

From an economic standpoint, the smaller cities, on a payback basis i.e. ROI / ROCE basis look attractive to us. Therefore, we continue to open more stores in these cities. Looking forward over the next one year, a larger portion of our new stores will be in these smaller cities compared to what we saw last year.

Page 4 of 15 Once we have built some fair bit of density in these smaller cities, we will publicly share more data about how these cities are any different, if at all, from the larger cities.

Ankur Rudra : Thank you. Just a follow up question on the fall in take rate as well. Overall, the unit economics seem to have suffered a bit on Quick Commerce. Could you talk a bit about whether it was entirely due to the upfront costs of the network and warehousing? Or were there factors related to marketing costs or subsidies, perhaps given out to match with the competitive activity in the space?

Akshant Goyal : Our marketing cost went up, as we have also mentioned in the letter. But when we say marketing, we mean the digital marketing cost which is below Contribution but above Adjusted EBITDA. Discounts are nearly zero in our business since we are a marketplace business, there are hardly any discounts funded by us on our platform.

The other component of take rate is the delivery charges that we charge from customers. We have seen a slight decline there because of the market and the competition being where they are on the delivery fee. While the decline is not significant, but yes, it has partly contributed to the decline in take rate that you see.

Ankur Rudra : Thank you. Just one last question on food delivery, if I may. Can you share a bit of color on the food delivery growth momentum you're seeing? Was it a lot worse in December? And was there any impact from the increased competitive activity in short-duration food delivery? One of your peers launched that.

There's also a lot of cloud kitchens being launched by you and by competition on the 10-minute side. Any impact of that on the food consumption based on what you've seen?

Akshant Goyal : I don't think any of this has had a material impact on Zomato restaurant aggregation food delivery business so far. All these initiatives (any form of 10-minute delivery in India today), are still at a very early stage and are not likely to move the needle at all, even if you aggregate and put them together. For example,

at Bistro, we are live in only a handful of locations. Other forms of quick deliveries also are largely not cannibalizing the existing business, merely improving the experience.

So, I don't think what you're saying in terms of focus on quick deliveries has anything to do with the slightly lower growth that we have seen in the business last quarter.

Ankur Rudra : Appreciate it. Thank you.

Moderator: The next question is from the line of Vivek Maheshwari from Jefferies. Please go ahead.

Vivek Maheshwari : Hi, good evening team. I have a couple of questions. First is on the food delivery side. The news letter mentions about broad-based slowdown, and this is a comment from other consumption-oriented companies as well. Do you think for you as a company, or for this as a category, it will moderate further before it starts picking up? Your letter mentions again that

Page 5 of 15 things are expected to pick up. What do you think? Because a lot of consumer companies are talking about urban seeing more moderation in the foreseeable future before it gets better?

What is your take?

Akshant Goyal : Look, I don't want to crystal ball gaze here; these things are very hard to predict. They are a function of a lot of variables, most of which are not in our control. At this point, I don't want to comment on how this recovery will pan out. But yes, what we know is what we have reported, and then we see how it unfolds from here.

Vivek Maheshwari : Okay. And through the course of the latter half of the quarter, from November to December, was it broadly stable, or was there any change during those few weeks?

Akshant Goyal : It's a very short time period, and it's also influenced by a lot of seasonality, such as festivals, winters coming in and so on. Therefore, I would not read too much into how those six or seven weeks panned out. Let's wait and watch. This quarter will tell us on how the recovery is and what we are seeing.

Vivek Maheshwari : Okay. Got it. And the second bit is on the AOVs for the Blinkit business. Last quarter, you mentioned the seasonality. The AOV was INR 660, now it is comfortably over INR 700. Do you think this is the new norm that we should look at from, let's say, at least next few quarters?

perspective?

Albinder Singh Dhindsa : No, Vivek. In Q4, we see the festival impact on the AOVs, which with every passing year, is becoming a larger portion of the business whenever they come around, especially the Diwali season. A lot of this increase is an impact of that. Some of it also because of the impact of higher ASP categories like electronics actually becoming larger for us. But this is not a secular trend across quarter -on-quarter. This would probably be a trend to more look forward on a year-on-year basis.

Vivek Maheshwari : Got it. Last question, Albinder, on the Blinkit business again . The retention rates you mentioned in the newsletter are very good. But in the context of competition and we have also seen horizontals getting into quick commerce, do we need to incentivize more to reach the next milestones of 10 million additional customers each time?

For example, I, as a user, like Blinkit and that's why I'm so used to the platform, visiting regularly. But the incremental customers might be less affluent and more heavily targeted by many platforms, including newcomers. How do you see this unfolding over the next couple of years, especially regarding acquiring these incremental users?

Albinder Singh Dhindsa : To borrow Akshant's phrase , I don't want to crystal ball gaze over here. The fundamental truth in our business is that we have to present ourselves to the customers for them to consider us and use us as a platform. And once they do that, then it is the consistency and quality of the service, which retains the customer . And that has many dimensions apart from just pricing. We

Page 6 of 15 are confident

that when we talk about those dimensions and our retention rates because of everything that we do on that end, we should see similar trends going forward as well. We will see the impact of increased competition on the cost of presenting ourselves to the customer, which is primarily our digital marketing cost today . And because there will be more competition over there, we expect this number will go up. But that doesn't impact how we look at our business or what we prioritize, which is essentially the things which drive the retention for us.

Vivek Maheshwari : Got it. Thank you and wish you all the best team.

Moderator: The next question is from the line of Swapnil Potdukhe from JM Financial . Please go ahead.

Swapnil Potdukhe : Hi, thanks for the opportunity. My first question is on Blinkit. Earlier, we used to provide a data point stating that it took approximately two months for a store to reach 1,000 orders per day. I would just like to know the time it now takes for the newer stores, which have been opened in recent months, to reach this number, as this is the point where we typically become contribution positive. Additionally, does the densification of our store network in some cities directly impact the throughput of existing stores due to cannibalization?

Akshant Goyal : Hi, Swapnil, on your first question, there is broadly no material change in terms of the breakeven point compared to what we had shared earlier. If there is, we will certainly inform all the investors and update them. But as of now, we're still operating within the same ballpark , seeing store breakeven in around two to three months. This answer also relates to your next question.

Some of this also depends on what that new store represents. Is it in a new area, a new city, or an additional store in an existing neighborhood? However, for the overall aggregate group of new store additions, that timeline has n't changed at this point.

And yes, you're right. If you open a store in an existing area, it doesn't necessarily cannibalize the existing sales of an existing store, but it does lead to a slowdown in the ramp -up of that store. Hence, it reduces the utilization of the network , and thereby slightly drags down the margin in the short term. However, it builds more capacity for future expansion and assortment expansion.

Swapnil Potdukhe : Okay. By any chance, do you have any SSG (same -store sales growth) numbers that you can share for some of the more mature stores and how they are tracking ?

Akshant Goyal: See, again, as I said, SSG will not make sense here because we are still adding stores in the same neighborhood. So , if I open a new store in the same neighborhood, the first store's SSG will actually not make sense. Therefore, maybe the right metric to look at is the SSG of a polygon or a neighborhood .

Page 7 of 15 We do track that data internally, but it is not publicly shared at this point. However, what I can share with you is that the SSG is quite healthy because most of the network is still underutilized from a capacity standpoint.

Additionally, from a demand standpoint, our penetration in the market is still low. Hence, as we add more categories and as we extend our marketing reach to more customers , we are seeing a fairly healthy SSG at the polygon level.

Swapnil Potdukhe : Got it. And the second question is with respect to your category addition, as you mentioned some categories like electronics, high value electronics, maybe laptops, I saw somewhere.

How do you account for the high MRPs in AOV. Do you consider the MRP as AOV when it comes to this kind of electronics?

Or do you take the commission income, which was, I think, in the case of mobile phones, you used to take the commission income in the AOVs? And does that have a correlation to your AOV increase for this particular quarter?

Akshant Goyal: Swapnil, it's a good question. So, outside of the F&V

category, where we account for the

selling price as the AOV, outside of that, for all other categories, the MRP is counted in the definition of AOV, and that definition is there in our letter, and it is disclosed.

However, as we are seeing the share of products where the delta between MRP and what the brand and seller are selling at is increasing in our business, we are considering disclosing more data from next quarter onwards, which can help shareholders and investors understand the actual customer -paid AOV as well as the gross AOV that we are currently reporting.

Swapnil Potdukhe : Got it. And then later, you mentioned that your growth investments will continue on Blinkit.

Now, should we see your absolute losses increasing hence forth? Or should we expect the percentage number to come down a bit? Any trajectory -wise guidance would be helpful here.

Akshant Goyal: At this point, again, we don't want to give more guidance than what we've already given,

Swapnil. I hope you'll appreciate that, given the market is dynamic and competitive, so, we'll see. But directionally as we have mentioned in the letter, we do expect the investments in Blinkit to go up. And as a result, the losses on an absolute basis are expected to go up in the next one or two quarters.

Swapnil Potdukhe : Got it. And just one last question on food delivery as well. We have been hearing that some of the restaurants are renegotiating their take rates, the commission rates, with you guys. I think your take rates have not meaningfully increased this quarter despite the significant increase in platform fees. That benefit has not reflected in your reported take rate. Is this because you are renegotiating those commissions?

Akshant Goyal: Not at all. Commission renegotiation is a part of our business; it happens every day, every quarter. So, there's nothing special that we are aware of in this quarter.

Page 8 of 15 Swapnil Potdukhe : Got it. Okay. Thanks a lot, guys. All the best for future.

Moderator: The next question is from the line of Yogesh Aggarwal from HSBC. Please go ahead.

Yogesh Aggarwal: Hi guys. I have a couple of questions. Firstly, on the top 50 stores, which are obviously mature stores and have a very high throughput and a contribution margin of 6.4%. Is this the peak we can expect, or is there potential for the contribution margin to increase even for these stores? If so, what factors would lead to further expansion, if any?

Akshant Goyal: I don't think this is the peak. Even for the more mature stores, there is a fair bit of cost that we are paying due to operating in a competitive market, which impacts the delivery fee that we charge consumers and the last mile cost that also applies to these stores. So, all of that in long term will change. As the business scales, our gross margins or sourcing margins should improve, and so should our ad income.

The contribution margin, the way we define it, also includes a lot of fixed costs, which are fixed in nature, including back-end warehousing costs, employee costs, and so on. There's a fair bit of room for the contribution margins to go up from where you see the top 5% stores are today to where they could be, let's say, 2 to 3 years down the line.

Yogesh Aggarwal : Okay, good. The second question is on densification. As you said, the bulk of the new stores are more like network stores in similar cities. Have you seen this result in lower delivery costs?

Because I'm hoping that the delivery radius has come down across larger cities. Has there been an impact on delivery costs, or is that something we should expect in the future?

Albinder Singh Dhindsa: Hi, Yogesh. As densification happens, we do see delivery costs come down, which are primarily a function of the polygons of the stores becoming smaller. However, on an aggregate level, that delta, the rundown is a lot slower because we are also expanding. Like you mentioned

that, with more than 30% of the network being new, when we open a new store, the polygons tend to be slightly bigger, especially if we are opening them in non-serviceable areas of the same city or in nearby cities. It's a combination of these factors. But to answer your core question, as we densify, the last mile cost does come down for us.

Yogesh Aggarwal : Got it. Related to that at the store level, we've seen, at least anecdotally, that the rentals and picker salaries have gone up quite a bit. Is this something that will moderate or normalize? Or is that something you expected in the business model and therefore, it doesn't bother you?

Albinder Singh Dhindsa: That has always been the cost of doing business. It was fairly built into how we think about the business. We also believe that in some areas, there has been an unusual run-up, which we expect to normalize in the near term.

Yogesh Aggarwal : Great, very well. Thank you so much.

Albinder Singh Dhindsa: Thanks Yogesh.

Page 9 of 15 Moderator: The next question is from the line of Gaurav Malhotra from Axis . Please go ahead.

Gaurav Malhotra : Thanks, everyone. I just have one question. So, you mentioned heightened marketing spending in the third quarter. Would you say that this was evenly spread throughout the quarter, or did the heightened activity occur from mid-November onwards, particularly in December? Or was it more uniform throughout the quarter?

Albinder Singh Dhindsa: Gaurav, it was not uniform. It was definitely more backloaded for us because the first half of the quarter was primarily the festival season, where we were already fairly close to our capacities, so we didn't really need to spend as much on marketing.

Also, if you look at the trend over the last two quarters, as we keep adding more stores, the need to spend on marketing goes up.

We opened 150 stores in the previous quarter, so those stores were also ramping up.

Additionally, we were adding stores at a steady clip in October and November as well. This is what led to the increase in marketing spending in the latter half.

Gaurav Malhotra : Just a quick question on dark stores. You mentioned that you have advanced your guidance of reaching 2,000 stores by the end of December. However, in terms of the impact on losses, you have indicated it will affect the next one or two quarters. Should we then assume that the next 1,000 stores will mostly come in the next two quarters and will not be as back ended ?

Albinder Singh Dhindsa: Gaurav, it will be a little more dynamic because we've added, I would say, almost 300 stores over the last four or five months. Some of these stores, towards the second half of the year, will also start maturing and moving into a different category, while we'll still be adding more stores . It basically depends on how this plays out because it's not a consistent trend throughout the year. There are a lot of seasonal factors that affect things like store openings, our ability to hire people for the stores, and how our back-end network scales up.

So, what we are hoping for is that as the percentage of non-mature stores decreases towards the end of the year, we will start seeing better profitability .

Gaurav Malhotra : All right, thank you.

Moderator: The next question is from the line of Gaurav Rateria from Morgan Stanley . Please go ahead.

Gaurav Rateria : Hi, congrats on reaching the milestone of 1,000 stores ahead of your schedule. My first question is about the key drivers for food delivery margins. You did mention the platform fee, but did the delivery cost also come down in that business? Additionally, what drives your confidence in margins reaching 5% in the next few quarters? What would be the key drivers?

Akshant Goyal : Hi Gaurav. I don't want to be too specific here, given that it's competitively sensitive. But in general, as we have mentioned in the past, the business economics here are a fu

nction of

multiple levers, and it's the small optimizations that add up and result in margin expansion.

Page 10 of 15 So, we continue to drive confidence from the progress we are seeing across various parts of the business, including delivery costs, the consumer fee increasing, AOV going up, and so on .

Unfortunately, we can't be more specific than that, but that's where we are.

Gaurav Rateria : Okay. I'm just trying to understand —this optimization is obviously not coming at the cost of market share, right? The focus on maintaining market share will be the primary goal, and then, with that in mind, you will be optimizing margins.

Akshant Goyal : That's right.

Gaurav Rateria : Got it. Second question on quick commerce. I just want to understand what percentage of the total expansion is happening in our top 1 and top 2 cities. Also, what scope do you think we have to keep expanding in these cities? Where do you see the majority of store expansion slowing down for the top cities?

Albinder Singh Dhindsa: Gaurav, I would say that more than half of the stores we are expanding are in the top 8 cities, out of all the expansion that you've seen. About 20% of the expansion has come from new cities, and the rest is essentially in non-serviceable areas in or around the top cities, or in other cities that are already open for us.

Gaurav Rateria : Got it. Thirdly, regarding the bottom 250 stores, you provided some data on their contribution to GMV and contribution margins. Is it fair to say that this will be largely attributable to the latest quarter only, since those are the newest stores and, therefore, the most inferior in terms of their contribution margin and contribution to overall GMV

Albinder Singh Dhindsa: Largely. That's true.

Gaurav Rateria : Got it. And lastly, you did mention that by the end of the year, a lot of the stores will kind of come to maturity. Would that timeline also align with an improvement in the unit economics of the quick commerce business?

Albinder Singh Dhindsa: Gaurav, it's hard to say because, as you mentioned, we will know better once we are closer to 1,600–1,700 stores and understand what the pipeline looks like after reaching 2,000 stores . If we are still adding 30–35% of the network every quarter, then it is hard to predict whether the economics will improve, and profitability will be easy to achieve.

However, if we reach a point where we are adding only 10 –12% of the network every quarter, then we can confidently say that profitability will be there. A lot will depend on where we are positioned in the second half of the year.

Gaurav Rateria : Got it. Thank you so much for answering all the questions and all the very best.

Moderator: The next question is from the line of Sachin Salgaonkar from Bank of America . Please go ahead.

Page 11 of 15 Sachin Salgaonkar : Hi. Thank you for the opportunity. I have a few questions. My first question is that we clearly

saw some slowdown in food delivery, but for quick commerce, are you seeing a slowdown in mature stores and among mature users? If not, should we expect some kind of slowdown in sync with the macro economy?

Albinder Singh Dhindsa: Nothing so far, Sachin.

Sachin Salgaonkar : Got it. From a competitive perspective, how should one think about this? Is it affecting all operators across the board, or just select one or two platforms? The reason I'm asking is that I'm trying to gauge how long this could continue .

Albinder Singh Dhindsa: Sachin, your guess is as good as ours. We don't have a definitive point of view on this , we see all competition as just competition. Our focus is to do our job better and do what is right for our business. So, I don't think we are focused on, or even able to, differentiate between one competitor and another.

Sachin Salgaonkar : Got it. As of now, one gets the sense that you guys are maintaining your market share on the qui

ck commerce side. So, the question here is —if the competition sustains for a long time, is there a thought process at some point to, for example, introduce some kind of loyalty program, or perhaps add a bit of platform discounts, and so on and so forth? Any general thoughts on that?

Albinder Singh Dhindsa: Sachin, even if we were planning to do something like that, we would not disclose it on a conference call. Right now, our focus has been and always will remain on making sure that our service levels improve, and that we continue to do what we do well for our customers. Despite the increasing level of competition over the last six quarters, we have maintained or even increased our market share. So, that is a strategy that is working for us, and we will stick to it.

Sachin Salgaonkar : Got it. One question on food delivery. We saw that the approach, let's say, between you and your top competitor is slightly different, where the focus of Bistro is more on the cloud kitchen perspective, while your competitor is largely working with restaur ants to sort of reduce to a select set of menu items that can be delivered in 10 minutes. I was wondering if that is something you guys are also open to exploring, or will you continue, for now, to stick to the Bistro model?

Akshant Goyal: Sachin, we've mentioned in question 10 that we've also launched the same feature that our competitor has introduced - less than 15 -minute delivery with a curated menu and a dedicated fleet. This is something that we launched in the December quarter itself . It's currently available in select locations, but we plan to scale it as we move forward.

We're trying to address the need for quick delivery through various formats, and Bistro by Blinkit is one of them. We will also continue to make efforts to improve the existing model of delivery from restaurants through Zomato to make it quicker as we prog ress.

Page 12 of 15 Sachin Salgaonkar : Got it. And last question, Akshant last quarter, you did mention that there is no need to move

to an inventory led model and you're happy largely with the marketplace model on quick commerce. I presume nothing changes out here .

Akshant Goyal: That's right.

Sachin Salgaonkar : Okay, thank you.

Moderator: The next question is from the line of Vijit Jain from Citigroup.

Vijit Jain : Thank you. My first question is on food delivery. Just taking off from what Sachin asked earlier, your response in that question seems to acknowledge Zomato Instant, which you had experimented with earlier. Overall, it seems like you're being a bit cautious about the whole 15-minute food delivery offering from restaurants, relatively speaking. Is that interpretation, correct?

And secondly, if so, is it because you think it's harder to achieve the desired metrics, NPS, or other performance indicators? Is that why you seem a bit more cautious about it?

Akshant Goyal: Vijit, that's not the case. The less -than-15-minute delivery offering on Zomato is something that we're very excited about. However, all these initiatives, whether it is Zomato's 15 -minute delivery or Bistro, are still very, very nascent . It's not significantly moving the needle today.

What we know for sure is that quick deliveries lead to more demand , that is a fact. But finding the right approach to achieve that demand is still in the early stages. It's too soon to determine

which models will work, which will be sustainable and profitable, and which will be scalable enough to significantly move the needle in the overall context.

What I would say is that we are not rushing too far ahead yet. There's still a lot of work to be done, and we'll see what works and what doesn't.

Vijit Jain: Got it. My second question is on quick commerce. First, were the customer delivery charges broadly lower across both new and old customers? Would you say they had an impact on the take rate?

I noticed in one of your answers,

you mentioned the customer delivery charges for the customers acquired in October, November, and December, highlighting that specifically.

I'm wondering outside of those older customers, did the delivery charges also go down across the board for customers acquired in the last two years?

Kunal Swarup: Vijit, this is Kunal here. It's largely indexed to new customers and driven by the increasing velocity of new store additions where in the initial period, we offer sort of lower or no delivery charges.

Page 13 of 15 Vijit Jain: Got it. And then just one last question —the customer retention statistics that you've shared for the December 2022 cohort. If I understand correctly, it has broadly remained at 40% for many quarters since December 2022.

How are the newer cohorts tracking compared to that 40% figure for the September to December period?

Akshant Goyal: All cohorts have been tracking broadly in line with our expectations, in fact, better than what we had anticipated a couple of years ago. So, there's nothing specific I want to highlight unless you have a specific question.

Vijit Jain: No. I was just wondering because you chose that specific cohort.

Akshant Goyal: We chose that cohort because we wanted to show the retention of our core customers. The way we've defined a core customer is someone who has been with us for at least two years in this case.

For newer customers, it's still early days, and the retention numbers could therefore be different. However, the customer base shown in this table contributes to about one-third of our GOV, representing a meaningful chunk of customers who have been with us for more than two years now.

Their retention has actually increased by 1 percentage point through the quarter, despite this quarter perhaps being the most competitive we've seen in the last 2–3 years. These customers are also paying a healthy delivery fee of INR 20 per order.

That's the point we wanted to make as Albinder mentioned, our focus on maintaining and continuously improving our service levels is helping us become the platform of choice for our core customers, which is what matters the most to us.

Vijit Jain: Got it. Great, thanks.

Moderator: Ladies and gentlemen, in the interest of time we will now take last one or two questions. The next question is from the line of Rishi Jhunjhunwala from IIFL.

Rishi Jhunjhunwala: Thanks for the opportunity. I have a slightly different way of asking customer-related questions. Can you provide some insight into your customer acquisition costs in areas where you are expanding but where a competitor is already present? Also, what are your customer retention costs in areas where you are already established, but a peer is entering and being very aggressive?

One of the reasons I ask this is because, while there is a cost associated with expansion as you scale from 1,000 to 2,000 stores, I'm trying to understand if there is any pressure on profitability for your top 50 to 150 store cohorts, given that you might be undertaking customer retention initiatives.

Page 14 of 15 Albinder Singh Dhindsa: Rishi, we are not doing any specific customer retention initiatives, by which I assume you

mean offering subsidies to customers to retain them. We don't do any of that. We invest in our service to maintain customers.

To be specific, that is not something we are doing, and we have largely been able to maintain or grow our market share in our top markets because we continue to innovate on behalf of our customers. That is just to address your specific point.

Regarding your question on marketing, if we enter a market after a competitor has already established a presence, we do have to spend more on marketing to drive trials, but it is not usually a significantly higher number.

However, what we observe is that whenever we enter a market, our retention rates for the customers we acquire in those

cities are higher than those of our competitors. This allows us to gain market share, which we have demonstrated in many markets in the South and East, where we entered after the competition.

Rishi Jhunjhunwala : So, just to conclude on that, is it fair to assume that, sequentially, in your top 300 dark stores, your profitability has actually not declined quarter -on-quarter?

Akshant Goyal: That's right. Broadly, Rishi, what has changed, as we've also mentioned in our response to question five, is that for the slightly older business, as you're saying, the margin expansion has paused. However, our margins are broadly still intact, they haven't fallen.

Rishi Jhunjhunwala : Understood. Thank you so much.

Moderator: The next question is from the line of Manish Poddar from Invesco.

Manish Poddar : Hi, and thanks for doing the call. I'm just trying to think about the losses and understand them in two areas, one in terms of competition and the other in terms of infrastructure setup. Would you say that, for this quarter or based on what you're witnessing now in January, the larger variable for loss increase going forward will primarily be the setup of infrastructure, particularly as you scale from 1,000 stores to 2,000 stores? Is that the right way to think about it?

What I'm broadly trying to understand is whether, with all the interventions you plan to implement, is there a theoretical loss cap that you have in place to maintain a particular market share. I'm just trying to gauge that.

Akshant Goyal: We're not thinking that way, Manish. We are not operating with a mindset of capping losses, because our mental model or framework here is that if the underlying core business is strong and if we have the bandwidth, capacity, or capability to expand at a faster pace than we are today, then we will do so.

Page 15 of 15 Losses will just be an outcome of that. We're not operating with a fixed budget for expansion at this point, given that the market is very large, and we clearly see a first-mover advantage in reaching consumers first. Therefore, we'll scale as fast as we can.

Manish Poddar : And would you say that the larger part of the losses or investments this quarter would be due to stores not reaching maturity, or would it be due to competition? If you had to estimate, would it be a 70 -30 or 50 -50 split? Any sense of that?

Akshant Goyal: Almost 100% of the losses will be due to expansion, and expansion is not just about the stores we will open this quarter, but also includes the stores we opened in the December and September quarter.

If you look at the overall store network and the capacity utilization, that metric has been declining every quarter because we are adding significantly more new stores than in the previous quarter.

100% or most of our losses, if they increase from here, will be on account of that, unless something meaningfully changes with competition that we are unaware of today.

Manish Poddar : Okay. Just one last question. I'm sure you gather a lot of data. In terms of order market share for both food delivery and quick commerce, let's say for quick commerce, how does that number stack up in your core market, such as Delhi NCR, compared to other regions? I'm trying to understand your market share in both segments.

And specifically for quick commerce, largely in Delhi, how do you think it is stacking up?

With the current run rate, are you able to maintain market share, or are you still losing it? I'm just trying to gauge that.

Akshant Goyal: First of all, Manish, we don't track order market share. We don't think it's a relevant metric because it can be manipulated, especially if you're offering free delivery, which can lead to order splitting and, therefore, does not present the right picture. However, we do track GOV market share.

So far, we don't believe our GOV market share has changed meaningfully despite the competition, and that's an important metric for us. We aim to continue being the market leader as we further build our infrastructure. As long as it makes sense, we would want to maintain that position.

Manish Poddar : Okay. Thank you. Thank you and all the best.

Akshant Goyal: Thank you.

Moderator: Thank you, ladies and gentlemen. We will now include this conference call. Thank you for joining us and you may now disconnect your lines.

Call: May 2025

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Sub: Transcript of the earnings conference call conducted on May 1, 2025

Dear Sir/ Ma'am,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed transcript of the earnings conference call conducted on May 1, 2025.

The same is also hosted on the website of the Company at <https://b.zmtcdn.com/investor-relations/Q4FY25-earnings-call-transcript.pdf>

For Eternal Limited
(Formerly known as Zomato Limited)

Sandhya Sethia
Company Secretary & Compliance Officer
Place: Gurugram
Date: May 8, 2025
Encl.: As above

Page 1 of 17

Eternal Limited
(formerly known as Zomato Limited)
Q4FY 25 Earnings Conference Call Transcript

May 1, 2025

Management representatives :

1. Akshant Goyal – Chief Financial Officer, Eternal Limited
2. Albinder Singh Dhindsa – Founder & Chief Executive Officer, Blinkit
3. Kunal Swarup – Head , Corporate Development, Eternal Limited

Page 2 of 17 Moderator: Ladies and gentlemen, a very good evening, and welcome to Eternal Limited's Q4 FY25 earnings conference call. From Eternal's management team, we have with us today Akshant Goyal, Chief Financial Officer; Albinder Singh Dhindsa, Founder and CEO, Blinkit; and Kunal Swarup, Head of Corporate Development.

Before we begin, a few quick announcements for the attendees. Anything said on this call, which reflects the outlook for the future, or which could be construed as a forward -

looking statement, may involve risks and uncertainties. Such statements or comments are not guarantees of future performance, and actual results may differ from those statements.

Additionally, please note that this earnings call is scheduled for a duration of 45 minutes, and we will be starting directly with the Q&A section of the call. If you wish to ask a question, please use the raise hand feature available on your Zoom dashboard. We will announce your name on the call and unmute your line, post which you can proceed with your question. We will wait for a minute while the question queue assembles.

Moderator: The first question is from the line of Manish Adukia from Goldman Sachs . Please go ahead.

Manish Adukia : Thank you for the shareholders' letter. As always, it is quite helpful. My first question is on the competition in quick commerce, which you said you expect to intensify in the future, particularly from next-day delivery platforms . Now the question here is that is that an expectation or are you already seeing that play out? And where is this higher competition showing up? I understand higher marketing costs, but your take rate and your contribution margins are both quite stable quarter-on-quarter. So does that mean that there has been almost no impact so far or any meaningful impact so far of competition on either user fee or store rental cost or, let's say, store-level employee costs, et c. I would love to get your thoughts on that. That's my first question, please.

Albinder Singh Dhindsa : Hi Manish, Albinder here. The impact of competition is visible in the lack of significant margin expansion that we would have otherwise expected. That is both because there are now more players in the market, and there is obviously more competition across categories to market to the same set of customers which is leading to some margin pressure, both in terms of being able to charge higher delivery fees in some geographies and also in being able to sell more of the higher-margin categories on the platform. So , the answer to your question is that the pressure that you are seeing is all in the lack of margin expansion.

Manish Adukia : Thank you for that response. In the shareholder's letter, you specifically talked about next-day delivery platform where you expect competition to intensify . But on current quick commerce platforms, how have the trends been in the last two / three months? Has competition continued to increase? Has it been stable? Has it reduced? Would love

Page 3 of 17 to see the dynamics between quick commerce versus next-day delivery and how is that moving in terms of competition?

Albinder Singh Dhindsa : The competition has been in different shapes and forms coming from both players, who are already in the quick commerce space and the new players that are trying to enter the quick commerce space. It's just different shapes and forms that it comes in, whether it is in terms of aggression in discounting or aggression from other players in marketing activity or aggression from other players in being able to offer free delivery or store expansion in certain geographies.

Manish Adukia : Understood . And just the last question on this one. I mean, in terms of just the stores, our rollouts have remained elevated to about 300 stores in the quarter. Have there been any meaningful challenges from a store rollout

perspective? Again , from a competitive landscape, whether it's in terms of, I don't know, like finding stores in the right locations or just the inflation and rental costs there? Has that been meaningful or that has been more manageable?

Albinder Singh Dhindsa : There has been significant competition for the same real estate in most of the cities that we are in.

Akshant Goyal : Manish, on competition, just to add to what Albinder said , in the last quarter, competition hasn't reduced in any way. It was definitely way more competitive in terms of price action that we saw in the market in the quarter prior to that (Q3FY25). So, anything you pick up, whether it is pressure on real estate costs, marketing cost, incentives, et c. all of that continues to peak at least so far going into the last quarter. So yes, we are continuing to see elevated competition in the market so far.

Manish Adukia : And right now, Akshant, you would have very limited visibility on June quarter from a margin profile perspective like mentioned in the shareholder's letter, whether it gets better or worse that at this point in time, we don't have visibility on.

Akshant Goyal : No, we have a fair bit of visibility and don't see any meaningful changes directionally . That's why we are saying that competitive intensity remains high, and therefore, the pressure on margin , that Albinder alluded to, stays . At least so far, we haven't seen any change.

Manish Adukia : Thank you. Just my second question on food delivery, if I may. Of course, like your guidance remains 20% +. In the quarter, we have 16% year-over-year growth and you explained quite well as to what's driven that slowdown. But again, like why 20%? I mean, again, when you say 20% guidance, what is driving confidence that 20% is the right

number?

Page 4 of 17 And when you talk about those three things, affordability, assortment and low delivery timeline, I mean, at least as a consumer or an outside r, it feels like they are all moving in the opposite direction of where they should, right? I mean, you obviously said in the shareholder 's letter that the Zomato quick experiment didn't work as well as you would have liked. From an affordability standpoint, the prices between aggregators and what restaurants have on their menu probably have continued to widen. So , I am just trying to think in the near term is 20% like a realistic number at all to assume? Or is that like a much longer path to get to that 20% number?

Akshant Goyal : See, for the near term, we cannot commit to anything, and we don't know how that shapes out. And you're exactly right, Manish , we are a marketplace business. So , unlike the q uick commerce business , we don't control the end -to-end experience for customers here . And in some ways, on these three metrics, assortment, delivery times and affordability, you're absolutely right that as a business, we've not been able to actually make a meaningful dent on these three vectors despite us trying multiple things in the last one or two years.

But the eventual answer in driving more growth than what we will see without any effort is in actually breaking through one or more of these vectors . So, we will continue to

attempt to try different things to make progress on these three fronts. And if we are able to do that, we can see that acceleration in growth down the line. And 20%, therefore, is more a long -term 4-5 year CAGR guidance. I'm just clarifying that even in the past, we have stated that it's not an immediate every year growth guidance . Having said that, each of the last two / three years, the growth has been north of 20% . So , despite the slowdown , even in FY25, NO V / GOV, whatever you look at it, has grown 20% +. Whether we will get there in FY26, we don't know. But again, we are

confident that there is

potential in the market to grow at that pace over a more longer -term period.

Manish Adukia : Thank you . I'll jump back in the queue.

Moderator : Thank you. Ne xt question is from the line of Aditya Soman from CLSA . Please go ahead .

Aditya Soman : Hi - so, two questions. So firstly, in terms of these new stores that you've added, can you give us a sense of how many have come in new cities and then just an extension of that , how many cities you are present in today? And second question is on Zomato Every day.

This was one attempt to address the affordability and sort of frequency it fuels, but it seems like you are shutting the business down. C an you give us a sense of what really didn't work out with that business? And is there another similar business or something along those lines that we are tracking? Maybe does Zomato Bistro fill in that gap?

Akshant Goyal : Aditya, we're not sharing the data on cities, etc. , at this point. But yes, broadly, we are going into smaller cities every quarter. And increment ally, a larger portion of our new store expansion is happening in the non- top eight markets . Having said that, even in the

Page 5 of 17 top cities we are growing, but more and more share of new store openings is now going towards the smaller markets, where we are seeing equally good customer adoption of quick commerce.

On Zomato Every day, I won't say that it didn't work. F or the markets we were in, the business was doing well, and we did see that it can make money in those markets. But given the overall size of that business , in our mind, we didn't feel that it would move the needle for the food delivery business on an overall basis . Given that it's a more operational -intensive business, it's a different business model, et c., we just didn't see the value in continuing t o run that when we don't really see an opportunity to grow beyond a certain scale. So that's why we've decided to shut it down for now .

And Bistro, is a separate business . It's very early days. We don't have a point of view on whether that fills the gap for Zomato Quick or E veryday. But maybe in the next few months / quarters, we'll have better answers to that, and we'll share that with you over time.

Aditya Soman : Underst and . And just in terms of the first in terms of city additions , would it be fair to say that, let's say, the t ime taken for these new stores to hit breakeven remains unchanged more or less in line with the average? Or is there any difference in timing in these cities?

Akshant Goyal : So far, we're not seeing any deterioration in the time stores are taking to ramp up to breakeven. It remains pretty consistent with the past.

Aditya Soman : Fair enough. Thanks.

Moderator : Thank you. Ne xt question is from the line of Swapnil Potdukhe from JM Financial . Please go ahead .

Swapnil Potdukhe : Hi everyone. T hanks for the opportunity. M y first question is on q uick commerce. So, o ne

of your competitors seems to have mentioned that the ir GOV numbers include subscription fees and ad income. But your definition does not seem to include that. While I can understand why subscription fee may not be included in your numbers, but wanted to understand how do you report ad income? And what percentage of your take rate on GO V or maybe NOV, whichever way you want, will be coming from ad income and customer fees?

Akshant Goyal : Thanks, Swapnil. So yes, we don't include any of these ancillary income streams in our GOV definition or NO V definition. I t's without that. And it's not just NO V, even GO V definition was without that, just to clarify . So that's how we report.

And therefore, the ad income directly goes to our revenue. It's not part of the GO V definition

. It's north of 4% of GO V today for us.

Page 6 of 17 Swapnil Potdukhe : Okay, that's great. On customer fees, the delivery fees and handling fees and other fees like that?

Akshant Goyal : Yes.

Kunal Swarup : About 3% .

Akshant Goyal : Yes Swapnil, that's part of GO V clearly. It's mentioned in the definition.

Swapnil Potdukhe : Got it. Got it. And the second question is on your recent changes in your reporting , GOV to NO V. So , I do understand that at Blinkit level, the difference is around 22% odd. But just wanted to get a sense on category -wise, how big of a difference could there be between F&V, packaged grocery or some other general merchandise, the difference between GO V to NO V in those categories?

Akshant Goyal : So, it can vary a lot, Swapnil. In some of the more unbranded categories, like the ones you mentioned, the difference can be much, much higher than 20%. And that is why we felt the need to introduce this metric because increasingly our business is going to move more towards such categories. And hence, incremental GOV will start giving an incorrect picture on the overall si ze of the business.

Swapnil Potdukhe : Okay. Any numbers you would like to call out on this side?

Akshant Goyal : It's a big range . There could be categories where it is also 70% - 80% .

Albinder Singh Dhindsa : Swapnil, for fruits & vegetables, these kinds of categories, because there is no MRP , we've always reported it on the selling price or whatever the customer paid. But when you talk about some of the other categories which is a long tail in general merchandise, as their penetration is growing, we felt it was right to give the clarification because in some of those categories, the difference between what it sells at and what is the stated MRP could be as high as 50 -60%.

Swapnil Potdukhe : Got it. Got it. And the next question is on your recent plans to get the shareholder approval to lock in the foreign ownership. J ust wanted to get a sense as what would be the inventory days in this model? I presume basis the numbers we have given that it would be 15 -16 days of inventory, if you were to do it completely on your own balance sheet.

But how do you see th ese inventory -related investments going forward, especially if you start doing low ordering frequency categories like electronics, white goods. I mean , is there a chance that these 15 -16 days can go closer to 20 -25 days kind of inventory?

Page 7 of 17 Albinder Singh Dhindsa : Swapnil, there is a chance that it happens. That, however, is usually offset by the fact that the categories that we want to do are not well solved in the marketplace model.

What I mean by that is that even when we are n ot hold ing the higher inventory , today when we work with sellers, we basically end up accepting a lot lower commissions on these categories because they are holding the inventory. And so , we are in a way paying for the risk of that through our commissions today . And it still doesn't get solved well. The categories which we are keen to do ourselves, hopefully, are the ones where, even if you build the inventory, there is still a very healthy return on capital even after holding that inventory at a higher number of days. So yes, there's definitely a chance that the number of inventory days on books will go up as a result.

Swapnil Potdukhe : Okay. But just to get a sense as to how much improvement can you see on the commission side, if you were to completely to move inventory model?

Albinder Singh Dhindsa : We haven't gotten to it yet. O nce we get the approval, then we'll start evaluating it, whether we want to go down that path at all.

Swapnil Potdukhe : Okay. And just the last one on the food delivery side. So , there have been some thoughts about Rapido trying to disrupt the food delivery business model, where you right now work on the commission -based model, but they plan to i

ntroduce subscriptions. Have

you by any chance evaluate d implement ing this idea yourself? Are there any pros o r cons? Or is it too early to think about it? I mean, just a sense as to what your thoughts are, if this idea picks up?

Akshant Goyal : So, we'll wait and watch Swapnil. W e are not clear on how that model can make sense in the long run for all our stakeholders and us. But we have only heard as much as you have.

So, once it's out there in the market, we'll, of course, take a look and see if we need to change anything. But as of now, we don't have a point of view on that.

Swapnil Potdukhe : Got it Akshant . Thanks a lot guys and all the bes t.

Akshant Goyal: Thank you.

Moderator: Thank you. Ne xt question is from the line of Sachin Salgaonkar from Bank of America . Please go ahead .

Sachin Salgaonkar : A few questions. Firstly, how do you guys look at your market share as your statement in the s hareholder's letter saying that we'll aggressively look to grow our market share in quick commerce. Are you able to maintain? Are you able to gain your market share basis your understanding in the last 1 -2 quarters?

Page 8 of 17 Albinder Singh Dhindsa : Hi S achin, so our understanding is that even with the new competition, we have more or

less maintained our market share over the last few quarters. The competitive intensity has been fairly high, but at the very least, we've maintained it.

Sachin Salgaonkar : Got it. Second question, Blinkit clearly has a slight different approach in q uick commerce as compared to the traditional quick commerce competitors. And I'm saying that because you guys don't have private labels. You don't have the super saver or the max saver equivalent of your competitors. Any particular reason why you guys are not doing it? Is it economics? Is it something else?

Albinder Singh Dhindsa : Sachin, we don't think that from a customer perspective these use cases add a lot of value . And so, we don't do them.

Sachin Salgaonkar : Got it. Third question, as you're expanding into tier 2 / tier 3 cities, how do you look at the appetite and the ability of consumers to pay out here? And I'm saying that , because in food, we faced this problem where we had to shut down the business in a few cities and come back. Do you see a good appetite in demand for quick commerce services right now?

Albinder Singh Dhindsa : Yes. That is why we are expanding aggressively.

Sachin Salgaonkar : Got it. And the last question, a bit of clarification on numbers. I do see in EBITDA, there is an 'O ther s' where losses suddenly became INR 16 crore versus close to INR 1 crore -odd number in last quarter. Anything specific which is going out here in experiments perspective, which has led to such huge loss in this quarter?

Akshant Goyal: Yes, Sachin. So , all of our new initiatives, whether it is Bistro, Nugget, ot her B2B businesses , and one of the other small experiments that we are doing, all of that cost or losses are reflecting in the 'Others' segment.

Sachin Salgaonkar: Got it. Akshant, I thought Bistro might sit in food, but you guys are looking to keep it separate right now.

Akshant Goyal: Yes, it is not part of food. It's a totally different business. So even if it scales , we want to report it separately.

Sachin Salgaonkar: Got it. So logically, this is the way the losses could remain high for some point as and how you experiment, right?

Akshant Goyal: That's right.

Sachin Salgaonkar : Got it. And lastly, other income has increased from INR 252 crore to INR 368 crore. Is it treasury? Is it something else which has led to this increase?

Page 9 of 17 Akshant Goyal: No, it's because of treasury. We raised money t hrough the QIP in November last quarter. So, the full quarter impact of that is now leading to the higher income.

Sachin Salgaonkar: Got it. Thanks , and all the best for the future.

Moderator: T

hank you. Ne xt question is from the line of Aditya Suresh from Macquarie . Please go ahead .

Aditya Suresh: Thank you for the opportunity. S o Albinder , for you maybe on Blinkit . Th is quarter, I thought it was really interesting that contribution margin was maintained. The loss expansion is more to the adjusted levels. You kind of, mo ved the incentive spend s, etc. right? J ust reflecting your comments on competition for the next few quarters or maybe if I just expand it as well, in the face of competition, could we expect contribution margin to drop? Or should we expect contribution margin to be flat?

Albinder Singh Dhindsa: Aditya, it's very difficult to say, as I mentioned in the letter also. See, our business is affected very heavily by seasonality. So , the effect of competition with every change of season also shows a different aspect of the business. T here is a lot of variability, which

we are also not certain about and hence are unable to give guidance as to where it leads to.

Aditya Suresh: Got it. And just in terms of the prior state in the first half when you were at the breakeven position, would it be fair to say that we'll be back on the path towards breakeven only once competition settles? Or do you see any other levers here to kind of pull to get us back on the trajectory even as competition is expanding?

Akshant Goyal: Aditya, there are too many moving parts here. And honestly, we're not thinking about our goals and targets in that form and shape. Just getting to breakeven is not enough

anyway. So long term, we have to solve for much higher profitability than just that.

And we are at - 2% margin today in terms of Adjusted EBITDA as a percentage of NO V.

So, we are not deep in red. If we have a strong point of view on that, we would, of course, love to share that with everyone. But as we have said in the letter on this front, we don't want to stick our neck out and give any guidance at this point, given the multiple moving parts.

Aditya Suresh : I appreciate that. Thanks , Akshant. And on food delivery, would transacting users be a primary kind of growth vector for the next couple of years? Or are you looking to drive more through frequency?

Akshant Goyal : No, even frequency increase is going to largely reflect in the monthly transacting customers going up because most of our consumers actually don't even transact every

Page 10 of 17 month today. So yes, from a tracking perspective, we expect to see the MTUs to continue to increase.

Aditya Suresh : Thank you so much.

Moderator: Thank you. Next question is from the line of Gaurav Rateria from Morgan Stanley . Please go ahead .

Gaurav Rateria: Hi, congrats on good execution. A couple of questions. On your comment on competition intensifying in quick commerce; so far, our investments were focused on growing network of stores, increasing assortment while not necessarily focusing a lot on subsidies. And now you have talked about growing market share aggressively . So, any change in priorities from investment point of view?

Akshant Goyal : No, Gaurav . No change in priorities . Even in the last quarter or the last two or three quarters since the time competition really started increasing , our approach has been fairly consistent in terms of the key focus areas we mentioned in our letter. So far, we haven't really seen any loss in business because of not being able to subsidize at the levels at which we are seeing the competition doing so in the market. So that's great news for us. And hence, I think we don't need to course correct and just focus on what we are doing.

Gaurav Rateria: Got it. Any color that we can get on your SSG growth in the top 8 cities, if not quantification, some qualification or comments on how has it been trending over the last few quarters? Any signs of slowdown or is it still trending on

the upward direction?

Albinder Singh Dhindsa : Gaurav, overall, it has been growing, and we haven't seen any slowdown. However, when we look at the numbers, it's a little bit different because we don't look at it at a store - wise level. We look at it at a particular area. So , a particular geography might actually have gotten multiple stores where it had a single store earlier. So , therefore, being able to provide actual numbers around it is much harder.

Gaurav Rateria: Got it. My third question is on your comment around the shortage of the last mile workers, which may have impacted the overall food delivery business. I'm just trying to understand like over longer term, how are you going to be solving for that and unless a material increase in supply happens, it will be a constrained factor for growth, both for food delivery and quick commerce or else is structurally the cost of last mile can go up compared to what it is today?

Akshant Goyal: Yes, Gaurav , we do expect the supply to increase over medium to long term. The gig work economy is now multiple million large. And it's not like we haven't seen this kind of temporary pressure on supply in the short term. It has happened to us a couple of times in the last 4-5 years ; whenever we have seen the emergence of increased competition,

Page 11 of 17 either in food delivery or a new use case or a category emerging like quick commerce.

Supply always catches up with some lag, and that's what we expect here as well over time . We will see the supply increase and therefore, this pressure should ease off .

Gaurav Rateria: Okay. Last question, why is there a decline in the going -out business? And are the investments going to remain elevated in this segment? At what point in time do you think you will have to taper off the investments and this business moves towards steady -state profitability?

Akshant Goyal: So, the decline on top line is seasonal. If you look at year- on-year growth, the GO V of going- out is still growing by more than 100%. And on profitability, we are at - 2 to -2.5% of Adjusted EBITDA as a percentage of NO V. And at least in the near term, we expect this business to remain in that range while we invest in transition of customers from different platforms, Pay tm, Zomato, etc. to the new D istrict app. And we're also investing a little bit in supply creation in some parts of the going -out business. So , that investment phase will continue for the next year or so. And hence, we are not expecting this business to become profitable in that time frame. But at the same time, we don't expect that losses will go up from here as well.

Gaurav Rateria: Thank you so much.

Moderator: Thank you. Ne xt question is from the line of Vijit Jain from Citigroup . Please go ahead .

Vijit Jain : Hi, thank you. So, my first question is on food delivery. Now that you've shut down the Quick thing and one of the three growth vectors you've called out here is delivery timelines , as you know, one of the mechanisms to grow the food delivery business and the other was affordability, where you obviously shut down E veryday. So , specifically to the delivery timeline thing, what is the path to lowering that going forward in the medium term now that you think the Q uick model didn't work?

Akshant Goyal: Yes, Vijit, so Q uick was an attempt to bring down the delivery time from the average, let's say, 30 minutes for the platform to 10 minutes. What we've realized is that it is extremely hard, and we don't see any incrementality in demand if we do that in the business given that customer experience is poor. But of course, there's a wide range between 10 and 30 minutes. So , our view is that we should try and bring that 30 minutes down to maybe 20 - 25 minutes over time by making our overall logistic fleet delivery system more efficient. And those are the gains we want to chase now rather than trying t

o build an extremely quick service, which you know, without an end -to-end control o f the supply chain, we think is extremely hard to do.

Vijit Jain: Got it. So , if I understand it right, the kitchen infrastructure side improvements is really hard to do with restaurant partners and in a very quick timeframe. And whatever you

Page 12 of 17 could do on the delivery fleet optimization, where you place them, those kinds of improvements you would. Is that a fair understanding?

Akshant Goyal : Yes, that's right.

Vijit Jain: Great. Got it. My second question is on the Blinkit comment on competition . So, if I look at these numbers, it looks to me like your new store ramps in terms of quarter one GO V, quarter two GO V, that trajectory seems pretty similar. I mean, based on these numbers, it seems to me that it's probably pretty similar to what you've said before. And you've obviously had one of the best MTU growth quarters and contribution profit is the same QoQ in rupees per order, even though your AOV was lower. So , in general, the competition has only really affected you in terms of ability to charge those higher delivery fees?

Akshant Goyal: No, it's across the board. It's more than that. E very part of the business becomes more expensive once there is the level of competition that we are seeing today . Last mile delivery becomes expensive, marketing cost s go up, real estate and so on. C ontribution margin remaining flat doesn't mean that competition has eased , it's relative versus the expectation. In this business where stores get to breakeven in a matter of few months , in the absence of competition, we would have expected the business to be fairly profitable by now. And all of that is what is not reflecting in the P&L because of high competition.

Vijit Jain: Got it. And just one last question. The INR 1,000 crore of working capital comment that you made. I just wanted to be clear that this is essentially 15 days of working capital, right? And I mean just based on that math, because it would be.

Akshant Goyal: More or less, yes.

Vijit Jain: And I wanted to understand, you've talked about how business in quick commerce has pareto nature in general. So , as you grow into broader categories and go into these high - margin toys and all kinds of long -tail categories, h ow does that change how you think about the working capital? And this is including both the dark stores as well as your warehouses, right, in any case?

Albinder Singh Dhindsa: Vijit, most of those categories, which are high assortment remain on a marketplace even today. So , the sellers sell on the platform, so that doesn't have any working capital impact for us.

Vijit Jain: I see. So , the INR 1,000 crore comment is for the nonmarketplace business that you would do?

Albinder Singh Dhindsa: That was more an example of even if we were to take our entire business.

Page 13 of 17 Akshant Goyal: That's illustrative of the entire business . So, the entire business includes all the categories . Now if the share of these categories where inventory moves slowly , increases, of course, the inventory days will increase. But then we will have to evaluate whether being in that category makes sense from a ROCE perspective or not . So, whether it's a marketplace or whether we own inventory, every category and expansion in category is a function of the return you see by being in that category. And we'll continue to evaluate the business in that same way.

Vijit Jain: Got it. Thank you so much. Those were my questions.

Akshant Goyal: Thank you.

Moderator: Thank you. Ne xt question is from the line of Ankur Rudra from JP Morgan . Please go ahead .

Ankur Rudra : Alright, thank you. Just the first question on quick commerce, maybe a follow -up to the last question. Hyperpure is currently doing some of the non -restaurant business for Blinkit. Could you maybe high

light what is the level of working capital that's currently being deployed there?

Akshant Goyal : We don't share that data, Ankur. It's different for different sellers , for different products . So yes, we don't disclose that data.

Ankur Rudra : Okay. In the quick commerce business, the MTC growth was quite nice, but you've referenced the competition a lot in the letter and in this call. Are you seeing any kind of loss of customer wallet share in existing areas where store density is going up because of competition?

Albinder Singh Dhindsa : Not yet, Ankur.

Ankur Rudra : Okay. In terms of the NO V to GO V ratio, I noticed there was a slight uptake this quarter. Is that just seasonality? Or is that moderating subsidies in the ecosystem?

Albinder Singh Dhindsa: That was seasonality because O ND quarter is fairly festive heavy, which has a lot of unorganized items, which are sold in the market during that time.

Ankur Rudra : Okay. Understood. Maybe just a couple of questions on food. Can you highlight whether this rider availability problem will need a commission -based solution? Or is there something else that you can do?

Akshant Goyal: No, it's not a function of the commercial model with the delivery partners. A s I mentioned in response to an earlier question, it's just a temporary supply/demand

Page 14 of 17 mismatch, because of the rapid expansion of e- commerce in the last three / four months.

And usually, summer is a season where we anyways see a slight supply crunch on the delivery partner side. So , this time, that got sort of compounded in some ways because of rapid quick commerce expansion across the board. And hence, last few weeks and months, we've seen that impact. But going forward, it should ease out without any drastic changes.

Ankur Rudra : Okay. Typically, 1Q is usually strong for food delivery historically. Can you highlight if you've seen any meaningful seasonal pickup in April so far? And if that will help the YoY growth rate?

Akshant Goyal: Yes, seasonally, this (Q1FY26) is a better quarter. And so far, nothing surprising. We're trending as per the expectation s we have from this quarter.

Ankur Rudra : Okay. If I can squeeze one last question. I think I missed the answer to a prior question on private label. Why have you chosen not to do it?

Albinder Singh Dhindsa : We didn't answer it, but it's a strategic choice that we have. We work with a lot of brands, and we feel that they are better equipped to create and sell products that customers need . We would like to be in the business that we do best, which is operating as a platform.

Ankur Rudra : Appreciate it. Thank you.

Moderator: Thank you. Ne xt question is from the line of Gaurav Malhotra from Axis . Please go ahead .

Gaurav Malhotra: Hi, thank you for this. Just a couple of questions. So , there are already three quick commerce players of reasonable size and scale and a couple of horizontals, like you mentioned also entering . So, from your perspective, given these are platform businesses with some sort of network effect, how many such players can potentially exist in the market like, say, in the medium term and not in the near term for sure, but at least in the medium term?

Akshant Goyal: We are worried about our own existence (laughs) .

Albinder Singh Dhindsa: Gaurav, I don't think anybody has an answer to that.

Gaurav Malhotra: Got it. Got it. And in terms of given the kind of expansion which you are doing and obviously, which the other players are also doing in terms of store expansion within the cities , outside new cities ; and this all expansion is coming at a time when there is generally the se subsidies being offered. So , how much of a demand over -estimation you

Page 15 of 17 think is happening over here? There would be some bit, but any sense there? Is that a worry for you guys?

Alb

inder Singh Dhindsa: Gaurav, somebody had asked earlier also . We've taken a different view on how we want to grow our market. I don't think all quick commerce is the same. And the other players might be taking decisions or going into markets, which we don't have any idea about, like , what is the kind of economics they have or what is the kind of customer demand that they're able to serve. So , it's very hard for us to be able to comment whether those strategies are something which impact us or not.

Akshant Goyal: The customer segments, by the way, for different quick commerce players could also be different. So , it's not like we'll be able to address all the customer segments that exist today in the market.

Gaurav Malhotra: Understood. Thank you for this. These were my questions.

Moderator: Thank you. Ladies and gentlemen, in the interest of time we will now take last one to two questions. The next question is from the line of Abhisek Banerjee from I CICI . Please go ahead.

Abhisek Banerjee: Hi. So yes, first of all, congrats on a robust set of numbers under these circumstances . So, I have a few questions . You've spoken about competitive intensity impacting your costs . So, can you give us some idea of how much your last mile delivery costs have gone up YoY?

Akshant Goyal: Sorry, Abhisek, we can't share these details, these are like nuts and bolts of the business and competitively sensitive.

Abhisek Banerjee: Sure. You also spoke about your marketing spend s going up . So , can you give some sense on what you spent on? Was it more performance marketing based or BTL/ATL ?

Albinder Singh Dhindsa: Across the board, Abhisek.

Abhisek Banerjee: Okay. One of the things that I saw that your other income has gone up, but your taxation has actually come down. And you have given an explanation for that. You've talked about some unabsorbed depreciation, which was set off here. But that has given you a very significant INR 30 crore s aying. Now , is that something that would be recurring in nature? Or if you could just explain that portion a little more?

Kunal Swarup : So Abhisek, th at comment is not related to this quarter. That comment was related to the time when we started providing for this tax where we said that the unabsorbed depreciation is finished. So therefore, our treasury income will become taxable. The drop in tax that you see this quarter is specifically because the amount of tax that we

Page 16 of 17 provided for , in the previous quarters was a little higher, but the actual tax to be paid, came out a little lower, and therefore, there was that adjustment that was made in Q4.

And therefore, you see a dip in the tax amount in Q4.

Abhisek Banerjee: Understood. Now with regards to this category, you mentioned that you don't want to do private labels . But you've also given some data regarding the non -restaurant B2B sales in Hyperpure. Now in a scenario where you're moving out sellers, does this business not become like a private label in the future?

Akshant Goyal: So Abhisek, first of all, that's a B2B business . When Albinder and we are talking about not doing private labels, that's more from a B2C perspective. And yes, if there's any change in business model in the future, like you mentioned, we'll have to see whether we want to still continue to build the B2B business outside of restaurants or not. So , we'll take that call in the next few weeks, depending on whether or not we get shareholder approval for the resolution.

Abhisek Banerjee: Understood . And just one last question. You may choose not to answer it, but my understanding was that a lot of these competitors, the new entrants especially that you were talking about, were actually trying to move some of the ir slotted delivery customers into the quick commerce segment b ecause they were fearing you would take over that share otherwise. H as someth

ing intrinsically change d ther e, which is leading to this cautious return?

Akshant Goyal: Sorry, Abhisek, we couldn't fully get your question. Can you please repeat, if you don't mind?

Abhisek Banerjee: So, my understanding was that a lot of these new entrants for example, Flipkart, was just trying to move their existing grocery slotted delivery customers, to a quick commerce model, so that they don't lose out to you in the longer run. But has something changed there? I mean, why are you becoming a little more cautious on this?

Akshant Goyal: No, so for the next -day delivery business, there are two things here . One is their focus on building quick commerce, but what we wanted to highlight in the letter also is that even their next -day delivery business is shrinking in terms of the delivery timelines.

And on Amazon, Flipkart, now you can see a lot of products actually get delivered on the same day in four to six hours . So , that is also in some ways going to compete with the quick commerce business that we have at some point. T hese are two separate things. You are right. So , nothing has changed.
Abhisek Banerjee: Understood. Thanks. Those were all my questions.

Page 17 of 17 Moderator: Thank you . Ladies and gentlemen , we will now con clude this conference call. Thank you for joining us , and you may now disconnect your lines.

Call: Jul 2025

ETERNAL LIMITED (Formerly known as Zomato Limited)

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ISIN: INE758T01015

Sub.: Transcript of the earnings conference call conducted on July 21, 2025

Dear Sir/ Ma'am,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed transcript of the earnings conference call conducted on July 21, 2025.

The same is also hosted on the website of the Company at <https://b.zmtcdn.com/investor-relations/Q1FY26-earnings-call-transcript.pdf>

For Eternal Limited
(Formerly known as Zomato Limited)

Sandhya Sethia
Company Secretary & Compliance Officer
Place: Gurugram
Date: July 25, 2025
Encl.: As above

Page 1 of 17

Eternal Limited
(formerly known as Zomato Limited)
Q1FY26 Earnings Conference Call Transcript

July 21, 2025

Management representatives :

1. Akshant Goyal – Chief Financial Officer, Eternal Limited

2. Albinder Singh Dhindsa – Founder & Chief Executive Officer, Blinkit
3. Kunal Swarup – Head , Corporate Development, Eternal Limited

Page 2 of 17 Moderator: Ladies and gentlemen, a very good evening, and welcome to Eternal Limited's Q 1FY2 6 earnings conference call. From Eternal's management team, we have with us today Akshant Goyal, Chief Financial Officer; Albinder Singh Dhindsa, Founder and CEO, Blinkit; and Kunal Swarup, Head of Corporate Development.

Before we begin, a few quick announcements for the attendees. Anything said on this call, which reflects the outlook for the future, or which could be construed as a forward-looking statement, may involve risks and uncertainties. Such statements or comments are not guarantees of future performance, and actual results may differ from those statements.

Additionally, please note that this earnings call is scheduled for a duration of 45 minutes, and we will be starting directly with the Q&A section of the call. If you wish to ask a question, please use the raise hand feature available on your Zoom dashboard. We will announce your name on the call and unmute your line, post which you can proceed with your question. We will wait for a minute while the question queue assembles.

Moderator: The first question is from the line of Ankur Rudra from JP Morgan . Please go ahead.

Ankur Rudra : Thank you, and a nice set of numbers overall. Just starting with quick commerce, pleased to see very strong growth there. Is it possible to give us a sense of how same-store sales growth compares with growth from new stores given that we'll probably see store additions potentially begin to slow down a bit more?

And , also on the quick commerce side, I think you did mention competition, but if you think competition is able to raise capital, then if your strategy will change in the short term anyway. Thanks.

Albinder Singh Dhindsa : Hi, Ankur, this is Albinder. So same-store sales growth is not really a metric that we track internally because of the structure of our polygons and the catchment area that a store serves - that changes quite dynamically. So , it is harder for us to compare same-store sales growth.

But when we look at existing polygon versus new polygons that we open, most of the current growth has come from existing polygons. Even in this quarter when we opened a lot more cities, less than 5% of the overall growth came from the expansion areas that we were not serving earlier.

Akshant Goyal : Just to add, we have also mentioned in the letter that a city like Delhi, which from a geographical coverage standpoint is fairly well covered , we've seen a growth of 70% year-on-year in this quarter. So , as Albinder said, same-store growth may not be that relevant in our business, but at least that data point was to showcase that even the relatively more mature markets are growing reasonably well.

Page 3 of 17 Ankur Rudra : Thank you. Is it possible to give us some color then in terms of a city like Delhi as an example. How much of the growth is coming from category expansion? What's the scope there over the next few years?

Albinder Singh Dhindsa : That is not something that we want to necessarily talk about in a lot more detail because we don't give a category break up.

Ankur Rudra : Any color you can share , overall?

Albinder Singh Dhindsa : The growth , for us , across all categories has been pretty secular. That's the only thing that we would like to share at this point.

Ankur Rudra : Ok. My follow-up on quick commerce was on competition. You mentioned this in the letter as well, but do you think if competitive intensity rises, then your strategy will change in the short term versus what you pointed out?

Akshant Goyal : Yeah, Ankur. As we mentioned in the letter, we'll have to react to the circumstances. We've been fairly clear on this one , now and in the past , that we'll respond to what the market is, and we'll do the right thing. Making sure that we maintain our leadership position is important for us, and

making sure that we give the best service to the customers is important for us. So , we'll have to play by the ear on that one .

Ankur Rudra : Ok. Thank you. Just a few questions about food delivery. One, very good to see MTC growth coming back after three quarters of sort of flattish behavior here. If you can talk about the key initiatives which may have helped this right now. And do you think you're at a point where the momentum of at least increasing MTCs can stay? And finally, are there any particular changes in the way you'll run this business under the new leadership?

Akshant Goyal : MTC growth is fairly in sync with the overall NOV growth, if you look at it on a year-on-year basis. Quarter-on-quarter, yes, it can appear to be lumpy but if you look at it from a more longer term, I don't think there is any divergent trend there, and we expect that MTC growth to continue along with AOV growth, which should continue driving the growth of the overall business going forward, like it has in the past.

Ankur Rudra : And any changes in strategy or the way you run the business under new leadership?
Akshant Goyal : There will be changes, but nothing that we want to highlight or talk about yet.
Ankur Rudra : Ok. Just one last question on overall business headwinds. Do you think potentially with GLP -1 drugs becoming generic in India, there could be a risk to food consumption and especially food delivery of your business? Beyond this, are there any thoughts you may have had on that side?

Page 4 of 17 Akshant Goyal : No comment on it. It is still a new paradigm. And so far, I don't think we have seen GLP -1 impact in food delivery in many other countries. But as I said, it's fairly nascent. Theoretically, it can go either way, but too early for us to have a point of view or share that with you.

Ankur Rudra : Ok. Thank you and best of luck.

Akshant Goyal : Thank you.

Moderator : Thank you. Next question is from the line of Manish Adukia from Goldman Sachs . Please go ahead.

Manish Adukia : Yes, hi. Good evening. Thank you for taking my questions. I have two or three questions, all on quick commerce. The first one is on inventory ownership. The first question is, are you going to move almost all of your inventory to 1P over the next two to three quarters like you mentioned in the letter?

And will the margin benefit also be immediate? So , let's say, if you were to move almost all your inventory in three quarters, will the margin benefit also accrue in that two to three quarter period? Or will that take a slightly longer time period ? That's my first question.

Akshant Goyal : Yes. Manish, broadly that's the plan and your assessment is right. That's what we expect. In that timeframe, we should be able to move most of our business to inventory ownership and the margin accretion should also happen in that timeframe .

Manish Adukia : Understood. And you talked about some of the things in terms of the differentiation versus peer group , but in terms of like you moving to inventory ownership and, of course, almost all of your peers doing still marketplace, would you say that it's a meaningful competitive advantage? Or it's an advantage but doesn't really move the needle in a meaningful way from a market share perspective? Like what would your thoughts be there?

Akshant Goyal : I'll leave that for you to comment there. We don't have any point of view on competitors' business model. We can answer questions about our business.

Manish Adukia : Got it. And you talked about the visibility on dark stores, where you said you have 3,000 store visibility, but update on those , you'll probably give after you reach 2,000. But does that statement mean that you are getting to 3,000 - the timeline is unclear, but the number 3,000, you will eventually get to. Is that how we should read that statement?

Akshant Goyal : Yes , that's right.

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Manish Adukia : Understood. Got it. And maybe a related question there is , like today now you're like north of \$5 billion in GOV and MTU is north of 15 million, maybe industry is \$12 billion to 15 billion GOV. I mean, from an industry perspective, Akshant and Albinder, do you have like any sense as to when does this industry start tapering off, if at all?

I mean just trying to get a sense as to where do you think eventually MTUs or GOV of the industry may end up in your opinion in the next two to three years? If you have any thoughts on that.

Akshant Goyal : The growth momentum remains strong. And at least for the next two years, we feel that the growth rates will be high as we are still building out more infrastructure, and getting to 3,000 stores will take time . Beyond that, it's very hard for us to comment on how large this market could be. It's a function of how deep can we go in certain categories that are small today and how sustainable are the economics in some of these categories.

There are a lot of variables and unknowns still in the business, which will play out over the next one or two years , and that will also dictate how much opportunity we have in terms of size .

Manish Adukia : And in this business, Akshant and team, I know you don't give up that mix, but is there like a path for like non-grocery to become larger than grocery? Or do you still expect grocery / FMCG to continue to be like a disproportionate share of your GOV?

Albinder Singh Dhindsa : Manish, that will follow the consumption trend overall of the country. So , if the household share of buying groceries is always higher , then I don't think you will necessarily see the non-grocery segment being bigger than that. It's actually much more

related to what consumers are buying rather than what the platform offering. Since we are more of an everyday app and becoming more and more horizontal, the category trends will also mirror just what consumers buy.

Manish Adukia : Got it. Just one last question, a follow-up on Ankur's question earlier on competition. Three months ago in your previous call, you were saying that the competition is probably getting worse and visibility remains low on when it improves. And this time of course, you've called out that you expect margins and absolute losses to get better.

So of course, the interpretation of that would be, I'm guessing, that the competition has gotten significantly better over the last three months. And in that context, would you be able to give any new breakeven timelines now for the quick commerce business, as to when you can go back to that 0 number? Or that's something in the current landscape you may not be willing to provide?

Page 6 of 17 Akshant Goyal : See, Manish, that number is not important for us because it's a function of the weighted average of mature stores and new expansion. So directionally, as you can see, the margins have improved from - 2.4% to - 1.8% in this quarter. What we are saying is we expect that projection to continue, subject to competitive intensity remaining the same.

So from here on, how long therefore, does that take to cross 0 is a function of how fast we're able to expand, and expansion also is not fully in our control because it's dependent on various external factors. So, we're not keen to give that number - also because I don't think it matters eventually. Parts of our business, as I mentioned, are already at 2.5% margin. So, the rest of the business catching up is a function of time.

Manish Adukia : Thank you for taking my questions. All the best.

Akshant Goyal : Thank you.

Moderator: Thank you. Next question is from the line of Aditya Soman from CLSA. Please go ahead.

Aditya Soman : Hi. So, first question, in your ROCE calculation on Blinkit, you've laid out the assumption of about 18 days of working capital. Now this is significantly lower than retail

or

traditional retailers like DMart. Is this because you do not have to maintain as much shelf inventory? Or is it just that your models allow you to minimize inventory just because you have a just-in-time model and can move much faster? Or does this mean that some of the inventory will still stay off the books?

Albinder Singh Dhindsa : I don't think Aditya it's a like-to-like comparison with something like a DMart because for one of the largest categories, for example, general merchandise, they typically have much higher days of inventory, and that is owing to the way that they also source these items. So, I don't think that you can make that like-for-like assumption.

However, because of the way that we replenish and the frequency at which we are actually able to move products in our supply chain, we are structurally better off than most retailers that you would see across categories in the days of cover that we need to have, in order to make sure that there is good availability for customers.

Aditya Soman : Fair. No, that's clear. And then secondly, I mean, in your statement on competition, you've also mentioned that there's a clear trend for you at least that speed, assortment and customer support are almost more important than price. So, does this mean that we are seeing the segmentation of the market as we've seen everywhere in the world with sort of players like Reliance or DMart going after value and Blinkit effectively filling the gap in India for the convenience channels as we just don't have any supermarkets or convenience stores here?

Page 7 of 17 Albinder Singh Dhindsa : I don't think that we will be able to classify that because our business works with all of these things together. The flywheel around delivering pricing value to customers is also something that we focus on, and we can't ignore it. And our customers also need to feel that they get the best prices on our platform as well. For us, all of these things have to go together.

And, on your question on segmentation of the market, I don't think it is a question of whether customers are going to fulfill their needs via a different value proposition, which is maybe 2-hour delivery or 3-hour delivery and therefore, they will get more value. We are not keen on exploring that segment. We also think that the moment it moves out of 10 minutes, then the entire equation changes. So maybe the value that you need to deliver will be much, much higher.

And whether that would be sustainable or not, we are not entirely certain. Therefore, we don't think that you will be able to take each of these and then create different segments

out of the market.

Aditya Soman : No. I understand. Clear. And then the last question on Hyperpure. You've indicated that part of the business will sort of come off just because that was sort of the marketplace business for QC. Can you give us a breakdown of how much was the restaurant business in QC business within Hyperpure?

Akshant Goyal : Aditya, we have given that breakup in the last shareholders' letter. If you could refer to that, we have the breakup by both the restaurant and the non-restaurant business for the last four / five quarters.

Aditya Soman : I understand. So, will it be roughly in that ballpark even for this quarter?

Akshant Goyal: Right.

Aditya Soman : Cool. All right. Thank you.

Moderator: Thank you. Next question is from the line of Swapnil Potdukhe from JM Financial. Please go ahead.

Swapnil Potdukhe : Hi. Thanks for the opportunity. I have three to four questions. First on Blinkit per se.

You're already close to around 17 million MTCs versus 23 million in food delivery. I would like to know what percentage of your quick commerce users are unique in nature, which probably will not be transacting, let's say, on your food delivery side?

Albinder Singh Dhindsa: Swapnil, we have talked about it in the past,

but we don't disclose that metric anymore. But the number of unique customers in quick commerce is increasing. It's on an increasing trend because logically, we cater to different customer segments as well.

Page 8 of 17 Akshant Goyal : The overlap is not very high - is what I would say. There is a large user base on both sides, which is fairly distinct.

Swapnil Potdukhe : Ok. Got it. The second question is with respect to your top cities share in the overall GOV or NOV, whichever we want to look at for the Blinkit business. And any sense as to how has that moved from the previous quarter?

Akshant Goyal : Not a very significant movement, Swapnil. Majority of our business is still in the top 20 cities.

Swapnil Potdukhe : Ok. You did mention that the NOV difference is just about 10% between your bigger cities and smaller cities. The margin difference at this point of time would be significantly bigger because you mentioned 2.5% Adjusted EBITDA margin for some of the cities.

Lower-tier cities would be significantly higher at this point of time.

Akshant Goyal : Sorry, your question is not clear. Are you saying lower cities will be higher on margin or lower on margin?

Swapnil Potdukhe : The losses in that business will be significantly higher in percentage terms.

Akshant Goyal : It's a function of the age of the store and also our relative market position in a city rather than actually being a small or large city. Right now, we are not seeing too much of margin difference between small and large cities. But of course, the newer stores that we've opened are loss-making because of the fact that the throughput is still low. So, that's where the difference between margin comes up between the stores. It's more to do with the age of the store than whether it's tier 1 or tier 2.

Albinder Singh Dhindsa : Also, to add to that, Swapnil, our supply chain investment in tier 2 and tier 3 cities is also more greenfield, and therefore, for the short term, there's usually higher margin pressure on these cities because we are building out a brand new supply chain over there to be able to supply better. Sometimes, the utilization of that is also worse off.

Swapnil Potdukhe : Understood. One question on your food delivery business margins. Your commentary seems to suggest that going forward, you may end up sacrificing some margin to drive growth. I mean, if I were to summarize what you have mentioned in the shareholder's letter. Is that understanding correct?

Akshant Goyal : There's always a trade-off. What we are saying is that while in the long term, margin expansion is possible, but in the near term, we are more focused on growth. And hence, therefore, the margins could remain around the mark they are today.

Swapnil Potdukhe : Got it. And how do you see your going-out losses in the near term? Because you did mention the expectations of losses in the Bistro business or the investment that you

Page 9 of 17 plan to do. But going -out, you have given a slightly longer-term commentary versus a short-term trend. Any sense on that?

Akshant Goyal: We don't want to provide any guidance on the short term at this point, but I don't expect the losses to meaningfully increase from where they are. They'll remain range-bound in the near term.

Swapnil Potdukhe : Got it. And just one last thing on Bistro. What would be the AOVs currently? And any sense as to where you see those AOV going for that business?

Albinder Singh Dhindsa : We are not disclosing that, Swapnil.

Swapnil Potdukhe : Ok. No worries. Cool. Thanks a lot guys for the opportunity and all the best.

Akshant Goyal : Thank you.

Moderator: Thank you. Next question is from the line of Yogesh Aggarwal from HSBC . Please go ahead.

Yogesh, hi, can you hear us? S eems like we're having some technical difficulties. We'll move on to our next attendee.

Next question is from the

line of Vivek Maheshwari from Jefferies. Please go ahead.

Vivek Maheshwari : Hi. Good evening, team. A couple of questions. So , first is on this IOCC and 1P. So , let's say, you have about 1,500 + stores. In two to three quarters, when you say that you will move to 1P, is that for all the stores? Or do you need to do bottom -up to figure out which stores you should do 1P and which you should do 3P?

Kunal Swarup : Hi, Vivek, this is Kunal here. So , our move to 1P is not necessarily linked to stores . Stores are just a point of storage. T he broader idea is who owns the inventory on the balance sheet. On that, what we're saying is eventually, most of the inventory will be owned by us as the Company .

Vivek Maheshwari : No, sorry. W hat I meant was, from an inventory standpoint, not from store. I mean when I said store , I meant inventory. So, is there any thought process? Or it's like lock , stock and barrel as you move to 1P because it makes sense everywhere, wherever you are in the country.

Akshant Goyal : Yeah, we've mentioned it very clearly in the letter and also in the call to a previous question that we intend to move most of our business on our own inventory. So yeah, that's the plan .

Page 10 of 17 Vivek Maheshwari : Ok. And Akshant , in that context, so there is an impact on balance sheet, there is an impact on margins. But from a top line perspective, NOV / GOV , revenues, it doesn't change anything, right? So basically, will something change from an assortment perspective by virtue of moving it to 1P and therefore, on GOV / NOV? Or it stays the same, it's only the balance sheet and the margins?

Albinder Singh Dhindsa : On the assortment side, nothing will change in the selection. M oving to 1P reduces the administrative burden, the licensing burden, all of that significantly for both us and the brands ; we do expect that there will be some positivity in terms of operational metrics around availability, fill rates that will improve on the platform. But otherwise, nothing changes in the trajectory or the business itself.

Kunal Swarup : And on margins, we've already described the impact in the letter .

Vivek Maheshwari : Right. So margin part, interesting. So , you are saying that at the margin , there can be some positive impact on the top line also. So that's interesting.

The last bit is when we look at q uick commerce, let's say, C ontribution margin versus Adjusted EBITDA. So , let's say, C ontribution is flat and Adjuste d EBITDA is getting better by 60 basis points, for example, sequentially. What does that imply? So , it's essentially the marketing , branding or the corporate overheads because of leverage? Can you just explain this bit?

Akshant Goyal : That's what it is, mostly marketing.

Vivek Maheshwari : So, this is mostly marketing .

Akshant Goyal : And also operating leverage on the fixed cost. So , both of them . Those are the two costs below C ontribution. So, on both, there is improvement in terms of p ercentage margins .

Vivek Maheshwari : Got it. And when you move to 1P, that will show up in C ontribution margins, right?

Akshant Goyal : What will show up in C ontribution margin?

Vivek Maheshwari : I'm saying you mentioned about 100 basis point spread .

Akshant Goyal : That's right. Yes.

Vivek Maheshwari: Beyond that, Akshant, so that 100 basis point if we leave aside, so from here on, the Contribution margins will drive the EBITDA margins except the leverage and marketing spends are optimized. Is that fair? Or there is still some scope on marketing also?

Page 11 of 17 Akshant Goyal : No, the operating leverage below C ontribution will remain because even if these costs remain as is in terms of absolute amounts, the top line will scale . So, the operating leverage to that extent will continue to accrue .

Vivek Maheshwari : No. That's not what I'm saying. So operating leverage will continue. Other t

han that, will

there also be leverage on the marketing spend s, you think? Or will the rest of the delta come from Contribution margins only?

Akshant Goyal : I'm actually not clear on the question.

Albinder Singh Dhindsa : I think he is trying to figure out whether the marketing spends are going to go down. I

don't think the answer is yes. We will look to be more aggressive even going forward. Whatever we are saying is we are also accounting for the fact that we will stay aggressive, but maybe because of the competition, if the levels stay at the current level, we will see an improvement in the overall margins in the business.

Vivek Maheshwari: Ok. Got it. And lastly, you are on 3.9% Contribution margin this quarter on a NOV basis. Last year was 4.9%. So, do you think directionally, without the 100 -basis point IOCC impact, do you think you get to that in the next few quarters on Contribution?

Akshant Goyal: We've already shared that our margin will improve over time. So yes, eventually, the Contribution margin will increase. So, your question is on timeline or whether the Contribution margin?

Vivek Maheshwari: It's on the timeline, Akshant. See, look, 100 basis point delta comes from IOCC. So basically, there can be 200 basis point swing, which is what I'm trying to get to. It's possible in next three, four quarters, right?

Akshant Goyal: We're not giving any such guidance, Vivek. We've already shared a lot of information in the letter, which gives a sense directionally of how we think of the business. Asking for more detailed quarter- by-quarter projection, I don't think it's fair. It's a competitive market. So, I'm requesting you to please refrain from getting next quarter's projections from us because that does not help the business or our shareholders.

Vivek Maheshwari: Sure. The letter is very well written, I must say. Thank you.

Akshant Goyal: You're welcome.

Moderator: Thank you. Next question is from the line of Gaurav Rateria from Morgan Stanley. Please go ahead.

Gaurav Rateria: Hi. Thanks for taking my questions. I have three sets of questions. The first is on the leadership. You mentioned two years of rotational style with limited timeline forces

Page 12 of 17 leadership to perform with urgency because there's a limited window to create impact.

So, my first question is, how do you really measure this impact? Like what are the KPIs under which you measure, and you decide that the stint can be further extended or not?

Akshant Goyal: Gaurav, we don't want to discuss and disclose that here. That's not the conversation we want to have on this call.

Gaurav Rateria: Ok. No problem. My second question is on understanding the bit on the Contribution margin in the quick commerce business. Ideally, with your expansion ratio coming down as the number of new stores (as a percentage of existing stores) keep coming down, your Contribution margin should keep moving in the right direction. But this quarter was largely flattish to down. So, just trying to understand what are the various moving parts that go inside, which drives your Contribution margin movement?

Kunal Swarup: So, in addition to what you said, Gaurav, which is one element of Contribution margin being driven by the share of new stores, there are other elements that impact it. One, for example, we mentioned is the seasonality impact on certain costs, especially delivery partner costs. Second, there is competition. Competition also has an impact on various lines in the P&L Contribution. And of course, there is infrastructure build-out in the form of warehousing as well.

Apart from stores, some of the warehousing expansion is more lumpy where you invest upfront, but you start seeing utilization over a slightly longer period of time. These other three factors also play into that eventual Contribution margin. And therefore, it will not be o

nly linked to the share of new stores.

Akshant Goyal: And just to add to that, seasonality with respect to what gets sold on the platform in terms of the mix of the categories also plays a role. That also changes, and that could have an impact on the gross margins in a particular quarter. So that also has a part to play.

Gaurav Rateria: Got it. My last question is about food delivery. You did talk about growth bottoming out. What are the initial things that you're watching which is making you a lot more confident on this sustainability or improvement in the growth trajectory?

And related part is also on these food delivery partners. If you look at the last three to four quarters, it's stagnating around a particular number while the Orders might have grown. So, how much of leverage do we have to keep pulling this metric in terms of not being able to grow this delivery partner number while our Order numbers keep growing? At some point in time, the ratio may get maxed out. Thank you.

Akshant Goyal: So, Gaurav, on your second question, the number of partners is an indicative number that we share to give a sense of the size of the logistics fleet. But really, the metric that

Page 13 of 17 is directly linked to the size of the business is the log-in hours of these delivery partners because, as you know, these are all gig workers. So, the number of hours they spend changes.

And that's also seasonal. We see a lot of delivery partners spending less time on the platform in certain months, around certain festivals and vice versa more time around other times in the year. That is the first point I'd like to make that the number of delivery partners therefore is not always necessarily equal to the log-in hours that we get. Secondly, utilization, or rather the idle time of delivery partners on the platform, continues to come down. And as that happens, we're able to do more orders with the same number of log-in hours that we have on the platform. It's actually a good thing because it makes our business more efficient while, at the same time, it increases the earnings of delivery partners. Therefore, I don't see a constraint in terms of availability of delivery partners on the growth of the business at this point.

If the business grows and we need more log-in hours on the platform, scaling that should not be a challenge.

Gaurav Rateria: And on the growth bit of food delivery?

Akshant Goyal: So, what we have shared is basically what we have seen so far in the first three weeks of the quarter, the year-on-year growth has sort of bottomed out and we are seeing now better app opens from our consumers and better resurrection rates. So, there are early signs which is why we think that we should see better growth from here on. But again, still early in the quarter, and we'll know more during the course of the quarter.

Gaurav Rateria: Got it. Any meaningful change in the churn ratio or retention ratios, which also drives slightly better confidence than before?

Akshant Goyal: Yes. As the frequency goes up and we are seeing more customers returning to the platform across different markets, that's why we feel that this quarter would be better than the last one.

Gaurav Rateria: Got it. Thank you and all the best for the future.

Akshant Goyal: Thank you, Gaurav.

Moderator: Thank you. Next question is from the line of Vijit Jain from Citigroup. Please go ahead.

Vijit Jain: Hi, thank you for the opportunity. My question is on quick commerce. Looking at just the AOV, and I know your comments from last quarter around not really looking at driving the basket sizes up. Just in that context, given the AOVs in the smaller cities is 10% lower, I

Page 14 of 17 wanted to see whether in the top cities naturally without, let's say, specific interventions from your side, are basket sizes still continuing to rise?

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Uday Singh Dhindsa: Over the longer time horizon, yes, they are continuing to rise, but sequentially you might see differences because seasonality plays a very, very big role in the AOVs.

Vijit Jain: Ok. Got it. And my second question is on the switch to inventory model. Just looking at marketplace versus inventory model for a second - In terms of how small sellers or D2C brands, those kinds of people get onboarded or featured or promoted on the platform, does anything change at all with this switch? I'm guessing some of them would at least want to feature products on the platform that they want to promote and those kinds of things. So those things, do they change at all under this new architecture or continues to go onwards as it was earlier as well?

Uday Singh Dhindsa: No, Vijit, the tools that the brands use to promote themselves, to advertise on the platform or to also feature some of their products, all of that remains exactly the same. The only way to sort of look at it is that this is more of an administrative change for us and the brands.

It just makes the burden of compliance a little bit easier for them. But commercially, nothing changes dramatically. And of course, because it becomes a little bit more efficient for everybody involved, that is why we see a margin accrual. But otherwise, life stays exactly the same.

Vijit Jain: Got it. So, no change in whatever discretionary decision-making could have existed with the brands earlier in terms of what they wanted to feature?

Akshant Goyal: Yeah. The brands still have all control.

Vijit Jain: Got it. And last, just bookkeeping question, if I remember this right, usually, you have annual wage revision impact in the September quarter, at least in Zomato, if I remember right? Has that changed here? Or should we expect that kind of fixed cost increase next quarter?

Akshant Goyal: Appraisal cycle remains the same, Vijit.

Vijit Jain: Ok, got it. Thank you. So those are my questions.

Akshant Goyal : Thank you.

Moderator: Thank you. Next question is from the line of Rishi Jhunjhunwala from IIFL . Please go ahead.

Page 15 of 17 Rishi Jhunjhunwala : Yeah. Thanks for the opportunity. A couple of questions here. Firstly, on food delivery, if we see, our NOV growth has come down from, say, 27% year- on-year last year same quarter to 13% now. What would you attribute to be the major driver of this? Is it mostly the ordering frequency? And secondly, when we are talking about the number going back to 20% + next year, where would that incremental growth come from between frequency and AOV?

Kunal Swarup : Hi Rishi, this is Kunal here. So essentially, it comes down to the number of customers transacting on our platform and the average order values. There has been a slight slowdown in the number of transacting customers and the number of app opens that we're seeing on the app during the year. And therefore, year- on-year, some of that growth has been impacted, and we've talked about it over the last couple of quarters. And like we said earlier in this call as well, the expectation is that the transacting customer growth should be higher as customers return to the app.

Rishi Jhunjhunwala : Understood. And the second question is on quick commerce. Our average GOV per day , per store over the past four / five quarters has been extremely stable despite the fact that the number of dark stores have gone from 600 + to 1,500+ . So just trying to understand if you can give some color on throughput from your relatively mature dark stores . Where do they end up stabilizing or if at all, they are ? And at what level of GOV per day, per store do you start dividing the presence in the same area?

Albinder Singh Dhindsa : So, to the first part, Rishi, we don't actually know. We still haven't reached the point of hitting max throughput capacity at any of our stores. Of course, the more

volume we do from a store, we also learn, and we adapt to it as well.

To the second point, we don't disclose that information. That's part of our strategy as to how we go about actually opening stores. So that's not something that we disclose publicly.

Rishi Jhunjhunwala : Got it. And just one last thing. In terms of ESOP costs, from an expectation perspective, what trajectory should we think about? Is there any change in the recent past around that?

Akshant Goyal : Rishi, in the past, we have given a guidance on our total employee cost as a percentage of revenue, which includes both the cash compensation and the ESOP charge, I think two quarters ago maybe and then before that also. So, we're still sticking to that guidance that we've given last time.

Rishi Jhunjhunwala : All right . Great. Thank you so much.

Page 16 of 17 Moderator: Thank you. Ladies and gentlemen, in the interest of time we will now take last one to two questions. The next question is from the line of Sachin Salgaonkar from Bank of America . Please go ahead.

Sachin Salgaonkar : Hi. Thank you for the opportunity. Three sets of questions. First question is on quick commerce. I do now see a bit of a divergence in business models between how Blinkit is functioning and how your competitors are functioning.

What I mean by that is you guys don't have mega pods , you don't have the MAX saver equivalent kind of an offering. And I do understand the focus is more to deliver in a 15 - minute timeframe versus, let's say, what the MAX savers and equivalents are offering. The question out here is there is a good amount of opportunity to also focus on that base who doesn't necessarily want everything in 15 -minute basis. But out there, the AOV is much larger. So , any thoughts in terms of going and targeting this base, where it is not a 10-15 minute delivery but maybe a 30 -40 minute delivery timeframe?

Albinder Singh Dhindsa : Sachin, we don't see the opportunity there. So that's why we are not doing that.

Sachin Salgaonkar : Ok. And any specific reason why you don't see the opportunity out there?

Albinder Singh Dhindsa: I think maybe we are not smart enough so that could be the possible reason.

Sachin Salgaonkar : Clearly, you guys are . And next question, District, you guys did mention dining out, movie, sports, concert ticketing as a focus. Any thoughts of also focusing more on travel because there is a good amount of opportunity to cater to the premium user base out there also?

Akshant Goyal : Not at this point, Sachin. We remain focused on the existing set of use cases for now and lot of work to be done on those ones. So, in future, of course, we can evaluate anything. But right now, in the near term, we'll remain in the categories that we are in today.

Sachin Salgaonkar : Got it. Next question on food. Clearly, you guys are indicating growth could be a bit slower than 20% for this year. I do think , basis your shareholder letters, there are a

couple of historical issues what you had highlighted. One, as quick commerce becomes big, clearly, there could be a bit more impact in terms of food growth. And second, at some level, obviously, there's a bit of a slowdown impact.

The first issue, what you guys had mentioned in the past has a potential of becoming bigger and bigger as the quick commerce size becomes bigger. Of course, there's a bit of a competition uptick. Any general thoughts? Should the steady-state growth be around 20% could slow down a bit, but margins could be a bit better on the back of it? Do you

Page 17 of 17 see any risk to the overall growth for the industry out there in the medium term because quick commerce is becoming bigger?

Akshant Goyal: Sachin, quick commerce has definitely been a headwind to some extent for the food delivery business because some of that consumption has also moved to quick commerce. But having said that, we still believe

from an inflation standpoint and opportunity standpoint, we still do think that in the long term the business can grow at 20%, although that visibility is not there in the near term at this point. But there's enough going for us to be excited about the business. If we do well and we are able to innovate and unlock more use cases for food delivery on the app, then we can get 20% growth levels again.

Sachin Salgaonkar : Got it. And last question, trying to understand if there are any accounting changes we should see on Blinkit from next quarter. And the reason I'm saying is 1P model is on an inventory basis and 3P on a take rate basis. So, as you guys move towards an inventory-led model, should we see any accounting changes in terms of overall numbers for the Blinkit business?

Akshant Goyal: Yes, Sachin. So, we have tried to outline that in question 12 of the letter in terms of three, four things that could change from a reporting standpoint. So, I'll request you to get attention to that question.

Sachin Salgaonkar : Ok. So, I mean, my question was, and I read that, more from a take rate of the business changing and how the things move from that revenue calculation and so on and so forth.

Akshant Goyal: Revenue will now become very similar to NOV because we own the inventory and Contribution margins, of course, in terms of definition and calculation, will not change. There is now an interim gross margin of the business, that we'll take a call whether we want to disclose that or not in the next quarter. But outside of that, nothing else should change.

Sachin Salgaonkar : Ok. Thank you.

Moderator: Thank you. We will now conclude this conference call. Thank you so much for joining us, and you may now disconnect your lines.

Call: Oct 2025

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ISIN: INE758T01015

Sub.: Transcript of the earnings conference call conducted on October 16, 2025

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed transcript of the earnings conference call conducted on October 16, 2025.

The same is also hosted on the website of the Company at <https://b.zmtcdn.com/investor-relations/Q2FY26-earnings-call-transcript.pdf>.

For Eternal Limited
(Formerly known as Zomato Limited)

Sandhya Sethia
Company Secretary & Compliance Officer
Place: Gurugram
Date: October 23, 2025
Encl.: As above

Page 1 of 17

Eternal Limited
(formerly known as Zomato Limited)
Q2FY26 Earnings Conference Call Transcript

October 16, 2025

Management representatives :

1. Akshant Goyal – Chief Financial Officer, Eternal Limited
2. Albinder Singh Dhindsa – Founder & Chief Executive Officer, Blinkit
3. Kunal Swarup – Head, Corporate Development, Eternal Limited

Page 2 of 17 Moderator: Ladies and gentlemen, a very good evening, and welcome to Eternal Limited's Q2FY26 earnings conference call. From Eternal's management team, we have with us today Akshant Goyal, Chief Financial Officer; Albinder Singh Dhindsa, Founder and CEO - Blinkit; and Kunal Swarup, Head of Corporate Development.

Before we begin, a few quick announcements for the attendees. Anything said on this call, which reflects the outlook for the future, or which could be construed as a forward-looking statement, may involve risks and uncertainties. Such statements or comments are not guarantees of future performance, and actual results may differ from those statements.

Additionally, please note that this earnings call is scheduled for a duration of 45 minutes, and we will be starting directly with the Q&A section of the call. If you wish to ask a question, please use the raise hand feature available on your Zoom dashboard. We will announce your name on the call and unmute your line, post which you can proceed with your question. We will wait for a minute while the question queue assembles.

Moderator: The first question is from the line of Garima Mishra from Kotak . Please go ahead.

Garima Mishra: Hi, thank you for the opportunity. My questions are on the quick commerce business.

First, this quarter witnessed a big increase in MTU addition for Blinkit. You did allude to higher ad spends and investments towards this in the letter. Is this set to continue, and hence should we expect elevated ad spends going forward as well?

Albinder Singh Dhindsa : Hey Garima, this is Albinder. What we are seeing right now is that there are new consumers out there in the market, and if we are targeting them, we are able to onboard them at a reasonable marketing cost which is why we spent more on marketing this quarter as well.

So, till the point that we keep seeing this trend, we will keep investing however much that we can to basically power more growth. So, you should expect this to continue in the next quarter as well.

Garima Mishra: All right. So, in the same line, in the last quarter, you mentioned that every new customer cohort breaks even for you at CM level in month one itself . Is there any change to this metric, especially since MTU addition has gone up so much?

Akshant Goyal : No. We haven't seen that change yet, Garima. Just to add to Albinder's point earlier, Akshant this side, as long as we see a healthy CAC and a healthy LTV, we won't shy away from spending more on marketing because we're actually acquiring good quality customer base.

Page 3 of 17 Garima Mishra: So Akshant, just on this point, is this strategy a sort of change or modification, whatever you might want to call it, has this anything to do with what you're seeing from a competitive intensity perspective?

Akshant Goyal : Not really. It's also a function of scale of the business. Now that we are at about 1,800 stores, it's a much wider geographical footprint. So, our addressable market has also expanded in the last few months and quarters. As a result, the CACs are not going up when we spend more because there is sort of operating leverage on the marketing costs now.

Garima Mishra: All right. So maybe last question on this thread, how should we think about EBITDA break-even in the Blinkit business? I mean, the general understanding was this should happen sometime in the second half of FY26. How should we think about it in this context?

Akshant Goyal : Garima, that's not really a milestone we are focused on. For us, the way we look at the business is that there are parts of the business which are more mature, which are already EBITDA positive, and we've shared that in the past. We mentioned that there are cities already north of 3% Adjusted EBITDA margin. So, there is, therefore, a reasonable size of our business today which is already reasonably

profitable, and then there is cost of expansion, opening new cities, new stores, acquiring new customers. Eventually the Adjusted EBITDA that we report is a weighted average of these two parts of the business. This can keep changing depending on what kind of growth we see, what quality of growth we see, and how much we invest.

It's also linked to how competitive the market is and what the competition is doing. So, we see Adjusted EBITDA margin or break-even more of an outcome of all of these things and not really something that we are chasing as a goal right now.

Garima Mishra: Got it. Thank you so much and wish you the best. I'll come back in the queue.

Akshant Goyal : Thank you very much.

Moderator: Thank you. Next question is from the line of Gaurav Malhotra from Axis . Please go ahead.

Gaurav Malhotra: Hi, good evening, everyone. I just have two to three questions. So first, when I see the NOV to GOV for quick commerce, that has sort of moved up, I think moved down by a couple of percentage points. So, is it more of the ongoing festive season and the ongoing different sales which everyone is doing, or is there an increased competitive pressure which you are seeing right now?

Page 4 of 17 Albinder Singh Dhindsa : Gaurav, it's mostly because of the change in mix of products. So, JAS quarter has a couple of festivals, Rakhi being a big one. That is one of the reasons that you will see the difference being there.

Akshant Goyal : And Gaurav, just to add directionally, as the share of general merchandise and non-branded products on the platform grows, we are likely to continue to see this trend and

therefore you can see in our data that we have shared over the past four quarters, this metric has sort of consistently come down which means NOV is a smaller and smaller percentage of GOV, which is also why we highlighted that we believe NOV is a more relevant metric to track versus GOV.

Gaurav Malhotra: Got it. Just following up on what Garima said and sort of linking it up with the 3,000 stores you've now given us and by when you want to sort of go to that number. So, is the higher marketing spend happening in the existing cities or because now you will be going to cities where there is no one else, right? So, is all the marketing spend more sort of skewed towards those newer markets and geographies?

Albinder Singh Dhindsa: Marketing spend is still skewed towards the larger cities because we also have a significant amount of non-serviceability in the existing larger cities, and that's where the larger volume of the business is. But we are also spending significantly now in the emerging cities as well, and we have a significant footprint for those, for which we are --

Gaurav Malhotra: Sorry, if I could just interject, I meant like on a per acquired customer perspective, on a CAC perspective, is there more spending happening in the existing markets or do you have to spend more in the newer markets where you have to sort of educate the people?

Albinder Singh Dhindsa: Are you trying to ask whether the CAC for consumers in tier one markets is different than the CAC for other markets?

Gaurav Malhotra: Yeah.

Albinder Singh Dhindsa: It's not significantly different.

Gaurav Malhotra: And just last question, if you can just help us understand how do we think about the revenue to gross profit? You have obviously given us full details in the shareholder's letter. But suppose next quarter when you go to say 90%, then how should we sort of think of this revenue versus the gross profit versus the NOV, that sort of formulation changing? If you can just give us some guidance on that, please, or not guidance, but just to understand how to sort of think about it.

Kunal Swarup: Gaurav, because of the step change of 80%, you saw the revenue growth meaningfully increase. So, that one step change has happened. Now it should be incremental from

Page 5 of 17 here because 80% to 90% will result in some more dissonance in the comparable revenue, versus the past, but that step jump is behind us, if that was your question.

Gaurav Malhotra: Yeah. And just last question, if I may? So, what would be the remaining 10% inventory?

Would it be like those higher ASP products or the low sort of frequency selling products?

So, how do we think about the last 10% which you don't want to sort of shift to inventory?

Albinder Singh Dhindsa: We still have sellers on the platform who are selling different products for which we feel that the seller-driven model is better. The sellers also prefer that they stay on that model. So, that's the difference which we will see.

So, as what Kunal was saying, if you're trying to estimate the percentage of NOV which comes across as margin, that is going to be more impacted by mix change going forward rather than the change in the percentage of business which is on inventory versus not on inventory.

Gaurav Malhotra: Got it. Thank you so much.

Moderator: Thank you. Next question is from the line of Nikhil Choudhary from Nuvama. Please go ahead.

Nikhil Choudhary: Hi, thanks for the opportunity. My first question is on food delivery. Last quarter we called out that we'll focus on driving growth, and profitability will remain constant. But this quarter what we are seeing is that profitability actually improved while growth pick up is limited. So, just wanted to understand, was there some change in strategy or the elasticity of, let's say, additional spend is not leading to higher growth?

Akshant Goyal: Hi, Nikhil. So, the main delta here is increase in platform fee that happened in the middle of the quarter, which we did not anticipate or estimate at the beginning of the quarter, when we declared the last quarter's result. And our increase in platform fee was more of a reaction to what our competitor did. So, that's why you see the growth in margin versus our earlier guidance of margin perhaps remaining flat.

Nikhil Choudhary: No, I understand that part. The point, what I want to understand is, let's say if you would have invested those additional earnings to acquire more users or gain more market share, we could have done that, right? So, rather than let's say absorbing or, letting the profitability flow through, that's what we chose to do rather than focusing on growth. So that's the decision I want to understand.

Akshant Goyal: So, the decision on how much to invest for growth is a function of what kind of customer acquisition cost or reactivation cost for dormant users that we see. So, it's more driven by that rather than a specific P&L budget and till the time these costs are reasonable, and they make sense from a long-term LTV return perspective, payback perspective, we

Page 6 of 17 would naturally prefer to spend and grow the business, but we have to stop at a point where these numbers don't make any sense anymore. And typically, that's the zone, that's the sort of threshold line that we operate with irrespective of how much budget or P&L room we have to spend on growth. I hope that answers it .

Nikhil Choudhary : Got it. Yeah , fair enough. The second one is on Blinkit side . I think what you have called out is that higher marketing spend is because of larger size. So, is it fair to assume that this kind of elevated marketing compared to previous quarter will continue in future quarter as well ?

Akshant Goyal : Yes, at least likely in the near term, and that's what Albinder mentioned in response to a previous question that we do expect these levels to continue at least for now.

Nikhil Choudhary : And it has no implication from higher competitive intensity I assume, right?

Akshant Goyal : Yeah, that's another variable and we're assuming that to remain constant when we give this guidance. If that

changes meaningfully in one way or the other, then this outlook can change.

Nikhil Choudhary : Got it. That's it for my side. Thank you .

Akshant Goyal : Thank you, Nikhil.

Moderator: Thank you. Next question is from the line of Aditya Soman from CLSA . Please go ahead.

Aditya Soman : Yeah. Hi, good evening. So , two questions. Firstly, on Blinkit. So , you indicated that you've sort of ploughed back some of the incremental contribution, if you were to call it that, or incremental profitability back into marketing spend, and would it also be fair to assume that some of it has gone into price as well to make your products on the platform more attractive ?

Albinder Singh Dhindsa : Yes, that was the first point in one of the answers.

Akshant Goyal : In point 1 of question 7 , essentially that's what we mean there.

Aditya Soman : Absolutely. So then when I see the difference, obviously contribution per order has improved, but EBITDA per order hasn't, and that, would just be a function of marketing spend and the gap between those two ?

Albinder Singh Dhindsa : It is an interplay between some gains in operating leverage and increased marketing expenses , yes.

Page 7 of 17 Aditya Soman : Understood. Very clear. That was on Blinkit. And second question on District. Any sort of guidance on how you see the trajectory for sort of contribution or profitability playing out in District and how we should think of growth and profitability for that business?

Akshant Goyal : So, Aditya, we should expect growth to be around the current level of ~ 30% year-on-year. That is what we are expecting right now and profitability in percentage terms should improve. But as we mentioned also in question 11, we expect the absolute losses to sort of remain range bound around the current levels.

Aditya Soman : Fair enough. So around INR 60 -70 crore of losses and, continue at a 30% growth trajectory, even in this current quarter where the base I'm presuming is tough given that you have, I'm assuming it's an important quarter for that business?

Akshant Goyal: It's possible, but our guidance is more at an annual level because on a quarterly level there can be seasonality for some of these events, concerts, movie releases, or let's say IPL event and so on. So , there is a lot of seasonality in this business and a couple of weeks of swings can lead to one quarter, not doing well versus same quarter last year. But what we are trying to guide is more on year-on-year growth than quarter-on-quarter.

Aditya Soman : Fair enough . No, that's very good. That's it for me. Thanks.

Moderator: Thank you. Next question is from the line of Ankur Rudra from JP Morgan . Please go ahead.

Ankur, can you hear us? Seems like we have some technical difficulties. Moving on to our next participant.

Next question is from the line of Manish Adukia from Goldman Sachs . Please go ahead .

Manish Adukia : Hi. Good evening. Thank you for taking my questions. First question is, again, a follow-up on food delivery. Now, since you mentioned that some of the factors that are causing headwinds are largely macro , in your opinion, for you to reach your medium term mark of 20% +, is it just that macro has to get better, or are there any other interventions that, you could do to get to that higher number?

And , since one of the reasons that you called out is also expansion of quick commerce which may have impacted food delivery growth , so, could we conclude that as long as quick commerce growth remains elevated, which may be for some time in the foreseeable future, food delivery in the foreseeable future is unlikely to see any meaningful improvement in growth trends and 20% may be a more longer-term target than a medium-term target?

Page 8 of 17 Akshant Goyal : That's right, Manish . That's how I would also characterize the current situation. In terms

of your first part of the question,

whether we're totally macro -dependent, or can we do something else for growth, it's not like that those attempts to expand the market have not been done in the past, but the headwinds have been strong, including the soft discretionary demand in India in the last few months.

But from our side, we'll continue to focus on creating newer use cases to order food from restaurants and hope that the macro environment improves, which will bring growth back in the business to the levels that we think it should grow at.

Manish Adukia : Sure. Thanks, Akshant, and sorry to push you on this one, but why keep that 20% + guidance? Why not make it like 15% +? I'm just trying to think that what gives you confidence that there's a 20% + market and not a 15% market or like a whatever low - teens or mid -teens market?

Akshant Goyal : Guidance cannot be always close to the current growth levels . Then it's not really a guidance. So , the reality is the current growth rate number, which is around 15%, but whether you give guidance of 10% or 20%, you will have no basis for that. It's a judgment call and in the last letter we did say that for this financial year, we're unlikely to be at 20%, and we're expecting a 15% sort of year- on-year growth. But longer- term, our view on 20% remains as of now. And if that changes, we'll communicate, but that's where we are right now.

Manish Adukia : No, sure. Appreciate it. Thank you. And maybe just a couple of questions on the quick commerce business. I think again in the previous call, you had called out that as you transition to 1P, the benefit of that also should be immediate, but now, given your focus on growth, I think focus on growth was always there, but this time you've mentioned that it will take four to six quarters. So again, what has changed between the last three months for you to change that view on immediate transition of margin versus four to six quarters on 1P transition?

Akshant Goyal : So, what we mean by four to six quarters is the timeframe to fully realize it. What we meant last time and maybe we can clarify if there was any confusion is that the realization of the margin gains will start happening immediately, which has happened even in this quarter . But the overall margin accretion of 1% will take some while, because it requires you to negotiate with brands, you're signing contracts directly with brands, and that process cannot happen in one shot .

Manish Adukia : Right, very clear. A follow on that. I mean, your gross margin , 300 basis points of expansion in the QC business and I think contribution about 70. So, what you explained in the shareholders' letter is that incremental 230 basis points of cost was all linked to the first mile bit and some bit of let's say gross differential, I don't know in mix , etc. Just so

Page 9 of 17 you can explain that differential as to what drove the 230 basis points of cost, was it all first mile or was it something else that was there?

Akshant Goyal : So, the entire margin expansion is not just on account of this business model change . There is actually a meaningful margin expansion outside of that also. Right now , I would say, therefore with respect to this 3 percentage point gross profit increase, the cost side increase is on account of the supply chain costs that were moved from the sellers to us. We're not giving a split of how much of the contribution margin gain is because of the business model change and how much of it is because of other efficiency and operating leverage, but that's what I wanted to highlight that it's a combination of both.

Manish Adukia : Thank you so much. Last question from me . Of course, like overall growth profile of the business, especially on the quick commerce side, continues to be extremely strong. If you can and I know you've shared this data in the past, can you give some color on, let's say, your most penetrat

ed or mature city . What is the growth looking like there ? This would help us build confidence as we think about the next couple of years because your store rollouts will aid overall growth, but would love to understand how maybe your top one or two mature cities are doing on growth?

Akshant Goyal : Manish, we do keep sharing these data points from time to time, and what I can say right now is nothing material has changed for us to highlight at this point. So, if you had good confidence in the business last quarter, I believe that should continue.

Manish Adukia : Thanks a lot. All the best.

Moderator: Thank you. Next question is from the line of Swapnil Potdukhe from JM Financial . Please go ahead.

Swapnil Potdukhe : Hi, thanks for the opportunity. I have two or three questions. First, on your store expansion strategy and related to that. So obviously, you have mentioned that you plan to operate around 2,100 stores by the December quarter and 3,000 by March 2027.

Now, if I were to just extrapolate that and ask you, what would happen to your NOV growth because you had earlier guided for 100% NOV / GOV growth this year, but, the kind of accelerated investments that you're doing on store side, will it be fair to assume that, we could be at a very, if not 100% , but close to 100% kind of a growth rate on NOV in FY27 as well?

Akshant Goyal : Yes, Swapnil, I agree. Currently if you look at the growth rate, it's much higher at 137%. So, I do expect the year- on-year growth to remain above 100% for the next one or two years at least.

Page 10 of 17 Swapnil Potdukhe : Got it. And the second question is with respect to your contribution margin not improving meaningfully, despite the fact that your gross margins expanded 300 basis points and then you alluded to the fact that there is some first mile -related investments that you have done. Now , my question over here is if you're getting into those first mile, at some point of time, you will also probably see some benefits of doing first mile on your own, right?

And in that context, will it be fair to say that the 100 basis points of benefit that you're suggesting because of the inventory model , that could actually be much higher than that over a period of time, not necessarily now, but one year, two years later?

Albinder Singh Dhindsa : Swapnil, the overall percentage of our cost which resides in the first mile for brands is way too small to make a significant dent here, so it will not change.

Swapnil Potdukhe : Okay, got it. The second question is on food delivery growth. So obviously that 14 % growth could have been much higher , in my opinion, given the changes that you had made on the minimum order value side. I mean, is there anything else you could have done or is it because of the fact that you made that change in the middle of August , if I'm not wrong , and hence the full benefit of that is yet to be realized and possibly in the December quarter you would see that benefit coming in. Apart from that, is there any other trick up your sleeve that you can use to accelerate growth in the food delivery business.

Akshant Goyal: You're right, Swapnil. The full impact of that change will appear in the December quarter and outside of that, as we've also mentioned in the letter, we expect a slow uptick in growth rate in the near term and there is no silver bullet that we have as of now.

Swapnil Potdukhe : Got it. Got it. And just on the District business . We have been in this INR 50-60 crore loss range for the last couple of quarters. When exactly will we see these losses coming down? I mean, you have suggested around similar kind of losses in the near term at least, but from a medium- term perspective, where will be the inflection point where we will start seeing some improvement in the losses in that business?

Akshant Goyal : So, Swapnil, FY27 should be better than FY26 ,

in terms of losses in the business. That's

how I would put it without really pinpointing a particular quarter, but it should happen in the next few quarters.

Swapnil Potdukhe : Got it. Good. So those are my questions. Thanks a lot for the opportunity and all the best.

Akshant Goyal : Thank you.

Moderator: Thank you. Next question is from the line of Ashwin Mehta from Ambit . Please go ahead.

Page 11 of 17 Ashwin Mehta : Yeah , hi. Thanks for the opportunity. Just one question. So, Akshant, we've added almost 1,200 odd dark stores over the last year. Any sense that we can give either over the last two quarters, or the last four quarters in terms of, where these dark store additions have happened . What's the proportion towards tier 1, tier 2, tier 3, and is the skew towards, say, tier 2, tier 3 increasing in the recent times?

Akshant Goyal : Hi Ashwin. So, more than 70 -75% of our store addition continues to be in the top 10 cities . While the number of city count seems to be exploding, but number of stores in these long tail cities is really small . So, majority of the business and the success of the business is still linked to how well we do in the top 8 to 10 cities, and that remains the focus.

Ashwin Mehta : Okay. So , do you envisage, as you possibly densify some of these tail cities as well, that the middle mile or the warehousing related expenses also start to kick in ? At this point in time if we are just kind of testing waters here, then maybe that is on the lower side at this point in time. Would that be a fair assessment?

Akshant Goyal : Not really Ashwin, because most of these tail cities are being serviced by warehouses which also serve large cities . There have been only very few locations or states where we did not have that back end infrastructure and where we had to open a cluster across a bunch of cities, and then a warehouse to service them.

But our network design on stores already takes into account the fact that we have to be

mindful of the backend warehousing cost and in locations where that doesn't make sense because you don't have a large city that is already being serviced, we have sort of stayed away from expanding into those markets. So therefore, the cost of expansion into the tail cities is not very high, at this point in time for us from a backend supply chain cost perspective.

Ashwin Mehta : Fair enough. And the last one is in terms of there's this 'Other s' segment where we put in our new initiatives, the losses there are now comparable to the losses on the going-out side . So, any outlook here ? What is the area where bigger investments are going and how should these trend?

Akshant Goyal : So, Ashwin, most of these losses are on account of our expansion in the Bistro business, which is a 10-minute food delivery service that we're building, and I will try and give some update on that business in the next quarter.

Ashwin Mehta : Sure, Akshant. Thanks, and all the best.

Akshant Goyal : Thank you.

Page 12 of 17 Moderator: Thank you. Next question is from the line of Abhisek Banerjee from ICICI. Please go ahead.

Abhisek Banerjee : Hi, sir. Thanks for the opportunity. My first question is with regard to the new MTU additions which have happened in this quarter. You mentioned that you've got some high-quality customers. So , are these new customers in the segment or are they coming from one of your competitors?

Albinder Singh Dhindsa : Abhisek, it's hard for us to clearly demarcate where the new customers are coming from. We just know whether they're new to platform or not. But for the majority of the customers that we're talking about, we believe they would be new to quick commerce in general because one, we have the largest network of stores , so we're targeting the biggest geographies and also we are spending for growth in the segment and targeting new customers. So, that gives u

s confidence that most of them are new to QC in general.

Abhisek Banerjee : Got it. So, you also mentioned that the steady state proportion of in-sourcing will be about 90% rate inventory. Now, what is the 10% that you are kind of keeping outside? Are they fast-moving items or the slow-moving items? Any color on that?

Akshant Goyal : So, Abhisek, there are some categories where it's operationally easier for us to work with sellers than actually directly source it from the manufacturer. There are no large categories there , but actually a bunch of small products and SKUs that just operationally don't make sense for us to own directly and that's why we're going to let sellers run that business.

Abhisek Banerjee : Got it. Now, we have obviously built a positioning which kind of positions u s as the player, where customers pay for convenience, right? Now that you have competed a little bit on the pricing front, does that in any way impact our positioning in the customer 's mind? I mean, how to kind of look at that?

Albinder Singh Dhindsa : Abhisek, our positioning is that we want to be a customer first organization and do what is in the best interest of the customer. As we get larger and we get more efficiency benefits, what we will continue to do is also give our customers the confidence that Blinkit will also be the best price platform for them, which basically means we have to run our operations a lot more efficiently, we have to pass those benefits on to the customer, and we think that that is the right thing to do for our customers. So, we don't think of it as positioning it one way or the other. We have customers willing to pay us convenience fee because they value the service that we provide and part of the value that we also want to provide them, so that they continue to value us even more , is the confidence that we're also the platform which gives them the best access to products, at the best possible prices .

Page 13 of 17 Abhisek Banerjee : Understood. So, this is very helpful and I'm just kind of reiterating a point which some of the fellow participants also raised before this. If you can provide some color on the large cities and the smaller cities in terms of AO V etc., that would be highly appreciated .

Albinder Singh Dhindsa : Abhisek, it's not that different, I would say.

Akshant Goyal : We mentioned last time that the AO Vs are not very different. The margins may be slightly lower in smaller cities as of now, but that's also because they don't have that kind of assortment that we are able to provide in larger cities in most cases. So that's all that we want to share at this point, but we'll try and see if we can include more details in the future shareholder s' letters.

Abhisek Banerjee : Understood. One last question on the food part of the business. Are we seeing a sequential improvement here, beyond what we have seen in the last quarter? So, as in, are we less upbeat on the recovery here which is what the shareholder s' letter kind of gives the impression. Just trying to understand that a little more .

Akshant Goyal : We've said that we expect a slow uptick in growth rate, but we do expect that growth

rate will keep going up from here.

Abhisek Banerjee : Fair enough, sir . Thank you so much, sir. Appreciate it.

Akshant Goyal : You're welcome.

Moderator: Thank you. Next question is from the line of Vijit Jain from Citi group . Please go ahead.

Vijit Jain : Yeah, hi. Thank you for the opportunity. My first question is, the take -rate commentary that you have, the 300 bps Q oQ, nearly half of it seems to be coming from that first mile change. I wanted to understand if the majority of the rest came from advertising. There has been a lot of industry commentary recently, around F MCG companies significantly raising advertising budgets on QC. I'm just wondering if that is true and if you've reinvested those adverti

sing revenues into customer acquisition? Is that a reasonably accurate way of looking at this?

Akshant Goyal : So, Vijit, what we're saying is that a large part of this 3 percentage point increase is on account of business model change. However, this business model change is also leading to costs going up. First mile cost is only a part of the reason of for costs going up . So, when we move this business from sellers to directly on our platform, the supply chain cost , which includes first mile cost , went up and hence that entire gain on the top -line margin because of the model change did not flow through to contribution margin, which is also consistent with what we've mentioned in the past that the net gain or net flow through eventually should be 1%, part of which we have realized this quarter and the balance will keep flowing through in the next four to five quarters .

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So, just to be clear, this is the position on the impact of business model change on the top-line and the margin. Outside of that, we haven't seen any major bump in ad revenue in the last quarter which we would want to talk about. It is sort of business as usual on that front.

Vijit Jain : Okay . Got it. And my second question is, in question 7 , one you said that the QC marketing spends went up 4x YoY, and I think 40% Q oQ, and obviously your user growth has also been pretty high to o, I think 2.3x YoY (25% QoQ) . So, my question I suppose is when you say that your marketing expenses will remain elevated, is that going to be proportionate to new user additions, or are you having to see incrementally as well, some spends for retention work as well?

Albinder Singh Dhindsa : It's mostly new user acquisition , Vijit .

Vijit Jain : Got it. So , in that sense, if you add another 3 million or 4 million, let's say , users in Q3, the absolute spend on marketing just goes up commensurate with what you've seen in Q2 versus Q1. Is that accurate?

Albinder Singh Dhindsa : Ideally, there should be some operating leverage there .

Vijit Jain : Yeah, right. Got it. And my second question is in terms of these store ad ditions that you're doing, right, 250 odd stores that you say, you'll add in Q 3 and then, pretty similar, maybe 200 average beyond that. Should we think about this as, from here on, pretty steady, or will there be some spurts here and there?

I mean, I'm just trying to understand if you're looking at it in terms of specific spurts or just a steady cadence based on plans you've made?

Albinder Singh Dhindsa : It's very dependent on what we learn over the next few months as well. This is our current view . But if we find opportunities to grow even more rapidly, we have a store opening team which can possibly open a lot more stores every quarter as well, and we will take that opportunity , if and when it comes .

Vijit Jain : Got it. And my last question. The costs related to the inventory model change that you mentioned, right? So , are they all mostly above gross profit line or rather above contribution line or is there some additional costs between CM and Adjusted EBITDA as well in quick commerce?

Albinder Singh Dhindsa : Everything is above CM .

Vijit Jain : Got it. Thank you. Those are my questions.

Page 15 of 17 Moderator: Thank you. Ladies and gentlemen, in the interest of time, we will now take the last one to two questions.

The next question is from the line of Manish Poddar from Invesco . Please go ahead.

Manish Poddar : Yeah. Hi. Thanks for taking my questions. And first of all, Akshant and team, I think, a great job in terms of executing on a lot of variables. As customers, we don't see the difference in terms of delivery when you would have migrated 80% or 90% of the system, I think. It's a great job on that front. I just have three questions. So, the first one is any idea you would have on the quick commerce side of the bu

business?

Let's say, how would your market share be versus let's say three or six months back on NOV basis, then versus now?

Akshant Goyal: Hi Manish. Thank you. We do internally have a sense on market share. We do try and track it basis some sampling data that we do, but we're not sure about it because all our competitors are private companies. So, I would not want to conjecture on, therefore, numbers around market share, unless they're public.

Manish Poddar: Okay, and my understanding was that there is marketing intensity given you said that on the earlier question that your M3 retentions are good on the quick commerce side. I thought the marketing intensity of peers is going down, so your marketing cost or this CAC should come down. But this is not seeming to be the case. So, what am I missing here?

Albinder Singh Dhindsa: Manish, the understanding of this might not be correct because, typically, if a space is growing and multiple people are spending, then everybody usually has access to a wider chunk of customers that they can target for conversion, and you will see lower CACs.

Even if the other folks are not spending, we might be taking 80% or 90% of the overall growth in the segment, but that doesn't necessarily mean that we'll get the lowest CAC.

That's not how digital marketing works, which is the largest predominant portion of our marketing expenses.

Manish Poddar: Okay. And the final bit, let's say this 3,000 store target, let's say by next year, how should we think about, store reach, let's say, two, three, four years out, let's say if I had to think about it. Now, how should one think of it from that lens, I'm just trying to think. Let's say generally FMCG companies have about 8 million to 9 million outlets. Even if you think about, let's say the, direct reach for a lot of FMCG companies, that's about, 1.5 million to 2 million outlets. Some companies also do 3 million outlets. I'm just trying to think, how should we think of this 3,000 number, let's say two years out to three years out?

Albinder Singh Dhindsa: Currently our viewpoint is that our current geographical footprint helps us cover about 20% of the overall targetable retail market that we're looking at. Of course, we are

Page 16 of 17 looking at a geographic footprint, not at a store level footprint. We believe that most of the profits and the high-quality profits that we can target, reside in maybe the top 40% of the targetable market.

So, that's where we are but even with this 20%, we don't have the kind of coverage that would help us to cover the entire geography. For example, we've just gone and put a single store in a city like Asansol. We'll have to let it mature, see where that market goes, and if it goes in the same proportion of population and GDP per capita that some of the larger cities have gone, then of course that city has the potential to be multiple times bigger than where it currently is, but that is something we will only take a call on once we have the proof point. So, we want to be conservative in this expansion because our cost of supply chain expansion, building the footprint, going deeper into those locations, making a lot more products available is substantial. So, we will take a call on this once we have more and better information.

Manish Poddar: But then Akshant, just to think about it when you're thinking about let's say 1,000 stores, let's say in the next 15 months post December, I'm just trying to think, can this 1,000, is that just a number and then probably six months out, you realize that you want to do 2,000. So you might actually do 2,000 because I'm just trying to think if the product fitment is right, balance sheet cash is there, there's an opportunity which is seeming to be in place, given what you mentioned on the earlier questions on unit economics in tier 1 and tier 2, then I'm just trying

to think, how do you think about 1,000 stores. I'm just trying to think about how that number comes across. Why can't it be 2,000 or 1,500? I'm just trying to gauge your mind just on that perspective.

Akshant Goyal: No, you're right. We're also early in this business, so we'll respond to what we learn, as we go along. It is very clear to all of us that the opportunity is large, but how large it is, is still unknown. It's a function of how many categories become big in quick commerce. It's a function of how the business shapes up in the smaller cities and, as far as the pace of expansion is concerned, it's also a function of the bandwidth and prioritization that we do internally. So, there may be a situation when, yes, the market is looking bigger and we have an opportunity to expand, and we have the cash, but we can take a call to prioritize, let's say efficiency improvement and, so that the cost of expansion or the profits we get from expansion goes up.

So, there are multiple dynamics at play, in terms of choosing the pace of expansion. And I would say because of that, we've been slightly conservative right now in our guidance in

Page 17 of 17 terms of timeline of getting to 3,000 so that we have some room to actually make

changes to how we want to grow if we have to.

Manish Poddar : Akshant, can I squeeze in one more if that's fine?

Akshant Goyal : Yeah , sure.

Manish Poddar : So, if I could just think about, let's say inventory, let's say SKU s available . How many SKUs would be available, let's say in a city like Bombay or Delhi versus, let's say, a t ier 2 city and, is the , let's say the hero SKUs or the core cohort materially different? I'm just trying to think in terms of adoption of these categories in these cities is what I'm trying to think of. I understand probably shorter on time on a call, but I'm just trying to get some glimpse of that.

Albinder Singh Dhindsa : Manish, so, obviously, when we talk about t ier 2 and t ier 3 cities, the availability of assortment to customers is multiple times lower than the larger cities. The primary reason for that is that the supply chain depth needed to make those products available is not there and we have to build it from scratch, and that's a process which we are going through. And we have found reasonable success doing it so far, but you can be assured that number is multiple times lower than what it is in Delhi or Bombay or Bangalore. A tier 3 city would not even be close to the overall number of SKUs there.

Manish Poddar : Got it. Great guys. Thank you and Happy Diwali .

Akshant Goyal : Thank you, Manish. Happy Diwali to all of you.

Moderator: Thank you , guys . We will now con clude this conference call. Thank you for joining us , and you may now disconnect your lines.

Call: Jan 2026

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Sub.: Transcript of the earnings conference call conducted on January 21, 2026

Dear Sir/ Ma'am,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed transcript of the earnings conference call conducted on January 21, 2026.

The same is also hosted on the website of the Company at <https://b.zmtcdn.com/investor-relations/Q3FY26-earnings-call-transcript.pdf>.

For Eternal Limited

(Formerly known as Zomato Limited)

Sandhya Sethia

Company Secretary & Compliance Officer

Place: Gurugram

Date: January 27, 2026

Encl.: As above

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Page 1 of 17

Eternal Limited

(formerly known as Zomato Limited)

Q3FY26 Earnings Conference Call Transcript

January 21 , 202 6

Management representatives :

1. Akshant Goyal – Chief Financial Officer, Eternal Limited
 2. Albinder Singh Dhindsa – Founder & Chief Executive Officer, Blinkit
 3. Kunal Swarup – Head , Corporate Development, Eternal Limited
- eternal

Page 2 of 17 Moderator: Ladies and gentlemen, a very good evening, and welcome to Eternal Limited's Q 3FY2 6 earnings conference call. From Eternal's management team, we have with us today Akshant Goyal, Albinder Singh Dhindsa, and Kunal Swarup.

Before we begin, a few quick announcements for the attendees. Anything said on this call, which reflects the outlook for the future, or which could be construed as a forward - looking statement, may involve risks and uncertainties. Such statements or comments are not guarantees of future performance, and actual results may differ from those statements.

Additionally, please note that this earnings call is scheduled for a duration of 45 minutes, and we will be starting directly with the Q&A section of the call. If you wish to ask a question, please use the raise hand feature available on your Zoom dashboard. We will announce your name on the call and unmute your line, post which you can proceed with your question. We will wait for a minute while the question queue assembles.

Moderator: The first question is from the line of Manish Adukia from Goldman Sachs . Please go ahead.

Manish Adukia : Hi, good evening. T hank you so much for taking my questions and congratulations on a good quarter.

My first question is on the quick commerce margins or losses , and congrat ulations on the breakeven there. In this quarter, if you look at the numbers, your gross margin didn't really expand, store throughput was down about 6% QoQ, but despite that, your contribution margin expanded 90 basis points, EBITDA expanded about 130 basis points, and all of this is while you say that the competition is irrational.

If you assume compe tition remains irrational, which is what you are assuming, then why should , directionally , margins not continue to improve at the same pace as what you did in this quarter? I would love to get your thoughts on that. That's my first question, ple ase. Akshant Goyal : Hi, Manish. Akshant here. It's very hard to predict the trajectory of margin, which is what we have also mentioned in one of the questions in the letter , in the near term . Competitive intensity, even if it's high , is not steady always . On our last conference call , we mentioned that the

competitive intensity is now easing off and then it changed.

So, t he margins are a function of various things. Competitive intensity is one of it and even within a quarter or even in a longer period, there are various variables which are geography specific and so on. So yes, directionally we say that margin should expand, but we're not able to confidently say that the pace of margin expansion will be the same as what happened in the last quarter because the competitive intensity was high and

Page 3 of 17 therefore going forward should also be the same. It's a multi -variable problem with no linear correlation with just one variable.

Manish Adukia : I appreciate that, Akshant. Thank you. Follow -on question then on competition. One, if you can clarify quarter on quarter, your store throughput was down about 6% or 7%. What explains that?

And maybe a related question. In the previous quarter , you mentioned that you want to grow at 100% YoY or expect to grow 100% YoY at least for the next one to two years. Now you're saying that th e 100% YoY growth is contingent upon competition not staying irrational. I just wanted to tie up that guidance that you're say ing that if competition is not irrational, it's only then you'll open 3,500 to 4,000 stores and only then you'll achieve 100% YoY growth . Is that understanding correct? And my first question was just on store

throughput .

Akshant Goyal : Yeah, right.

Albinder Singh Dhindsa : The way competitive intensity affects us is in which form it comes . Last quarter , we saw competitive intensity getting amped up because a lot of competitors went to low MOVs for zero delivery fees, but we're also seeing a lot of discounting happen in the market. Therefore , it becomes a lot more complex for us to be able to say which way things will move and how will we respond. But what you've said is broadly correct.

Akshant Goyal : On store throughput, Manish, it's a function of the fact that our assortment is now expanding and it's possible therefore that there are quarters when some of the store expansion, the driver of which is assortment expansion is not as fast moving as some of the main SKUs. Over the long term , we don't see that as a concern, and the fact that assortment is expanding is also reflecting in our margins which were better last quarter despite the throughput being lower as you mentioned.

Manish Adukia : Got it. And just my last question on this topic. Your growth is good, you said like for like 130% YoY and you're expanding margins. So where is competition showing up? I mean, as of today it's not really impacting you. Is that the way to read it? What needs to change for competition to start impacting your numbers ?

Akshant Goyal : We're not saying that, Manish. There's always a way to look at things and one can argue that in absence of irrational competition , that we're pointing out , things would have been much better than what they are today . That's also one perspective. The competition is impacting us in terms of our outcomes and numbers, but it may or may not impact the decisions that we take in that particular quarter.

For example, in the last quarter we didn't see these freebies impacting our market share too much, and hence we sort of sustained our pricing, but as you might have seen last

Page 4 of 17 week , we did drop our delivery charges in some markets because we saw some impact . Overall , there's definitely an impact of competition and it impacts our margins, it impacts our top -line growth, it impacts our store expansion plans and various other things.

Manish Adukia : Got it. Last question before I jump back in the queue. You've maintained your \$3 billion NOV guidance for going -out in F Y30, which would imply north of 30% CAGR over the next four years. Last quarter, of course, was about 20% growth. One, why is the growth as low as it is right now? And t

wo, what explains that meaningful expansion that is being built into your guidance ?

Akshant Goyal : A large part of our growth in this business , going forward , is going to be from market share growth . There are sub -segments within District business like events and movies where we are a significantly smaller market player even now compared to our competitors . For us to deliver 30% CAGR over the next three to four years, it doesn't necessarily mean that the industry has to grow that much. Lot of it can also come from market share gains, and that is what we are building into our plans right now.

Manish Adukia : Very helpful. Thanks a lot. I'll jump back in the queue.

Moderator: Thank you. Next question is from the line of Ankur Rudra from JP Morgan . Please go ahead.

Ankur Rudra : Hey, thank you. Nice to see a quick commerce break even here. Maybe to start with , could you highlight whether the slower growth in orders this time seems to have slowed down a bit more than your headline revenues in the quick commerce business, and it again has not been impacted by GST. Is that a reflection of the more aggressive stance from a competitive perspective? Did you lose some share to peers?

Albinder Singh Dhindsa : Yes, some of it is an impact of that, Ankur .

Ankur Rudra : Got it. Going forward, do you think this will normalize?

Albinder Singh Dhindsa : We have no idea. It depends on how the overall market behaves.

Ankur Rudra : Got it. Maybe just another follow -up on the previous question. Your addition has slowed down this time. It should imply better store vintage, and the older stores should ideally have better NOV per store. I think you made a comment about that. I'm just curious to see why it's not coming up. Why the NOV or throughput per store per day is not expanding if we see a better vintage ?

Akshant Goyal : Ankur, that's again a function . As I mentioned , a lot of our store additions, not just last quarter but last two, three quarters, has been towards assortment expansion and as we

Page 5 of 17 now further expand assortment, the turnover of this long tail is not as high as what we started the business with . So, there is always that negative impact of assortment expansion on throughput that we will continue seeing in the business, and in this

quarter, that's resulted in a slight dip. I don't think we should read too much into that at this point. We should bounce back and NOV per day per store we believe will continue to grow.

Kunal Swarup : Also, part of the impact was on account of the GST change. If in absence of that 3% , impact would have been --

Ankur Rudra : Yeah, I saw that. I was hoping it'll expand, given it has slowed down a bit, but I understand the answer. Just a couple of points on the cash flow . I can see that capex has gone up a bit this time despite fewer stores being added versus last quarter, and your working capital days seem to be expanding. If you can comment on those two factors, please.

Akshant Goyal : Ankur, as we mentioned in the letter, our framework for thinking about capex and net working capital is ROC E and it's a young business. We don't have a playbook for how much NWC is going to give us what kind of ROC E, etc. We are open -minded and first principles on this.

In the past , we've shared some assumptions on what capex per store could be going forward and what our net working capital days in the business could be. Broadly, we are hovering around the same range right now, but especially on capex , it will go up on a per store basis going forward because there's a lot of automation opportunity here which will increase productivity.

Even though we might see capex per store going up over the next few quarters, we don't expect net working capital to be beyond those 18 days that we had shared earlier, so that should remain within range and hence, as a consequence of that, th

e ROC E outcome

should still be north of 40%. That's what we're solving for.

Ankur Rudra : Understood. Thank you and best of luck.

Akshant Goyal : Thank you .

Moderator: Thank you. Next question is from the line of Swapnil Potdukhe from JM Financial . Please go ahead.

Swapnil Potdukhe : Hi, thanks for the opportunity and congrats on breaking even in the quick commerce business. My first question is with respect to your contribution margin expansion that happened in Blinkit , 90 basis points improvement. This was despite 20 basis points of take rate coming off . Where exactly, if you can pinpoint, did you see a meaningful

Page 6 of 17 improvement or the play out within the contribution expenses between the take rate to contribution margin expenses?

Albinder Singh Dhindsa: Swapnil, it's mostly to do with the mix change . Impact of seasonality is also over there and then some of the other factors also impact what product mix we end up selling in the quarter.

Akshant Goyal : And on the cost efficiencies , most of the benefit as you see, are on the cost side below gross profit. There's no one particular factor. It's largely operating leverage, which is resulting in lower costs and higher productivity in warehouses that's resulting in increase in margins.

Swapnil Potdukhe : Got it. And going ahead, given that you also mentioned that you have cut down your delivery fees in certain markets , in my opinion, it will put some pressure on your take rates . So, how much contribution margin expansion will realistically be possible for us to sustain, let's say, in the next quarter or so ?

Akshant Goyal : For the next quarter or even two , we don't want to comment on anything , Swapnil . I hope you'll appreciate that, and we've mentioned that in the letter , trying to explain what the various reasons are on why this might be a little volatile in the short term . It is very hard to talk about whether the margins will expand at all or if they do , by how much in the next quarter.

Swapnil Potdukhe : Okay .

Akshant Goyal : Just to add, in the long term , in our letter we have mentioned that our confidence on margins going to 5% to 6% of NOV remains high, and we've shared data on a couple of cities in our business where we are already at 5% Adjusted EBITDA margin . The way we think about margins is therefore long term . We have extremely high confidence in the business model to deliver the margins that we need to get to the ROC E that I mentioned. But in the short term, we want to take the right decisions for the business which would mean taking a margin hit if we have to do that and we're open about that. We're not saying that it's going to happen next quarter. These decisions are going to be tactical and taken in real time. Hence, a lot of it depends on how the market shapes up over the next three to six months, and that's why the unpredictability on margin from here on.

Swapnil Potdukhe : Got it. Can you just clarify , because there have been a few changes in the labor code this time around , and how much of those costs are already baked in your margins today and

are coming from the two impacts essentially that I want to understand about. One is the impact because of the gig worker cost going up towards their social security benefits, and secondly because of the changes on the gratuity side for some of the fixed term contract labor. If any of that is already in the margin or going ahead, will we have to face that challenge ?

Page 7 of 17 Akshant Goyal : As we have mentioned in question 11, the new labor codes do not impact our long -term margin guidance. That doesn't change. As far as any potential impact on account of code on social security is concerned, we will get to know that once the rules are operationalized and notified. From what we know today, the business will either be able to absorb that cost or we'll pass it on to customers.

O

n your second part on gratuity and leave encashment, our assessment right now is that there's no impact on our business on account of that. But again, there are a few outstanding questions there that we will get more clarity on over the next few days. And if there is any impact , then the next quarter will reflect that, but I don't expect that to be meaningful at all.

Swapnil Potdukhe : Got it. Just the last one on the going -out side. Our previous thought process was that the losses in that business will be around INR 60 crore to INR 70 crore maybe , quarter wise. There has been a sudden jump in this particular quarter and against that we didn't have that kind of growth as well, 20% YoY. Is there any scale up in investments that you have made that is going to sustain or how should we look at that or was there a bunch of some investments this quarter itself?

Akshant Goyal : It's more the latter. We decided to launch District Pass membership program which we initially did not plan for in this quarter, and a large part of the increase in losses is on account of rolling that out and that will not impact the top -line numbers in this quarter given the effect will be compounding over the next few months.

But it's the right step, and it's going to drive multi -category usage on the app. We'll keep evaluating whether we need to continue this investment or not . Irrespective of that, as we have mentioned in question 13, we now expect the losses to come down sequentially from here towards breakeven in the next four to six quarters.

Swapnil Potdukhe : Got it , Akshant. That's very clear. Thanks a lot for taking my questions and all the best.

Akshant Goyal : Thank you.

Moderator: Thank you. Next question is from the line of Garima Mishra from Kotak Securities . Please go ahead.

Garima Mishra : Thank you so much for the opportunity. First, if I refer to your second quarter letter, you mentioned that for the Blinkit business, GST cuts bring down basket pricing by 3%, and this should help in higher demand. Did this play out in the manner you had envisaged in Q3?

Page 8 of 17 Albinder Singh Dhindsa : Hi Garima, so some of it did, but there were also supply challenges because of the transition. It will become clearer over the next few quarters. It was not a resounding yes this quarter.

Garima Mishra : All right, thanks for that, and Albinder congrats to you on your new role of Group CEO. Do you continue to lead the Blinkit business, or should we expect some internal leadership changes?

Albinder Singh Dhindsa : No, Garima . As we mentioned in the letter, we continue to operate like we're operating. As a team, Akshant, Deepi , and I will continue to do whatever we were doing, including me leading the Blinkit business . So, operationally , nothing changes for us.

Garima Mishra : All right. Thank you and wish you the best.

Albinder Singh Dhindsa: Thanks .

Moderator: Thank you. Next question is from the line of Gaurav Rateria from Morgan Stanley . Please go ahead.

Gaurav Rateria : Hi, congrats on stellar performance this quarter. My first question is on your comment around 100% + growth, which would be possible with 3,500 + stores, which was probably earlier possible with 3,000 stores. Does it mean that incrementally whatever stores that you are likely to add will carry lower throughput than what you were expecting earlier? And is it because the competition has been aggressive in rolling out their own stores and hence the penetration of the number of stores has increased substantially which brings down the throughput for you?

Akshant Goyal : Hi Gaurav . No, we never mentioned that the 100% growth from here on will happen with just 3,000 stores. We don't think that is likely, although possible . For that to happen, we

will need to open more stores, which is what we have mentioned here.

Gaurav Rateria : Okay, my second question is on y

our competitive intensity. I guess you did allude to some tactical interventions that you may have done during the quarter. Is it fair to say that if competition remains where it is right now, whatever interventions that you are doing are sufficient for you to hold back to your market share and deliver whatever profitability you have or their will be need for more interventions if the competition remains at the current level ?

Albinder Singh Dhindsa : Hi Gaurav, competitive intensity also tends to go up over time because the kind of competitive interventions that we're seeing, they usually lead to lower ROI as you keep doing more and more of them. So , we will have to respond to a fairly volatile environment. I don't think we can just stay at the intervention and then hope that the

Page 9 of 17 competition also stays at the same thing. I think people will change. The re will be more competitive interventions, and we'll have to also respond to that.

Gaurav Rateria : Got it. My last question is on how to look at the break even on a cash flow basis in quick commerce at the steady state margin that you are talking about on quick commerce business. What would be that converting into from a free cash flow margin perspective?

Thank you.

Kunal Swarup : We've also laid out our view on how we think about return on capital here and I think ROC E of 40% + is how we think about --

Akshant Goyal : I think his question is what does that mean for free cash flow margins . Free cash flow over revenue ...

Gaurav Rateria : Yes.

Akshant Goyal : Gaurav, we haven't looked at that yet, honestly .

Gaurav Rateria : Okay, thank you.

Moderator: Thank you. Next question is from the line of Gaurav Malhotra from Axis Capital . Please go ahead.

Gaurav Malhotra : Hi, thanks for the opportunity. C ongrats on a good set of numbers. Just a couple of questions. In the shareholder s' letter you mentioned that 90% of your business has shifted to inventory , so the remaining 10%, which you said you will not shift, what is the assortment there? Is it electronics, slower moving goods, higher ASP items? What is the assortment of that 10%?

Albinder Singh Dhindsa : Gaurav, some of that is SKUs that we do want to keep on a marketplace model for different reasons . Some of these might also be related to the fact that these are slower moving and in some cases, there is a more vibrant seller ecosystem for these SKUs and they do a better job of managing inventory and managing the back -end, than we would be able to. That's the kind of SKUs that contribute to that number.

Gaurav Malhotra : Got it. Just on food delivery, you did take down the delivery charges , and we are seeing obviously growth coming and picking up. But from here, do we expect growth to further accelerate, or it will remain in this kind of ballpark?

Akshant Goyal : Gaurav, on growth, as we mentioned in response to question 7 , that long term growth opportunity is pretty high given that some of our large cities are still growing 50% to 100% year on year .

Page 10 of 17 Sorry, Gaurav, I misunderstood , your question was about food (delivery) , right?

Gaurav Malhotra : Yeah, it was on food (delivery) .

Akshant Goyal : As of now, as we have mentioned, we expect year -on-year growth to continue slowly trending up towards 20% YoY, is what our current sense on the market is.

Gaurav Malhotra : Got it, okay. Thank you.

Moderator: Thank you. Next question is from the line of Sachin Salgaonkar from Bank of America . Please go ahead.

Sachin Salgaonkar : Hi, thanks for the opportunity and c ongrats on a great set of numbers.

First question is the move towards your inventory model. You guys said in the shareholder s' letter, half of the 1% accretion has already happened. Should we expect the remaining half point to come in the next three to six months? A lso, when you think about it, could th

e benefit be more than 1 % point out here?

Akshant Goyal: Sachin, the full benefit should accrue in the next six to nine months, and the benefit will not be more than 1%.

Sachin Salgaonkar : Got it. Second question is any broad sense in terms of the store additions that are happening in Tier 2, Tier 3 cit ies? Is the economics similar to top tier cities in terms of

AOVs, OPDs, and hence should margins be similar out here?

Albinder Singh Dhindsa : Sachin, we're not providing any sort of breakup in to where we are opening stores, but at the contribution level, the economics for us are fairly similar even though the headline numbers might be different depending on Tier 1 or Tier 2.

Sachin Salgaonkar : Got it. Albi, my question was more on the long -term steady state margins. This should also be 5% to 6% of NOV, in Tier 2, Tier 3 cities ?

Albinder Singh Dhindsa : Correct.

Sachin Salgaonkar : Got it. Every quarter you guys surprise us positively in terms of looking to add more stores. When we take a four -year, five -year view, how big could this entire quick commerce or stores be for the industry? i.e., is there room for continued growth? Will the industry number be as high as around 10,000? Would love to get your big picture thoughts on this one.

Albinder Singh Dhindsa : Sachin, we're also finding out the depth of the market as we go along, and as we launch more use cases. Customers also indicate how they want to use the platforms. Right now ,

Page 11 of 17 we have a lot of vectors for growth - geographic , assortment, penetration, customer use cases , which are also coming up. We're also finding out as we go along.

Whenever we know better , we will keep guiding to what we think. Right now, we think that in a rational market, there should be headroom for us to add a significantly higher number of stores in the near future.

Sachin Salgaonkar : Got it. And from a mix perspective, right now where things stand, is it 70 :30 mix where 70% of stores are still in top tier cities and 30% in Tier 2, Tier 3, or could that ratio change?

Albinder Singh Dhindsa : We are not providing this, Sachin.

Sachin Salgaonkar : Got it. And my last question is generally trying to understand , for example, in a place like Bangalore where every platform focusing on quick commerce is aggressive, which perhaps might not be the case right now on a pan -India basis , how are directional trends for market share and contribution margin for you guys ? Are you maintaining that share? Are you increasing share? Or is there a bit of an impact out there? Just broad directional perspective.

Albinder Singh Dhindsa : From what information we have , in most of the Tier 1 markets, which is the metros, we have largely maintained our share of NOV, and we know that now there is competition in almost all of the cities . That is the best information we have .

Sachin Salgaonkar : Got it. All the best for the future .

Albinder Singh Dhindsa : Thank you.

Moderator: Thank you. Next question is from the line of Jignanshu Gor from Bernstein . Please go ahead.

Jignanshu Gor : Hi, congratulations to Albinder again on the position.

I had one question on understanding the growth that you've seen in MTUs, especially on a per store basis . Our ad spends, when I look at the consol versus standalone numbers, we don't really seem to have spent a lot more on ads despite the competition, and so we seem to be getting a lot more organic users. What do you think is attributable to this , on a per store basis , continuing to get more users and not just AOVs?

Albinder Singh Dhindsa : Jignanshu, it's more related to assortment expansion .

Page 12 of 17 Jignanshu Gor : But that should ideally then translate , and that's the second question actually, into higher frequency of orders per customer, right? But that seems to have gone down. Is there a replacement happening? T

hat's the circle I wasn't able to square off, frankly .

Albinder Singh Dhindsa : No, that's not as linear relationship as you think. If customers come to us through categories which are expansion categories, then the frequency doesn't necessarily go up because frequency driver categories are not the ones that they might be entering through.

Jignanshu Gor : Okay , so they're coming for expansion but not necessarily doing the core transactions yet on this platform .

Albinder Singh Dhindsa : Yes, the trajectory might be different as we expand assortment more.

Jignanshu Gor : Understood. Great. Okay.

And just a second follow -up on one of the questions Garima asked regarding leadership. Does the Blinkit plus food and other , going -out, or the entire leadership below the three of you remain as it is, and there is no change ? Is that the right way to think about it, at least for now?

Albinder Singh Dhindsa : Right.

Jignanshu Gor : Okay, great. All right. Yeah, that's it for me. Thank you and congratulations .

Moderator: Thank you. Next question is from the line of Abhisek Banerjee from ICICI Securities .

Please go ahead.

Abhisek Banerjee : Hi, c ongratulations on a great set of numbers. Just a couple of questions from my side.

In the letter you mentioned that capex per store will increase henceforth. Why is that?

Are we also moving to a megapod -like structure ?

Albinder Singh Dhindsa : Abhisek, it tends to be chunky, and we make a lot of investment in the warehousing infrastructure as well, especially as we expand deeper and deeper into the country. That would explain the increase in capex per store. Also, we are investing a lot more in automation now.

Akshant Goyal : Also , there is some increase in per store's square foot size as you mentioned, but it may not be similar to what other competitors are doing, but in general, our store size is going up every quarter.

Abhisek Banerjee : Is that for more assortment or for any other reason?

Page 13 of 17 Akshant Goyal : Yes, it's a function of availability of real estate , it's a function of how we want the store design to be, and because of that, there's a trend which is taking the store size up. Capex per square feet of space addition is not going to go up as much as capex per store would.

Abhisek Banerjee : Understood. In Bistro, you have mentioned that you are seeing some early signs of a product market fit. Can you please elaborate on that and what kind of scale up can we realistically think ?

Akshant Goyal : Abhishek, product market fit for us when we say that , what we mean here is that on the customer side there is genuine value being created for which they come back to the platform and transact and then equally from an economic standpoint, we start getting more comfort on this business being able to make money, especially given the AOVs are much lower here than what we see in the food delivery business .

These are the two elements of product market fit. The one on the demand side, we were anyways fairly confident. We knew that a few months ago when we opened the first few stores that customers were not coming here just for cheap food, but we're solving an unmet customer demand here for quick snacky food, which is higher quality at the right price point.

On that we had conviction early, but as we continue to build the business, we are building more conviction on economics as well and hence, at this point our plan is to continue investing in this business in a cautious way and at some point, like Blinkit , if it becomes extremely clear that this is a profit making business and margin visibility is high, then we may accelerate expansion as well . We'll keep all of you posted on this every quarter.

Abhisek Banerjee : Is this convenience plus value both for you? Just trying to compare with Toing that Swiggy has come out with.

Akshant Goyal : Not just convenience an

d value, it's also menu assortment . There's a cuisine gap in the market which Bistro fills, and that is also why we don't see this business cannibalizing the Zomato business, wherever we have these stores.

Abhisek Banerjee : Understood. One last question from my side is in Deepinder's letter , it is mentioned that his unvested shares would come back to the employee pool. What kind of expansion would this lead to the ESOP pool that you have and how you are set for and for how much of a time period do you think you do not need to do more grants ?

Akshant Goyal : The way it works is that we have a n ESOP pool which has a large number of shares today. I think roughly about , I need to check the number, but it's north of 20 crore shares. So , his ESOPs will perhaps expand that pool by another 3.3 crore shares . The grant from this pool is a function of the Board allocating ESOPs to different employees bas is their performance, et c. Therefore , the grants are not going to go up just because the pool size

Page 14 of 17 went up, but because the pool size went up, we may not need to dilute our ESOPs again for slightly longer than what we would have otherwise done. That's what we're trying to say here.

Abhisek Banerjee : Understood , Akshant. Any visibility on how much of a runway you have with current ESOP pool?

Akshant Goyal : Hard to say. We don't think we need any dilution in the near future at this point.

Abhisek Banerjee : Okay, thank you. That will be all from my side.

Moderator: Thank you. Next question is from the line of Kunal Vora from BNP Paribas . Please go ahead.

Kunal Vora : Hello, thanks. You mentioned that this quarter you had 211 net store additions. Did you close any stores during the quarter?

Albinder Singh Dhindsa : Yeah, Kunal, just regular closures that happen for different reasons, so it is net store addition.

Kunal Vora : Okay, how high will that gross number be versus the net number because that could also explain the capex.

Albinder Singh Dhindsa : Closure rate is very low.

Kunal Vora : Very low, okay. And there has been rapid expansion over the last few quarters. Do you see a need to review some of the stores and similarly, there are cities, smaller cities, do you think some of them you might need to exit or it all looks good?

Albinder Singh Dhindsa : It looks good.

Kunal Vora : Okay. Second is in terms of competition, is it largely between the three quick commerce players, or is it the e-com players which have also expanded, physical retailers such as JioMart also are talking about almost 800 dark stores and 1.6 million daily orders. Are you seeing any impact of these players at least in the Tier 2, Tier 3 cities?

Albinder Singh Dhindsa : For us, competition is everybody who's trying to gain a market share of the online buying pie. So, everybody's included.

Kunal Vora : But is there an increase in competition with the other three players also now getting more aggressive?

Albinder Singh Dhindsa : Yeah, generally the competition across the board has gone up.

Page 15 of 17 Kunal Vora : Okay, fine. Lastly, in Blinkit, how much do cities beyond the top 8 cities contribute? And how is the experience beyond the top cities? How many cities do you see a potential in?

Albinder Singh Dhindsa : We are not disclosing that Kunal. I've mentioned that before also on the call.

Kunal Vora : Okay, that's it from me. Thank you.

Albinder Singh Dhindsa : Thank you.

Moderator: Thank you. Next question is from the line of Nikhil Choudhary from Nuvama. Please go ahead.

Nikhil Choudhary : Hi, thanks for the opportunity and congratulations on achieving break even in Blinkit and Hyperpure. First question is on 100% growth part. Last quarter, you mentioned that you can deliver 100% YoY growth for the next two years. And if the opportunity size is so large, which we believe it ideally should be, then why short-term change in competitive

intensity can derail it especially when you guys have already achieved break even? You're talking about investing in market share gain. Then what is stopping us from achieving this 100% growth? What has changed basically in one quarter?

Albinder Singh Dhindsa : Nikhil, our viewpoint on this is that the competitive intensity is also dependent on the kind of competition you see. Currently, we feel that we are the only ones who are meaningfully contributing to increasing the market size, whereas the competitive intensity is mostly showing up and taking away share, and that is why you will see that pressure on growth. Usually, you will see much faster market growth and all players gaining share, but we're not seeing that kind of competition.

Nikhil Choudhary : Got it, thank you. Second, is the behavior remaining consistent across the players or is it more limited to incumbents? What I meant to say are new players like Amazon, Flipkart, and JioMart also resorting to this kind of competition now or is it more limited to incumbents?

Akshant Goyal : Nikhil, we wouldn't want to comment on this question. You should find out and talk to others.

Nikhil Choudhary : Got it. The last one is on food delivery. We saw some acceleration this time and also we are hearing positive commentary from consumer and consumption driven companies in India. Is it fair to say you are more comfortable in reaching, let's say, 20% growth in FY27 or maybe in two to three quarters?

Akshant Goyal : Very hard to say, Nikhil. These things keep changing for reasons which are beyond our control. We don't want to venture and take a guess here on how this moves. Our business responds to growth and demand, and it's an asset light model. If the demand expands,

Page 16 of 17 unlike Blinkit, we don't need to build infrastructure to service it. Whatever is the pace of growth of consumer demand in the country, in this business, our job is to make sure that we're able to cater to it and largely our job there is to make sure that delivery partner supply matches the growth in demand and restaurants are able to respond to that in terms of capacity. So, we just stick to our job and we don't want to take a guess on how this will grow from here in terms of growth rates.

Nikhil Choudhary : Got it. Just last one on the leadership transition. While you have clarified that currently everyone is doing what they were doing, but is it fair to say medium to long-term,

ultimately the goal is to transition more responsibility to Albinder and Deepinder may be taking more executive role ?

Akshant Goyal : That's not the plan, Nikhil. Deepinder , as his letter mentions, is going to continue to be involved in the same way he was in the past, and there's a lot to be built at Eternal right now. Most of our businesses are young, including food delivery, so we have a long runway ahead, and at this point we're all committed to continue building it.

Nikhil Choudhary : Got it , very helpful. Thanks a lot, and good luck for coming period. Thank you.

Moderator: Thank you. Ladies and gentlemen, in the interest of time, we will now take the last one to two questions.

The next question is from the line of Vijit Jain from Citigroup . Please go ahead.

Vijit Jain : Hi, thanks for the opportunity and congratulations, Albinder on the promotion to CEO role and to the team for the break even. My first question, you said earlier that store size in general continues to go up every quarter. I'm wondering, in mature cities, are store sizes going up there as well ? And related question to that, when you say automation in stores, could you talk a little bit about where the automation will come in the stores ?

That's my first question .

Albinder Singh Dhindsa : Hey, Vijit. On the first one, yes, the store size is going up across the board. And on automation, actually, most

of our automation is more related to our overall supply chain, not just the stores.

Vijit Jain : Okay, got it. The second question , you mentioned earlier, you talked about assortment changes as business grows and matures. In terms of the metrics that you track, is gross profit per square feet per day, I know you've mentioned in the past , is it still the north star? And do you care about maximizing order throughput per dark store per day at all? I'm just trying to get a sense on this because there are certain conversations that tend to focus too much on orders per dark store per day .

Page 17 of 17 Albinder Singh Dhindsa : Vijit, we don't really have those kind of targets whether it is orders per day or sales per

square foot. Our plan is to provide customers with better experience , whatever allows us to do it and is good for the overall economics of the business. That's the direction that we end up going in.

Vijit Jain : Got it, thank you so much. Those were my questions.

Albinder Singh Dhindsa : Thank you, Vijit.

Moderator: Thank you . We will now conclude this conference call. Thank you for joining us , and you may now disconnect your lines.

Call: Jan 2026

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Eternal Limited
(formerly known as Zomato Limited)
Q3FY26 Earnings Conference Call Transcript

January 21, 2026

Management representatives :

1. Akshant Goyal – Chief Financial Officer, Eternal Limited
2. Albinder Singh Dhindsa – Founder & Chief Executive Officer, Blinkit
3. Kunal Swarup – Head, Corporate Development, Eternal Limited

Page 2 of 17 Moderator: Ladies and gentlemen, a very good evening, and welcome to Eternal Limited's Q3FY26 earnings conference call. From Eternal's management team, we have with us today Akshant Goyal, Albinder Singh Dhindsa, and Kunal Swarup.

Before we begin, a few quick announcements for the attendees. Anything said on this call, which reflects the outlook for the future, or which could be construed as a forward-looking statement, may involve risks and uncertainties. Such statements or comments are not guarantees of future performance, and actual results may differ from those statements.

Additionally, please note that this earnings call is scheduled for a duration of 45 minutes, and we will be starting directly with the Q&A section of the call. If you wish to ask a question, please use the raise hand feature available on your Zoom dashboard. We will announce your name on the call and unmute your line, post which you can proceed with your question. We will wait for a minute while the question queue assembles.

Moderator: The first question is from the line of Manish Adukia from Goldman Sachs. Please go ahead.

Manish Adukia : Hi, good evening. Thank you so much for taking my questions and congratulations on a good quarter.

My first question is on the quick commerce margins or losses, and congratulations on the breakeven there. In this quarter, if you look at the numbers, your gross margin didn't really expand, store throughput was down about 6% QoQ, but despite that, your contribution margin expanded 90 basis points, EBITDA expanded about 130 basis points, and all of this is while you say that the competition is irrational.

If you assume competition remains irrational, which is what you are assuming, then why should, directionally, margins not continue to improve at the same pace as what you did in this quarter? I would love to get your thoughts on that. That's my first question, please.

Akshant Goyal : Hi, Manish. Akshant here. It's very hard to predict the trajectory of margin, which is what we have also mentioned in one of the questions in the letter, in the near term.

Competitive intensity, even if it's high, is not steady always. On our last conference call, we mentioned that the competitive intensity is now easing off and then it changed.

So, the margins are a function of various things. Competitive intensity is one of it and even within a quarter or even in a longer period, there are various variables which are geography specific and so on. So yes, directionally we say that margin should expand, but we're not able to confidently say that the pace of margin expansion will be the same as what happened in the last quarter because the competitive intensity was high and

Page 3 of 17 therefore going forward should also be the same. It's a multi-variable problem with no linear correlation with just one variable.

Manish Adukia : I appreciate that, Akshant. Thank you. Follow -on question then on competition. One, if you can clarify quarter on quarter, your store throughput was down about 6% or 7%. What explains that?

And maybe a related question. In the previous quarter, you mentioned that you want to grow at 100% YoY or expect to grow 100% YoY at least for the next one to two years. Now you're saying that the 100% YoY growth is contingent upon competition not staying irrational. I just wanted to tie up that guidance that you're saying that if competition is not irrational, it's only then you'll open 3,500 to 4,000 stores and only then you'll achieve 100% YoY growth. Is that understanding correct? And my first question was just on store throughput.

Akshant Goyal : Yeah, right.

Albinder Singh Dhindsa : The way competitive intensity affects us is in which form it comes. Last quarter, we saw competitive intensity getting amped up because a lot of competitors went to low MOVs for zero delivery

fees, but we're also seeing a lot of discounting happen in the market.

Therefore, it becomes a lot more complex for us to be able to say which way things will move and how will we respond. But what you've said is broadly correct.

Akshant Goyal : On store throughput, Manish, it's a function of the fact that our assortment is now expanding and it's possible therefore that there are quarters when some of the store expansion, the driver of which is assortment expansion is not as fast moving as some of the main SKUs. Over the long term, we don't see that as a concern, and the fact that assortment is expanding is also reflecting in our margins which were better last quarter despite the throughput being lower as you mentioned.

Manish Adukia : Got it. And just my last question on this topic. Your growth is good, you said like for like 130% YoY and you're expanding margins. So where is competition showing up? I mean, as of today it's not really impacting you. Is that the way to read it? What needs to change for competition to start impacting your numbers?

Akshant Goyal : We're not saying that, Manish. There's always a way to look at things and one can argue that in absence of irrational competition, that we're pointing out, things would have been much better than what they are today. That's also one perspective. The competition is impacting us in terms of our outcomes and numbers, but it may or may not impact the decisions that we take in that particular quarter.

For example, in the last quarter we didn't see these freebies impacting our market share too much, and hence we sort of sustained our pricing, but as you might have seen last

Page 4 of 17 week, we did drop our delivery charges in some markets because we saw some impact. Overall, there's definitely an impact of competition and it impacts our margins, it impacts our top-line growth, it impacts our store expansion plans and various other things.

Manish Adukia : Got it. Last question before I jump back in the queue. You've maintained your \$3 billion NOV guidance for going -out in FY30, which would imply north of 30% CAGR over the next four years. Last quarter, of course, was about 20% growth. One, why is the growth as low as it is right now? And two, what explains that meaningful expansion that is being built into your guidance?

Akshant Goyal : A large part of our growth in this business, going forward, is going to be from market share growth. There are sub-segments within District business like events and movies where we are a significantly smaller market player even now compared to our competitors. For us to deliver 30% CAGR over the next three to four years, it doesn't necessarily mean that the industry has to grow that much. Lot of it can also come from market share gains, and that is what we are building into our plans right now.

Manish Adukia : Very helpful. Thanks a lot. I'll jump back in the queue.

Moderator: Thank you. Next question is from the line of Ankur Rudra from JP Morgan. Please go ahead.

Ankur Rudra : Hey, thank you. Nice to see a quick commerce break even here. Maybe to start with,

could you highlight whether the slower growth in orders this time seems to have slowed down a bit more than your headline revenues in the quick commerce business, and it again has not been impacted by GST. Is that a reflection of the more aggressive stance from a competitive perspective? Did you lose some share to peers?

Albinder Singh Dhindsa : Yes, some of it is an impact of that, Ankur .

Ankur Rudra : Got it. Going forward, do you think this will normalize?

Albinder Singh Dhindsa : We have no idea. It depends on how the overall market behaves.

Ankur Rudra : Got it. Maybe just another follow-up on the previous question. Your addition has slowed down this time. It should imply better store vintage, and the older stores should ideally have better NOV per store

ore. I think you made a comment about that. I'm just curious to see why it's not coming up. Why the NOV or throughput per store per day is not expanding if we see a better vintage ?

Akshant Goyal : Ankur, that's again a function . As I mentioned , a lot of our store additions, not just last quarter but last two, three quarters, has been towards assortment expansion and as we

Page 5 of 17 now further expand assortment, the turnover of this long tail is not as high as what we started the business with . So, there is always that negative impact of assortment expansion on throughput that we will continue seeing in the business, and in this quarter, that's resulted in a slight dip. I don't think we should read too much into that at this point. We should bounce back and NOV per day per store we believe will continue to grow.

Kunal Swarup : Also, part of the impact was on account of the GST change. If in absence of that 3% , impact would have been --

Ankur Rudra : Yeah, I saw that. I was hoping it'll expand, given it has slowed down a bit, but I understand the answer. Just a couple of points on the cash flow . I can see that capex has gone up a bit this time despite fewer stores being added versus last quarter, and your working capital days seem to be expanding. If you can comment on those two factors, please.

Akshant Goyal : Ankur, as we mentioned in the letter, our framework for thinking about capex and net working capital is ROCE and it's a young business. We don't have a playbook for how much NWC is going to give us what kind of ROCE, etc. We are open-minded and first principles on this.

In the past , we've shared some assumptions on what capex per store could be going forward and what our net working capital days in the business could be. Broadly, we are hovering around the same range right now, but especially on capex , it will go up on a per store basis going forward because there's a lot of automation opportunity here which will increase productivity.

Even though we might see capex per store going up over the next few quarters, we don't expect net working capital to be beyond those 18 days that we had shared earlier, so that should remain within range and hence, as a consequence of that, the ROCE outcome should still be north of 40%. That's what we're solving for.

Ankur Rudra : Understood. Thank you and best of luck.

Akshant Goyal : Thank you .

Moderator: Thank you. Next question is from the line of Swapnil Potdukhe from JM Financial . Please go ahead.

Swapnil Potdukhe : Hi, thanks for the opportunity and congrats on breaking even in the quick commerce business. My first question is with respect to your contribution margin expansion that happened in Blinkit , 90 basis points improvement. This was despite 20 basis points of take rate coming off . Where exactly, if you can pinpoint, did you see a meaningful

Page 6 of 17 improvement or the play out within the contribution expenses between the take rate to contribution margin expenses?

Albinder Singh Dhindsa: Swapnil, it's mostly to do with the mix change . Impact of seasonality is also over there and then some of the other factors also impact what product mix we end up selling in the quarter.

Akshant Goyal : And on the cost efficiencies , most of the benefit as you see, are on the cost side below gross profit. There's no one particular factor. It's largely operating leverage, which is resulting in lower costs and higher productivity in warehouses that's resulting in increase in margins.

Swapnil Potdukhe : Got it. And going ahead, given that you also mentioned that you have cut down your delivery fees in certain markets , in my opinion, it will put some pressure on your take rates . So, how much contribution margin expansion will realistically be possible for us to

sustain, let's say, in the next quarter or so ?

Akshant Goyal : For the next quarter or even two , w

e don't want to comment on anything , Swapnil . I hope you'll appreciate that, and we've mentioned that in the letter , trying to explain what the various reasons are on why this might be a little volatile in the short term . It is very hard to talk about whether the margins will expand at all or if they do , by how much in the next quarter.

Swapnil Potdukhe : Okay .

Akshant Goyal : Just to add, in the long term , in our letter we have mentioned that our confidence on margins going to 5% to 6% of NOV remains high, and we've shared data on a couple of cities in our business where we are already at 5% Adjusted EBITDA margin . The way we think about margins is therefore long term . We have extremely high confidence in the business model to deliver the margins that we need to get to the ROC E that I mentioned. But in the short term, we want to take the right decisions for the business which would mean taking a margin hit if we have to do that and we're open about that. We're not saying that it's going to happen next quarter. These decisions are going to be tactical and taken in real time. Hence, a lot of it depends on how the market shapes up over the next three to six months, and that's why the unpredictability on margin from here on.

Swapnil Potdukhe : Got it. Can you just clarify , because there have been a few changes in the labor code this time around , and how much of those costs are already baked in your margins today and are coming from the two impacts essentially that I want to understand about. One is the impact because of the gig worker cost going up towards their social security benefits, and secondly because of the changes on the gratuity side for some of the fixed term contract labor. If any of that is already in the margin or going ahead, will we have to face that challenge ?

Page 7 of 17 Akshant Goyal : As we have mentioned in question 11, the new labor codes do not impact our long -term margin guidance. That doesn't change. As far as any potential impact on account of code on social security is concerned, we will get to know that once the rules are operationalized and notified. From what we know today, the business will either be able to absorb that cost or we'll pass it on to customers.

On your second part on gratuity and leave encashment, our assessment right now is that there's no impact on our business on account of that. But again, there are a few outstanding questions there that we will get more clarity on over the next few days. And if there is any impact , then the next quarter will reflect that, but I don't expect that to be meaningful at all.

Swapnil Potdukhe : Got it. Just the last one on the going -out side. Our previous thought process was that the losses in that business will be around INR 60 crore to INR 70 crore maybe , quarter wise. There has been a sudden jump in this particular quarter and against that we didn't have that kind of growth as well, 20% YoY. Is there any scale up in investments that you have made that is going to sustain or how should we look at that or was there a bunch of some investments this quarter itself?

Akshant Goyal : It's more the latter. We decided to launch District Pass membership program which we initially did not plan for in this quarter, and a large part of the increase in losses is on account of rolling that out and that will not impact the top -line numbers in this quarter given the effect will be compounding over the next few months.

But it's the right step, and it's going to drive multi -category usage on the app. We'll keep evaluating whether we need to continue this investment or not . Irrespective of that, as we have mentioned in question 13, we now expect the losses to come down sequentially from here towards breakeven in the next four to six quarters.

Swapnil Potdukhe : Got it , Akshant. That's very clear. Thanks a lot for taking my questions and all the best.

Akshant Goyal : Thank you.

Moderator: Thank you. Next question is from the line of Garima Mishra from Kotak Securities . Please go ahead.

Garima Mishra : Thank you so much for the opportunity. First, if I refer to your second quarter letter, you mentioned that for the Blinkit business, GST cuts bring down basket pricing by 3%, and this should help in higher demand. Did this play out in the manner you had envisaged in Q3?

Page 8 of 17 Albinder Singh Dhindsa : Hi Garima, so some of it did, but there were also supply challenges because of the

transition. It will become clearer over the next few quarters. It was not a resounding yes this quarter.

Garima Mishra : All right, thanks for that, and Albinder congrats to you on your new role of Group CEO. Do you continue to lead the Blinkit business, or should we expect some internal leadership changes?

Albinder Singh Dhindsa : No, Garima . As we mentioned in the letter, we continue to operate like we're operating. As a team, Akshant, Deepi , and I will continue to do whatever we were doing, including me leading the Blinkit business . So, operationally , nothing changes for us.

Garima Mishra : All right. Thank you and wish you the best.

Albinder Singh Dhindsa: Thanks .

Moderator: Thank you. Next question is from the line of Gaurav Rateria from Morgan Stanley . Please go ahead.

Gaurav Rateria : Hi, congrats on stellar performance this quarter. My first question is on your comment around 100% + growth, which would be possible with 3,500 + stores, which was probably earlier possible with 3,000 stores. Does it mean that incrementally whatever stores that you are likely to add will carry lower throughput than what you were expecting earlier? And is it because the competition has been aggressive in rolling out their own stores and hence the penetration of the number of stores has increased substantially which brings down the throughput for you?

Akshant Goyal : Hi Gaurav . No, we never mentioned that the 100% growth from here on will happen with just 3,000 stores. We don't think that is likely, although possible . For that to happen, we will need to open more stores, which is what we have mentioned here.

Gaurav Rateria : Okay, my second question is on your competitive intensity. I guess you did allude to some tactical interventions that you may have done during the quarter. Is it fair to say that if competition remains where it is right now, whatever interventions that you are doing are sufficient for you to hold back to your market share and deliver whatever profitability you have or there will be need for more interventions if the competition remains at the current level ?

Albinder Singh Dhindsa : Hi Gaurav, competitive intensity also tends to go up over time because the kind of competitive interventions that we're seeing, they usually lead to lower ROI as you keep doing more and more of them. So , we will have to respond to a fairly volatile environment. I don't think we can just stay at the intervention and then hope that the

Page 9 of 17 competition also stays at the same thing. I think people will change. There will be more competitive interventions, and we'll have to also respond to that.

Gaurav Rateria : Got it. My last question is on how to look at the break even on a cash flow basis in quick commerce at the steady state margin that you are talking about on quick commerce business. What would be that converting into from a free cash flow margin perspective?

Thank you.

Kunal Swarup : We've also laid out our view on how we think about return on capital here and I think ROCE of 40% + is how we think about --

Akshant Goyal : I think his question is what does that mean for free cash flow margins . Free cash flow over revenue ...

Gaurav Rateria : Yes.

Akshant Goyal : Gaurav, we haven't looked at that yet, honestly .

Gaurav Rateria : Okay, thank you.

Moderator: Thank

you. Next question is from the line of Gaurav Malhotra from Axis Capital . Please go ahead.

Gaurav Malhotra : Hi, thanks for the opportunity. Congrats on a good set of numbers. Just a couple of questions. In the shareholder s' letter you mentioned that 90% of your business has shifted to inventory , so the remaining 10%, which you said you will not shift, what is the assortment there? Is it electronics, slower moving goods, higher ASP items? What is the assortment of that 10%?

Albinder Singh Dhindsa : Gaurav, some of that is SKUs that we do want to keep on a marketplace model for different reasons . Some of these might also be related to the fact that these are slower moving and in some cases, there is a more vibrant seller ecosystem for these SKUs and they do a better job of managing inventory and managing the back -end, than we would be able to. That's the kind of SKUs that contribute to that number.

Gaurav Malhotra : Got it. Just on food delivery, you did take down the delivery charges , and we are seeing obviously growth coming and picking up. But from here, do we expect growth to further accelerate, or it will remain in this kind of ballpark?

Akshant Goyal : Gaurav, on growth, as we mentioned in response to question 7 , that long term growth opportunity is pretty high given that some of our large cities are still growing 50% to 100% year on year .

Page 10 of 17 Sorry, Gaurav, I misunderstood , your question was about food (delivery) , right?

Gaurav Malhotra : Yeah, it was on food (delivery) .

Akshant Goyal : As of now, as we have mentioned, we expect year -on-year growth to continue slowly trending up towards 20% YoY, is what our current sense on the market is.

Gaurav Malhotra : Got it, okay. Thank you.

Moderator: Thank you. Next question is from the line of Sachin Salgaonkar from Bank of America . Please go ahead.

Sachin Salgaonkar : Hi, thanks for the opportunity and c ongrats on a great set of numbers.

First question is the move towards your inventory model. You guys said in the shareholder s' letter, half of the 1% accretion has already happened. Should we expect the remaining half point to come in the next three to six months? A lso, when you think about it, could the benefit be more than 1 % point out here?

Akshant Goyal: Sachin, the full benefit should accrue in the next six to nine months, and the benefit will not be more than 1%.

Sachin Salgaonkar : Got it. Second question is any broad sense in terms of the store additions that are happening in Tier 2, Tier 3 cit ies? Is the economics similar to top tier cities in terms of AOVs, OPDs, and hence should margins be similar out here?

Albinder Singh Dhindsa : Sachin, we're not providing any sort of breakup in to where we are opening stores, but at the contribution level, the economics for us are fairly similar even though the headline numbers might be different depending on Tier 1 or Tier 2.

Sachin Salgaonkar : Got it. Albi, my question was more on the long -term steady s tate margins. This should also be 5% to 6% of NOV, in Tier 2, Tier 3 cities ?

Albinder Singh Dhindsa : Correct.

Sachin Salgaonkar : Got it. Every quarter you guys surprise us positively in terms of looking to add more stores. When we take a four -year, five -year view, how big could this entire quick commerce or stores be for the industry? i.e., is there room for continued growth? Will the industry number be as high as around 10,000? Would love to get your big picture thoughts on this one.

Albinder Singh Dhindsa : Sachin, we're also finding out the depth of the market as we go along, and as we launch more use cases. Customers also indicate how they want to use the platforms. Right now ,

Page 11 of 17 we have a lot of vectors for growth - geographic , assortment, penetration, customer use cases , which are also coming up. We're also finding out as we go along.

Whenever we know better , we will keep guiding to what we think. Right now, we think that in a rational market, there should be headroom for us to add a significantly higher number of stores in the near future.

Sachin Salgaonkar : Got it. And from a mix perspective, right now where things stand, is it 70 :30 mix where 70% of stores are still in top tier cities and 30% in Tier 2, Tier 3, or could that ratio change?

Albinder Singh Dhindsa : We are not providing this, Sachin.

Sachin Salgaonkar : Got it. And my last question is generally trying to understand , for example, in a place like Bangalore where every platform focusing on quick commerce is aggressive, which perhaps might not be the case right now on a pan -India basis , how are directional trends for market share and contribution margin for you guys ? Are you maintaining that share? Are you increasing share? Or is there a bit of an impact out there? Just broad direction al perspective.

Albinder Singh Dhindsa : From what information we have , in most of the Tier 1 markets, which is the metros, we have largely maintained our share of NOV, and we know that now there is competition in almost all of the cities . That is the best information we have .

Sachin Salgaonkar : Got it. All the best for the future .

Albinder Singh Dhindsa : Thank you.

Moderator: Thank you. Next question is from the line of Jignanshu Gor from Bernstein . Please go ahead.

Jignanshu Gor : Hi, congratulations to Albinder again on the position.

I had one question on understanding the growth that you've seen in MTUs, especially on a per store basis . Our ad spends, when I look at the consol versus standalone numbers, we don't really seem to have spent a lot more on ad s despite the competition, and so we seem to be getting a lot more organic users. What do you think is attributable to this , on a per store basis , continuing to get more users and not just AO Vs?

Albinder Singh Dhindsa : Jignanshu, it's more related to assortment expansion .

Page 12 of 17 Jignanshu Gor : But that should ideally then translate , and that's the second question actually, into higher frequency of orders per customer, right? But that seems to have gone down. Is there a replacement happening? That's the circle I wasn't able to square off, frankly .

Albinder Singh Dhindsa : No, that's not as linear relationship as you think. If customers come to us through categories which are expansion categories, then the frequency doesn't necessarily go up because frequency driver categories are not the ones that they might be entering through.

Jignanshu Gor : Okay , so they're coming for expansion but not necessarily doing the core transactions yet on this platform .

Albinder Singh Dhindsa : Yes, the trajectory might be different as we expand assortment more.

Jignanshu Gor : Understood. Great. Okay.

And just a second follow -up on one of the questions Garima asked regarding leadership. Does the Blinkit plus food and other , going -out, or the entire leadership below the three of you remain as it is, and there is no change ? Is that the right way to think about it, at least for now?

Albinder Singh Dhindsa : Right.

Jignanshu Gor : Okay, great. All right. Yeah, that's it for me. Thank you and congratulations .

Moderator: Thank you. Next question is from the line of Abhisek Banerjee from ICICI Securities . Please go ahead.

Abhisek Banerjee : Hi, congratulations on a great set of numbers. Just a couple of questions from my side. In the letter you mentioned that capex per store will increase henceforth. Why is that? Are we also moving to a megapod -like structure ?

Albinder Singh Dhindsa : Abhisek, it tends to be chunky, and we make a lot of investment in the warehousing infrastructure as well, especially as we expand deeper and deeper into the country. That would explain the increase in capex per store. Also, we are investing a

lot more in automation now.

Akshant Goyal : Also , there is some increase in per store's square foot size as you mentioned, but it may not be similar to what other competitors are doing, but in general, our store size is going up every quarter.

Abhisek Banerjee : Is that for more assortment or for any other reason?

Page 13 of 17 Akshant Goyal : Yes, it's a function of availability of real estate , it's a function of how we want the store design to be, and because of that, there's a trend which is taking the store size up. Capex per square feet of space addition is not going to go up as much as capex per store would.

Abhisek Banerjee : Understood. In Bistro, you have mentioned that you are seeing some early signs of a product market fit. Can you please elaborate on that and what kind of scale up can we realistically think ?

Akshant Goyal : Abhisek, product market fit for us when we say that , what we mean here is that on the customer side there is genuine value being created for which they come back to the platform and transact and then equally from an economic standpoint, we start getting more comfort on this business being able to make money, especially given the AOVs are much lower here than what we see in the food delivery business .

These are the two elements of product market fit. The one on the demand side, we were anyways fairly confident. We knew that a few months ago when we opened the first few stores that customers were not coming here just for cheap food, but we're solving an unmet customer demand here for quick snacky food, which is higher quality at the right price point.

On that we had conviction early, but as we continue to build the business, we are building more conviction on economics as well and hence, at this point our plan is to continue investing in this business in a cautious way and at some point, like Blinkit , if it becomes extremely clear that this is a profit making business and margin visibility is high, then we may accelerate expansion as well . We'll keep all of you posted on this every quarter.

Abhisek Banerjee : Is this convenience plus value both for you? Just trying to compare with Toing that Swiggy has come out with.

Akshant Goyal : Not just convenience and value, it's also menu assortment . There's a cuisine gap in the market which Bistro fills, and that is also why we don't see this business cannibalizing the Zomato business, wherever we have these stores.

Abhisek Banerjee : Understood. One last question from my side is in Deepinder's letter , it is mentioned that

his unvested shares would come back to the employee pool. What kind of expansion would this lead to the ESOP pool that you have and how you are set for and for how much of a time period do you think you do not need to do more grants ?

Akshant Goyal : The way it works is that we have a n ESOP pool which has a large number of shares today. I think roughly about , I need to check the number, but it's north of 20 crore shares. So , his ESOPs will perhaps expand that pool by another 3.3 crore shares . The grant from this pool is a function of the Board allocating ESOPs to different employees bas is their performance, et c. Therefore , the grants are not going to go up just because the pool size

Page 14 of 17 went up, but because the pool size went up, we may not need to dilute our ESOPs again for slightly longer than what we would have otherwise done. That's what we're trying to say here.

Abhisek Banerjee : Understood , Akshant. Any visibility on how much of a runway you have with current ESOP pool?

Akshant Goyal : Hard to say. We don't think we need any dilution in the near future at this point.

Abhisek Banerjee : Okay, thank you. That will be all from my side.

Moderator: Thank you. Next question is from the line of Kunal Vora from BNP Paribas . Please go ahead.

Kunal Vora : Hello, thanks. Y ou mentioned that this

quarter you had 211 net store additions. Did you close any stores during the quarter?

Albinder Singh Dhindsa : Yeah, Kunal, just regular closures that happen for different reasons, so it is net store addition.

Kunal Vora : Okay, how high will that gross number be versus the net number because that could also explain the capex.

Albinder Singh Dhindsa : Closure rate is very low.

Kunal Vora : Very low, okay. And there has been rapid expansion over the last few quarters. Do you see a need to review some of the stores and similarly, there are cities, smaller cities, do you think some of them you might need to exit or it all looks good?

Albinder Singh Dhindsa: It looks good.

Kunal Vora : Okay. Second is in terms of competition, is it largely between the three quick commerce players, or is it the e -com players which have also expanded, physical retailers such as JioMart also are talking about almost 800 dark stores and 1.6 million daily orders. Are you seeing any impact of these players at least in the Tier 2, Tier 3 cities?

Albinder Singh Dhindsa : For us , competition is everybody who's trying to gain a market share of the online buying pie. So, everybody's included.

Kunal Vora : But is there an increase in competition with the other three players also now getting more aggressive?

Albinder Singh Dhindsa : Yeah, generally the competition across the board has gone up .

Page 15 of 17 Kunal Vora : Okay, fine. Lastly, in Blinkit, how much do cities beyond the top 8 cities contribute ? And how is the experience beyond the top cities? How many cities do you see a potential in?

Albinder Singh Dhindsa : We are not disclosing that Kunal. I've mentioned that before also on the call.

Kunal Vora : Okay, that's it from me. Thank you.

Albinder Singh Dhindsa : Thank you.

Moderator: Thank you. Next question is from the line of Nikhil Choudhary from Nuvama . Please go ahead.

Nikhil Choudhary : Hi, thanks for the opportunity and c ongratulations on achieving break even in Blinkit and Hyperpure. First question is on 100% growth part. Last quarter, you mentioned that you can deliver 100% YoY growth for the next two years. And if the opportunity size is so large, which we believe it ideally should be, then why short -term change in competitive intensity can derail it especially when you guys have already achieved break even? You're talking about investing in market share gain. Then what is stopping us from achieving this 100% growth? What has changed basically in one quarter?

Albinder Singh Dhindsa : Nikhil, our viewpoint on this is that the competitive intensity is also depend ent on the kind of competition you see. Currently , we feel that we are the only ones who are meaningfully contributing to increasing the market size, whereas the competitive intensity is mostly showing up and taking away share , and that is why you will see that pressure on growth. Usually , you will see much faster market growth and all players gaining share, but we're not seeing that kind of competition .

Nikhil Choudhary : Got it , thank you. Second , is the behavior remain ing consistent across the player s or is it more limited to incumbent s? What I meant to say are new players like Amazon, Flipkart, and JioMart also resorting to this kind of competition now or is it more limited to incumbents?

Akshant Goyal : Nikhil, we wouldn't want to comment on this question. You should find out and talk to others.

Nikhil Choudhary : Got it. The last one is on food delivery . We saw some acceleration this time and also we are hearing positive commentary from consumer and consumption driven companies in India. Is it fair to say you are more comfortable in reaching, let's say, 20% growth in FY27 or maybe in two to three quarters?

Akshant Goyal : Very hard to say, Nikhil . These things keep changing for reasons which are beyond our control. We don't want to venture and take

a guess here on how this moves. Our business responds to growth and demand, and it's an asset light model. If the demand expands ,

Page 16 of 17 unlike Blinkit, we don't need to build infrastructure to service it . Whatever is the pace of growth of consumer demand in the country, in this business, our job is to make sure that we're able to cater to it and largely our job there is to make sure that delivery partner supply matches the growth in demand and restaurants are able to respond to that in terms of capacity . So, we just stick to our job and we don't want to take a guess on how this will grow from here in terms of growth rates .

Nikhil Choudhary : Got it. Just last one on the leadership transition. While you have clarified that currently everyone is doing what they were doing, but is it fair to say medium to long -term, ultimately the goal is to transition more responsibility to Albinder and Deepinder may be taking more executive role ?

Akshant Goyal : That's not the plan, Nikhil. Deepinder , as his letter mentions, is going to continue to be involved in the same way he was in the past, and there's a lot to be built at Eternal right now. Most of our businesses are young, including food delivery, so we have a long runway ahead, and at this point we're all committed to continue building it.

Nikhil Choudhary : Got it , very helpful. Thanks a lot, and good luck for coming period. Thank you.

Moderator: Thank you. Ladies and gentlemen, in the interest of time, we will now take the last one to two questions.

The next question is from the line of Vijit Jain from Citigroup . Please go ahead.

Vijit Jain : Hi, thanks for the opportunity and congratulations, Albinder on the promotion to CEO role and to the team for the break even. My first question, you said earlier that store size in general continues to go up every quarter. I'm wondering, in mature cities, are store sizes going up there as well ? And related question to that, when you say automation in stores, could you talk a little bit about where the automation will come in the stores ? That's my first question .

Albinder Singh Dhindsa : Hey, Vijit. On the first one, yes, the store size is going up across the board. And on automation, actually, most of our automation is more related to our overall supply chain, not just the stores.

Vijit Jain : Okay, got it. The second question , you mentioned earlier, you talked about assortment changes as business grows and matures. In terms of the metrics that you track, is gross profit per square feet per day, I know you've mentioned in the past , is it still the north star? And do you care about maximizing order throughput per dark store per day at all? I'm just trying to get a sense on this because there are certain conversations that tend to focus too much on orders per dark store per day .

Page 17 of 17 Albinder Singh Dhindsa : Vijit, we don't really have those kind of targets whether it is orders per day or sales per

square foot. Our plan is to provide customers with better experience , whatever allows us to do it and is good for the overall economics of the business. That's the direction that we end up going in.

Vijit Jain : Got it, thank you so much. Those were my questions.

Albinder Singh Dhindsa : Thank you, Vijit.

Moderator: Thank you . We will now conclude this conference call. Thank you for joining us , and you may now disconnect your lines.

Call: May 2026

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